

HAADTHIP

HAADTHIP PUBLIC COMPANY LIMITED



Equality,
Diversity &
Inclusiveness

One Report 2021

Vision

We are the leader in the beverage industry and committed to sustainable growth with the communities

Mission

1. To be a completely integrated beverage company and to maintain the leading position in the southern market, with revenue, sales and profits soaring on a continuous basis.
2. To continue to be the manufacturer, distributor and service provider of high quality products to customers and consumers, so that the Company is trusted as part of the South.
3. To ensure that the Company's personnel have integrity, perform their duties with loyalty and honesty; and have responsibilities to the organization and society as a whole.
4. To be an organization with good governance, through the creation and development of the type of personnel that the society needs; and taking part in the development and improvement of natural resources and environment in a responsible and sustainable manner.

Purpose

Continually increasing profitable, sustainable unit case sales of our products by satisfying new and existing consumers through excellent service to and with our customers at an increasing return



Value

We will create an organizational culture on the foundation of the following 10 values:

1. **Integrity**
: To be loyal, honest, open and sincere
2. **Individual Initiative**
: To be creative and to initiate new work ideas individually
3. **Customer Value**
: To always focus on customers' needs and expectations and add value to their businesses
4. **Teamwork**
: To work as a team and support co-workers in order to raise overall performance level
5. **People Development**
: To create personnel of quality through continuous training and development process
6. **Mutual Trust & Respect**
: To treat each other with respect and to be trustworthy
7. **Commitment**
: To hold oneself responsible for and to perform the tasks as committed
8. **Always be part of the South**
: To be responsible for the society and environment in order to leave no impact to later generations
9. **Relationship Marketing**
: To continue to strengthen the relationship with customers, consumers and government agencies of all levels
10. **Fun**
: To have good balance between life at work and personal life, and to work happily on a daily basis



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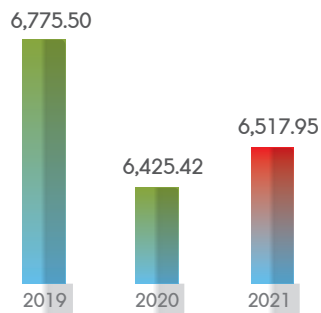
Financial Highlights

		2021	2020	2019
Statement of Income				
	(THB million)			
Revenue from Sale of Goods		6,517.95	6,425.42	6,775.50
Cost of Sale of Goods		3,893.32	3,741.91	4,183.66
Gross Margin		2,624.63	2,683.51	2,591.84
Total Income		6,544.55	6,444.09	6,792.29
Distribution Costs and Administrative Expense		2,009.57	2,052.93	2,107.29
Profit for the year		533.32	564.94	440.72
Statement of Financial Position				
	(THB million)			
Total Assets		5,427.93	5,326.11	4,906.98
Total Liabilities		1,814.03	1,872.14	1,992.26
Total Equity		3,608.67	3,450.58	2,914.70
Shares or Information about Common Shares				
Shares and Fully Paid-up Share Capital	(Million Shares)	200.96	200.96	200.96
Book Value per Share	(THB)	17.98	17.19	14.50
Earnings per Share	(THB)	2.66	2.82	2.21
Dividend per Share	(THB)	1.79	1.90	1.76
Dividend Payout Ratio to Net Income	(%)	67.29	67.38	79.64
Share Price at the End of Financial Period	(THB)	35.50	32.00	22.70
Financial Ratios				
Net Profit to Total Sales Revenue	(%)	8.18	8.79	6.50
Return on Equity (ROE)	(%)	15.11	17.75	15.66
Return Total Assets (ROA)	(%)	11.93	12.68	10.37
Debt-to-Equity Ratio	(Times)	0.50	0.54	0.68

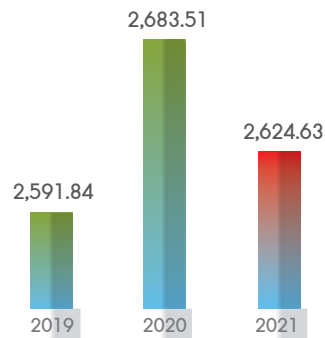


Statement of Income

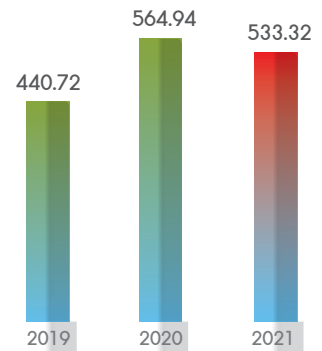
Revenue from Sale of Goods
(THB million)



Gross Margin
(THB million)

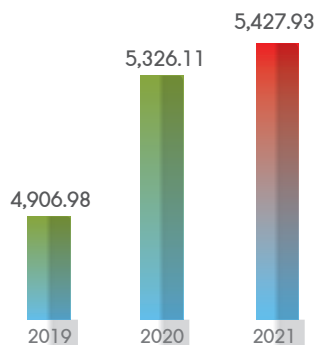


Profit for the year
(THB million)

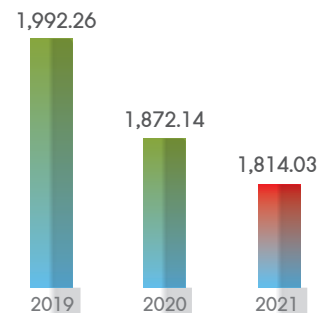


Statement of Financial Position

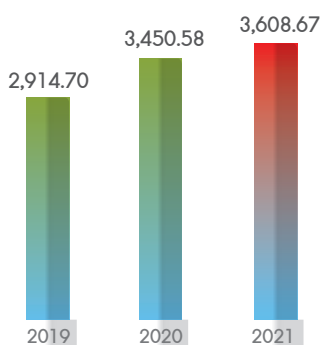
Total Assets
(THB million)



Total Liabilities
(THB million)

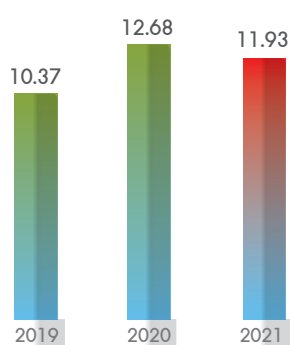


Total Equity
(THB million)

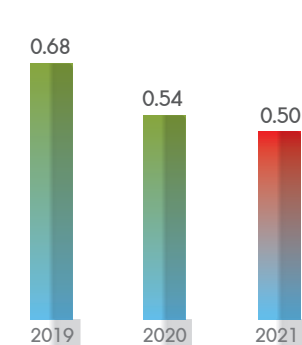


Financial Ratios

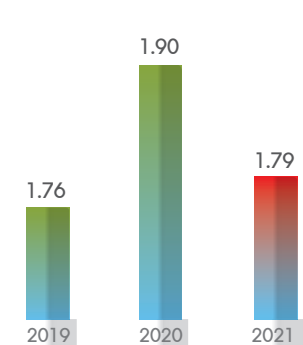
Return Total Assets (ROA)
(%)



Debt-to-Equity Ratio
(Times)



Dividend per Share
(THB)





Message from the Chairman and the CEO

To Shareholders

The year 2021 was another year when the world still experienced the impact from the pandemic of coronavirus 2019 (COVID-19) which has affected all sectors. In the midst of changeable circumstances, the Company's Board of Directors, executives and staff joined hands to deal with the abruptly emerging Coronavirus which has affected many aspects of public and private sectors. With a strong focus on staff's safety and maintaining employment, the Company has employed general hygiene measures as a main stronghold. As for the operation, the work procedure was adjusted to be more effective along with reasonable cost control and introduction of IT-technology to enhance operational efficiency. The Company developed Telesales as a part of sales channels and enlisted social media as a marketing tool. As a result of these efforts, the Company's financial position remains strong enough and is ready to overcome any possible obstacles by maintaining its market share in the non-alcoholic-ready-to-drink (NARTD) market and sparkling soft drink (SSD) market in the southern part in 2021 at 26.1% and 81.5%, respectively, securing its champion position in the southern SSD market in the face of trying circumstances and continuing impact of the pandemic.

To successfully run a business, it is necessary to look into the future 2-3 years in advance. This also applies to the sparkling beverage industry. At present, the Company runs 2 PET production lines at Phunphin Production Plant in Surat Thani, which are expected to reach full capacity in 2022. To meet the increasing production volume starting from 2023 onwards, the Company's Board of Directors approved the investment in expanding a new PET production line expected to cover PET products of different sizes including 1,000 505ml-bottles/minute and in constructing a new plant and raw material warehouse to accommodate the installment of machines of the new production line. The total investment in the expansion of the new production was Baht 1,200 million.

Company's Performance 2021

In 2021, the Company's revenue from sales was Baht 6,518.0 million, a Baht 92.5 million or 1.4% plus, and total sale volume were 61.9 million unit-cases, a 4.0 % increase compared to 59.5 million unit-cases in the same period of the year 2020. The main reasons were increased sales of large products aimed at household consumption, promotion in certain items and distribution channels, active marketing and market visits under strict COVID-19 safety regulation as well as adaptation to new technologies to improve sales performance.

From the operating results of the year 2020, net profit was Baht 533.32 million or equivalent to earnings per share of Baht 2.66. As such, the Board of Directors had proposed a dividend payout from the operating results to the shareholders of the Company at the rate of Baht 1.79 Baht (one Baht and seventy-nine Satang) per share, totaling Baht 359.72 million or 67.45% of profit for the year according to the Consolidated Income Statement and in accordance with the Dividend Payment Policy of the Company. However, an interim dividend had already been paid out to the shareholders of the Company at the rate of Baht 0.83 on 23 September 2021. Therefore, the remaining dividend to be paid out shall be Baht 0.96 per share, with the dividend payment date set to take place on 25 May 2022.

Running a business based on the concept of Sustainable Development

HAADTHIP has integrated sustainable development into its business management. The Company was, therefore, selected to be one of the 146 companies listed in Thailand Sustainability Investment (THSI) for the year 2021 in the category Agro & Food Industry by the Stock Exchange of Thailand at the Visual Ceremony of SET Awards 2021. HAADTHIP has been on the list for 4 consecutive years, which reflects the fact that for the past 50 years, the Company has been determined to run business towards sustainability with a focus on Environmental, Social and Governance (ESG). This would guarantee the continuity and operational effectiveness, while all stakeholders across the supply chain including communities and society have been given close attention so that all involved can overcome difficulties and enjoy sustainable growth together.

Moreover, in the same year, the Thaipat Institute announced that HAADTHIP Public Company Limited (HTC) was selected from 824 listed companies to be one of the ESG100 for the year 2021 that are outstanding on environmental, social and governance performances and company results in Agro & Food Industry group. The Company was selected to be ESG100 for the fourth time (2015, 2019-2021).

A non-profit organization to rate listed companies for their sustainability development, Thaipat serves as an information source for Thailand's corporate sustainability to fulfill the needs of investors who place emphasis on investing in corporates with social and environmental responsibility and to offer an alternative for investors who are interested in listed securities of quality and earn not less profits than other conventional investments.

Corporate Governance

The Board of Directors and executives have continually set a high value on the code of conduct in performing, controlling and governing the corporation. Staff at all levels were instilled corporate governance along with business ethics to ensure efficient and solid business management as well as support the sustainable growth of the Company. By holding corporate governance and continual development in high regard, the organization can achieve effective business management and build maximum value for shareholders, stakeholders, society and the environment in general.

In 2021, the Company was assessed and earned an average score of 85%, 4 stars of recognition () or a "Very Good" for corporate governance performance by the Thai Institute of Directors (IOD), and received the score between 90-99 or a "Excellent" from Shareholders Meeting Quality Assessment Program (the AGM Checklist 2021), organized by Thai Investors Association (TIA).

Anti-Corruption Policy

The Company's business conduct with those concerned shall be carried out with transparency, integrity and compliance with the law and involved standards and shall support business partners to follow the Anti-Corruption Policy. In 2021, the Company submitted a self-assessment with 71 items (New version) to recertify its membership in the Thai Private Sector Collective Action Against Corruption, which has been established by the Thai Institute of Directors (IOD) and supported by Government and Office of the National Anti-Corruption Commission (NACC) since 2013. The Company renewed membership of Thai Private Sector Collective Action Against Corruption for 2nd time which has 3-year period. It shows the Company's transparency, building up confidence of investors and Stock Exchange of Thailand.

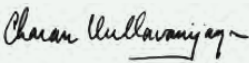
Human rights and Equality

The Company highly regards and encourages every unit to take human rights seriously by integrating the issue into the organization's culture. Human rights topics were taken into account to develop people in the Company, business partners and throughout the supply chain. As a result, HAADTHIP received an outstanding award "Human Rights Award 2021" in the category of large scale enterprise (at national level) for being a role model for good human rights practices, presented by Prime Minister Prayut Chan-o-cha and was the only private organization located in the South to receive this recognition.

Maj. Gen. Patchara Rattakul, Chief Executive Officer, is committed to valuing and giving importance to diversity in ideas, beliefs, cultures, races, experiences, ages, and human genders. He believes that diversity in the organization, with staff from different backgrounds being able to effectively work together, will lead the organization to success through an open-minded culture in which voices from staff or those with differences are heard. Employees can be proud of their equality and mutual respect not only in the workplace, but also in society outside of the organization.

For his long endeavor, Maj. Gen. Patchara Rattakul, Chief Executive Officer, was nominated for "UN Women 2021 Thailand WEPs Awards" in the category Leadership Commitment and received two honorary awards from For Thai Social Foundation, presented by Air Chf. Mshl. Chalit Pukbhasuk, privy councilor and the General Secretary of Phra Dabos Foundation, namely "Best Practice Awards" in the category of sustainable development for three consecutive years and "Person of the Year 2021" in the category of business management and development for his management excellence in management, knowledge and capabilities as well as morals, righteousness and commitment to serve the country in various ways on an ongoing basis.

Lastly, the Board of Directors would like to thank our shareholders, executives, employees, and staff for their commitment and kind support throughout HaadThip's business all along. Please rest assured and believe in the Company's potential and personnel who significantly contribute to our business growth. By virtue of planning, management and attention to transparent operations, values and sustainability for the Company and society in general shall be accomplished based on the Company's vision.

Gen 
(Charan Kullavanijaya)
Chairman

Maj. Gen. 
(Patchara Rattakul)
Chief Executive Officer

Board of Directors

Ms. Smornluk Mahasmiti

Independent Director / Member of the Audit Committee /
Member of the Nomination and Remuneration Committee

Mr. Prakit Pradipasen

Independent Director /
Chairman of the Audit Committee



Mrs. Yupares Thiengham

Director /
Chairman of the Nomination and Remuneration
Committee

Gen. Charan Kullavanijaya

Independent Director / Chairman of the Board

Mr. Philipp Hugo Gutsche

Director / Member of the Nomination and
Remuneration Committee

Maj. Gen. Patchara Rattakul

Authorized Director /
Chief Executive Officer /
Chairman of the Corporate Governance Committee

Mr. Dumrongrugs Apibalsawasdi

Authorize Director / Member of the Corporate Governance Committee /
Member of the Risk Management and
Sustainable Development Committee

M.L. Dhisana Sritavaj

Director



Mr. Johan Willem Maarten Jansen

Independent Director

Mr. Yanyong Maethapanich

Independent Director /
Member of the Audit Committee /
Member of the Nomination and Remuneration Committee /
Member of the Corporate Governance Committee

Mrs. Kerry Ann Shipp

Director

Mrs. Pariya Chirabandhu

Authorize Director /
Member of the Nomination and
Remuneration Committee

PART 1

BUSINESS OPERATION AND PERFORMANCE

Business Structure and operation

1.1 Business Overview

Background

In 1969, Soft drink trademark “Coca-Cola” was officially established in the South under the name of the manufacturer and distributor of “NakhonThip Company Limited”, initially licensed for manufacturing and distributing Coca-Cola drinks in 3 southern provinces, namely Songkhla, Satun and Yala.

Later in 1974, the management was taken over under supervision of Sec. Lt. Phairot Rattakul, Managing Director and Board of Directors with Her Royal Highness Princess Suthasiri Sopha as the President, Mrs. Wilai Rattakul, as the Chairman of the Board of Director on behalf of Thai Thana Co., Ltd.

In 1978, Thai Thana Company Limited and NakhonThip Company Limited agreed to jointly establish a new company under the name of **“HaadThip Company Limited”** and received direct license from the Coca-Cola Company (USA) to become a producer and distributor of Coca-Cola beverages in 11 more provinces, totaling 14 provinces, namely Songkhla, Satun, Yala, Chumphon, Ranong, Krabi, Phuket, Phang Nga, Trang, Phatthalung, Surat Thani, Nakhon Si Thammarat, Pattani, Narathiwat.

In 1988, HaadThip Company Limited (“the Company”) listed its common shares into the Stock Exchange of Thailand. The objective was to mobilize funds for business expansion and providing opportunities for employees of the Company including southerners to share the ownership. The Company’s common shares were listed and traded in the Stock Exchange of Thailand for the first time on 22nd December 1988. In 1994, the company was registered as a Public Company Limited according to the Public Limited Law Act B.E. 2535 under the name **“HaadThip Public Company Limited”**

After Her Royal Highness Princess Suthasiri Sopha Chairman had passed away on 2nd February 1998, the Board of

Directors was resolved to appoint Gen. Charan Kullavanijaya to become the Chairman of the Board on 25th May 1998.

In 2005, The Company selected Coca - Cola Indochina Pte. (CCI), a subsidiary owned completely by Coca-Cola SABCO (Pty) Ltd. (CCS), a Coca-Cola operator in Africa and Asia to become a business partner. Coca-Cola Indochina Pte. (CCI) held shares in the Company not over 24% of the issued and paid-up capitals. Upon acquisition of shares, Coca-Cola Indochina Pte. (CCI) had a policy not to get involved with or participate in management but would use experiences, existing expertise to support and drive the Company to move forward with strength and steadfastness.

In 2011, the Company’s shareholder structure experienced some shifts as Coca-Cola Indochina Pte. Limited (CCI) had transferred 39,723,600 shares, or 23.93% to Coca-Cola SABCO East Africa (CCSEA). The shift in shareholding of the major shareholders was just a restructuring movement in the Coca-Cola SABCO group. There was no any significant change in the management structure of the company. In 2016, there was another restructuring in the Coca-Cola SABCO group as they transferred all the shares in its ownership to Gutsche Family Investments (Proprietary) Limited.

In 2012, the Company decided to construct the second factory in Amphoe Phunphin, Surat Thani Province and invest in machinery for the new production line (New PET Line) to increase capacity in PET packaging. In this investment the Company, apart from taking loans from financial institutions issued and offered 33,203,000 new common shares for sales with a par value of 1 baht per share, to existing shareholders at a ratio of 5 existing shares to 1 new share at the price of 7.00 baht, resulting in capital increase in the amount of Baht 232,421,000.00 (two hundred thirty-two million four hundred twenty-one thousand baht only).

The Company started the construction of the first phase of the second factory on 15th May 2012 and installed the machine in early 2013 to function in a PET Filling Line for soft drink and drinking water production with production capacity of 600 bottles per minute or 36,000 bottles per hour. The first batch of soft drinks and drinking water officially left the new conveyor belt to the market in the fourth quarter of 2013.

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In 2015, the Company and its subsidiaries invested in installing additional machines at the Phunphin Production Plant, deemed as the second phase of investment by purchasing PET filling line (PET beverage filling machine) with a capacity of 600 bottles per minute or 36,000 bottles per hour and Plastic Injection Machine (PET Preform molding machine) with a capacity of 500 pieces per minute or 30,000 pieces per hour as a preparation for the highly dynamic market in summer 2016.

On 22nd December 2018, Sec. Lt. Phairoch Rattakul, Managing Director and Founder of the company passed away.

On 21st January 2019, the Board of Directors appointed Maj. Gen. Patchara Rattakul, the second generation heir to take the position of Chief Executive Officer according to the succession plan that had been laid before.

Since the management of the management team led by Sec. Lt. Phairoch Rattakul, Managing Director to the new generation of executives, Maj. Gen. Patchara Rattakul, Chief Executive Officer, the Company has been continuously developed and made a progressive growth. From the start with only 60 employees and 4 cars for sale, currently as of 31st December 2021, the Company and its subsidiaries have more than two thousand employees altogether. There are 2 production plants, namely the first plant located in Hat Yai, Songkhla, and the second plant located in Phunphin,

Surat Thani with total sales of 61.9 million unit cases, sales revenue of Baht 6,518.0 million, net profit of Baht 533.3 million, total assets of Baht 5,427.9 million, total liabilities of Baht 1,814.0 million and shareholders' equity of Baht 3,608,67 million. HaadThip's market shares of non-alcoholic beverages and soft drinks were 26.2 percent and 81.5 percent, respectively (Source: AC Nielsen). The Company managed to maintain its leadership through innovation in terms of products and packaging with a commitment to sustainable business, in order to become an organization with social and environmental responsibilities. Currently, the Company has registered capital in amount of 201,210,180.00 baht (two hundred and one million two hundred and ten thousand one hundred and eighty baht only), wherein 201,210,180 are common shares with a par value of 1 baht per share, and paid-up in amount of 200,960,500.00 baht (two hundred million nine hundred sixty-five hundred baht only)

1.1.1 Vision, Purpose, Goals or Business Strategy

The board has reviewed and mutually identified vision, mission, purpose and value of the organization for all levels of staff to abide with. They are as follows.

Vision

"We are the leader in the beverage industry and committed to sustainable growth with the communities: Our vision reflects the company's commitment to creating positive methods of work, new innovative usage, technology and employee development along with building the maximum values for customers, partners, employees and the society as a whole

Mission

1. To be a completely integrated beverage company and to maintain the leading position in the southern market, with revenue, sales and profits soaring on a continuous basis.
2. To continue to be the manufacturer, distributor and service provider of high quality products to customers and consumers, so that the Company is trusted a part of the South.
3. To ensure that the Company's personnel have integrity, pre-form their duties with loyalty and honesty; and have responsibilities to organization and society as a whole.

4. To be an organization with good governance, through the creation and development of the type of personnel that the society needs, and taking part in the development and improvement of natural resources and environment in a responsible and sustainable manner.

In order to achieve the objective that the Company continually increases profitable, sustainable unit case sales of our products by satisfying new and existing consumers through excellent both direct and indirect service to and with our customers at an increasing return with **10 following Values:**

1. **Integrity**

To be loyal, honest, open and sincere

2. **Individual Initiative**

To be creative and to initiate new word ideas individually

3. **Customer Value**

To always focus on customers' needs and expectations and add value to their businesses

4. **Teamwork**

To work as a team and support co-workers in order to raise over all performance level

5. **People Development**

To create personnel of quality through continuous training and development process

6. **Mutual Trust & Respect**

To treat each other with respect and to be trustworthy

7. **Commitment**

To hold oneself responsible for the society and environment in order to leave no impact to later generations

8. **Always be part of the South**

To be responsible for the society and environment in order to leave no impact to later generations

9. **Relationship Marketing**

To continue to strengthen the relationship with customers, consumers and government agencies of all levels.

10. **Fun**

To have good balance between life at work and personal life and to work happily on a daily basis

Goals and strategies for business operation 2021

The Board has set an operational strategies and targets for 2012 as follows:

"The Company's aims to stay champion in the beverage market with the goal to be a manufacturer and distributor of all types of beverages in the non-alcoholic beverage market. (Non-Alcoholic Ready to Drink: NARTD), to create opportunities for revenue growth by diversifying business products contributed by the advantage of the company's distribution strengths and strive to build strength in the core business" by

- Dynamic Distribution Channel: Provide distribution channels that respond quickly to the needs of consumers.
- Expanding glass business in Traditional Trade & HORECA Channel
- Increasing coolers penetration in market by over 25%
- Coca-Cola Zero Sugar Relaunch
- Increasing outlet distribution by 16% from 2020
- Increasing digital footprint and expand e-commerce opportunities
- Establishing leadership in Non - Alcoholic Ready to Drink (NARTD) market in the southern region by increasing its market share to 30% by 2025.
- Diversifying Revenue stream

Goals 2021

- Revenue and profit growth target of +4.5% and +6.6% YoY respectively. and aims to increase the net profit margin (Net Profit Margin) +0.2% from the previous year
- Projected sales volume to grow at +2.5%

HaadThip Group's Strategic plan

HaadThip Group's strategies towards long-term goals

Last year was another year in which the world still had to face the Corona virus (Covid-19) pandemic. Thailand was also affected. Various measures to control the situation were implemented and inevitably affected the overall economy of the country. The impact, however, depended mainly on the nature of each industry. After the measures had begun to ease, the atmosphere of spending started to recover and in the coming year, the government's plan to open the country to foreign tourists will help the related economies recover.

HaadThip has adjusted the business strategy to ensure that the company can operate the business to grow continuously and manage the business group to have a sustainable profit by adjusting the operation plan to be in line with the goals set by the company. HaadThip believed that Smart business operations as planned shall help the Company to cope and go through the uncertain situation caused by various impacts at present that could happen any time. The Company has planned a medium-term strategy that shall lay a solid foundation continually towards long-term goals as follows:

1. Adapting speedily to change in market environments

Given the current situation, the vulnerability of the business environment has come to light, suggesting that the changes in the present and the near future may be severe, rapid with a vaster impact than ever before. And most importantly, no one can predict when, where it will happen and how much impact it could cause. As a market leader, the Company realized that it had to adapt to the situation under the main business goals that had been set, while adjusting the strategic plan according to the situation and reviewed the work plan that would allow us to reach the goals that had been set amid the changes in the environment. The Company focused on improving execution, management and processes which must be faster by introducing a new modern working form. The Company also applied technology to increase the efficiency in order to achieve the targeted results.

2. Expanding and diversification

Expand business opportunities to cover other products and industries. Currently, HaadThip as a leader holds the No. 1 market share of the soft drink industry in 14 southern provinces. In order to achieve the growth rate as set, business expansion is deemed absolutely necessary. The Company focuses on two strategies. Firstly, to expand the product lines to meet the changing needs. This will maintain the existing customer base and expand new one at the same time. Another strategy is to diversify the existing business portfolio which is a challenging and high-risk strategy. It is, however, absolutely necessary to increase sales and profits to reach the goals the company has set. The Company focuses on looking for new business opportunities, where the Company can use its existing strengths to provide solutions for other industries or in other markets. In addition to adding new business opportunities, the Company can also apply its vast knowledge and processes

which can be applied across business lines to enhance capabilities and add value to both existing and new businesses.

Non-Alcoholic Beverage Business

Non-alcoholic beverage business under the Coca-Cola brand was one of the industries that was directly affected by the Covid-19 situation, as many distribution channels were affected by various measures of the government during the epidemic situation especially the southern region, the Company's main distribution market, was drastically affected by the disruption of the tourism industry in which foreign tourists were unable to enter the country. In safety measures, sitting, drinking and eating in restaurants and food shops were prohibited, people had to keep social distancing, and hotels were shutdown. These directly affected the Company's HORECA (Hotels, Restaurants, Cafe-Catering) sales.

However, HaadThip managed to maintain strong sales in times of crisis through a variety of strategies, by which the Company managed to survive and keep profits at a satisfactory level. HaadThip has developed an action plan to be in line with the current situation and to meet long-term sustainable growth. The Company has developed the following operating guidelines:

1. Strengthening Brand Equity and Market Execution

Brand equity remains a critical factor in the success of the Coca-Cola beverages. We, therefore, focus on enhancing the potential and value of the brand so that our products can satisfy needs and still be favored by today's customers. We are also trying to penetrate the new markets.

At the same time, we also focus on strengthening and adjusting distribution channels to optimize and distribute products into the market more efficiently. Especially the online market which is growing rapidly especially during the COVID-19 situation which has drastically changed consumer behaviors. In 2019, the online market value had amounted Baht 163.3 billion. In 2020 the online market grew by 81%, and in 2021, the online market continued to grow by 21% and was worth more than Baht 356 billion. According to a survey of consumer behavior last year, Thai people spent an average of 8.44 hours per day on the Internet making it the 9th highest in the world. The Company, therefore, saw the

opportunity and developed a strategy by opening an online distribution channels both on the website and partnering with various platforms, namely all channels which are easy and accessible for customers and consumers to respond to rapid changes during the situation of market uncertainty as fast as possible. As a result, products under the Coca-Cola brand and the Company's leadership remains strong and superior to other competitors in the area of 14 southern provinces.

2. Broader product portfolio and Customer Choices

To respond to the company's growth, one of the key goals is to increase sales and expand the market to increase the sale proportion. Therefore, the Company continues to focus on searching and studying the possibility of launching new products all the time so that we can respond to the current market trends that are diverse and changing, and be able to meet demands of the new markets and customer groups. In addition to expanding the customer base, this also increases sales opportunities for the current customer base.

While strategy of broader product portfolio can promote a good image for the brand in terms of creativity, it also provides customers opportunity to try new experiences with more variety, which promotes the reputation and image of Coca-Cola product lines then again.

3. Evolved Customer Needs

In today's fierce competition in the food and beverage industry, the needs of customers have also evolved. They become more diverse, requiring more convenience, speed, less tolerance, higher product standards, while the customers still prefer the same or lower prices. The changes may be caused by myriad of reasons, such as evolution in technology and information, knowledge development, awareness of the importance of the environment or even cultural and lifestyle changes. These also lead to difficulties in running a business that needs to be developed all the time to be able to meet various needs in order to response to the evolved environment and customer needs along with the efforts to maintain the Company's profits.

To achieve the Company's goals and be able to respond to changing customer expectation, we refocus on the fundamentals. We have adjusted our operational process keeping in mind that customers' needs are always changing

and evolving. This allows the Company to define processes that fit for the changes. Various technologies have been employed to help analyze both qualitative and quantitative data in order to determine the changes accurately and in a timely manner including attaching importance to environment and business development for sustainability.

4 Work with customer to excite consumer

All through 50 years of success, one of the factors that has helped the Company gain success and be able to attain leadership of the market in the southern 14 provinces is our long-standing partners who serve as an important part and mediators in presenting our products, promotions and our values to consumers.

To find solutions for products, promotions and services to consumers who are both our customers and partners, the key operation concepts of HaadThip is to value and create cooperation which is deemed indispensable. The Company focuses on developing and building cooperation, regular communication with partners and trade partners, developing reasonable products and services, developing after-sales service to have a higher standard and flexibility to build long-term business alliances. Once the needs of our partners have been satisfied, that satisfaction shall also be passed on to consumers in parallel, enabling us to achieve success together.

5. Infrastructure upgrade and efficiency improvement

Looking back to the beginning, the Company's sales have continued to grow well. Even during the Covid-19 situation, it managed to sustain and get through. Until now, with sales growing steadily. In response to long-term goals, the Company recognizes the importance of improving infrastructure as well as expanding and optimizing production lines, increasing production limit so that the production lines will be modern and fast which can reduce the overall production cost, the amount of waste generated from the production process. It also strives to develop a system that can implement predictive maintenance. This allows the Company to predict when parts need to be replaced. By this means, parts of the machine and the production line can be replaced timely. At the same time, it will increase productivity as the Company can reduce time it takes to stop the production line for unnecessary maintenance.

In addition, the Company aims to increase efficiency and improve management in all sectors. In order to be able to support the expansion of sales in the long term and grow continuously, the Company also put efforts in product quality so that we can still compete with competitors and stand at the forefront of the soft drink industry. Again, this shall help realize the vision of the company to become a leader in this business in Industry 4.0.

Strategic Plans for Subsidiaries

HaadThip's subsidiaries play a crucial role for the future of the Company. Investing in new industries opens up new opportunities for the Company, but at the same time this venture comes with inevitably higher risks especially in the uncertain situation of COVID-19. The Company, therefore, developed various strategic guidelines as follows:

1. Tightening policy

HaadThip has set business diversification as its medium-term goals both in terms of revenue and profit. However, considering the current COVID-19 situation, although the Company still adheres to the original goal, the plans need to be modified to suit the current situation. The Company, therefore, streamlined its investment plan to be more concise by adjusting the management and assessing the situation more frequent. For this purpose, a working committee was set up to consider and approve projects and investments so that the Company can cope with changes in a timely manner in case the projected results cannot be achieved or strict measures are imposed when COVID-19 situation become unexpectedly more serious. This quick and discreet move also cement trust among stakeholders.

2. Maximizing Return on Investments and Assets

More emphasis will be placed on sales and profits compared to short-term investments. In investment planning amid uncertain situations, the Company focuses on investing in assets with more certainty and risk control. Despite the cautions, expected return must be a satisfactory level compared to the investment or use of the company's resources.

3. Leverage current assets

In order to increase the sales potential and profits of the subsidiaries and HaadThip itself whose resources are

significant strengths Sharing resources is a strategy to reduce costs and increase profit margins for the Group. The HaadThip increases the proportion of resources distribution and sharing including modifying, reducing and increasing the use of resources if it is necessary and appropriate to be in line with situation of each subsidiary including directions and operations in each phase of HaadThip.

4. Business Synergy

The bottom line of HaadThip's strategic plan to expand and diversify into other businesses is that the new business must be able to coordinate various fields, whether it be people, technology, processes or other resources to enhance the competence and efficiency in business operation. With higher efficiency, there will be more chance to make more profits while consuming lower cost, time or overall personnel through either direct or indirect cooperation. More emphasis shall be placed on business synergy between HaadThip and its subsidiaries to accelerate and maximize sales and profits in the shortest possible time while minimizing risk.

Trading Business

After running the business for more than a year, the Company has improved work efficiency and put efforts to reduce costs on continual basis. It is determined to fulfill 4 short-term strategic goals as follows:

- 1) Grow business by expanding business alliances
- 2) Generate profits by selecting products that meet the needs of the target groups.
- 3) Generate sales through various marketing activities by making a marketing plan with business partners
- 4) Expand your business online to increase profits and increase distribution channels

The Company has broadened its product portfolio to diversify in both product categories (Product Category) and in the number of product types (SKU) to meet the needs of stores and target consumers as much as possible. It also has recruited more trading partners to be distributors for leading brands and searched for products from leading manufacturers with quality and reasonable price solutions, which help them meet the needs of consumers in the area through the Company's partner stores ranging from wholesale stores to small shops. The Company also cooperated with

its trading partners to deliver marketing plans and activities to push both sales and profits by adjusting the strategy to suit the changing market conditions and situations so that the organization has competitive advantages and attain sustainability.

In addition, the Company also launched products under its own brand to increase the profit margin. The Company developed 4 sales strategies for this purpose.

- 1) Create brand awareness among target customers through product reviews of bloggers and influencers. and build trust from real user experiences.
- 2) Increase sales by expanding customer base to online market in various platforms
- 3) Create brand image and communication that is suitable for the target group making it so memorable that it comes first in customer's mind.
- 4) Adjust the pricing strategy to encourage the target audience in making a decision to buy and try the product.

Food and Beverage Business

In the past two years, the Coronavirus (COVID-19) crisis has caused a lot of damage to the economy, especially for the food and beverage industry that has been imposed intensive control measures by the government. Companies and stores need to adapt themselves and have their staff mainly work from home to reduce the risk of infection. All of these changed consumers' behavior especially food delivery through online applications and online platforms.

The company itself has continually adjust both by expanding the business model from sit-down dining to Cloud Kitchen that focuses mainly on delivery and broadening the types of restaurants to cover both alliances with famous restaurants and the Company's own brand. At present, the Company has added various types of food such as Thai food, street food, southern food, fusion food, Taiwanese desserts and bakery in the business portfolio.

In face of various challenges all around ranging from intensive competition, consumption contraction, lack of foreign tourists, pressures from raw material costs which directly affect the

business, to more complicated consumers' behaviors with more choices, the Company is still determined to run its business through various obstacles as seen from its effort to increase the number of restaurants continuously and diversify types of stores with business partners. However, the company continues to adapt itself to the sensitive situation and has adjusted its business starting plan to suit the location, opportunity, and time to reduce the risk as much as possible.

Real Estate Business

The Company has a strategy to diversify its business to the real estate. The goal is to manage the assets of HaadThip more efficiently and reduce the possibility of losses when assets are not utilized. With diversification to the real estate business, the management became more professional and flexible as there are various assets in the business, scattering in many areas. In addition, the diversification allows each company to focus on what they are good at reduce the complexity and close the gaps of different business nature.

At the first step into real estate business, the Company is developing operational plans by setting short-term goals for the business of housing development, commercial real estate development, area management service and other service businesses related to the main advantages of HaadThip group with focus on the southern region where the Company has assets and know well, as it has always been the most important base for the Company. At the same time, to make the first step a success, the Company focuses on recruiting potential business partners, mainly financial institutions and various sales channels that facilitate the business to run smoothly.

For the first project, namely a housing estate development project, the Company placed emphasis on layout design, unique building and interior design by introducing models that are highly popular in Bangkok to customers in the south with interior decoration that meets the needs of working at home as highlight of the project. In addition to this, living space must be designed to make the most of it. There are complete facilities within the project with focus on after-sales service to build confidence and develop further in future projects.

1.1.2 Major changes and developments (Milestones)

Year

2019

- On 21st January 2019, the Board of Directors resolved to appoint Maj. Gen. Patchara Rattakul to take the position of Chief Executive Officer in substitute of Sec. Lt. Pairoch Rattakul, Managing Director, who passed away on 22nd December 2018 which was in accordance with the succession plan that had been set before.
- On October 21, 2019, the Extraordinary General Meeting of Shareholders No. 1/2019 approved the issuance and offer of newly issued common shares in the amount of not over 1,992,180 shares at a par value of 1 baht per share, totaling 1,992,180 baht, at the offer price per share of 11.33 baht, which was the price which was 50 percent lower than the market price, to the executives and/or employees of the Company. Under the HTC ESOP Program ("HTC ESOP Program") the Company had initiated this project with the objective to motivate and reward the performance of its personnel with outstanding performance who had played an important role in success of the Company, in order to retain key personnel of the Company, to benefit the Company and its shareholders in the long run for sustainable growth. It turned out that executives and/or employees exercised their rights to subscribe for 1,742,500 shares under HTC ESOP campaign, valued at 19,742,525 baht, with remaining 249,680 newly issued common shares.
- Board resolution No. 6/2019 dated 3rd December 2019 approved the establishment of 4 new subsidiaries for 4 business lines, both related and non-related to the beverage industry. The objectives were to diversify the risks from the core business, support changes and business growth in the future and increase revenue for the parent Company. In this regard, the Company held 99.99% of shares in the new subsidiaries, consisting of 1) Food and Beverages Business (HaadThip Food & Beverages), 2) Trading Business (HaadThip Trading), 3) Transport and Logistics Business (HaadThip Logistics), and 4) Real Estate Business (HaadThip Property), where the Company had a 99.96% of its share.

2020

- The Company moved most of its production base from Hat yai Production Plant, Songkhla to Phunphin Production Plant, Surat Thani Province according to the plan, in which the Phunphin Plant is the Company's only large-scale production center. The Hat Yai Production Plant serves only as a large distribution center for warehouses in the lower southern region.
- The company opened new subsidiaries of which the Company holds 99.99% shares in 2 companies namely (1) HaadThip Food and Beverage Company Limited (HTFB) is food and beverage distribution business. Initially, a joint venture company, "KinDeeYuDee 2020 Company Limited" was established in cooperation of Zen and Spicy Company Limited (holding 25%) and HaadThip Food and Beverage Company Limited (holding 71%), to expand "Kheang" restaurant business in the southern region. (2) Haadthip Commercial Company Limited (HTCom) is the business of distribution of FMCG (Fast Moving Goods) products. The establishment of a new subsidiary was in accordance with the diversification plan for sustainable growth, creating opportunities for expansion into other businesses by taking advantage of strengths in the distribution of the Company's products. The objective was to diversify the risks from the core business, support future business changes as well as generate income from new business.

2021

- Coca-Cola Zero Sugar Relaunch
- Revised Code of Conduct to be applied in all affiliated companies
- Another subsidiary, HaadThip Development Company Limited (HTCD) approved to operate the Klongya Residence project at Amphoe Klongya, Hat Yai, Songkhla. A housing project on an area of approximately 15 rai with 65 houses (units), land size of 172-240 square meters, project value of 314 million baht, launched in the 4th quarter of 2021.
- Purchase of land and fixtures at 36/6 Soi Ramkhamhaeng 21 (Nawasri) Intersection 5, Kwaeng Phlapphla, Wang Thonglang, Bangkok 10310, with the total area of 4 ngan, 78.1 square wa to be the site of Bangkok office besides Ekamai office.
- The Company' membership of the Private Sector Collective Action Against Corruption (CAC) was recertified the for a second consecutive period. This re-certification is valid for 3 years from the date of approval on 30th June 2021. The 3-year certification period expires on 30th June, 2024.
- The company invested in expanding the production capacity of new PET Line at Phunphin Production Plant, Surat Thani Province in preparation to meet demand for higher production volumes that is expected to increase around the beginning of 2023. The investments included the construction of new buildings, both in the office space and in the area to be used as the location of 3 new production lines. The estimated investment in capacity expansion amounted approximately Baht 1,200 million.

1.1.3 General Information

Company's Name	HaadThip Public Company Limited
Abbreviation	HTC
Registration Number	0107537002206
Registered Capital	201,210,180 ordinary shares at a par value of Baht 1 per share totaling Baht 201,210,180
Issued and Paid-up capital	200,960,500 ordinary shares totaling Baht 200,960,500
Nature of Business	Sparkling Beverage Industry
Head Office	87/1 Karnchanavanich Road, Baan Pru, Hat Yai, Songkhla 90250
Tel	(074) 210-008-18, (074) 210-025-33 (074) 209-240-1, (074) 439-644-53
Fax	(074) 210-006-7
Phunphin Office	206/1 Moo 3, Tha Rong Chang, PhunPhin, Surat Thani 84130 Tel: (077) 357 - 385-89 Fax: (077) 313 - 640
Bangkok Office	36/6 Soi Ramkhamhaeng 21 (Navasri), Yaek 5, Phlabphla, Wang Thonglang, Bangkok 10310 Thailand Tel: 0 2391 4488 Fax: 0 2381 2257
Website	http:// www.haadthip.com
Accounting Period	1 January - 31 December
Anti-Corruption progress indicator	Level 4

1.2 Nature of Business and Industry Trend

HAADTHIP Public Company Limited is a sparkling beverage manufacturer, granted a franchise by the Coca-Cola Company (USA), Atlanta Georgia, as a producer and distributor of sparkling beverages under the trademarks of “Coca-Cola”, “Fanta” and “Sprite” and other products owned by Coca-Cola Company such as Minute Maid and Utilized Capacity drinking water. The details of business contract are as follows:

Contract Type Bottling and distributing sparkling beverages under the trademarks of “Coca-Cola” “Fanta” and “Sprite” and other products owned by Coca-Cola Company.

Contract Partner The Coca-Cola Company

Contract Starting and Ending Dates 1st January 2019- 31st December 2023
(Renewal every 5 years)

The Company has 2 manufacturing plants located in Amphoe Haadyai, Songkhla, and Amphoe Poonpin, Surat Thani, with the products distributed exclusively to 14 southern provinces of Thailand namely Chumphon, Ranong, Yala, Krabi, Phuket, Phang-nag, Trang, Phattalung, Surat Thani, Nakhon Si Thammarat, Songkhla, Satun, Pattani and Narathiwat.

The Company manufactures products for sales and purchases some products from a business partner in Bangkok to distribute. The Company’s products include:

1. **Sparkling Beverages:** “Coca-Cola”, “Fanta” and “Sprite”
2. **Non-carbonated (Still Beverages):** “Minute Maid” and Utilized Capacity drinking water

The Company’s main source of revenue is derived from the sales of sparkling beverages.

1.2.1 Revenue Structure

Detail	2021		2020		2019	
	Million Baht	%	Million Baht	%	Million Baht	%
Sparkling beverages	6,033.80	92.20	6,014.15	93.33	6,382.82	93.97
Non-carbonated products	324.37	4.96	333.74	5.18	392.68	5.78
Other sources	186.38	2.84	96.20	1.49	16.79	0.25
Total revenue	6,544.55	100.00	6,444.09	100.00	6,792.29	100.00

1.2.2 Product Profile

(1) Product or Service Features and Business innovation development

HaadThip Public Company Limited is a manufacturer and distributor of products under the trademark of “Coca Cola” (exclusively 14 in the southern provinces). The main products can be divided into 2 categories:

1. Sparkling Beverages including products under the trademarks “Coca-Cola”, “Sprite”, “Fanta”, “Schweppes” and “A&W”



2. Still Beverages including products under trademarks “Namthip” “Bon Aqua” “Minute Maid” “fuzetea”.



Apart from Sparkling beverages and Still beverages, the Company's products are also categorized based on the packaging as follows:

1. RGB (Returnable Glass Bottle) including 10oz or 280 ml. Returnable Glass Bottles.



2. Non-returnable Glass Bottle (NRGB) including Non-returnable Glass Bottled products, PET bottles, cans, boxes and post mix.



Currently, the Company is promoting and expanding no-sugar group of products to create higher revenue growth such as Coca-Cola No Sugar, Fanta No Sugar, Sprite No Sugar. At the end of 2021 Schweppes Lime Soda Zero Sugar was also added into the Company's portfolio of the latest no-sugar group of products in order to be in line with the health-conscious group of consumers and trend.



Product Development

The Company has developed and designed more no-sugar sparkling beverages such as Coke No Sugar Orange Flavor, Coke No Sugar Cherry Flavor, Fanta No Sugar Orange Flavor, Fanta No Sugar Strawberry Flavor and Schweppes Lime Soda No Sugar as alternatives for health-conscious consumers, providing choices to the new generation who prefer to control their calorie intake.

Production Innovation

In collaboration with its partners, the Company has continually developed equipment, tools, machines and raw materials to increase production efficiency as ultimate goals as well as other goals stated in the Company's sustainability policy, which are

- Designing proper production equipment, tools and machinery to enable the Company to produce goods and products with the utmost economic values and sustainability on regular basis.
- Continuous weight reduction of packing materials.
- Applying Solar energy in operating process.

(2) Industry Trend and Future Competitive Environment

Major players in the soft drink industry in Thailand at present comprise of Thai Namthip Commercial Co., Ltd. a manufacturer and distributor of Coca - Cola products in all regions of the country, in exception of the 14 southern provinces covered by HAADTHIP Public Company Limited; Pepsi - Cola (Thai) Trading Company Limited, a manufacturer

and distributor of “Pepsi”; Serm Suk Public Company Limited, a manufacturer and distributor of “Est Cola”; AJE THAI Co., Ltd., a manufacturer and distributor of Big Cola, and 2 - 3 other small operators in the industry.

The soft drink industry in Thailand is an oligopoly by nature. It is considered difficult for a new operator to enter the industry because high level of investment is inevitable for the purchase of machinery, creation of demand, as well as construction of building structures such as stock warehouses, in addition to sales and distribution vehicles. The characters of the products in the market also do not differ much, and so from the consumers' point of view, each and every product is substitutable. As such, each operator is making an utmost effort to differentiate their products from the others, be it the taste of the products, the image of the products or the image of the Company, especially through regular introduction of new products to the market. Sparkling beverage industry is currently a highly competitive industries, therefore, each Company is in need for adjustment and adaptation at all times. As a result, each bottler is placing great emphasis on continuous advertising and sales promotions throughout the year, in order to maintain exposure and brand recognition; create faith and trust in the products; and prevent consumers from losing interest in the products while creating brand loyalty with an objective to maintain and acquire more market shares through unique marketing strategies designed and executed by each company.

The Company's strategy is to emphasize on the advertising campaigns to suit the target groups in each area as well as promote good relationships with vendors, community and society in all aspects, while also emphasizes genuine, prompt, reliable and consistent services, with the Coca - Cola standard and quality of products - the products that can be conveniently found and consumed anywhere and anytime, and come in various sizes in various packages both PET bottles and cans to satisfy every consumer's preference possible.

Year 2021 was a very challenging year for HaadThip PCL, with the pandemic of COVID-19 that produced an impact upon the tourism industry, which is the main economic activity of the South; as well as the demand for the Company's products that kept changing according to the rigidity of government

measures issued to contain the spread of COVID-19. As such, the Company had made some adjustments to the internal operation and work system, to be in line with consumer needs and demand that changed with the ever-changing COVID-19 containment measures as follows:

1. To build confidence among consumers and the market that large-sized products and drinking water were sufficient and readily available to meet the demand for home consumption and stock-up, through sales and distribution channels considered most convenient for consumers such as hypermarket/ supermarket and local grocery stores in the communities.
2. To add promotional activities to online channels and home delivery service.
3. When the COVID-19 pandemic control and containment measure had been relaxed, and the lockdown measure lifted, the Company immediately took the action in getting the whole system prepared and ready to promptly meet the demand of the consumers who were ready to reopen their sales outlets. The Company was able to make adjustment in the product distribution system in a swift and timely manner, for the products to reach the customers and meet the type of needs and demand that had changed ever so abruptly.

As a result of the flexibility, preparedness and readiness of the Company in adapting to and making adjustment to accommodate the situation in a timely manner, the Company was able to maintain its market share in the NARTD market and sparkling beverage market from the beginning to the end of the year 2021 at 26.1% and 81.5%, respectively. Total sales of 61.9 million unit-cases showed a 4% increase, compared to 59.5 million unit-cases in the same period last year. As for the non-alcoholic-ready-to-drink (NARTD) market of the South, a 10.6% contraction was considered much better than the overall performance of the market. This was the result of active marketing and market visits by the Company as well as adaptation and implementation of various means of technology to boost efficiency in sales.

In 2021, the Company applied different strategies to different sales channels as follows:

Traditional Trade (TT) group of customers: Traditional trade was comprised of grocery shops, retail shops and restaurants.

The Company's goal was to expand the customer base and increase the number of retail stores as much as possible. Even though there were sales outlets that, inevitably, had to close down as a result of the COVID-19 pandemic, the Sales Department never ceased to search for new markets for the Company, to replace those that had closed down. At the same time, the Company also tried to stimulate consumer demand for the products by integrating a Customer Loyalty System or HaadThip's customer privilege/loyalty program (MVIP Program) which the outlets needed to buy products and display in the Company's refrigerators following indicated procedure.

Our objective was to increase efficiency in the management and administration of sales as well as product distribution, to be able to add new stores to our portfolio while at the same time maintaining the current customer base. In doing so, we had improved our customer information collection process and system, to ensure that the information is accurate, up-to-date and systemized. EDS (Every Dealer Survey) Team had been established to perform the survey on all of the existing stores and sales outlets, including the ones with no business transactions or relations with the Company, in order to find a way to reach out to more stores with an opportunity to sell the Company's products. The Company had developed new sales opportunity through Food Service Aggregator for local restaurants for HaadThip products to be deliver right at customer house at anywhere and anytime. This was to respond customer behavior during COVID - 19 pandemic and effectively reduce the loss of profit of local restaurants

Modern Trade (MT) group of customers: Modern Trade was comprised of Super/Hyper markets and convenient stores. We placed an emphasis on constant development and improvement of our teams in order to keep raising our service level and ensure that our products are always readily available, to prevent the problem of product shortage. We did so through efficiency in supply chain management, by drawing up business plans together and closely with our customers in order to meet and satisfy the needs of our customers the best way we could. We also focused on selling our new products through convenient stores, to be in line with the changes in consumer behavior.

Marketing Strategies

1. To create higher revenue growth through extension of the no-sugar group of products such as Coca-Cola No Sugar Fanta, No Sugar and Sprite No Sugar, as well as extending the no-sugar group to Schweppes, no sugar into the Company's portfolio of no-sugar group of products and to be in line with the health-conscious group of consumers and trend.
2. To conduct various sales promotion activities throughout the year to respond to need of stores and customers such as Summer Uplift program in summer or Fanta Game ON program which cooperated with ROV, a popular online Game. More over volumes of selected products were increased while maintain the same price such as 1.25 litter product with free 200 ml. and 455 ml product with free 50 ml.
3. To continuously push for the sales of Still Beverages such as Bon Aqua Mineral Water and Minute Maid product lines through every sales channel, by using all sorts of sales promotions. In addition, the Company shall focus more on communication with end consumers through printed materials, billboards and online advertising.
4. To expand the sales and distribution channels through online platform such as Brand.com, Social Commerce, Market Place (Lazada, Shopee) and Quick Commerce, in order to successfully sell and distribute the products even more widely. Moreover, the Company pushed the stores and sales outlet to join online platforms such as Food Delivery Service Application in order to expand their sales channels, and hence, successfully meet the needs of modern-day consumers. In addition, the Company expanded online communication channels and created brand recognition via Facebook, Instagram, TikTok and YouTube.
5. To adjust and improve its approach to marketing activities, in order to be in line with the COVID-19 pandemic situation for example, free product activity which explored new procedure by distributing through automatic machine, and the Company focused more on creating an opportunity for home consumption.

Targets and Goals for 2022

In 2022, the Company has set a target for sales growth to be at approximately 5-7% from the year 2021, depending on the COVID-19 containment situation. The estimated growth rate stems partly from the forecast that the economy will start to recover and the increasing number of vaccinated population will have a positive effect on tourism of Thailand as well as the overall economy of the country. The Company has prepared the business operation plan for 2022 as follows:

Major business group

1. Increase the Company's profit by managing revenue growth through Pack mix, Channel mix and Price mix.
- 2) Focus on the no-sugar group of products and new products which shall be launched one after another for consumers to try on regular basis.
- 3) Adapt the sales and distributions channels to speedily response to the dynamic demand shifts

Subsidiaries

It was estimated that the earnings of the subsidiary companies accounted for 3-4% of the total revenue.

1. Commercial subsidiary focuses on management to boost profits and on seeking new customers that match the Company's stronger distribution channels to increase distribution coverage.
- 2) Food and beverage subsidiary places emphasis on revenue increase and cost management.
- 3) Real estate subsidiary launches housing estates.

Type of Customers of the Company

The Company has categorized its customers into 3 main types as follows:

1. Traditional Trade (TT): This type of customers consists of retail stores, sub-stores such as grocery stores, eateries and cafés, restaurants, entertainment venues, clubs, hotels, bus terminals, food and beverage trolleys/carts, beauty salons, night markets, pharmacies, government agencies, piers, academic institutions, residence, etc.
2. Wholesale/ Indirect: This type of customers includes wholesalers and Macro.
3. Modern Trade (MT): This type of customers consists of Supermarket/Hypermarket type such as Tesco Lotus, Big C, Tops or convenient stores such as 7-Eleven, Family Mart, etc.

By comparing the 3 groups of customers, we currently find that the Company's major group of customers is the Wholesale/Indirect type, with the total sales of this group accounting for approximately 40% of total sales of the Company in the year 2021. The rest would be Modern Trade (MT) group of customers, with total sales accounting for approximately 22% and Traditional Trade (TT) - direct channel, with total sales accounting for approximately 38% of total sales of the Company. The fact that the Company has formed such good relationships with the customers is considered an important marketing strategy. In order to form a tight bond, the Company has to meet the needs of and satisfy the customers with quality products as well as good, impressive services, be it before sale, during sale or after sale services. By creating such good impression, new customers will eventually become regular customers, and current and regular customers will continue to be very well-taken-care of, and hence, still remain. The intended end result is for all customers to continue to and neverendingly purchase our products.

Sales and Channels of Distribution

There are 3 types of sales and channels of distribution as follows:

1. **Direct Sales:** The Company has a production plant in Amphoe Hat Yai, Songkhla province and another production plant in Amphoe Phunphin, Surat Thani province, as well as 18 warehouses spreading across the 14 southern provinces of the country namely Chumphon, Ranong, Phuket, Surat Thani, Nakhon Si Thammarat, Phang Nga, Krabi, Trang, Phatthalung, Satun, Songkhla, Pattani, Yala and Narathiwat. There is more than one warehouse in some of the provinces, and the types and channels of sales and distribution are as follows:
 - Pre-sell and Tele-sale system, where a customer places an order in advance, and delivery will be made on the set date and time.
 - Vending Machines
2. **In- Direct Sales**
 - Selling the products via wholesalers who help to distribute the products across all areas of coverage.
 - Selling the products through Macro, since the majority of Macro's customers are retail stores and sales outlets.

3. **Sales via Modern Trade:** For examples, Tesco Lotus, Big C or convenient stores, but exclusive of Macro.

- Product delivery according to customers' need, following advanced PO. The different delivery dates were according to PO of various customers, depending customers' PO systems such as EDI, FAX and e-mail.
- Presales system utilization for selective customers
- Product delivery to Modern Trade customers after buying order. The products were distributed to DC- Distribution Center and then deliver to store branches of customers by company trucks or outsource trucks.

(3) Product and Services Sourcing

1. Products for sales manufactured by the Hat Yai Production Plant in Songkhla are

Product	Size
Carbonated beverage (RGB - Returnable Glass Bottle)	10 oz., 200 ml.
Carbonated beverage/Juice (NRGB - Non-Returnable Glass Bottle)	250ml.

2. Products for sales manufactured by the Phunphin Production Plant in Surat Thaini are

Product	Size
Carbonated Soft Drinks (PET Bottle)	295 ml., 300 ml., 455 ml., 500 ml., 505 ml., 999 ml., 1 liter, 1.25 liter, 1.45 liter (promo pack), 1.5 liter, 1.95 liter and 2 liter
"Namthp" drinking water (PET Bottle)	350 ml., 550 ml., 1.5 liter
Carbonated Soft Drinks (BIB)	5 liter, 10 liter, 20 liter
Carbonated Soft Drinks (Can)	180 ml., 240 ml., 325 ml., 330 ml.

3. Products, not manufactured by the Company itself but purchased for sales from Thai Namthip Commercial Co., Ltd. a distributor of the Coca-Cola Company's product, are the following

Product	Size
Carbonated Soft Drinks (PET Bottle)	500 ml., 550 ml., 1 liter., 1.25 liter., 1.5 liter., 1.95 liter
Carbonated Soft Drinks (Can)	180 ml., 245 ml., 325 ml.
Schweppes (Can)	330 ml.
Minute Maid (Tetra pack)	180 ml.
Minute Maid Pulpy (PET Bottle)	290 ml., 335 ml., 800 ml.
MM SP STRAW LEMON BINGSU (NRGB)	250 ml.
Carbonated Soft Drinks (BIB)	5 liter, 10 liter, 20 liter

Raw materials and suppliers

Major raw materials and their sources:

1. Concentrates: In 2021, Bottlers Haadthip Public Company Limited and Thai Namthip Commercial Co.,Ltd directly imported concentrates from Singapore, representing 32.23% of the total raw materials sourcing.

In 2021 until now the Production Plant at Amphoe Phunphin, Surat Thani still use Liquid Sucrose in the production process by making a purchase agreement with Pacific Sugar Corporation Co., Ltd. An appointed distributor of Mitr Phol Group for Mitr Phol products, Ban Rai Sugar Industry Co., Ltd., KSL Agro and Trading Co., Ltd., authorized company to export sugar products of Khon Kaen Sugar Industry Public Company Limited. The Production Plant in Amphoe Hat Yai, Songkhla Province, still uses liquid sucrose in the production process as well by securing a purchase agreement with the Company Ban Rai Sugar Industry Co., Ltd. As such, the total value of the purchase of syrup (Liquid Sucrose) accounted for 17.92% of the total raw materials purchase.

For fuel cost, carbon dioxide accounted for 0.60%, LPG for 0.49%, and Chemicals for 0.20%. To sum up, the main raw materials represented of 51.48% of Company's purchase.

2. Packing Raw Materials: The raw materials for packaging including crimp caps, screw caps, can caps, plastic tubes (PET Preform), both returnable and non-returnable glass bottles, product labels, trays, product pads, boxes and BIB bags. etc. were ordered from domestic manufacturers, representing 48.52% of the total raw materials purchase.

In 2021, there are approximately 54 raw materials manufacturers and distributors of, of which 50 were domestic and 4 were foreign companies. To sum up, approximately 61.45% of raw materials were sourced from domestic suppliers was and 38.55% from abroad.

Production Capacity and Volume.

Hat Yai Production Plant

2021	Packing size		
	10 oz.	200ml.	250ml.
Capacity (crates)	5,296,000	12,700	3,169,000
Actual production volume (crates)	580,855	1,393	462,392
Utilized capacity (%)	10.97	10.97	14.59

Phunphin Production Plant

2021	Packing size					
	455ml. & 505ml.	500ml.	1.25 liter	CAN 325ml. & 330ml.	CAN 240ml.	CAN 180ml.
Capacity (crate)	13,265,996	371,188	6,291,914	2,233,000	8,458,000	186,300
Actual Production volume (crate)	10,429,371	291,818	4,970,441	1,097,406	1,156,260	91,570
Utilized capacity (%)	78.62	78.62	79.00	49.14	49.14	49.15

2021	Packing size					
	295ml.	300ml.	999ml. & 1liter	1.45 liter	1.5 liter	1.95 liter & 2 liter
Capacity (crate)	1,376,670	941,259	5,785,389	995,023	1,648,775	1,938,040
Actual Production Volume (crate)	1,255,575	858,464	5,156,498	907,499	1,503,745	1,767,566
Utilized Capacity (%)	91.20	91.20	89.13	91.20	91.20	91.20

2021	Packing size				
	350ml. Namthip	550ml. Namthip	1.5 liter Namthip	570ml. Mineral water	BIB
Capacity (crate)	1,834,307	2,558,229	1,239,090	33,170	69,120
Actual Production Volume (crate)	1,672,958	2,333,202	1,130,097	30,252	38,577
Utilized Capacity (%)	91.20	91.20	91.20	91.20	55.81

2021	Production Plant		
	Hat Yai	Poonpin	2 Plants
Capacity (crate)	8,477,700	49,256,189	57,733,889
Actual Production Volume (crate)	1,044,640	37,702,195	38,746,835
Average Utilized Capacity (%)			67.00

(4) Assets for Business Operation

(4.1) Tangible assets for business operation: fixed assets for business operation owned by the Company

Unit: Baht

Asset Type/Characteristics	Book value at 31 December 2021	liabilities
1. 96 land plots, total area of 552 rai, 2 nagan 23.10 square wah	2,097,423.28	Land deed title No. 30069/30070 at Amphoe Phunphin, Surat thani Province attached to mortgage with Bank of Ayudhya for the loan of Baht 530 million.
Non-operating 19 land plots (real estate for investment purpose) with total area of 57 rai, 1 ngan, 6.7 square wah	193,060,794.90	
2. Office Building	230,588,052.32	attached to mortgage with Bank of Ayudhya for the loan of Baht 530 million.

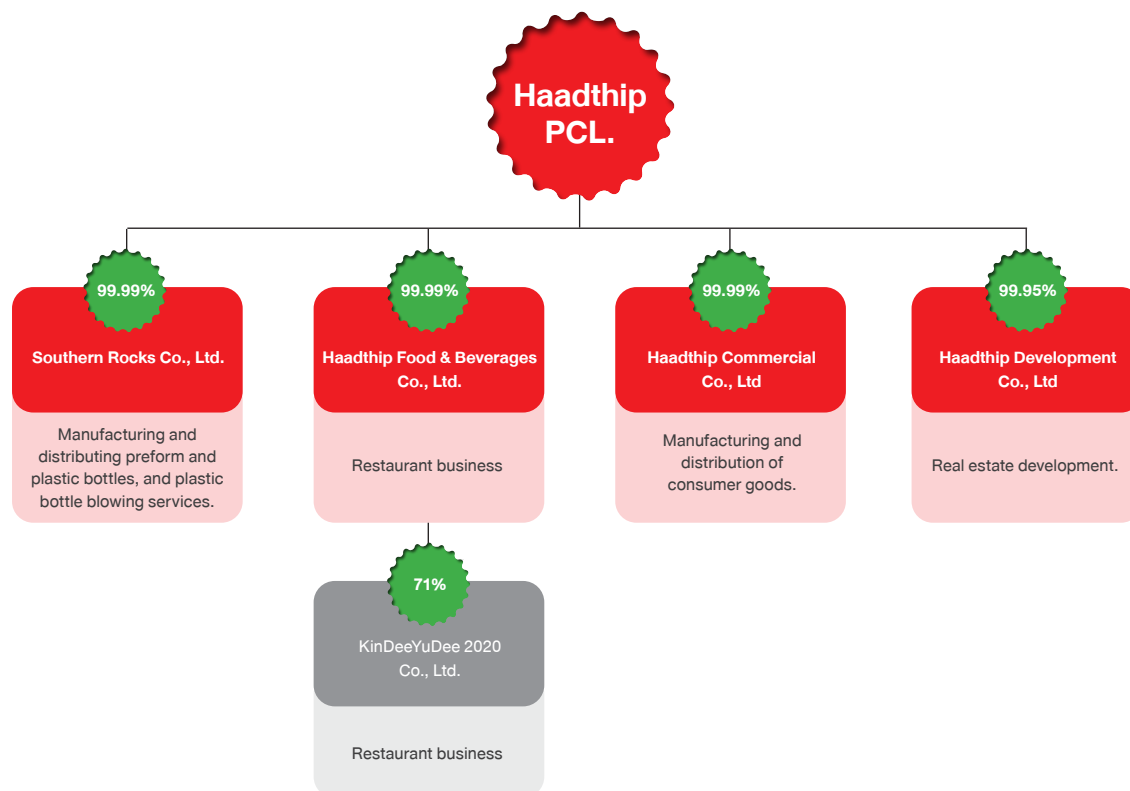
Asset Type/Characteristics	Book value at 31 December 2021	liabilities
3. Operating plants 2 for manufacturing and distributing Coca-Cola Location: Plant 1, 87/1 Karnchanavanich Road, Baan Pru, Hat Yai, Songkhla 90250 Location: Plant 2, 206 Moo 3, Tha Rong Chang, PhunPhin, Surat Thani 84130	405,112,237.23	attached to mortgage with Bank of Ayudhya for the loan of Baht 530 million.
4. 10-year and 20-year machines	677,022,750.43	Business Collateral in amount of Baht 307 million (HaadThip Plc.)/Loan from Bank of Ayudhya (Plc.) in amount of Baht 110 million (subsidiaries)
5. Vehicles	29,349,464.87	
6. Working tools and equipment	68,306,141.34	
7. Containers	9,497,311.79	
8. Land improvement	45,587,876.67	
9. Promotion equipment (refrigerators/ Promotion materials/PX/Vending)	108,367,173.09	
Total	3,864,799,225.91	

(4.2) Assets under Financial Leases

Asset Type/characteristics	Net residual value	liabilities
Vehicles	202,274,381.49	-
Buildings	9,469,555.64	-
Total	211,743,937.13	

1.3 HaadThip Group's shareholding structure

1.3.1 HaadThip Group's shareholding structure as of December 31, 2021



Southern Rocks Co., Ltd.

Registered capital and paid-up capital

BHT 97 million divided into ordinary shares 970,000 shares with a par value of 100 Baht

Type of business

Operate a business of manufacturing and distributing semi-finished plastic bottles and blowing plastic bottle service with the investment promotion from the BOI

Head office

87/1 Karnchanavanich Road, Baan Pru, Hat Yai, Songkhla 90250

Telephone number

074 210 008-18

Facsimile number

074 210 006-7

Controlling Power

The Company had direct and indirect controlling power to determine financial and management policies. The Company assigned representatives to be directors/management to have controlling power over subsidiaries to oversee the management of subsidiaries to effectively and efficiently follow the Company's strategy and policy.

HaadThip Commercial Co., Ltd.

Registered capital and paid-up capital	BHT 16 million divided into ordinary shares 160,000 shares with a par value of 100 Baht
Type of business	Operates the business of manufacturing and distribution of consumer products
Head office	87/1 Karnchanavanich Road, Baan Pru, Hat Yai, Songkhla 90250
Telephone number	074 210 008-18
Facsimile number	074 210 006-7
Controlling Power	The Company had direct and indirect controlling power to determine financial and management policies. The Company assigned representatives to be directors/management to have controlling power over subsidiaries to oversee the management of subsidiaries to effectively and efficiently follow the Company's strategy and policy.

HaadThip Development Co., Ltd.

Registered capital and paid-up capital	BHT 81 million divided into ordinary shares 810,000 shares with a par value of 100 Baht
Type of business	Operates business of real estate development
Head office	87/1 Karnchanavanich Road, Baan Pru, Hat Yai, Songkhla 90250
Facsimile number	074 210 008-18
Fax	074 210 006-7
Controlling Power	The Company had direct and indirect controlling power to determine financial and management policies. The Company assigned representatives to be directors/management to have controlling power over subsidiaries to oversee the management of subsidiaries to effectively and efficiently follow the Company's strategy and policy.

HaadThip Food and Beverage Co., Ltd.

Registered capital and paid-up capital	BHT 20 million divided into ordinary shares 200,000 shares with a par value of 100 Baht
Type of business	Operates the business of sales and services of food and beverage
Head office	87/1 Karnchanavanich Road, Baan Pru, Hat Yai, Songkhla 90250
Telephone number	074 210 008-18
Facsimile number	074 210 006-7
Controlling Power	The Company had direct and indirect controlling power to determine financial and management policies. The Company assigned representatives to be directors/management to have controlling power over subsidiaries to oversee the management of subsidiaries to effectively and efficiently follow the Company's strategy and policy.

KinDeeYuDee 2020 Co., Ltd.

Registered capital and paid-up capital	BHT 30 million divided into ordinary shares 300,000 shares with a par value of 100 Baht
Type of business	Operates business of sales and services of food and beverages. It is a joint venture between Zen and Spicy Co., Ltd. (holding 25%) and HaadThip Food and Beverages Co., Ltd. (holding 71%), to expand “Kheang” restaurant business in the southern region
Head office	87/1 Karnchanavanich Road, Baan Pru, Hat Yai, Songkhla 90250
Telephone number	074 210 008-18
Facsimile number	074 210 006-7
Controlling Power	The Company had direct and indirect controlling power to determine financial and management policies. The Company assigned representatives to be directors/ management in subsidiaries to oversee the management of subsidiaries to follow strategy as agreed in joint venture agreement.

1.3.2 Shareholders

List of the first 10 Shareholders on September 9, 2021 (The record date on which shareholders have the right to receive the interim cash dividend for the first half of 2021 operating results)

Name – Sure name	Number of shares	% of paid-up shares capital
1. GUTSCHE FAMILY INVESTMENTS (PROPRIETARY) LIMITED	49,040,726	24.403
2. Sec. Lt. Phairoch Rattakul's group		
1. Sec. Lt. Phairoch Rattakul	24,439,839	12.162
2. Mrs. Prabhansri Rattakul (spouse)	20,136,281	10.020
3. Miss Pannapa Rattakul (daughter)	16,070,847	7.997
4. Maj. Gen. Patchara Rattakul (son)	10,381,044	5.166
5. Mr. Pichakorn Rattakul (son)	1,473,144	0.733
3. Mrs. Pariya Chirabandhu's group		
1. Mrs. Pariya Chirabandhu	8,933,075	4.445
2. Mr. Apichart Chirabandhu (spouse)	214,272	0.108
3. Mr. Harith Chirabandhu (son)	3,013,600	1.500
4. Miss Chanya Chirabandhu (daughter)	2,052,300	1.021
4. Miss Sirincha Sitichaivises	4,505,800	2.242
5. ABERNDEEN SMALL CAP FUND	3,370,423	1.677
6. Mrs. Chira Sritavaj na Ayudhya	3,183,807	1.584

Name – Sure name	Number of shares	% of paid-up shares capital
7. Thai NVDR Company Limited	2,674,419	1.331
8. Miss Suwannee Sitichaivises	1,687,300	0.840
9. Miss Vanchalerm Sataman	1,626,264	0.809
10. Mr. Thitiwut Boonsuk	1,540,000	0.786
11. Others	46,617,359	23.197
Grand Total	200,960,500	100.000

Distribution of shares by nationality

Nationality	Number of shares	% of paid-up share capital
Thai	149,197,126	74.24
Foreign	51,763,374	25.76
Total	200,960,500	100.00

Remarks: Foreign shareholding limit is 35%

1.4 Registered capital and paid-up capital

As of December 31, 2021, HTC had registered of BHT 201,210,180 consisting of 201,210,180 ordinary shares with a par value of 1 Baht per share and paid up capital of BHT 200,960,500 consisting of 200,960,500 ordinary shares

1.5 Other Securities

- None -

1.6 Dividend Policy

HTC's dividend policy

"The Company's has a policy to pay out dividend at the rate of no less than 50% to 80% of the remaining Net Profits after deduction of all types of reserves required by the law and set forth by the Company. Dividend shall be paid out accounting to the appropriation of Net Profits from the Company's Consolidated Financial Statements. However, dividend payments shall be based upon the Company's cash flow, investment plan, other necessities and circumstances deemed appropriate in the future.

Dividend payments for prior years are shown below for reference:

Details of Dividend Payment	2021	2020	2019
Number of paid - Up capital (shares)	200,960,500	200,960,500	200,960,500
Profit for the year (million Baht)	533.32	564.94	440.70
Basic earnings per share (Baht)	2.66	2.82	2.21
Dividend per share (Baht/share)	1.79 ^{1/}	1.90	1.76
Total dividend payment (million Baht)	359.72	381.82	352.33
Dividend as % of profit for the year (%)	67.29	67.59	80.08

^{1/} The resolution had been passed by the Board of Directors' Meeting 2/2022 held on 15th March 2022 to approve the 2021 dividend payment at the rate of Baht 1.79 per share, the company already paid interim dividend of Baht 0.83 per share on 23rd September 2021 for the result of operation for the first half of 2021, and the remaining dividend Baht 0.96 per share. The Company has fixed the Record Date on which shareholders have the right to receive the remaining dividend on 5th May 2021 and the dividend shall be paid on 25th May 2022.

Subsidiary's dividend policy

Concerning subsidiary's dividend policy, may decide dividend payment by taking into accounts its remaining cash flow. If the cash flow is substantial enough after legal provisions, the subsidiary may proceed with payment.

Risk Management

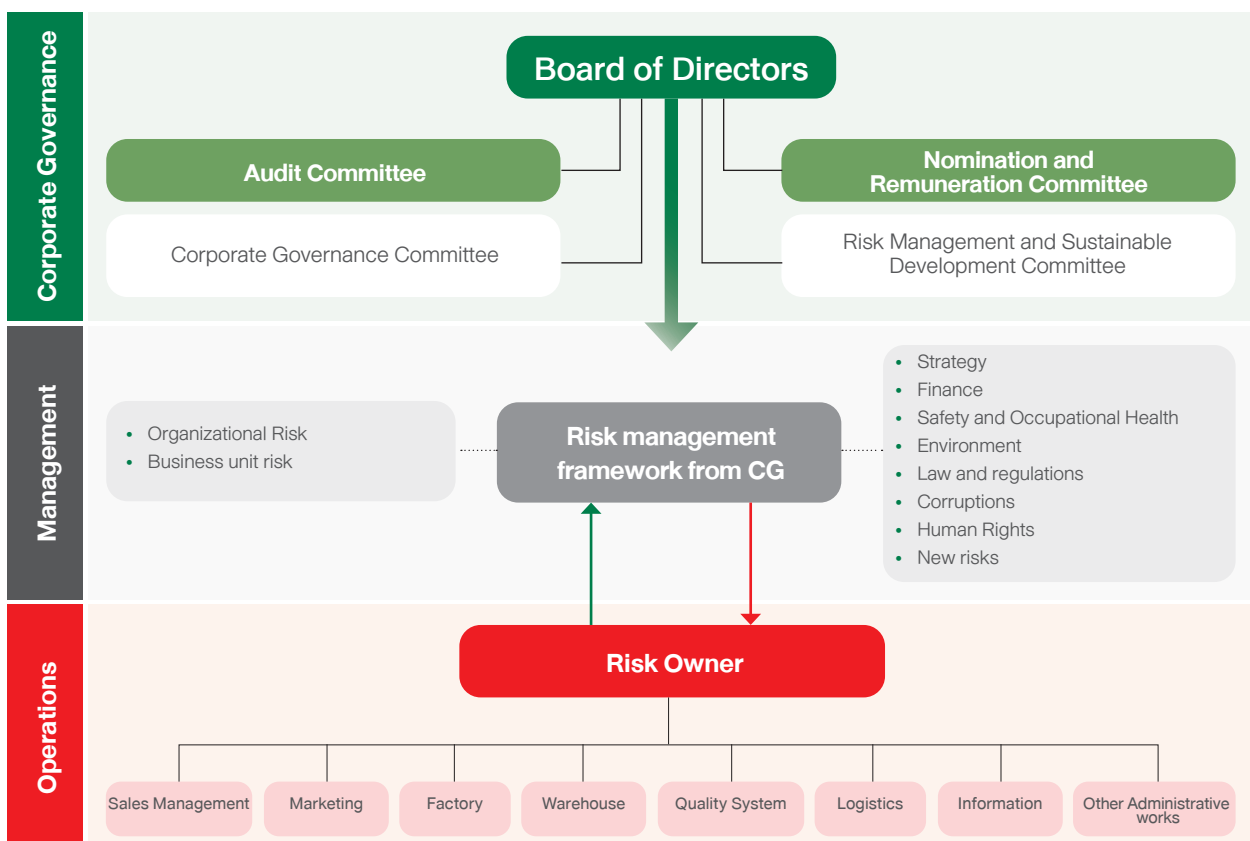
2.1 Risk Management Policy and Plan

Business may confront with both internal and external risk factors affecting the Company's goals. To ensure the sustainable growth of the organization, Board of Directors and the management have attached importance to the integrated risk management and management in the work process from the beginning and planning to develop the risk management to be a working strategy. The roles and responsibilities are identified according to the rules of COSO Enterprise Risk Management and risk management according to the ISO9001 quality system, as well as considering the risks that may arise from corruption. Its objectives are to ensure effective management and control of internal and external risks to an acceptable level.

The management has regularly monitored the implementation of the risk management plan and reported the results to Risk Management and Sustainable Development Committee and the Board of Directors every year so that both committees can jointly consider risks and impacts that may occur for the entire organization. The management conduct a report when there is an important event so that the committees are able to assess, follow up on risk management results and update plans of control risks to accommodate changes, problems, and obstacles that may arise in a timely manner.



Risk Management Framework



2.2 Risk Factors for the Company's Business Operations

2.2.1 Business Risks to the Company or the group

(1) Risk from the COVID-19 outbreak with its significant impact on business plans

The COVID-19 pandemic emerged at the beginning of 2020 and remained prevalent until now. It has directly and indirectly affected the Company's business operation. The direct impact is the loss of sales volume and revenue from stores that have shut down or temporarily closed since the lockdown period in 2020 and through 2021, especially to customers in the HORECA group (hotels, restaurants, cafes), Entertainment (e.g. cinema) and retail stores and shops in areas and provinces known as tourist destinations such as Phuket, Samui, Krabi, etc. The Company's revenue has been also indirectly affected by lower consumption spending as a result of economic contraction, unemployment and lower household income prompting the Company to drop the revenue target.

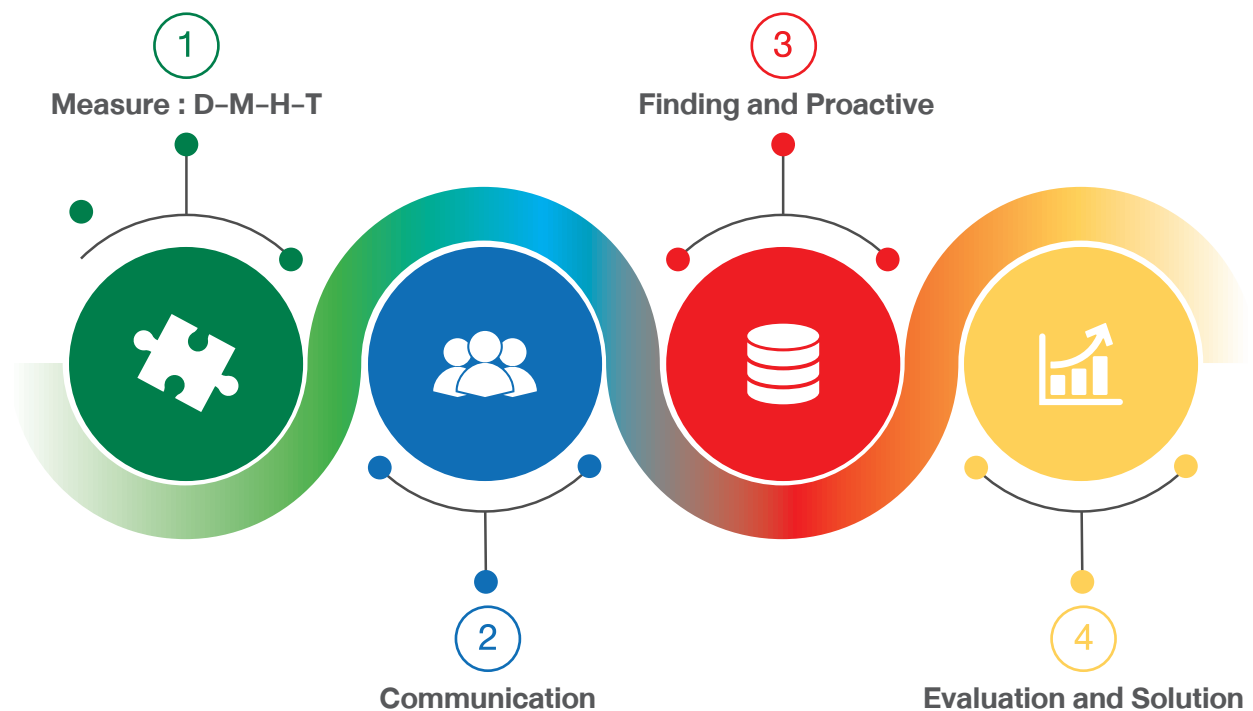
Due to the outbreak of infectious COVID-19, the behaviors and lifestyle of customers and consumers have drastically changed. The Company has closely monitored the trend to ensure that rapid adaptation in the supply chain would respond to changing demands, some shifts in distribution

channels and packaging sizes. The Company has taken the following actions:

- Focus on consumer goods and consumption at home or for family time
- Provide products in the correct distribution channels on regular basis (Demands continue to change with government support programs, such as the Half-person Project, which facilitates grocery channel.
- Arrange campaigns through online channels, home delivery and tele sales
- Modify distribution routes for maximum efficiency.

In addition, the Executives has managed and controlled costs including expenses to achieve the most satisfactory business outcomes for our stakeholders during this economic situation.

In terms of taking care of employees, who are the most valuable resource of an organization, the Company has set "Control and Prevention Measures for Coronavirus Disease 2019 (COVID-19)" in a 4-step process.



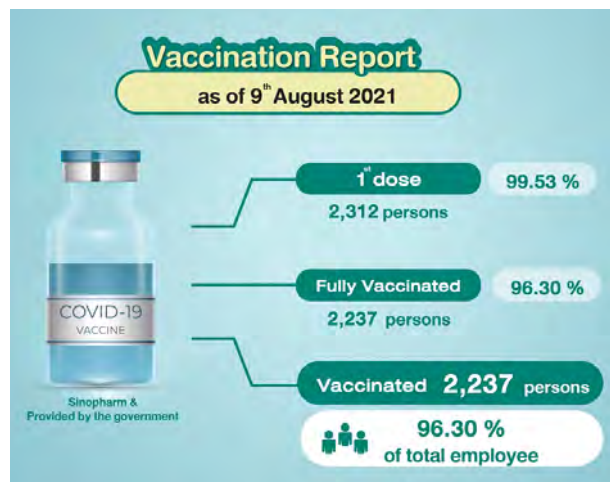
Step 1 Measurement: D-M-H-T according to Public Health Standards such as D (Social Distancing), M (Wearing Mask), H (Hand Washing) and T (Check Temperature).

Step 2: Communication means a communication within the organization by defining Standard Operating Procedures on handling guidelines for the infected with Coronavirus 2019 and assessing the risk level in accordance with the Department of Disease Control. Set permission guidelines for both insiders and outsiders to enter the Company. Provide screening guidelines with Antigen Test Kit (ATK) and communicate through various channels to gain recognition such as Social Media (Group Line, Microsoft Team, Intranet), Morning Talk, Conference Call and HOTLINE.

Step 3: Finding and Proactive means COVID 19 Screening with form and QR Code and Vaccination: COVID 19 for employees. More than 96.30% of employees have been vaccinated.

Step 4: Evaluation and Solution. A Management Committee has been set up exclusively for the situation of COVID-19. It serves to keep track of information from government agencies in order to apply and develop various measures in the organization create awareness for overall epidemic prevention.

In addition to such measures, at Phunphin Production Plant, the main production base, where COVID-19 was found widespread, the Company organized the HAADTHIP Bubble & Seal Project from 4th August 4 to 1st October 2021 with the objective to protect risk-free employees to be safe, to effectively control the spread of infection in the area which will reduce the burden on the community, government and employees' families as well as to reduce the impact on the business interruption.



As a result of the implementation of the Department of Disease Control's measures, the Company via Phunphin Production Plant was honored to be certified as "Workplace against COVID 19 in a new way or New Normal of the Year 2021"



(2) Car accident risk

Car accidents result in loss of life and property. The Company's business relies on logistics to bring goods to consumers and stores. The Company understands that effective risk management measures must be implemented at the root cause. The company has taken the following actions:

1. Staff

The Company conducts proficiency tests in driving and making decisions in emergency situations before recruiting the staff. Moreover, there are also health check, readiness check before work, alcohol level test before driving, daily readiness assessment before operation (both the employee and the vehicle condition) and a schedule plan for periodic drug testing along with accident prevention training programs and education through various channels such as shared video clips, Leaders' suggestions, pre-travel route tracking, etc., as well as the provision of Personal Accident Prevention Equipment (PPE) welfare packages to suit the use of employees as well.

2. Vehicles and Safety System

In addition to staff who use the cars, the Company has installed a GPS system to cover all types of vehicles. A staff has been assigned for monitoring the use (GPS system) closely. The Company installs safety technology in its cars to set a strict driving speed, prepare the equipment in its vehicles with complete usage, conducts periodic vehicle maintenance and determines the service life and replacement of each type of vehicle according to international standards.

3. Weather and environmental conditions

The Company has determined stop and a resting point for the entire distance from the start to the destination. There is a communication channel if there are any problems or obstacles. It also has implemented the Safety RoadMap Project to raise awareness of employees and integrated safety in daily life of the workplace.

(3) Risk from the lack of a successor system to replace important positions in a concrete way

The Company is at risk from the lack of successors to replace key management positions. This may affect the ongoing effective management, resulting in earnings target unreached and business development or growth slow down. Therefore, the Company has set operational guidelines to reduce the impact by establishing a "Competency Assessment Development Project" in order to assess the knowledge, skills and abilities of individual employees and to develop an Individual Development Plan with Career Growth in line with the succession plan and set clear rules for retirement in order to allow the Company to have enough time to plan for a long-term succession.

(4) Risk resulting from inconsistency between product demand planning and production planning which affects sales opportunities and cost because inventory quantities and periods and products' shelf life are insufficient to meet customer requirements

This risk is caused by the behavior and purchasing decisions of consumers that can change all the time. Fluctuations in product demand affect the accuracy of estimation. If there is an abnormality in each period, it will affect the accuracy of the prognosis in the next period including the determination and change of sales prices and promotions for both the Company's products and competitors. The limitation of a production line which requires minimum production volume and produces multiple SKUs on the same line also affects the planning and volume produced, as well as the production of new SKUs that are not included in the year plan. All of these may occur and affect the management and planning of production capacity as well.

Therefore, the Company's working group has compiled a plan together by organizing a team to analyze the trend of short-lived products in case the demand tends to increase

and not decrease. The group conducts also a review/analysis of the cause, formulates improvement/development guidelines, Analyses data, %service level and summarize the reasons for the unsupported products. Additionally, it will search for potential solutions to reduce future loss of opportunity and follow up while carefully reviewing the production plan.

(5) Risk associating with Corruption and Fraud by employees:

The Company has continuously placed a strong emphasis on anti-corruption and bribery. In 2021 the Company's membership of Thailand's Private Sector Collective Action Against Corruption (CAC) has been renewed for the second time. To apply for certification, the Company underwent a reviewed self-assessment process signed by Chairman of the Board and Chairman of the Audit Committee to confirm that the Company has established policies, practices and supervisory measures to prevent corruption in every step with complete evidence in accordance with the criteria set by CAC. The renewal of CAC membership shows that the Company has been recognized for its commitment and guidelines for good governance, transparency and anti-corruption in all forms as a model organization of Thai private sector.

In addition, the Company has continued the "No Gift Policy" in every festival in order to establish a good standard for personnel to ensure that staff at all levels shall perform their duties to the best without expecting any benefits. In 2021, no corruption, frauds or unethical violations were found.

(6) Cyber risk, data protection and privacy

With technology advance of today's world, lifestyle and businesses are at risk of being exposed to digital threats. Technology and digitalization have become essential for business as it enhances operational efficiency, speed and data accuracy, such as automatic production, calculation and delivery, digital technology in the supply chain and online media channel to communicate with customers or target groups including data collection and analysis. Data leakage and cyber-attack can happen as results of inadequate data protection and vulnerabilities in software applications.

The Company realized how important the threats are to digital security and protection of personal information. Therefore, various necessary measures have been adopted, including the establishment of IT security policies, Data Protection Guidelines, Data Leakage Prevention tools, firewall protection measures, password setting to access the company's information system, a network of backup center for emergencies and installing antivirus program in every computer. The most important measures, however, are to educate, create understanding and raise awareness among employees via trainings and organize various activities so that employees have appropriate skills and correct understanding allowing the business to run without interruption.

(7) Risk resulting from climate change that impact on product or service design and raw material sourcing

Natural disasters and droughts can cause production disruptions and damages due to the shortage of raw materials or impact of natural disasters, when, for example transportation route is cut off, the delivery is delayed and the demands cannot be kept up in the right time, resulting in loss of sales and production opportunities.

Realizing this risk, the Company has assessed and listed the climate change in the Company's risk register. It, therefore, has arranged for plans to deal with both possible short-term and long-term risks.

Although the Company has never been severely affected and damaged by natural disasters, it already established plans for emergency or crisis situations such as floods. An appropriate protection plan has been prepared. It follows news and information from a reliable channel, provide maintenance and check protective equipment to be in a ready-to-use condition. Meanwhile, sufficient equipment must be also provided for the expected situation. The impact of the government's natural disaster response plan will be closely assessed. To alleviate the possible financial burdens, the Company has purchased insurance packages appropriate for the situation.

(8) Emerging Risk

Disruptions in the social culture of people of different ages that change tastes and autonomy in work and thinking have affected lifestyles and business operations. People have adopted more health-conscious consumption behaviors when the widespread COVID-19 diseases are still prevalent and there are more severe variations and strains, less acute but more transmittable, which potentially will become “endemic diseases”. All of these have widely forced adjustments. Working people have to deal with the threats from Cyber-crimes. New Normal does not mean just “Work from home”, but ‘Work from anywhere’. Every organization must stay alert by organizing work systems that focus on speed, cooperation and pre-risk management before impacts and damages actually occur.

2.2.2 Shareholders’ Investment risk

The major shareholders were Rattakul family. (35.63% shareholding) and GUTSCHE FAMILY INVESTMENTS (PROPRIETARY) LIMITED (24.40% shareholding), which was incorporated in South Africa and the Company’s business ally. As such, the 2 groups of shareholders hold all together 60.03 percent (more than 50%) of the total paid-up capital. The two shareholders are, therefore, able to control almost all the resolutions at the shareholders’ meeting, be it the appointment of directors or other request for approval that need the majority of votes from the shareholders’ meeting. Exception, however, is made for the agendas that either required by law or the Company’s Code of Conduct, for 3 out of 4 votes to be obtained at the shareholders’ meeting to call it unanimous. Therefore, it is possible that other shareholders would be able to try and collect votes in order to verify and offset the votes on the agenda proposed by the major shareholders.

Risk Management

The Company and the Board of Directors have been committed to treating all shareholders with equality, fairness, and regarded benefits of the Company and shareholders the most important. To perform any Company’s tasks, if an item requires resolution from the shareholders’ meeting to enter into any transaction, the afore-mentioned item must be screened by the Company’s top executives first, before the Company’s secretary, as assigned by the Chairman, include the item in the agenda of the Board of Directors’ meeting to consider and give opinions on that particular item for consideration and for the resolution of the shareholders’ meeting.

In this regard, the invitation letter for the shareholders’ meeting will specify the opinions of the Board of Directors in a sufficient and appropriate manner to inform the shareholders about the opinions of the Board of Directors on the said transaction and can be used as a basis for further decision-making. By such practices The Company, therefore, believes that the major shareholders will vote in the same direction with the Board of Directors in each agenda. In addition, in case that the Company has entered into a connected transaction that requires approval from the shareholders’ meeting, shareholders, who are also stakeholders with interests and are connected with one another according to the relevant notification of the regulatory authority, shall have no rights to vote in such agenda.

However, there are still some unknown risk factors or others deemed insignificant. To be discreet, investors should take into accounts additional risk factors when they decide to invest in the Company’s securities.

Driving Business for Sustainability

3.1 Sustainability Policy and Goals

The Company has established business policies to achieve leadership in the sustainable beverage industry with determination to produce quality products and services, fair treatment to consumers, taking into account the interests of stakeholders in the whole supply chain, conducting business in accordance with the framework of environmental, social and good governance (ESG). The Company is ready to support the Sustainable Development Goals (SDGs) of the

United Nations in compliance with the requirements of the law and other requirements or practices that are accepted in society. Focus has been also placed on the efficient and appropriate use of natural resources in line with the circular economy. In cooperation with all sectors to promote business growth, Company always keeps in mind the continual and sustainable benefits that communities deserve.



The Company set up a Risk and Development Management Committee and a Sustainable Development Working Group to serve as the main units responsible for the performance of the organization to ensure continuous economic growth along with business operation with social and environmental responsibility in accordance with good governance. In 2021, the Company has integrated the Sustainable Development Principles into its corporate policy development to inform employees and all stakeholders about the vision and goals of sustainability for the organization. In the Company's action plan, ESG performance is cited as a key element to ensure that in all activities of the organization the comprehensive impacts in all dimensions can be perceived and analyzed instilling a sustainability mindset in all employees.

VISION

We are the leader in the beverage industry and committed to sustainable growth with the community

THE POWER OF GIVING

KEY FOCUS	Environment Giving Caring	Social Responsibility Giving Friendship	Environment Giving Caring
STRATEGIES	Build enrich environment through - Production management and greenhouse gas reduction from corporate activities - Create responsibility for sustainably using and managing beverage containers through World Without Waste policy - Attention on energy preservation and effective use of resources	Build trustworthy and good relationship in working with stakeholders in supply chain and support society growth through cooperation including: - Support on sport and music - Support on child education and development - Support on tradition and culture - Design the communication to reach all stakeholders in supply chain	- Corporate development on moral, ethics and transparency - Good image and creditability for corporate

Sustainability Management Goals



HaadThip Public Company Limited, together with the Coca-Cola Business Group in Thailand, share a common mission to be the leading business group in the responsible and sustainable beverage packaging and management to show responsibility for the problem of plastic waste caused by packages from the industry and be part of the response to climate change. According to the vision of World without Waste of the Coca-Cola Business Group focusing on the responsible use and management of beverage packaging. Our goals are as follows:

- Design and develop 100-percent recyclable packaging which is made of at least 50-percent recycled plastic by 2030
- Collect packages for recycling in an amount equivalent to 100 percent of its market volume by 2030.
- Building alliances through cooperation with both public and private agencies to join the movement in creating a world without garbage

At the same time, according to the policy of the Coca-Cola group for the Greenhouse Gas Problem which has been a major environmental problem in recent years, the Company has set up a policy on greenhouse gas management by implementing greenhouse gas reduction plans in line with the goals of the Paris Agreement based on Climate Science (Science-based Targets: SBT). To achieve such goals, the Company has set a target to reduce greenhouse gas emissions (% reduction) by at least 25% by 2030, compared to 2015 as the base year.

Sustainability Disclosure

The Company disclosed outcomes with operational goals pertaining to environmental, social and good governance dimensions in the Sustainable Development Report, which has been continuously produced every year since 2018 until the present to attest transparency, build confidence and be a communication channel for stakeholders and those who are interested in the Company's operations regarding Sustainable Development. It is based on the Sustainability Reporting Framework in accordance with the Global Reporting Initiative (GRI) reporting standards according to Core Option. Find more information on the Company's website or following the link

<https://www.haadthip.com/th/document/sustainability-reportsports>

3.2 Impact Management for Stakeholders in the Value Chain

Business value chain management

The Company operates with transparency, escalate the competition capacity in market and continuously develops for business expansion for future growth through value-added from every activities. The Company develops products and asset for highest benefit and develops products to have specific qualification and higher value to decrease fluctuation of company's financial results, impact on environment and long term impact on societies. The important strategies are as follows.

Production and technology development

The Company plans the production accordance to selling plan to meet needs in the market and reduce unnecessary use of resource and strictly control and inspect quality, cleanness, and safety of products in all parts of production.

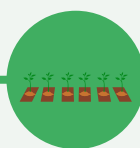
The Company develops the containers to be more friendly with environment. For example, PET bottles are designed for 100% reusable and glass bottles are designed for reproduction.

Marketing and Sales

The Company continuously focus on transparency operation, effectiveness incremental and profit incremental from operations and on social responsibility, society impact and environmental.

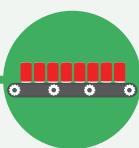
The Company offers new alternatives for customers and consumers, healthy alternatives, halal label and mineral water from Southern sources. The Company has policy to put carbon label to inform consumers about the transparency of the Company's operations.

The Company has communication channel with customers and consumers to complain about product problem and conduct yearly satisfaction survey to acknowledge problems and to develop customer services.



Procurement and raw material sourcing

The Company selects sellers and service providers with consideration both quality and price and indicates that the partners must pass criteria. The partners must operate with transparency and fairness, follows standard of ethics of society and considers the impact and responsibility for economy, society and environment from their operations according to the regulations of Coca-Cola Company including demonstrating documents and certificates that guarantee the business to operate based on acceptable standard of society.

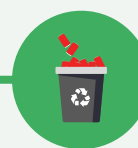


Delivery and Distribution

Products are kept and cared with international standard to protect damage before delivering to consumers to make sure that all products are safe, clean and maintain international standards.

The Company follows up on delivery status, indicates specific parking spot and driving speed and control through GPS/ mobile DVR to decrease accident and be able to inform the delivery status.

NGV is fuel for delivery trucks to decrease pollution from delivery.



Giving priority to transparent operation, the Company also places emphasis on strengthening its competitiveness in the market and has continuously developed to lay a foundation to expand the business for the future growth by adding value from all activities carried out by the Company. Existing products and assets have been optimized. New products are to being developed to have distinguished features with a higher value in order to reduce earnings volatility and to ease the impact on the environment and society on the long run. The key strategies are as follows:

► Raw materials sourcing

- Select vendors and service providers by taking into account quality and price concurrently. The Company's partners are required to pass the criteria and selection process, conduct business with transparency and fairness, comply with social ethical standards and take into account the impact and responsibility on economic, social and

environmental dimensions in business operations according to the standards and regulations of The Coca-Cola Company. They are also expected to show documents and certificates as evidence that their business operations meet the standards that are acknowledged by society.

► Production and Technology Development

- Estimate production in accordance with the actual sales plan to meet the demands in the market and reduce the use of unnecessary resources or use the available resources for maximum efficiency, while strictly controlling and inspecting the quality, hygiene and safety of the products in every step of the production process.
- Develop a packaging that is more environmentally friendly, such as a 100-percent recyclable packaging, reducing the weight of plastic packaging, and reuse glass bottles for re-production, etc.

► **Transportation and distribution**

- The Company's products have been handled on the basis of international standards to prevent damage before they reach the consumers. People, therefore, can trust that every product of the Company is safe, clean and upholds international standards.
- Following up on delivery status, fixing specific parking spot, limited driving speed and controlling system through GPS/ dash cam (mobile DVR) to reduce the chance for accident and informing customers for delivery status regularly.
- Adopting alternative energy (NGV) as fuel for trucks to reduce air pollution and greenhouse gas emissions from transportation.

► **Marketing and Sales**

- Focus on transparent business operations as well as enhance efficiency and generate profits from operations while continuously taking into accounts the responsibility to society, impacts on community and the environment.
- Create new options for customers and consumers on a regular basis. Launch alternative beverages for health-conscious customers and mineral water from local sources in the south with a halal mark label. Carbon footprint labeling is also included in the Company's policy to respond to environment-conscious consumers as a way to demonstrate transparency of the organization's operating processes.

- Provide communication channels for customers and consumers to lodge complaints if they have issues with the products. At the same time, the Company has also undertaken annual satisfaction surveys among client groups in order to learn about issues and enhance customer service.

► **Human Resource Development**

- The Company values all employers and workers by providing them opportunities to enhance their knowledge. Employees at all levels are trained and tested on a regular basis. The Company as an employer is ready to give supports and listen to employees or their families to relieve their burdens both in job-related or personal matters.

► **Identify Key internal and external Stakeholders**

- The Company places emphasis on the efficient and sustainable supply chain management, including environmental, social and good governance dimensions according to the ESG Disclosure of the Stock Exchange of Thailand in order to respond to the expectations of all stakeholders throughout the supply chain. The stakeholders' expectation has been estimated through various channels: customer contact channels, interviews, collecting reports, satisfaction surveys, small group meeting, workshops or complaint channels, etc. By these means, the Company can reach to them to listen to impacts and important issues related to the company and stakeholders and find ways to meet the expectations in all areas. Stakeholder can be categorized based the operations of the organization as follows:

Stakeholders	Communication Channels	Contents	Responses
Employees	• Meetings / Trainings / Seminars • Customers contacts and complaints. • SNS Platform (Line, Facebook) • Internal communication through various systems such as emails, Intranet, video conferences. • Annual Employee Performance Assessment	• Promote working environment and safety. • Opportunities for career advancement. • Compensation and benefits for employees. • Developing skills and potentials necessary for work	• Promote a healthy and safe working environment for employees to attain physical, mental and social well-being. • Treat employees equally without gender, race, religious belief, age, social status, political opinion or any other discrimination and exclusion. • Set up policies and comply with labor laws on fair compensation. • Provide trainings for employees according to their line of work. • Respect the privacy of employees.

Stakeholders	Communication Channels	Contents	Responses
Customers	• Shop visits • Satisfaction survey • Communication through social media channels • Application “M Game” • Complaint channels	• Quality of products and services. • Punctuality in product delivery. • Adjusting trading strategies to respond to market demands. • Security of personal data.	• Monitor, inspect and develop products and services regularly. • Deliver products with quality service and on time. • Develop a customer relationship management system to communicate and listen to opinions and suggestions • Never disclose customers' confidential information without consent or permission.
Communities and Society	• Field visits to participate in activities with the communities • Meeting with the community. • Factory visits • Opinion polls.	• Negative impacts from business. • Restoration of natural resources and the environment. • Closing inequalities gap in society. • Promoting occupations for the communities.	• Support activities in local communities in which the Company operates business with an emphasis on economic, social and environmental dimensions. • Support and organize activities for youth development. • Take action to reduce negative impacts from the Company's business operations on the community and the environment in the area • Communicate and exchange information with the community on an ongoing basis to understand the problems and needs of the local people. • Create employment and promote career development of people in the community.
Consumers	• Satisfaction survey • Off-site activities Marketing and sales promotion activities • Social Media channels such as Facebook page, Twitter, Line@, YouTube • Complaint Channels • Factory visit	• Control the quality and safety of products and services. • Create projects to benefit society and environment • Design products to respond to the needs of consumers.	• Regular improvement of Quality standards of products and services • Apply for the certification of safety and occupational health standards. • Develop products to be able to respond to the needs of all groups of consumers. • Develop accurate, complete, continual and comprehensive channels to provide information about products to consumers and all groups of stakeholders • Expand more intensive distribution channels and develop online sales channels
Partners Suppliers and Business Partners	• Annual meeting • Communication via phone calls, emails and video conferences • Risk assessment meeting	• Fair and transparent procurement process. • Punctual Delivery. • Product quality • Product Safety	• Establish criteria for fair selection of business partners and partners with a clear audit process. • Improve procurement processes and communication methods to achieve common goals. • Establish Codes of Conduct and business ethics.

Stakeholders	Communication Channels	Contents	Responses
Partners Suppliers and Business Partners	- Complaint channels - Participation in activities organized by the Company - Fill into the questionnaire	Acknowledgment of the policy and acceptance of the guidelines for conducting business together.	- Comply with the procurement policy. - Anti-Corruption and create benefits for society and environment - Comply with the security, occupational health and working environment policies.
Shareholders and Investor	- Annual Shareholders' Meeting - Preparation of annual reports. - Quarterly performance report. - Annual Sustainability Report - One on One Meeting with investors - Participated in the activity of listed companies meeting investors (Opportunity Day) organized by the Stock Exchange of Thailand - Communication via email and telephone.	- Business outcomes - Operations with transparency and accountability. - Strategies for sustainable growth - Company risks and risk hedging. - Market and competition situation	- Protect the interests of the Company and its shareholders. - Transparent and reliable Disclosure of information transparently to stakeholders. - Generate favorable turnover and pay appropriate dividends.
Press and Media	- Press release - Public relations News and activities of the Company through online and offline media - Participation in the project and Activities organized by the Company	- Transparency in Information dissemination - Business expansion plans and organization development strategies. - The accuracy and completeness of the information to be published.	- Meet and communicate with the media regularly. - Participate in activities organized by media groups to build a good relationship with them - Invite the media to visit the Company to strengthen the relationship and create awareness of the company's operations.
Government Agencies	- Participation in activities and projects with government agencies. - Attending trainings and seminars in courses organized by government agencies. - Reporting business outcomes to relevant agencies as required by law.	- Transparency in Disclosure of Operating Results - Conduct business according to the law. - Social and Environmental Responsibility	- Transparent and reliable Disclosure of information about business operations - Comply with all rules and regulations as stipulated under the laws. - Participate in the development and support projects between the government and the Company. - Support activities and take part in projects organized by the government.

3.3 Sustainability Management in Environmental Dimensions

3.3.1 Environmental Policies and Practices

HaadThip is committed to producing and providing beverage and service of quality. The Company encourages all employees to have an awareness of social and environment responsibility in every activity we carry out. It also has proceeded to prevent and reduce environmental impact, the impacts of climate change as well as strictly observe law requirements and regulations related to the environment. Great emphasis has been also placed on the use of resources for maximum benefit, environment and resources conservation for future generations

3.3.2 Environmental Performance

1. Energy Management

The Company is committed to developing an appropriate energy management system. The business conduct goes in parallel with energy conservation by promoting and optimizing energy efficiency, compliance with laws and other requirements. The Company has been certified by ISO 14001:2015, international standards in environmental management, which has been audited by SGS. The strong commitment can also be seen in the Company's projects to promote and support energy conservation, continuous monitoring of energy consumption for maximum benefit and creating awareness among all employees and executives about various energy-saving measures both in the office and in the production process through regular training and public relations. In addition, the Company is also committed to reducing greenhouse gas emissions that has contributed to climate change through quality production and services. It is ready to seek for the opportunity to develop the work process by adopting clean energy as an alternative energy in the production and service processes. At present, the Company installed 1,880 Solar panels in the total area of 3,760 square meters at the Phunphin factory, Surat Thani Province generating electricity power up to of 825,366 kW per year or equivalent to the reduction of greenhouse gas emissions of 412,600 kgCO₂e. The Company has set a goal to install more solar panels on office buildings and warehouses by 2022 to reduce the consumption of electricity

from coal. In terms of fossil fuel, it has also used an alternative energy NGV for the trailer to promote the use of clean energy in transportation and reduce emissions into the atmosphere. The factory building was designed with the installation of skylights in both the production and the warehouse areas to reduce electricity consumption for lighting during the day. There are more measures to save electricity such as installing a digital timer to turn off electricity and air conditioning during lunch break before and after work. In addition, the Company has carried out regular improvements and maintenance to check the quality of work and fill the gaps. In order to continually improve the operation, in 2021 the Company installed a 7.5 kW pump and added VSD equipment to the Pretreat pump area. It was found that the energy consumption was reduced from 15,278 kW per month to 9,771.6 kW per month. There is also a project to reduce air from the Blower for the bottom of soft drink cans by using Sensor in On-off control system so that the air will be blown only when the cans pass the ejection machine to minimize energy loss.

2. Management of Greenhouse Gas Emissions

HaadThip as a manufacturer and distributor of beverage products has given importance to and is well aware of the business impact on communities and the environment. Therefore, the Company is determined to reduce the impact of continuous business growth by establishing policies to efficiently control and reduce energy use as well as reduce greenhouse gas emissions to meet international standards which has been carried out continuously since 2013 until the present. The Company understands well the severe impact of climate change on the world today. Therefore, it is committed to easing such problems as well as reducing the amount of greenhouse gas emissions from production processes and organizational management. Therefore, HaadThip has joined the project to analyze Carbon Footprint for Organization to be certified by the Thailand Greenhouse Gas Management Organization (Public Organization) or TGO every year. The information has been verified from the agencies registered with the TGO including the Federation of Thai Industries, Center of Excellence in Eco-Economic Energy, Thammasat University and independent auditors, with goals for performance control and management and continual reduction of the organization's greenhouse gas emissions throughout the supply chain.



In 2020, the Company reduced greenhouse gas emissions from its operations at Hat Yai factory and Phunphin factory in Type 1 and Type 2 in amount of 17,431 tons CO₂ equivalent

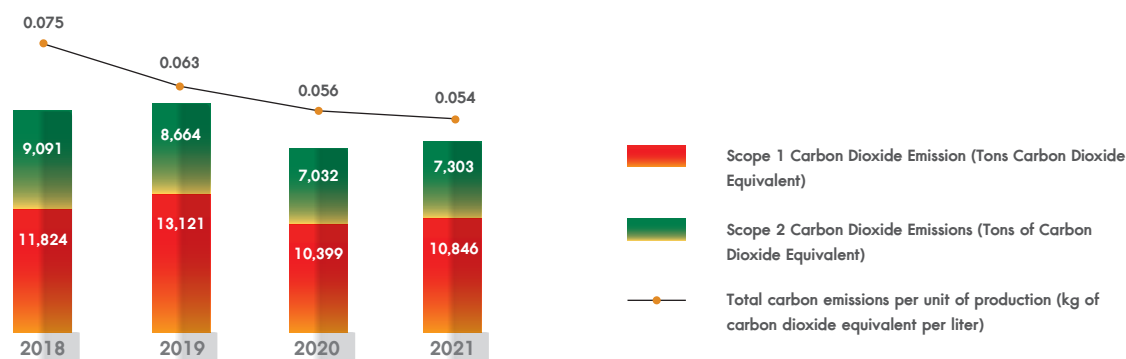
consisting of direct greenhouse gas emissions Category 1 (Scope 1) 10,399 tons of carbon dioxide equivalent and of indirect greenhouse energy use type 2 (Scope 2) 7,032 tons carbon dioxide equivalent. The Information disclosed has been authorized and certified the Greenhouse Gas Management Organization (Public Organization) or TGO. The TGO's certification for the Phunphin is in delivery process.

In 2021, the Company's greenhouse gas emissions from both factories were 18,149 tons of carbon dioxide equivalent consisting of direct Greenhouse Gas Emission Type 1 (Scope 1) 10,846 tons CO₂ equivalent and indirect greenhouse gas emissions from energy consumption type 2 (Scope 2) 7,303 tons CO₂ equivalent.

The amount of greenhouse gas emissions of the organization					
Overall Outcome	2018	2019	2020	2021	
				Target	Outcome
The amount of greenhouse gas emissions (tons of carbon dioxide equivalent per year)	20,915	21,785	17,431	21,346	18,149
Share of reduced greenhouse gas emissions per unit of production (percent)	-	-15.7	-10.6	-2.5	-13.8

- Remarks:**
- (1) The sum of the Hat Yai factory and Phunphin factory
 - (2) The sum of Scope 1 and Scope 2 greenhouse gas emissions
 - (3) The amount of greenhouse gas emissions in 2021 is in the process of requesting certification from the Greenhouse Gas Management Organization (TGO).
 - (4) Target for 2021, in reference to the data of 2019 as the base year because in 2020, the Company changed business structure and moved its production base.
 - (5) The amount of other indirect greenhouse gas emissions or Scope 3 is in the process of determining emission sources that are most relevant to the company's context and to meet the requirements for calculation and report criteria of the Carbon Footprint for Organization: CFO by Greenhouse Gas Management Organization (Public Organization).

The amount of greenhouse gas emissions



In addition, the Company has also participated in the Greenhouse Gas Emission Assessment Program for the products by the Greenhouse Gas Management Organization (Public Organization) or TGO that the Company produces as a guideline for reducing and controlling energy consumption efficiently. The Company has applied for Carbon Footprint of Product (CFP) label certification for a total of 57 SKUs from 2017 to 2020. In 2021, 36 SKUs have been registered and certified both for new product labels and renewal of existing labels. It was verified on November 19, 2021 and was certified by the TGO on January 25, 2022. In 2021, HaadThip was also one of the companies that have joined the Carbon New network, namely Thailand Carbon Neutral Network (TCNN) to express its determination to focus on the impact of climate change from business and to share guidelines, inter-organizational information to create a sustainable growth industry. In the project to promote the business sector to reduce greenhouse gases, Science-based Targets (SBT) have been set with a Center of Excellence in Eco Energy Thammasat University as the project consultant.



The purpose was to enable the organization to set targets that are aligned with global greenhouse gas control goals which include limiting global temperatures to 1.5 or 2 degrees Celsius. This move was the continuation of an effort to encourage business to implement analysis of Carbon Footprint for Organization to determine which of its activities are the sources of greenhouse gas emissions. The analysis covers both direct (Scope 1) emissions indirect emission from electricity (Scope 2) and other indirect emissions (Scope 3) The assessment and goal-setting goals were supposed to raise the standard of Thai organizations to become a low-carbon business in the future. In addition, HaadThip has also participated in various projects to reduce the amount of greenhouse gases, such as

The project to support greenhouse gas reduction activities (Low Emission Support Scheme: LESS).



The Company joined the Low Emission Support Scheme (LESS) project of the Thailand Greenhouse Gas Management Organization (Public Organization) or TGO, HaadThip has implemented a project to assess Carbon Stock within the Company, starting at the Hat Yai plant

by employing the calculation method and the criteria of the TGO in order to demonstrate its participation in plant conservation to reduce greenhouse gas for a sustainable environment and society. Following the field visit to survey plants and the amount of Carbon stock inside the Hat Yai factory, it was found that in the Company, there are 2,046 trees that meet the criteria of TGO and can store a total of 1,531 tons of carbon dioxide equivalent.



Survey area	No. of trees
Manufacturing Building	222
Office Building	158
Garden and Resident	1499
Waste water treatment pond	167
Total	2,046

“Care the Bear : Change the Climate Change” Project



The Company takes part in reducing global warming through participation in the project “Care the Bear: Change the Climate Change” of the Stock Exchange of Thailand. This project is organized to encourage listed companies in the SET to reduce greenhouse gas emissions through environmentally-friendly meetings, trainings and seminars. The criteria of the project on greenhouse gas reduction are reducing electricity consumption, arranging campaigns for public transport, car sharing or arranging online meetings, promoting environmentally-friendly packaging, etc. In 2021, there were total 87 activities that the Company organized and participated in the Care the Bear project, which can reduce the amount of greenhouse gas emissions from meetings, trainings and seminars more than 30 tons of carbon dioxide equivalent. This was equivalent to the carbon dioxide absorption of 3,154 trees per year.

3. Water Resource Management

The Company uses untreated water in activities such as office buildings, manufacturing plants and staff housing. The source is 100% groundwater. Equipment is regularly inspected to ensure the most efficient water consumption and reduce loss as much as possible. The water management goals have been set to increase the capacity of water use in order to reduce the tension of water resources both in the organization and in the community, while 100% reusable water utilization system has been developed and water resource management has been implemented throughout the supply chain to raise awareness of water resources. By 2021, the Company set water usage goals in the production process to be not over 1.51 liter per production unit (L/Lbev) and set a long-term goal for another 5 years at under 1.40 L/Lbev by urging all employees to participate in saving water and using water efficiently. In addition, the highest water usage points have been studied to develop a project to reduce and optimize water consumption. In addition, the Company has implemented a water source risk assessment every 5 years to analyze and assess its water consumption to ensure that there will be no impacts

on surrounding communities. The risks assessment of water sources and certification have been performed by the Prince of Songkhla University and it was found that there have been no impacts from the Company’s activities on the loss of water resources in the area. In addition to the above measures, the Company also has developed other projects to achieve efficient use of water, for example, a design and installation project to reduce the size of the washing heads from 3 mm. to 1.5 mm. which can reduce the water consumption from 6000 liter/hr. to 475 liter/hr. and reduce the amount of wastewater by 5,525 liter/hr. at the Phunphin factory. Water meters have been installed to show the water-balance in order to determine the total water consumption as well as the loss of water at various points. The amount of water consumption and the amount of loss has been calculated to develop guidelines or measures so as to reduce water loss as much as possible and to manage the most efficient water consumption. On top of that, identifying water consumption in production process made it easier for the Company to analyze and find ways to reduce water consumption. It was found that the Rinser, Warmer, Boiler as well as washing and cleaning at various points are the most water-consuming processes. The Company, therefore, has a plan to bring water from these parts back into the 3R process or Reduce, Recycle and Reuse to reduce water consumption. The plan will be developed and implemented in the next year.

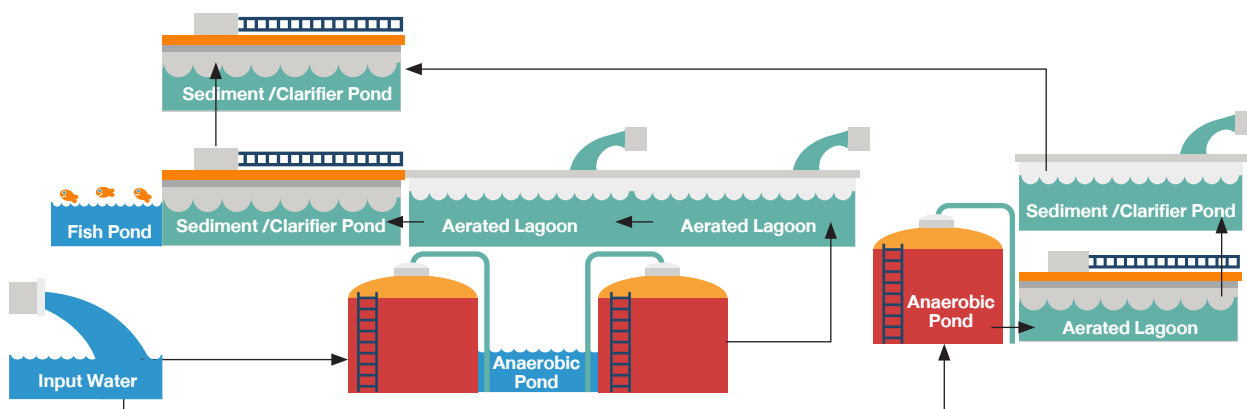
4. Waste Water Treatment

The Waste Water Treatment system from the production process of both Hat Yai factory and Phunphin factory is the state-of-art “Waste Stabilization Pond”, a wastewater treatment system that relies on nature for treatment using aerobic and anaerobic bacteria to decompose organic contaminants. The treatment pond can accommodate the sufficient wastewater to meet the production capacity. The wastewater that has been treated from both factories meets the standards set by the Department of Industrial Works and is tested by raising fish in the final pond controlled regularly by specialists. This will ensure water quality where aquatic life can safely live before the water is returned to nature. Before being released to the natural sources, the treated water is controlled and monitored with the BOD Online system that transfer information to the Department of Industrial Works at all times. Waste water inspection has not

only been implemented at the Company's laboratory a certified private analytical laboratory, but effluent samples have been also sent to a fully-equipped academic center.

Faculty of Science at Prince of Songkhla University for regular inspections in order to build confidence and reliability of the analysis results of the treated wastewater.

Figure : 1 Waste Water Treatment System



5. Solid Waste and Pollution Management

HaadThip is committed to operating in accordance with the environmental policy. There is a plan to manage waste or residual materials from business to ensure the most efficient resource consumption with minimal impact on the environment. The Company also urged all employees to be aware of social and environmental responsibility in all activities we carry out throughout the supply chain ranging from production, transportation, distribution, service and waste management. The Company has been certified ISO 14001:2015 from the SGS, which stipulates that the certified organization have guidelines for managing waste in factories according to international standards. An external agency authorized to manage waste according to industrial cage standards is outsourced to be responsible for proper waste transportation and disposal. In 2021, the total amount of waste from all corporate activities was 830772.80 kilograms, of which 89,642.00 kilograms were general waste, and 11,345.5 kilograms hazardous waste and recycled waste 729,785.30 kilograms, which accounted for 87.84% of the recycling rate.

Proportion of Waste from organizational activities



In addition, the Company has set up a Waste management manual and arranged training so that all employees learn how to separate waste and manage waste effectively. The goal was to increase the proportion of waste recycling to more than 90%, along with developing waste management practices by placing bins for different waste: General waste, hazardous waste and recyclable waste at various points of offices and factories. For recyclable waste, there are bins for more detailed materials, namely paper, aluminum cans, glass bottles and plastic bottles. There have been trainings and public relations to inform all employees about the bin location to ensure the easier and more convenient solid waste management.

3.4 Social Sustainability Management

3.4.1 Social Policy and Guidelines

1. Human Rights Policy

The Company is committed to complying with human rights principles. and strictly adheres to the law and international principles particularly the United Nations' Global Compact (UNGC) and the International Labor Organization (ILO)'s Declaration on Fundamental Principle. and Rights at Work). To prevent human rights violations in all activities and to involve all stakeholders throughout the supply chain as well as all business associates and partners. The important points are as follows:

- The Company places a high value on fundamental human rights as well as equality in all areas.
- The Company is aware of actions that may be associated with or constitute a danger to human rights concerns,

such as corruption, unlawful employment, and processes affecting children, youth, and/or neighboring communities, among other things.

- In terms of employment, the Company ensures equal opportunity and does not discriminate against nationality, race, age, gender, color, belief and political opinions, including those who need special care, such as women, migrants, people with disabilities, to whom the Company will provide facilities as appropriate to create the inclusiveness in the workplace.
- The Company has prepared training and skill development program as opportunities to progress in employees' career paths. There are also Career Advancement Schemes and recruitment, selection, training, promotion and fair termination of employees in accordance with international practices.
- Design an effective justice mechanism to prevent human rights violations by emphasizing the process of finding solutions with participation of the affected and the organization or having a third party to join in the mediation without affecting the whistleblowers.
- In 2021, the Company placed emphasis to human rights and stressed that fundamental rights of employees and all groups of stakeholders would be treated, protected and respected equally and fairly by adhering to the following guidelines:
 1. Communicate, disseminate, and provide knowledge and understanding to all employees and executives including stakeholders throughout the business value chain.
 2. Instill the sense responsibility in all employees and staff. If they witness an action deemed human rights violation, they must not ignore but have to report to superiors or persons in charge and be willing to cooperate in the investigation of facts.
 3. Ensure fairness and protection of persons who report human rights violations in accordance with Whistleblower Protection Policy.
 4. The Company is dedicated to fostering and maintaining corporate culture that value human rights. If any activity that is comparable to human rights violation is discovered, it will be regarded unethical and a breach of rules and will be subject to disciplinary action as stipulated as well as legal penalties.

Those interested can learn more about human rights regulations and guidelines on the HaadThip website <https://www.haadthip.com/en/about/good-corporate-governance>

2. Personnel Care and Development Policy

The Company has instituted a policy to take care of employees from the beginning until retirement. When a person joins as an employee, he/she is considered as a member of the HaadThip family under the principles of fairness, morality and ethics, regardless of gender, race, religion, any disability. The Company will provide guidance in terms of performance, adjustment and development to help employees reach their full potential and be ready to work efficiently and effectively. Both short-term and long-term goals have been set with improved fringe benefits and welfare suitable for circumstances to respond to living in the new normal along with employees' potential development system to achieve effective work, for example, the introduction of human resource management technology (MyHR system) which may save time and empower employees to be adept in the use of technology. Each employee has his/her individual career growth plan that is tailored for his/her respective position including care plans. Even after retirement, the retirees are still be valued by the Company as members of the HaadThip family and are permitted to utilize common facilities to engage in events and to purchase items at employee prices.

3. Children's Rights and Freedom Policy

The Company has a firm policy of neither hiring nor sponsoring child labor. The minimum age to be considered for employment must be over 18 years. Throughout the supply chain, the Company protects children's rights and freedoms including the violation of the rights of children by its partners and corporate partners. The Company carefully picks and oversees its business partners to guarantee that they are not involved in human trafficking, child labor or forced labor.

4. Maternity Leave Policy

HaadThip's employees have the right to take maternity leave under the Company's policy. By 2022, it also plans to implement a policy allowing male employees to take pre- and post-natal leave to take care of their children and spouses. According to labor legislation, the Company enables workers to take maternity leave for a maximum of 98 days, with regular salary payments to employees for a total of not more than 45 working days and social security contributions for a total of not more than 45 days according to the labour law.

5. Private Data Protection Policy

The Company is committed and attaches great importance to the protection of personal information. In order to maintain the standard of responsibility of the organization to its customers, partners, visitors, employees and stakeholders on proper and safe storage and trustworthy use of information to comply with the Personal Data Protection Act B.E. 2562 The Company, therefore, has established a policy on personal information protection that covers every step starting from collecting, processing, disclosing, managing personal data to using it for business purposes in accordance with the law and with the subject's consent so that the employees concerned will strictly adhere to the following:

Meaning and Definition

1. "The Company" refers to HaadThip Public Company Limited and its subsidiaries.
2. Personal data refers to information about an individual by which an individual can be identified both directly or indirectly, including names of employees, customers, partners, directors or individual contacts, addresses of legal entities and individuals, telephone numbers, email addresses, line IDs, business cards, ID numbers and ID information Including photos that identify the identity and owner, etc.
3. Personal Data Controllers refer to employees of the Company with the rank of department manager or a person assigned to the storage, processing, use, control and examination of personal data for the purpose of analysis, report and/or summary for use in the Company's business in good faith.
4. Personal Data Protection Working Group refers to employees of the Company who have been assigned to provide knowledge, advance and oversee policies and procedures for safeguarding personal information of employees, customers, business partners and associated parties.

Policy guidelines

1. The Company respects the privacy of customers, business partners, employees and related parties to the fullest extent.
2. The Company will ask for personal information only as necessary for administration or as required by law and will ask for permission directly from the owner of the information.

3. The Company will notify the purpose of requesting, using, keeping and notifying the rights to the owner of the information and giving consent from the start.
4. The Company has put in place a stringent system for utilizing, processing, acquiring and concealing personal data.
5. The Company has designated Data Controllers and Personal Data Protection Working Group and any other necessary officers that may be assigned in the future to guarantee that Personal data is used only for its intended purpose and not used without consent and will not harm the owner of the data.
6. If certain information is restricted, such as ethnic information, political opinion, Religious beliefs, illnesses, criminal records, the Company that requires it for business will explicitly seek the approval of the owner of the information, treat it privately and utilize it with discretion.
7. Data subject have the right to access, review, withdraw consent to such information at any time that the Company keeps the information.
8. The Company will collect, maintain and use the Information of foreigners in the same manner with the information of Thai people.
9. The Company will treat the personal information as its property and will not allow anyone to infringe, disclose, access, use for personal gain or destroy the information without the authorization of the data controller.
10. Anyone who breaches the Personal Data Protection Policy will face the harshest penalties and be prosecuted to the full extent of the law including having to pay for damages that may arise in full at the rate prescribed by law.
11. Lawbreaker will be penalized at the highest rate and will be prosecuted including compensate for damages that may occur at full rate prescribed by law

To ensure that this policy fulfills its objectives with efficiency, the Company has asked all involved employees strictly comply with the policy and/ or any applicable regulations. The Company has exclusively designated a working group on personal data protection to monitor and guarantee that collection, utilization and disclosure of personal information will be proceeded in accordance with the Personal Data Protection Act B.E. 2562, including laws related to personal data protection. The Working Group has communicated with all departments to prepare records of personal data that have been collected or used (Records of Processing

Activity: ROPA), both in forms of electronic database or tangible document, general personal information and sensitive personal Data, which is information that can more specifically identify an individual, race, political opinion, religion, sexual behavior, criminal records, health data, trade union data Genetic information, biological information, including prohibiting the disclosure of personal information to persons who are not directly responsible in accordance with the Personal Information Protection Policy.

In case the owner of the personal data has questions or wants to exercise his or her rights, he/she can contact the Personal Data Working Group at dpo@haadthip.com, or Tel 074-210008-18 ext. 1011.

6. Diversity and Inclusion Policy

HaadThip Public Company Limited and its subsidiaries promote equal opportunity and treatment in the organization by supporting a culture of diversity at all levels of operations. The Company recognizes the diversity of personnel in terms of race, nationality, age, disability, gender, physical and mental abilities, culture, religion, economic status and other attributes as it believes that the policy to promote diversity and acceptance of differences in this organization will be able to retain and promote competent personnel to be an important force that will contribute to efficiency, business growth and achievement.

Under the policy to promote diversity and accept differences in the organization, all employees are treated in the same way and shall not feel discriminated or different from others in the organization. The Company, therefore, announces its commitment for all departments to comply with the following:

1. Respect differences and treat all employees equally, fairly and appropriately.
2. Promote and support diversity in all positions in the organization's work and promote the development and enhancement of skills, abilities, experiences and other attributes of all employees.
3. Comply with the law on human rights, inclusiveness, anti-discrimination and other relevant laws.
4. Apply the policy to be the standard in the recruiting process, promotion, personnel retention and other related works without discrimination.
5. Communicate the policy with stakeholders openly and transparently to become a network for promoting

diversity and inclusiveness in the organization.

6. Encourage all employees to share responsibility and foster a culture of coexistence in accordance with the policy by preventing discrimination and harassment of all kinds.
7. The supervisors have duties to oversee, review and follow up on complaints and complaints mechanisms to prevent any action contrary to the policy.
8. The Corporate Governance unit is assigned to assess the effectiveness of the policy implementation and review the policy assessment methods at least once a year.

In addition, the Company has also revised the welfare for employees, known as the "Company Welfare Code for LGBTQI Employees", to show its commitment to promoting and driving equality in the organization by implementing the following

1. The Company has issued the employee welfare standards to be uniform and employees of different genders in the same way as employees with common spouses, such as wedding welfare benefits, housing for employees' family, Welfare for employees' children or their adopted children such as scholarships, gifts on various occasions, etc.
2. Organize a symbolic activity against violence against women and children "Orange the world" a joint activity with Women Empowerment Practices and a human rights dialogue within the organization on the same day.



7. Training Development Policy/ Human Resource Development Policy

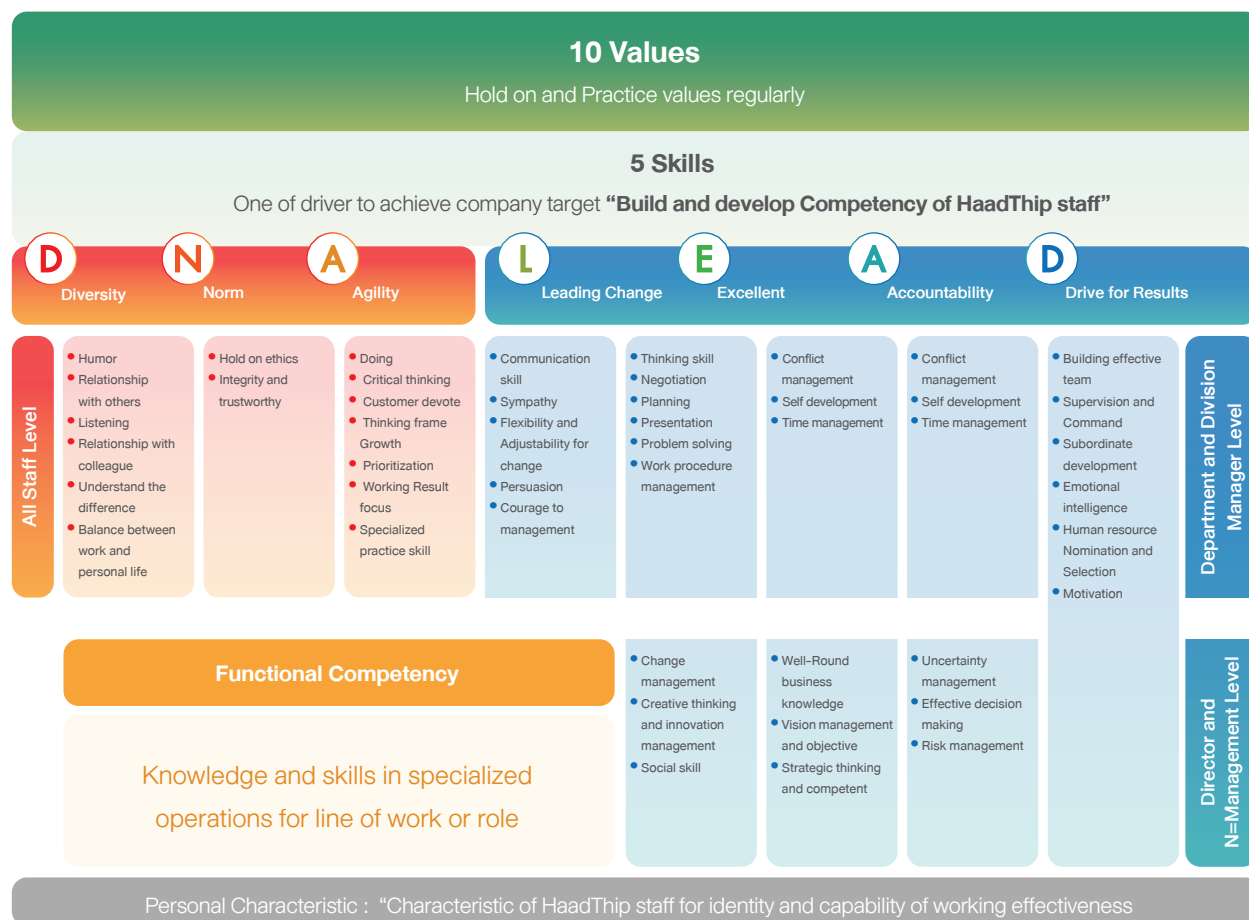


Figure : Haadthip Competency Framework

The Company attaches importance to developing potential, upgrading comprehensive and business-relevant skills, knowledge and capabilities of personnel at all levels which will add value to the organization in order to increase the capacity and skills for effective work in the present and in the future while creating opportunities and providing future advancement for personnel in every stage. In operation guidelines for the knowledge and competence development of personnel in 2021, The Company has adopted the vision, mission, strategy of the organization and the five skill groups as a guideline for establishing the Haadthip Competency Framework for human resource development. The framework consists of 15 DNA competencies and 30 Leadership competencies Based on this conceptual framework, the Human Resources Development Department has developed a competency handbook to communicate and to guide employees to develop their competency in the same

direction. The Company has also implemented an Individual Development Plan (IDP) for each employee to have their own development plans in accordance with their competency, corporate goals and competences related to work. As a result by the human resource development approach as mentioned above the Company’s employees are systematically developed according to the vision, mission, strategy and five skills as the organization has paved the way for.

In 2021, the Company has organized training courses for employees to increase skills and potential for employees, consisting of Courses for Corporate Culture, Quality, Safety and environment System, Skills Development, Supervisory Skills Development, and Social Responsibility, totaling 131 courses. The average training hours of all employees for male and female employees were 1.96 hours/person/year and 5.71 hours/person/year respectively.

Training Courses 2021

Types of Training Programs	No. of Training Courses	Budget (Baht)
Corporate Culture	2	4,700
Quality, Safety and Environment System	47	772,370
Skills Development	60	658,030
Supervisory Skills Development	14	234,650
Social Responsibility	8	79,450
Total	131	1,749,200

Staff levels	Budget (Baht)
Chief Executives	810,100
Department Managers	140,860
Supervisors	211,080
Operating	587,160
Total	1,749,200

Staff levels	Units	Training Hours
Chief Executives	hours per person per year	2.42
Department Manager	hours per person per year	1.40
Supervisor	hours per person per year	1.01
Operating	hours per person per year	1.50

Remark: Information as of 3 January 2022

8. Occupational Safety, Health and Environment Policy

The Company has established guidelines for occupational health and safety in accordance with the safety policy framework as well as committed to complying with the law and other requirements that is acknowledged in society to prevent and reduce accidents, illnesses, ailments and losses inflicted in the workplace through continuous improvement and development. In cooperation and acceptance from all employees in the organization, visitors, partners, contractual parties, contractors and all groups of stakeholders, it has employed the Occupational Health Management System as certified by international safety standards ISO 45001. HaadThip also creates awareness of occupational safety, health and working environment as well as promote disease-free physical and mental health employees at all levels including visitors and all related groups. In addition, the Company has targeted and recorded the operating outcomes to control safety performance and attaches importance to the safety of employees at all levels, as it tries to ensure that all employees respond to the policies set by the Company. HaadThip deems it its duty to look after welfare of the employees and provide safe and sanitary working environment. The Company strictly observes the law by providing safety trainings to employees to enhance their skills so that they can cope with unexpected events in accordance with the guidelines that are safe for the lives and properties of employees and the organization. Annual health check has been provided as a proactive health

program. It has regularly communicated and educated the staff on preventive health care for both seasonal diseases and emerging diseases such as Coronavirus-19 through internal communication channels such as online channel, bulletin board or e-mails, etc., as well as to encourage employees take part in physical activities and exercises in sport clubs such as cycling, running, football, yoga clubs, etc. to achieve common goals. There are a variety of activities to boost efficiency for all employees, to raise the bar for workplace safety standards as well as to raise awareness of safety as the core of work.

Accident and Sick Leaves Statistics

	Total Cases of Accident (No. of Person)		By degree of severity							
			Off-Work (Person)		Total Off-Work (Day)		Able to Work (Person)		Death (Person)	
	2020	2021	2020	2021	2020	2021	2020	2021	2020	2021
employee	25	14	20	13	176	194	4	1	1	0
contracter	0	0	0	0	0	0	0	0	0	0

Remarks: Information as of 7 January 2022

In 2021, in regards accident and sickness, it was found that a total of 14 employees were injured or sick from work and took a total of 194 days off-work. The number one cause was car accident. As a result, the Company did not hesitate to take measures and has improved policies and measures that are more rigorous to mitigate and prevent driving-related accidents, while retraining employees and related persons along with monitoring the proceedings more closely. Annual safety driving training program has been provided for all drivers. Driving routes have been fixed and all employees at the Phunphin plant have been urged to wear fluorescent-colored vests to reduce the car accident risk; incentive programs have been provided for drivers and assistant staff in order to positively reinforce employees who work in compliance with regulations and requirements, such as dress code, alcohol and drug testing, cleaning and maintenance of the car as well as speed control

1.1.2 Social Performance

1. Actions during the Spread of the Coronavirus Disease (COVID-19)

Due to the epidemic situation of the coronavirus or COVID-19, several industries including “HaadThip” have to adjust in respond to market development and the needs of stakeholders. The Company took the first step by assessing the situation and forming a working group to deal with the change since the end of 2019 and raise the level of safety to build confidence for consumers and all stakeholders in the quality of products and business operations of the organization. The Company has reviewed strategies in response to the COVID-19 situation, which consist of

Action guidelines to deal with COVID-19			
Staff	Production	Marketing and Sales	Others
- Provide a safe working environment for employees. - Issue regulations for working from home (Work from Home)	Prepare an epidemic control plan in the establishment such as Bubble and Seal.	Focus on large-pack products for home consumption and affordable packs.	Use digital tools to reduce exposure, such as an IR (Image Recognition) system for salespeople or a QR Code system for payment.

Action guidelines to deal with COVID-19			
Staff	Production	Marketing and Sales	Others
- Procure the first and second vaccinations for all employees. - Use digital tools to reduce exposure, such as an IR (Image Recognition) system for salespeople or a QR Code system for payment. - Supporting systems and equipment to support work from home of employees - Campaign COVID-19 preventive Measures in the family of employees - Take care and boost morale for employees	- Adjust production processes and plans to deal with changeable situation and consumer demands - Allocate the team so that they can substitute other infected staff.	- Collaborate with stores to boost sales with food bundle packages for restaurants. Organize promotional campaigns for consumers - Focus on selling in channels and platforms that are in line with the situation, such as TT, telesales, e-commerce, home delivery platform - Give confidence to customers by having salespeople wear personal safety equipment such as masks, PPE, gloves during store visits.	- Adjust budget plans for promotional activities to mitigate impacts on customers and communities. - Strictly control budget and expenses.

In addition, the Company also delivered encouragement and concern to the medical agencies and public health personnel such as tertiary hospitals, provincial hospitals to the district hospitals, field hospitals, District Health Promoting Hospital, field workers, soldiers, police, screening checkpoints, local government organizations, cleaning and garbage collectors, including foster homes for children, elderly and handicapped people in the southern region and many other departments by providing the company's products and medical equipment as follows:

No.	Item	Quantity
Support medical and other relevant agencies		
1	Providing beverages to medical personnel, volunteers, and other agencies that help those affected.	Namthip drinking water 167,604 bottles / soft drink 5,880 cans to 252 agencies
2	Arrange vinyl banners for encouragement to medical personnel, urging people to comply with safety measures (installed in front of the Company, branches and at the back of every sales vehicle)	71 points
3	Create heart-shaped sculptures from Coke cans to show encouragement, care and gratitude to the medical personnel	17 sets
4	Attach special labels 300 ml soft drink bottle to give encouragement to medical personnel.	1,740 bottles

No.	Item	Quantity
Support medical and other relevant agencies		
5	Food Support Program for medical personnel (Hat Yai Hospital , Songkhla Nakarin Hospital , Songkhla Hospital , Rajavithi Hospital , Bumrungrad Hospital)	800 boxes
6	Purchase and donate alternative vaccines, Sinopharm to the poor the underprivileged and the disabled through Chulabhorn Royal College	855 doses
7	Donate masks (KF94) to underprivileged groups	6,200 pieces
8	Sell drinking water at a special price to the Thai Red Cross Society to help those affected by the coronavirus (COVID-19) epidemic in 14 southern provinces	550 ml Namthip drinking water 523,824 bottles to 63 agencies
9	Support social projects to mitigate the severity of the coronavirus disease (COVID-19) epidemic together with the Coca-Cola Foundation Thailand in 14 southern provinces	550 ml Namthip drinking water 186,024 bottles (sponsored by Coca-Cola Foundation) to 43 agencies
10	Lend the Company's ambulances to the Ban Phru Municipality and Tha Rong Chang Hospital to pick up - send patients or high-risk groups to be admitted in the hospital and send for examination at hospitals	-

Remark: Information as of 24 December 2021



2. Multipurpose Medical Room Project

As COVID-19 pandemic is still prevalent around the world and at the present, in Thailand, there have been still new waves of COVID-19 outbreak from time to time causing a surge in COVID -19 cases, while the number of new patients has showed no sign to decrease, leading to the problem of insufficient hospital facilities to accommodate patients. Government and private agencies in different areas have jointly developed the quarantine facilities for infected people in many forms, such as the establishment of field hospitals, adjusting the hotel to be an ad hoc ward for COVID-19, and home quarantine in order to cope with the rapidly increasing number of coronavirus cases. To help mitigate this emergency situation and increase work efficiency for medical personnel to perform sanitation practices and proper environmental health promotion to prevent the spread of the coronavirus disease (COVID-19), the Company provided a long-term assistance by renovating the basement of the existing building at Tha Rong Chang Hospital to become a multipurpose room for medical use, for example, as a COVID-19 ward and a place for vaccination for personnel and the public, etc. The internal ventilation system was set up to ensure constant ventilation. For this purpose an exhaust fan which is for air intake and exhaust was installed to improve internal air circulation. The Company also improved the area to be a PE floor to reduce the accumulation of viruses and bacteria, to facilitate work and disinfection.



3. Musician Support Project



The project to help musicians affected by the coronavirus (COVID-19) epidemic was initiated by Maj. Gen. Patchara Rattakul, Chief Executive Officer who saw the impact on the musicians in the restaurant due to lack of income in such a situation. There are 7 targeted and affected provinces, namely Songkhla, Surat Thani, Nakhon Si Thammarat, Phuket, Krabi, Chumphon and Pattani. In the project, the sales department of the Company which is familiar with the area and knows restaurants with musicians was assigned to publicize the project and invited interested bands to join the project. The musicians were asked to record a VDO in which they sang and delivered encouragement to the staff at HaadThip including other southern inhabitants in the situation of COVID-19 and distribute by songs through social media channels such as the Line Official Facebook group, etc. Over the period of 3 months of the project (August-October 2021) 48 affected musicians have been financially supported with a total amount of Baht 339,000.

4. Education Support

According to the former CEO's policy in providing educational opportunities to the underprivileged and to ensure that everyone has inclusive and equal access to quality education at all levels, HaadThip is ready to provide the necessary educational facilities for educational institutions and all groups of students, including those with disabilities and people of different genders and create a trouble-free educational environment by providing scholarships and various educational supports. In 2021, the Company granted scholarships for students of all levels to more than 16 departments in amount of over Baht 440,000, to give to young people with good academic performance but lack of educational opportunities and funds especially during the epidemic situation of coronavirus (COVID-19). In addition, the Company also supports education for employees' children to alleviate the burden of expenses for employees with an annual scholarship program for employees' children. In 2021, the Company has given a total of 799 scholarships in amount of Baht 1.28 million, to employees' families.

Throughout the past, from 1989 to the present, the Company has a policy to promote and support the education of employees so that they have the opportunity to study at a higher level which leads to the enhancement in operational efficiency, ability to integrate knowledges for the most benefit to the organization. It has granted 31 scholarships for the undergraduate employees, 41 scholarships for the master degree, totaling 72 scholarships or Baht 4.27 million. For the year 2021 due to the epidemic situation



of COVID-19, the Company postponed the scholarship consideration but continues to support scholarships for employees who are entitled for scholarships in the next year.

5. Conservation and restoration of natural resources and the environment



Check Dam and Mountain Irrigation Project

The Company is committed to creating a balance between nature and the environment with focus on both quantitative and qualitative development of water resource management systems in all dimensions to prevent drought and shortage of water resources from upstream to downstream. Since water resources are the main raw materials for its business operation, the Company recognizes the importance of and is determined to return water resources to the communities according to the policy of conservation of water resources according to the guidelines of the Coca-Cola



Business Group Thailand as well as return fertility to nature sustainably. With an aim to return water to the community in an amount equal to the quantity of water utilized in the organization's activities, in 2021, the Company continued Check dam and Mountain Irrigation Project by building a water storage dam with a capacity of 2,400 cubic meters

on the area of Ban Khuan Mai Bong Community, Village No. 9, Wang Ang Subdistrict, Cha Uad District, Nakhon Si Thammarat Province to be a source of raw water storage before entering the water filtration process for consumption and consumption within the community. For sustainable continuity, the Company has a plan to support quality community water filtration for household consumption and greenhouses with more than 200 beneficiaries of households. It also supported community enterprises to set up shops to sell the products of the group members and products from the community. By 2022, there is a plan to support organic farming in the upstream forest ecosystem to serve as a sample plot of the community for the mixed farming based on the New Theory following the royal initiative of His Majesty King Bhumibol Adulyadej the Great, to guarantee sustainable food security. Throughout the implementation since 2018, the project has benefitted more than 7,000 households in the community. The Company has set goal to expand the number of project's beneficiaries to more than 10,000 households by 2025.

Project Outcomes

Water Resource Restoration				
Location	Restored Water Amount (Cubic Meter)	Company's Water Consumption (Cubic Meter)	% of Water Restoration 2021 (Cubic Meter.)	No.of Beneficiaries (Household)
Surat Thani	1,100,000			5,477
Nakhon Srithammarat	570,000			591
Pattani	18,400	485,224	354%	440
Pattalung	27,000			632
Total	1,715,400			7,140

Remark: Information as of 7 December 2021

The 4th Southern Sea Coral Reef Conservation Project (Marine Camp)



Since 2018, under the Coral Sea Conservation Project (Marine Camp) the Company has continued to propagate coral species in the area of 2,000 square meters in front of Bulon Le Island, La-ngu District, Satun Province, with permission from Department of National Parks, Wildlife and Plant Conservation, National Parks Office and under the supervision of Mu Ko Petra National Park. Over the past 4 years, in cooperation with Reef Guardian Thailand, Satun Province, Petra National Park, Satun Provincial Administrative Organization, Pak Nam Subdistrict Administrative Organization, Satun Provincial Tourism Council and the villagers of the Bulon Island community, the project supported the conservation and restoration of marine ecosystems. In 2021, the project could generate the breed of coral reefs, Staghorn coral in the amount of more than 200 plants. Staghorn variety is considered most suitable for the area. The project also collected 150 kilograms of garbage, which was mostly fishery equipment. Outcome throughout the implementation combined, the project has generated more than 1,200 coral plants and collected more than 500 kilograms of garbage. For the continuation of the project, the Company has put a plan in place for exploring and follow-up the growth

of coral reefs and garbage collection. In the past 4 years, the Marine Camp project has considerably contributed to fertility in the project area. According to the four-year continuous survey of the area, it was found that the survival rate of planted corals was 10%, which is a satisfactory rate considering adverse factors that influence coral development in the area such as monsoons, rising sea temperatures and sediment deposition among others. Furthermore, the biodiversity of aquatic animals has risen as evidenced by the discovery of new 29 fish species in the coral reef region. The project has proved the determination of the Company to restore the sea's fertility and raising awareness among local residents about the need of loving and cherishing the resources of their own hometown for the future.



Management Discussion and Analysis (MD&A)

4.1 The Overall Operating Results

HaadThip Public Company Limited is a sparkling beverage manufacturer, with its main income generated from the sales and distribution, exclusively in the southern part of Thailand, of sparkling products namely Coke, Fanta and Sprite as well as non-carbonated products such as Minute Maid Juice and Juice Drinks, Namthip Drinking Water, and Bon Aqua Mineral Water.

1. The Operating Results of HaadThip Public Company Limited and the subsidiaries

1. Revenue from Sales

The Company's revenue from sales was Baht 6,518.0 million, an increase of a Baht 92.5 million or 1.4% from Baht 6,425.4 million of year 2020, and sales volume was 61.9 million unit cases, an increase of 4.0% from 59.5 million unit cases of year 2020, mainly as a result of sales increase of large-sized products for household consumption and price promotion for selected products and distribution channels. Under restriction of safety and protection from COVID-19, the Company actively visited markets and effectively utilized technology for sales as a result of company's improved strategy during COVID-19 control situation.

Company's Revenue by Type of Business

Unit: Million Baht

Type of Business	Year 2021	Year 2020	Increase (Decrease)
Beverages (inclusive of the sales of containers)	6,358.17	6,347.89	10.28
Consumer Goods	138.56	70.15	68.41
Food	21.22	7.38	13.84

In the past accounting year, the Company had made some adjustments to its operational system in order to accommodate and meet the needs and demand of consumers that had changed as a result of the government measurement issued to control and contain the COVID-19 pandemic. The actions taken by the Company were as follows:

1. To ensure that large-sized products and drinking water were sufficient and readily available to meet the demand for home consumption and stock-up, through the sales and distribution channels that were most convenient for consumers such as hypermarkets/supermarkets and local grocery stores of the communities;
2. To develop marketing operation of traditional trade and hence increased sales by 12.2%, compared with the same period of last year
3. To present valued products for customers with 50 ml. increase from 455 ml. to be 505 ml. PET product and maintain same price
4. To present valued products for customers with 200 ml. increase from 1.25 liter to be 1.45 liter PET product and maintain same prices
5. To increase distribution channels of Namthip and hence be easy for customers to find. Consequently, market share of Namthip increased by 1.4%

6. To conduct sales promotion activities for non-sugar products and new favor products, and consequently market share of non-sugar products increased by 2.2%

As a result, the Company was able to maintain its market share in the non-alcoholic-ready-to-drink (NARTD) market and the sparkling beverage market from the beginning until the end of the year 2021 at 26.1% and 81.5%, respectively.

2. Cost of Sales and Gross Profit Margin

Cost of sales was Baht 3,893.3 million, an increase of Baht 151.4 million or 4.0% compared to Baht 3,741.9 million from the same period of the year 2020. As a result, gross profit margin was 40.3%, decreased by 1.5 percentage points from 41.8% from the same period of the year 2020, due to the following factors:

1. In 2020, there was one-time discount from partners and suppliers to support during Covid-19 pandemic situation
2. An increase of raw material prices
3. The Company operated following revenue management plan emphasizing household products (product mix) and distribution channel adjustment (channel mix), equipped with price promotion for valued products for customers (price mix)

3. Distribution costs and Administrative expenses (SG&A)

Distribution costs were Baht 1,277.9 million, an increase of Baht 6.0 million or 0.5%, with administrative expenses of Baht 731.7 million, a decrease of Baht 49.4 million or 6.3%. As a result, distribution costs and administrative expenses (SG&A) totaled to Baht 2,009.6 million, a decrease of 2.1%, compared to Baht 2,052.9 million of the same period last year, mainly as an impact from the following expenses:

1. Distribution costs increased as a result of an increase in transportation cost by 7.7%, mainly from an increase of fuel cost. The Company had also managed to increase efficiency in the use of fixed cost, which had helped to mitigate the impact.
2. Sale promotion and marketing expenses increased by 6.4% compared to the same period last year as a result of distribution channel adjustment, which was in accordance with relaxing policy of the COVID-19 pandemic control measure.
3. Reduction in administrative expenses was the result of a reduction in employee-related costs and expenses management.

4. Finance costs and income tax expenses

Finance costs were Baht 12.9 million, a decline of Baht 3.7 million or 22.5% from Baht 16.7 million in 2020, as the loan's principal was being paid back. While Income tax expenses of Baht 95.4 million showed an increase of Baht 28.0 million or 41.6% increase from Baht 67.4 million of previous year due to the higher taxable profit.

5. Net Profit and Net Profit Margin

The Company's consolidated financial statements for the year 2021 had shown a net profit of Baht 533.3 million, a decrease of Baht 31.6 million or 5.6%, compared to the net profit of Baht 564.9 million in the same period of last year. While, net profit margin decreased from 8.8% to 8.2%.

Net profit for the Parent Company was Baht 535.4 million, compared to Baht 566.3 million from the same period of last year, representing a decline of Baht 30.9 million or 5.5%.

Company's Net Profit (Loss) before income tax by Type of Business

Unit: Million Baht

Type of Business	Year 2021	Year 2020	Increase (Decrease)
Beverages (inclusive of the sales of containers)	645.45	633.90	11.55
Consumer Goods	(1.97)	3.82	(5.79)
Food	(12.66)	(5.34)	(7.32)
Real Estate	(2.08)	(0.06)	(2.02)

Profitability and Operational Efficiency Ratios:

Ratios	Year 2021	Year 2020
Gross Profit Margin (%)	40.3	41.8
Net Profit Margin (%)	8.2	8.8
Return on Equity (%)	15.1	17.8
Return on Assets (%)	11.9	12.7

- Gross profit margin was 40.3%, decreased by 1.5 percentage points from 41.8% from the same period of last year as a result of Covid-19 pandemic situation and rising in raw material prices.
- Net profit margin of the year 2021 was 8.2%, decreased by 0.6 percentage points from 8.8% mainly due to a decline in gross profit margin, the rising of oil price and marketing expenses.
- Return on equity of the year 2021 was 15.1%, decreased by 2.7 percentage points from 17.8% as a result of a decrease in the Company's net profit for the year.
- Return on assets was 11.9%, decreased by 0.8 percentage points from 12.7% due to lower earnings before tax for the year.

1. Financial Status of HaadThip Public Company Limited and the Subsidiaries

(Unit: Million Baht)

Items	As at 31 st Dec 2021	As at 31 st Dec 2020	Increase (Decrease)	
			Amount	%
Total Assets	5,427.93	5,326.11	101.82	1.91
Total Liabilities	1,814.03	1,872.14	(58.11)	(3.10)
Shareholders' Equity	3,613.90	3,453.97	159.93	4.63

1. As at 31st December 2021, the Company's total assets equaled to Baht 5,427.93 million, an increase of Baht 101.82 million or 1.91% from the end of the year 2020.

- Cash and cash equivalents had decreased by Baht 44.01 million or 16.85% since there was more inflow than outflow of cash from operating activities by the amount of Baht 755.13 million and cash outflow for financing activities in the amount of Baht 523.41 million
- There was an increase of Baht 14.79 million or 3.19% in account receivables, in line with an increase in the volume of sales to major customers with credit term.
- Other receivables increased by Baht 23.77 million or 24.87%, mainly as a result of an increase of deposit for machinery for Baht 68.60 million and a decrease of accrued financial support for the PET Bottle Recycle Project for Baht 48.44 million.
- There was an increase of Baht 26.25 million or 8.52% in inventory, as a result of reserved resin for PET bottle production due to its price increase trend
- Real estate development for sales increased by Baht 18.51 million as a result of initial investment in real estate business project
- Income tax assets for the current period in the amount of Baht 2.97 million was the same amount as last year since there was an amount of corporate income tax from the previous year to be claimed back by the Company and to be received in the year 2022.
- Other current financial assets increased by Baht 13.66 million or 94.14% as a result of an investment in unit trust.

- Non-current assets classified as non-current assets held for sales decreased by Baht 0.99 million or 10.20% as a result of some machineries being classified as idle and held for sale in the year 2021.
- Other current assets increased by Baht 0.17 million or 1.03%.
- Non-current financial assets increased by Baht 11.05 million or 392.34% as a result of an investment in common stock of other companies
- Investment property decreased by Baht 0.64 million or 0.31% as a result of land transferring to property development for sales for Baht 14.29 million and an increase of property investment of property business for Baht 13.65 million
- Land, building and equipment decreased by Baht 23.28 million or 0.63% as a result of depreciation during the year higher than investment in new fixed assets.
- Right-of-use asset increased by an entire amount of Baht 44.32 million or 26.47%, which stemmed from vehicle lease for operation and building lease for restaurant in food and beverage business.
- Intangible assets increased by Baht 4.64 million or 9.33% as a result of investment in software license of the subsidiaries.
- Other non-current assets increased by Baht 13.48 million or 137.85%, mainly from receivables as compensation if the Company need to pay import duty for Customs for an amount of Baht 12.61 million which had conditional agreement with sellers.

2. As at 31st December 2021, the Company's total liabilities equaled to Baht 1,814.03 million, which could be divided into Baht 943.61 million of short-term liabilities, and Baht 870.41 million of long-term liabilities. This indicated a decrease of Baht 58.11 million or 3.10% in total liabilities from the end of year 2020.

- Short-term loan from financial institutions increased by Baht 45.00 million or 264.7% from loan for working capital for subsidiaries.
- The Company's account payables increased by Baht 93.24 million or 44.01% as a result of payables in container materials, concentrates and the consumer product group.
- Other payables decreased by Baht 167.95 million or 31.45% mainly as a result of a decrease in accrued bonus, accrued payables in services of recycling PET bottle project and accrued vehicle repair.
- Long-term loan decreased by a total amount of Baht 90.62 million or 35.16% following the repayment of loans that were due during the year.
- Financial lease liabilities increased by a total amount of Baht 46.03 million or 27.62% as a result of vehicle lease for operations and building lease for restaurants.
- Customers' deposits on bottles and crates decreased by Baht 2.05 million or 12.31% as a result of the Company returning deposits on bottles and crates to customers, in line with the declining trend in the sales of returnable-bottle products.
- Deferred tax liability decreased by Baht 12.11 million or 3.65% as a result of an increase in deferred tax assets (net amount with deferred tax liability) occurring from land selling between the Company and its subsidiary
- Estimation of non-current provision for employee benefits had decreased by Baht 3.34 million or 1.10% as a result of a downward adjustment in the estimation of retirement benefits to employee during the year which was higher than an increase of estimated liability.
- Estimation of other non-current liability increased by Baht 12.61 million as a result of additional estimated liability from import duty of Customs which was during consideration of Appeal Consideration Committee of Customs
- Shareholders' equity of Baht 3,613.90 million as at 31st December 2021 showed an increase of Baht 159.93 million or 4.63% from the end of year 2020 due partly to an increase in the net profit of the year less dividend payout from the operating results of 2020 at the rate of Baht 1.12 per share to the shareholders in May 2021; and interim dividend payout from the operating results of 2021 at the rate of Baht 0.83 per share to the shareholders in September 2021.

3. Cash Flow

Items (Unit: Million Baht)	Year 2021	Year 2020
Net cash from operating activities	755.13	1,023.36
Net cash used in investing activities	(275.73)	(269.04)
Net cash from (used in) financing activities	(523.41)	(621.50)
Net increase (decrease) in cash and cash equivalents	(44.01)	132.82

The Company's inflow of cash from operating activities was higher than outflow by Baht 755.13 million, a decrease of Baht 268.23 million from the previous year. The Company's net cash used in investment activities in the amount of Baht 275.73 million showed an increase of Baht 6.69 million from the previous year. The Company's net cash used in financing activities was Baht 523.41 million as a result of the repayments of short-term and long-term loans; repayment of financial lease liabilities and interest expense; and dividend payout to the shareholders from the operating results of the year 2020 and interim dividend payout from the operating results of the year 2021.

4. Liquidity

Important Liquidity Ratios:

Ratios	Year 2021	Year 2020
Liquidity Ratio (Times)	1.30	1.23
Cash Ratio (Times)	0.80	1.02
Average Debt Collection Period (Day)	26.35	31.53
Average Inventory Turnover Period (Day)	30.13	30.44
Average Debt Repayment Period (Day)	24.24	19.38

- The Company's liquidity ratio of 1.30 times showed an increase by 0.07 times from the previous year, with cash ratio of 0.80 times, or a decrease of 0.22 times from the previous year. This was the result of the Company's group investing in property project and an increase of short-term loan from financial institutions for working capital for subsidiaries.
- The Company's average debt collection period of 26 days was as fast as the previous year from an effort in credit control policy.
- The average inventory turnover period of 30 days was the same as the previous year.
- Average debt repayment period of 24 days was slower than the previous year.

5. Financial Policy

Financial Policy Ratios:

Ratios	Year 2021	Year 2020
Debt-to-Equity Ratio (Times)	0.50	0.54
Interest Coverage Ratio (Times)	49.64	38.93

- Debt-to-equity ratio of 0.50 times was slightly lower than that of the previous year, showing that the investment from debts was decreased.
- Interest coverage ratio of 49.64 times, an increase from the previous year, as a result of the Company's full ability in making repayments of both principals and interests to all of the Company's debtors.

4.2 Factors affecting Future Performance of Company

Even though the Company had systematic management policy for risks affecting performance of company as indicated in Part 1. Nature of Business and Operation Results and Part 2. Risk Management in acceptable level, but there was the possibility of the operations following risk management not effectively enough to lower risks to acceptable level, and hence the performance will not be as expected as a result of uncontrollable external factors such as new pandemic outbreak or microeconomy problem.

4.3 Key Financial Information and Ratio

(a) Statement of consolidated financial position for the year ended 31 December 2019, 2020 and 2021

Description	As 31 December					
	2021		2020		2019	
	In thousand Baht	%	In thousand Baht	%	In thousand Baht	%
Assets						
Current assets						
Cash and cash equivalents	217,232	4.00	261,246	4.91	128,433	2.62
Trade accounts receivable	477,947	8.81	463,153	8.70	647,092	13.19
Other receivables	119,317	2.20	95,551	1.79	52,801	1.08
Inventories	334,475	6.16	308,227	5.79	315,852	6.44
Real estate development for sale	18,511	0.34	-	-	-	-
Current tax assets	2,966	0.05	2,966	0.06	2,966	0.06
Other Current financial assets	28,179	0.52	14,515	0.27	11,914	0.24
Non-current assets classified as held for sale	8,710	0.16	9,699	0.18	-	-
Other current assets	16,762	0.31	16,590	0.31	18,845	0.38
Total current assets	1,224,099	22.55	1,171,947	22.00	1,177,903	24.00
Non-current assets						
Other non-current financial assets	13,867	0.26	2,817	0.05	1,360	0.03
Investment property	205,751	3.79	206,388	3.88	206,388	4.21
Property, plant equipment	3,694,422	68.06	3,717,699	69.80	3,460,620	70.52
Right- of -use assets	211,744	3.90	167,421	3.14	-	-
Intangible assets	54,323	1.00	49,686	0.93	52,063	1.06
Deferred tax assets	467	0.01	375	0.01	278	0.01
Other non- current assets	23,259	0.43	9,779	0.18	8,365	0.17
Total non-current assets	4,203,833	77.45	4,154,164	78.00	3,729,074	76.00
Total Assets	5,427,931	100.00	5,326,111	100.00	4,906,976	100.00

Description	As 31 December					
	2021		2020		2019	
	In thousand Baht	%	In thousand Baht	%	In thousand Baht	%
Liabilities and equity						
Current liabilities						
Short - term loan from financial institutions	62,000	1.14	17,000	0.32	110,000	2.24
Trade accounts payable	305,134	5.62	211,889	3.98	185,504	3.78
Other payable	366,093	6.74	534,040	10.03	610,157	12.43
Current portion of long-term loan	83,640	1.54	90,360	1.70	97,660	1.99
Current portion of lease liabilities	74,156	1.37	65,713	1.23	57,897	1.18
Current income tax payable	52,591	0.97	31,530	0.59	-	-
Total current liabilities	943,614	17.38	950,532	17.85	1,061,218	21.63
Non- current liabilities						
Long-term loan	83,440	1.54	167,340	3.14	257,700	5.25
Lease liabilities	138,500	2.55	100,914	1.89	107,901	2.20
Customers' deposits on bottlers and cases	14,588	0.27	16,635	0.31	21,513	0.44
Deferred tax liabilities	319,886	5.89	331,992	6.23	256,783	5.23
Non- current provisions for employee benefits	301,386	5.55	304,723	5.72	287,145	5.85
Other non-current provisions	12,615	0.23	-	-	-	-
Total non-current liabilities	870,414	16.04	921,604	17.30	931,041	18.97
Total liabilities	1,814,028	33.42	1,872,137	35.15	1,992,259	40.60
Equity						
Share Capital						
Authorized share capital	201,210		201,210		201,210	
Issued and paid-up share capital	200,961	3.70	200,961	3.77	200,961	4.10
Share premium on ordinary shares	392,838	7.24	392,838	7.38	392,838	8.01
Retained earning						
Appropriated						
Regal reserve	25,000	0.46	25,000	0.47	25,000	0.51

Description	As 31 December					
	2021		2020		2019	
	In thousand Baht	%	In thousand Baht	%	In thousand Baht	%
General reserve	35,000	0.64	35,000	0.66	35,000	0.71
Unappropriated	1,339,316	24.67	1,181,307	22.18	972,621	19.82
Other components of equity	1,615,559	29.76	1,615,477	30.33	1,288,276	26.25
Equity attributable to owners of the parent	3,608,674	66.48	3,450,582	64.79	2,914,695	59.40
Non- controlling interests	5,229	0.10	3,393	0.06	22	0.00
Total Equity	3,613,903	66.58	3,453,975	64.85	2,914,717	59.40
Total Liabilities and equity	5,427,931	100.00	5,326,111	100.00	4,906,976	100.00

(b) Consolidated financial statements for the year ended 31 December 2019, 2020 and 2021

Description	As 31 December					
	2021		2020		2019	
	In thousand Baht	%	In thousand Baht	%	In thousand Baht	%
Revenue						
Revenue from sale goods	6,517,954	100.00	6,425,419	100.00	6,775,501	100.00
Dividend Income	71	0.00	48	0.00	48	0.00
Net foreign exchange gain	197	0.00	-	-	1,952	0.03
Other income	26,330	0.40	18,625	0.29	14,787	0.22
Total revenue	6,544,552	100.41	6,444,092	100.29	6,792,288	100.25
Expenses						
Cost of sales of goods	3,893,319	59.73	3,741,906	58.24	4,183,661	61.75
Distribution costs	1,227,899	19.61	1,271,886	19.79	1,415,770	20.90
Administrative expenses	731,671	11.23	781,298	12.16	691,522	10.21
Total expense	5,902,889	90.56	5,795,090	90.19	6,290,953	92.85
Profit from operating activities	641,663	9.84	649,002	10.10	501,335	7.40
Finance costs	12,927	0.20	16,670	0.26	24,271	0.36
Profit before income tax expense	628,736	9.65	632,332	9.84	477,064	7.04
Tax expense	(95,414)	(1.46)	(67,391)	(1.05)	(36,344)	(0.54)
Profit for the year	533,322	8.18	564,941	8.79	440,720	6.50

Description	As 31 December					
	2021		2020		2019	
	In thousand Baht	%	In thousand Baht	%	In thousand Baht	%
Other comprehensive income						
Items that will not be reclassified to profit or loss						
Gain (loss) on investments in equity instruments designated at FVOCI	102	0.00	(1,042)	(0.02)	340	0.01
Gain on revaluation of assets	-	-	410,043	6.38	-	-
Gain (loss) on remeasurements of defined benefit plans	18,056	0.28	(4,950)	(0.08)	(50,132)	(0.74)
Income tax relating to items that will not be reclassified	(3,575)	(5,035.21)	(80,810)	(168,354.17)	9,958	20,745.83
Other comprehensive income for the year, net of tax	14,583	0.22	323,241	5.03	(39,834)	(0.59)
Total comprehensive income for the year	547,905	8.41	888,182	13.82	400,886	5.92
Profit (loss) attributable to:						
Owners of the parent	535,391	8.21	566,336	8.81	440,701	6.50
Non-controlling interests	(2,069)	(0.03)	(1,394)	(0.02)	19	0.00
	533,322	8.18	564,941	8.79	440,719	6.50
Total comprehensive income (expense) attributable to:						
Owners of the parent	549,933	8.44	889,576	13.84	400,867	5.92
Non-controlling interests	(2,069)	(0.03)	(1,394)	(0.02)	19	0.00
	547,864	8.41	888,182	13.82	400,885	5.92
Basic earnings per share	2.66		2.82		2.21	

(c) Consolidated statements of cash flows for the years ended December 31, 2021, 2020 and 2019

Unit: THB thousand	2021	2020	2019
Net cash provided by operating activities	755,125	1,023,357	725,595
Net cash from (used in) investing activity	(275,732)	(269,039)	(213,411)
Net cash used in financing activities	(523,407)	(621,504)	(487,057)
Net increase (decrease) in cash and equivalents	(44,014)	132,813	25,127
Cash and cash equivalents at 1 January	261,246	128,433	103,306
Cash and cash equivalents at 31 December	217,232	261,246	128,433

(d) Key financial ratio of the consolidated financial statements

	2021	2020	2021
LIQUIDITY RATIO			
Current ratio ^{1/} (Times)	1.30	1.23	1.11
Quick ratio ^{2/} (Times)	0.77	0.78	0.74
Cash flow liquidity ratio ^{3/} (Times)	0.80	1.02	0.68
Accounts receivable turnover ^{4/} (Times)	13.85	11.57	11.46
Average collection period ^{5/} (Days)	26.35	31.53	31.85
Inventory turnover ratio ^{6/} (Times)	12.12	11.99	14.04
Day's supply in inventory ^{7/} (Days)	30.13	30.44	26.00
Accounts payable turnover ratio ^{8/} (Times)	15.06	18.83	18.37
Average payment period ^{9/} (Days)	24.24	19.38	19.86
Cash Cycle ^{10/} (Days)	32.24	42.59	37.99
PROFITABILITY RATIO			
Gross profit margin ^{11/} (%)	40.27	41.76	38.25
Operating profit margin ^{12/} (%)	8.19	8.71	6.45
Net profit margin ^{13/} (%)	8.18	8.79	6.50
Return on equity ^{14/} (%)	15.11	17.75	15.66
EFFICIENCY RATIO			
Return on assets ^{15/} (%)	11.93	12.68	10.37
Return on fixed assets ^{16/} (%)	20.54	22.27	19.47
Total assets turnover ^{17/} (Times)	1.22	1.26	1.41
FINANCIAL POLICY RATIO			
Debt to equity ratio ^{18/} (Times)	0.50	0.54	0.68
Interest coverage ratio ^{19/} (Times)	49.64	38.93	20.66
Dividend payout ratio ^{20/} (%)	67.29	67.38	79.64

^{1/} Current ratio = Total current assets / Total current liabilities

^{2/} Quick ratio = (Trade accounts receivable + Cash and equivalents) / Total current liabilities

^{3/} Cash flow liquidity ratio = Cash flows from operating activities / Average current liabilities

^{4/} Accounts receivable turnover = revenue from sale of goods / Average trade accounts receivable

^{5/} Average collection period = 365 / Trade accounts receivable turnover ratio

^{6/} Inventory turnover ratio = Cost of sales of goods / Average inventories

^{7/} Day's supply in inventory = $365 / \text{Inventory turnover ratio}$

^{8/} Accounts payable turnover = $\text{Cost of sales of goods} / \text{Average accounts payable}$

^{9/} Average payment period = $365 / \text{Accounts payable turnover ratio}$

^{10/} Cash Cycle = $\text{Average collection period} + \text{Day's supply in inventory} - \text{Average payment period}$

^{11/} Gross profit margin = $\text{Gross profit} / \text{Revenue from sale of goods} \times 100$

^{12/} Operating profit margin = $\text{Operating profit} / \text{Revenue from sale of goods} \times 100$

^{13/} Net profit margin = $\text{Net profit} / \text{Revenue from sale of goods} \times 100$

^{14/} Return on equity = $\text{Retain earnings} / \text{Average equity attributable to owners of the parent} \times 100$

^{15/} Return on assets = $\text{Profit (loss) before interest and income tax expense} / \text{Total assets} \times 100$

^{16/} Return on fixed assets = $(\text{Retain earnings} + \text{depreciation}) / \text{Average fixed assets} \times 100$

^{17/} Total assets turnover = $\text{Total revenue} / \text{Average Fixed assets}$

^{18/} Debt to equity ratio = $\text{Total liabilities} / \text{equity attributable to owners of the parent}$

^{19/} Interest coverage ratio = $\text{Profit before interest and tax expense} / \text{Finance costs}$

^{20/} Dividend payout ratio = $\text{Dividend per share} / \text{Net profit per share} \times 100$

General Information and Other Important Information

5.1 References

Registrar	Auditor
Thailand Securities Depository Co., Ltd. 93 Ratchadaphisek Road, Dindang, Bangkok 10440 Tel: 0 2009 9000 Fax: 0-2009 9991 SET Contract center: 0-2009 9999 E-mail: SETContractCenter@set.or.th Website: http://www.set.or.th/tsd	KPMG Phoomchai Audit Ltd. Empire Tower, 50th -51st Floors, 1 South Sathorn Road, Yannawa, Sathorn, Bangkok 10120 Tel: 0 2677 2000 Fax: 0-2677 2222 E-mail (general issues): info@kpmg.co.th E-mail (service request): yyothakarnpinij@kpmg.co.th Website: www.kpmg.com

5.2 Other Important Information

- None -

5.3 Legal Disputes

- None -

5.4 Secondary Market

- None -

PART 2

CORPORATE

GOVERNANCE

Corporate Governance Policy

6.1 An Overview of Corporate Governance Policies and Practical Guidelines

The Board of Directors and the Executives have been giving priority to and guidelines for corporate practice, control and supervision by cultivating the Principles of Corporate Governance and Business Ethics among all sectors and levels of the employees. This aims to enhance efficiency and strength of the organization and promote sustainable growth, with the main focus on the Principles of Good Corporate Governance and continual development, so that the organization will be efficient in business operation and can make the highest benefits for its shareholders, its stakeholders, the society as a whole and the environment, including adhering to morals and ethics of operating verifiable business. Therefore, the Company has prepared the Handbook of Business Code of Conduct, whereas the Corporate Governance Committee is responsible for supervising all the directors, executive directors, executives and employees to abide by the rules and regulations as specified by the Security & Exchange Commission (SEC) and the Stock Exchange of Thailand (SET), the Articles of Association of the Company, the regulations as stipulated by the Public Limited Company Act, and other related laws as publicized on the Company's website under the heading of Corporate Governance or <https://www.haadthip.com/th/about/goodcorporate-governance>.

The Company also informs all the employees of the Ethical Business Operation Guidelines via the Employee Handbook on the days when they start working, so that they shall behave morally, honestly, responsibly and transparently towards different groups of stakeholders: customers, partners, rivals, shareholders, society, employees and co-workers. The guidelines have been specified in compliance with

the Revised Business Code of Conduct as follows:

1. realization of roles and responsibilities of the Directors as leaders who create sustainable value to the business;
2. specification of the objectives and major goals of the business to be achieved for the sustainability purpose;
3. enhancement of the Directors' effectiveness;
4. recruitment and improvement of high-ranking executives and personnel management;
5. promotion of innovation and responsible business operation;
6. provision of the appropriate risk management system and internal control;
7. maintenance of financial credibility and information disclosure; and
8. promotion of participation and communication with Shareholders.

Since the Board of Directors gives priority to good corporate governance and understands the Directors' roles, duties and responsibilities for the Company and all groups of the shareholders and stakeholders, the Company abides by the code of conduct for directors of listed companies in accordance with the guidelines required by the Stock Exchange of Thailand (SET) and the Security & Exchange Commission (SEC). According to the results of the survey on Corporate Governance of Listed Companies in 2021 conducted by the Thai Institute of directors (IOD), the Company obtained an average score of 85% at a rate of "Very Good" or 4-star level (). It was also scored between 90 and 99 which is rated as Excellent level, according to the Shareholders' Annual General Meeting Project of the Year 2021 (AGM Checklist), conducted by the Thai Investors Association (TIA).

Corporate Governance Policy

The Board of Directors has formulated the Company's Corporate Governance Policy in compliance with the guidelines specified by the Stock Exchange of Thailand (SET) and the Security & Exchange Commission (SEC) and referenced from the International Corporate Governance Principles of the Organization for Economic Cooperation and Development (OECD), with which the directors, the executives and all levels of the employees shall comply responsibly, carefully and honestly. The Board of Directors has also continually prepared communication, created understanding and monitored governance-related performances in order to ensure all groups of the shareholders, investors, stakeholders and related persons of the following:

1. The Board of Directors shall devote themselves to and be responsible for performing their duties, have independence, caution and honesty in order to achieve the goals as specified and clearly delegate roles and duties to the Chairman and the CEO.
2. The Board of Directors plays an important role in determining the Company's vision, strategies, policies and important plans by taking into consideration risk factors and establishing appropriate management approaches to ensure reliability of the accounting systems, financial reports and audits.
3. The Board of Directors shall be a leader of ethics, an example of operating in accordance with Good Corporate Governance Approach, and monitor management to solve conflicts of interest and connected transactions.
4. The Board of Directors shall possibly appoint some specific boards as appropriate so that they can assist in carefully considering and screening important tasks.
5. The Board of Directors shall consider determining the Company's philosophy and code of conduct so that all levels of the boards, executives, officials and employees as the operational guideline to be followed along with the Company's regulations.
6. The Board of Directors shall organize an annual operation assessment which can be used as a framework of inspecting its operations.
7. The Board of Directors shall enable the Company's shareholders to be equally treated, access information and communicate with the Company via appropriate channels.
8. The Board of Directors shall appropriately provide a system for recruiting personnel who will be responsible for holding all levels of important executive positions, including a fair and transparent nomination process.
9. The Board of Directors shall organize a sufficient, reliable and timely disclosure of the Company's financial and non-financial information so that the Company's shareholders and stakeholders will equally access information. Moreover, the Board of Directors shall establish the Investors Relations Unit, which is responsible for providing information to investors and the general public.
10. The Board of Directors shall provide an efficient system which supports anti-bribery and corruption to ensure that the Management will realize and prioritize anti-bribery and corruption, including abiding by the anti-corruption measure.

The Company has its Business Code of Conduct published in Thai and English via Intranet and on the Company's website.

Board of Directors-related Policy and Guideline

The Board of Directors consists of experienced experts with leadership, vision, independent decision-making, devotion and perseverance. They shall perform their duties responsibly, carefully and honestly for the highest benefits of the Company and all the shareholders and the stakeholders. The Board of Directors has been appointed to supervise the Company's operation, whereas the Management has been appointed to take charge in business operation. The specific boards have been appointed to carry out specific tasks, while the Company's Secretary has been appointed to proceed a meeting and abide by laws. The topics on the Board of Directors-related policy and guideline are specified as follows:

1. Components of the Board of Directors

The Board of Directors consists of experienced experts with leadership, vision, independent decision-making, devotion and perseverance. They shall perform their duties responsibly, carefully and honestly for the highest benefits of the Company and all the shareholders and the stakeholders.

The Board of Directors of HaadThip consists of 12 persons: 5 independent directors (or more than 1/3 of the whole Board of Directors), 3 directors who are the executives, and 4 directors who are not the executives. The Chairman of the Board shall be an independent director, whereas the Directors shall vary in terms of skills, knowledge, capability, experiences, races, nationalities, genders and ages. However, to produce efficient work and mental diversity, the Company's Board of Directors consists of 4 female members, that is, 3 of them are not the executives, namely, Mrs. Yupares Thiengtham, Miss Smornluk Mahasmiti and Mrs. Kerry-Ann Shipp, and 1 of them is an executive, namely, Mrs. Pariya Chirabandhu.

2. Independence of the Board of Directors

To protect the Company's and the shareholders' benefits, the Board of Directors shall identify, make comments and cast votes during activities where they have authority to make decisions independently. If their decisions are made under pressure or at stake, they tend to be based on their decision-makers or their intimates or for their benefits. Therefore, independence of the Board of Directors should be particularly taken into consideration.

3. Roles, Duties and Authorities of the Board of Directors

The Board of Directors shall act as delegates for shareholders, take charge in operational results on shareholders, determine growth directions, make important decisions for the Company with caution and honesty and also play a vital role in supervising the Company's business for its highest benefits. The Board of Directors shall professionally perform their duties to take care of all parties' benefits and be independent on the Management so that it can supervise operations and performances of the Management, risk management and remuneration.

4. Roles and Duties of the Chairman

- The Chairman shall be independent on the Management, refrain from intervening their daily management routines and have different roles and duties when compared with those of the Management.
- The Chairman shall supervise the Board of Directors to perform their duties efficiently and promote, give advice to and assist in the Management's operation to be carried out within the authority frame assigned by the Board of Directors.
- The Chairman shall approve of organizing agendas of the Board meetings by discussing with the CEO.
- The Chairman shall efficiently act as the chairman of all Board of Directors' and Shareholders' Meetings.
- The Chairman shall encourage the directors to comply with and adhere to the scope of their authority and responsibilities for the shareholders and stakeholders as well as the Company's Good Corporate Governance Principles, Ethical Standards and Business Code of Conduct.

5. Establishment of Sub-Committees

To make careful and efficient consideration and screening of important operations, the Board of Directors has established four Sub-Committees: the Audit Committee, the Nomination and Remuneration Committee, the Corporate Governance Committee and the Risk Management and Sustainability Development Committee (Managerial Level).

6. Board of Directors' Meetings and Receipt of Documents

All the Directors should attend every Board of Directors' Meeting for which the Secretary's Office of the Company is responsible for preparing documents and meeting rooms and coordinating with related parties. Each Director shall be notified of dates and time of the meeting, agendas and relevant information so that he/she has enough time to read the documents beforehand.

However, the Company usually specifies meeting schedules in advance throughout the year so that each Director can prepare himself/herself to fit in the schedules.

7. The Company's Secretary

The Board of Directors appoints the Company's Secretary who prepares Board of Directors' and Shareholders' Meetings so that they can proceed smoothly and transparently in accordance with rules and legislation.

8. Performance Appraisal

The Board of Directors shall have a performance appraisal conducted every year because it can be used as a framework for inspecting its operations, considering, as well as reviewing and analyzing performances for further operational improvement.

9. Remunerations for the Board of Directors and the CEO

Since remuneration is regarded as a conflict of interest, the Board of Directors and the CEO are not eligible for determining their own remunerations. The Nomination and Remuneration Committee shall manage and consider their remunerations before proposing them to the Board of Directors for agreement. Remunerations for Directors shall be proposed to shareholders for approval.

10. Succession Plan

The Board of Directors realizes that lack of a successor for the CEO is one of the major risks for which the Company should prepare measures because it will probably have great impacts on the Company in terms of continuation of administration, especially in the positions of the CEO and other top executives. To continue internal operations smoothly, a succession plan for the executives shall be reviewed during each annual Board of Directors' Meeting by preparation in different aspects, such as structuring hierarchical administrative power and distributing more responsibilities to mid/high-level executives, including making training plans on essential topics, so that the successor will be prepared and potentially improved to hold his/her position.

The Management is currently considering preparing the succession plan. After that, the plan will be proposed to the Nomination and Remuneration Board for consideration in accordance with the Company's business operation direction before being submitted to the Board of Directors for approval.

T&L ACTION TRACKER “SUCCESSION Plan” Q4 2021



2 exercises will be discussed with VPs for input 1) Functional competency 2) Talents & Hipo

11. Director Development

The Company organizes an orientation for new Directors and prepares the Directors' Handbook, documents, information useful for being the Company's Directors, including a description on business operation tips to provide knowledge and understanding of business and aspects of operations, as well as policies and operational guidelines for the Company's Good Corporate Governance. This aims to improve the new Directors' knowledge, capability and skills before they hold office, encourage them to continually participate in trainings on related courses, hosted by the Thai Institute of Directors (IOD) and other institutes throughout the year.

12. Policy of Being Directors or Executives at Other Listed Companies

The Company specifies the policy of being directors at no more than 5 other listed companies in Thailand, that is, the Directors who are also the executives can hold office at no more than 2 other listed companies, whereas the CEO cannot hold any office at other listed companies.

13. Supervision of Subsidiaries and Affiliates

The Company has a policy of appointing delegates Directors authorized over its subsidiaries to monitor and supervise their management efficiently and effectively in compliance with the Company's guidelines, strategies and policies.

The Company supervises its joint ventures in accordance with the strategies as mutually agreed and identified in the joint venture contracts.

The Company's Achievements in Business Supervision and Sustainability



Human Rights
Awards 2021:
Organization



Results of Corporate Governance Report
at the **“very good”** level
assessed by the Institute of Directors

One of the 146 listed companies
whose names are categorized as
**“Thailand sustainability
Investment (THSI)”**
by the Stock Exchange of Thailand



One of the
“100 ESG companies ”
by THAIPAT Institute



Re-certification to be a member of
Thai Private Sector Collective Action
Coalition Against Corruption



Maj. Gen. Patchara Rattakul, CEO,
received
**“UN Women 2021 Thailand
WEPA Awards”**
for Organization leaders for sexual
equality-promoting organization leaders.

Stakeholder-related Policy and Operational Guideline

1. Rights of Shareholders

The Board of Directors realizes the shareholders' rights as specified by laws and therefore encourage them to exercise their rights as appropriate and refrain from doing anything that violates the shareholders' rights or deprive them of their rights, no matter what critical events or situations that cannot be controlled by the Company happen, such as the spread of COVID-19 in the year 2020. For this reason, the Company had to organize the 2021 Shareholders' General Meeting via electronic media. However, the Company fully promotes the shareholders' rights and allows the minority of shareholders to propose additional agendas in advance before the day when the Shareholders' Meeting is held, including nominating candidates qualified for being the Company's Directors by disseminating the rules, as well as complaint channels and periods of time to the shareholders via the Company's website or communicating via the Company's website about information and documents related to the Shareholders' General Meetings, resembling the ones, coupled with invitation letters, mailed by the Company to the shareholders. The invitation letters include the following information: (1) agendas of the meetings, including the Board of Directors' reasons and opinions on proposed matters; (2) dates, time and details of using the meeting system step by step via electronic media; (3) registration principles and documents and (4) opportunities for the shareholders to send queries related to the agendas beforehand to the Company by email at sudaluck@haadthip.com or by fax at 02-381-2257 or by reply post to the Secretary's Office at 36/6 Soi Ramkhamhaeng 21 (Navasri) Yaek 5, Khwaeng Plabpla, Khet Wang Thonglang, Bangkok 10310 so that the Board of Directors will consider the queries and completely reply to them at the Shareholders' Meetings.

Schedules of Shareholders' Meetings

The Company schedules an annual Shareholders' Meeting to be held within 4 months after the last day of the Company's fiscal year. In case of emergency in proposing special agendas, which affect or involve the Shareholders' benefits or enactment of terms, rules or laws having been approved by the shareholders, the Company will call for Shareholders' Extraordinary General Meetings depending on each specific case.

The Company scheduled the Shareholders' General Meeting of the year 2021 on Monday, 26 April 2021 at 14:30 hrs. at Regency Ballroom, 5th Floor, the Hyatt Regency Hotel Bangkok Sukhumwit, 1 Sukhumwit Soi 13, Khwaeng Klong Toei Nuea, Khet Wattana, Bangkok. Due to the new waves of COVID-19, a lot of infected people have been found in Thailand. For this reason, the Company realized that safety in health and hygiene should be provided at the highest level to the shareholders, staff and contributors of the Shareholders' General Meeting 2021 organized on the specified date, time and place. Moreover, the government sector has asked people and private agencies to stop holding crowded activities in order to deter and prevent spreads of COVID-19. Therefore, the Shareholders' General meeting 2021, held on April 12, 2021, approved of organizing the Shareholders' general meeting 2021 via electronic media (E-AGM), instead of attending in person, in order to avoid meeting in a confined area, as required by laws. However, the date and time of the Meeting remained unchanged, that is, the Meeting was held on Monday, April 26, 2021 at 14:30 hrs. The list of shareholders qualified for attending the Meeting was announced on the Record Date as notified earlier, and no new agendas were added, in accordance with the Board of Directors' resolution No. 1/2021, on March 11, 2021. The 2021 Shareholders' General Meeting was held via electronic media (E-AGM) and telecast from the Meeting Room at HaadThip Company, 36/6 Soi Ramkhamhaeng 21 (Navasri), Khwaeng Plabpla, Khet Wang Thonglang, Bangkok.

Dispatching of Invitation Letters in Advance

The Company has assigned Thailand Securities Depository (TSD), acting as the registrar of the Company's securities, to dispatch invitation letters with details of agendas, additional information important and essential for decision-making, and related meeting documents, namely, previous minutes with complete details, annual reports in the QR Code form, correct proxy forms as specified by laws and registration forms for attending the Shareholders' General Meeting via electronic media (E-AGM). Each shareholder is required to complete the form in order to express his/her will to attend the Meeting in person or by proxy, that is, assigning an independent director of his/her company to attend the Meeting. The forms shall be dispatched to the Shareholders

14 days before the Shareholders' Meeting and announced on local daily newspapers for 3 consecutive working days or 3 days before the Meeting day so that the Shareholders will be reminded of the Meeting and have enough time to prepare themselves for the Meeting.

Since the 2021 Shareholders' General Meeting was conducted via electronic media (E-AGM), before the Meeting day the Company sent the Meeting link, usernames, passwords as well as contact channels, in case of any problems of using the Meeting program via electronic media (E-AGM), to all the shareholders having registered to attend the Shareholders' General Meeting via electronic media (E-AGM).

As for the 2021 Shareholders' General Meeting, the Company has disclosed the information on the Letter of Invitation and supporting documents on the Company's website at www.haadthip.com at least 30 days prior to the Meeting date.

How to Conduct a Shareholders' Meeting

Before each Shareholders' Meeting, the Chairman of the Meeting shall introduce the Board of Directors, the Management, the Auditors, the Moderator and the Witnesses to the Meeting and then notify all the rules and the method of counting Shareholders' votes on resolutions for each agenda, as specified by the Company's regulations, including explicitly exercising the right to vote at each agenda. After notifying the Meeting of the information as specified in the agenda, the Chairman shall allow all the participants to express opinions and suggestions or ask queries related to the agenda. After that, the Chairman and the Executives shall reply to each query clearly, relevantly and equally. Then the Meeting shall vote on resolutions at the agenda. As for an election of Directors, the chairman shall allow each Shareholder to vote individually.

However, since the 2021 Shareholders' General Meeting was conducted via electronic media (E-AGM), the Company had prepared efficient staff, as well as appropriate, user-friendly, speedy and transparent systems and technology in order to facilitate the shareholders a proxy holder at each stage of attending the Meeting via electronic media (E-AGM), provided by Quidlab Co., Ltd., which took charge from registration, vote counting, query submission to processing. Each participant can watch live broadcast throughout the Meeting,

including the results of vote counting at each Agenda.

Before the Meeting started, the Company had a video on how to use the meeting program via electronic media (E-AGM) played, including explaining to the shareholders and the proxy holders how to cast and count votes and ask queries. The shareholders and the proxy holders could press the Vote button on the Meeting program via electronic media (E-AGM) any time before the results of vote counting were announced at the agenda. Then the shareholders and the proxy holders were informed of the results of vote counting at each agenda.

The Company allowed the shareholders and the proxy holders to exercise the right to attend the Meeting via electronic media (E-AGM) after the Meeting had started and the right to vote at the agenda where they were present during consideration, and no resolutions were made at the agenda. In fact, the Company had examined the rights and documents before sending the Shareholders and the proxy holders the Meeting link, usernames, passwords and contact channels in case they had problems using the Meeting program via electronic media (E-AGM).

The Chairman would conduct the Meeting in order of the agendas and not add any agendas without giving any prior notice to the Shareholders and the proxy holders, except that the Meeting would reach a resolution to re-arrange the agendas with a majority vote of two-thirds or more of the Shareholders attending the Meeting and having the right to vote. The shareholders with no less than one-third of a total number of sold-off shares may ask the Meeting to consider other matters not included in the invitation letters. However, at the 2021 Shareholders' General Meeting, no re-arrangement of the agendas was made, and the Meeting was not requested to consider other matters not included in the invitation letters.

At the beginning of the 2021 Shareholders' General Meeting, 149 shareholders attended the Meeting, and 22 of them attended the Meeting in person, holding 16,443, 577 shares in total, whereas 127 proxy holders held 66,112,118 shares in total. Therefore, both the shareholders and the proxy holders held 102,555,695 shares in total or 51.0764%, which exceeded one-third of the issued and paid-up shares capital of the Company's totaling 200,960,500 shares.

After the Meeting has begun, more shareholders and proxy holder gradually arrive, which has led to an increase in the total number of shareholders to 154 shareholders, totaling 102,643,295 shares or 51.0764% that can be divided in to 27 shareholders in person totaling 16,531,177 shares, and 127 shareholders attending by proxy to 86,112,118 shares.

The Directors, the Executives and the Auditors attending the Meeting and giving replies and explanations were as follows:

List of Attending Directors

- | | | | |
|----|--------------------|---------------|--|
| 1. | Gen. Charan | Gullavanijaya | Independent Director/Chairman of the Company |
| 2. | Maj. Gen. Patchara | Rattakul | Director/CEO |
| 3. | Mr. Prakrit | Pradipasen | Independent Director/Chairman of the Audit Committee |

List of Directors Attending via Electronic Media

- | | | | |
|----|-----------------|---------------|--|
| 1. | Mr. Yanyong | Maethapanich | Independent Director/Member of the Audit Committee/Member of the Nomination and Remuneration Committee |
| 2. | Mrs. Pariya | Chirabhandhu | Director/Member of the Nomination and Remuneration Committee |
| 3. | Mr. Dumrongrugs | Apibalsawasdi | Director |

Non-attending Directors

- | | | | |
|----|------------------|------------|--|
| 1. | Mrs. Yupares | Thiengtham | Director/Chairman of the Nomination and Remuneration Committee |
| 2. | Miss Smornluk | Mahasmiti | Independent Director/Member of the Audit Committee/Member of the Nomination and Remuneration Committee |
| 3. | Mr. Martin | Jansen | Independent Director |
| 4. | Mr. Philipp Hugo | Gutsche | Director |
| 5. | Mrs. Kerry-Ann | Shipp | Director |
| 6. | M.L. Dhisana | Sritavaj | Director |

List of Attending Management

- | | | |
|-----------------|----------|-------------------------------|
| Mr. Amrit Kumar | Shrestha | Chief Financial Officer (CFO) |
|-----------------|----------|-------------------------------|

List of Management Attending via Electronic Media

- | | | | |
|----|---------------------------------|-----------------------------------|--|
| 1. | Mr. Jose Henrique Zeitune | Chief Operational Officer (COO) | |
| 2. | Mr. Riccardo Vrodom Sucharitkul | Vice President-Corporate Strategy | |
| 3. | Mr. Sarapat | Thiengtham | Managing Director - HT Food & Beverages Co., Ltd. |
| 4. | Miss Plernpun | Ratchakitprakarn | Executive Assistant to the CEO |
| 5. | Miss Nithinart | Juntasurat | Accounting Director in charge of Accounting Supervision (Accountant) |
| 6. | Mr. Pongsakorn | Thiengtham | Financial Advisor to the CEO |

List of Auditors from KPMG Phoomchai Audit Co., Ltd. Attending via Electronic Media

- | | | | |
|----|-------------------|------------|-----------------------|
| 1. | Miss Krittika | Kongkerd | CPA License No. 10634 |
| 2. | Mr. Thanit | Osathalert | CPA License No. 5155 |
| 3. | Miss Pawinee | Nissaisuk | Auditing Manager |
| 4. | Miss Duangruethai | Dansawat | Auditing Manager |

Legal Representative and Vote Counting Witness

- | | | |
|----------|---------------|----------------|
| Mr. Adul | Kosakijjalert | Legal Official |
|----------|---------------|----------------|

Guidelines Related to Conflicts of Interest for Shareholders' Meetings

The Board of Directors has specified the Shareholders' Meeting Guidelines, stating that, if any Director has a stake or involvement in any agenda, he/she shall inform the Meeting of his/her not attending the Meeting or refraining from voting at that agenda.

Actions Taken after Shareholders Meetings

The Company shall dispatch a summary of resolution results obtained from Shareholders' Meetings to the Stock Exchange of Thailand no later than 9:00 hrs. of the next working day and prepare as well as submit the Shareholders' Report which records the minutes, voting results and Shareholders' queries at each Agenda (if any) and have it published on the Company's website at www.haadthip.com within 14 days.

2. Equal Treatment Towards Shareholders

All of the shareholders of the Company shall be fairly and equally treated in accordance with their fundamental rights, regardless of gender, age, race, nationality, belief, social status, disability or political view. Although any Shareholder cannot attend the Meetings for any reason, he/she still has the right to authorize a proxy or an independent director to attend the Meeting and cast votes on his/her behalf. Moreover, the Company has imposed a measure to prevent conflicts of interest or wrongful exploitation of internal information for one's own or others' benefits.

Guidelines for Equal Treatment Towards Shareholders

1. Proposal of Additional Agendas and Pre-nomination of Directors

To enable Shareholders to get involved in its operation, the Company has specified the principles that allow the majority of Shareholders to propose agendas and/or pre-nominate someone to be elected Directors. The principles have been published on the Company's website at www.haadthip.com

The majority of shareholders were given an opportunity to have the right to propose additional agendas and/or pre-nominate candidates for Directors during the 2021 Shareholders' General Meeting. The Company had the principles published on the Company's website at www.haadthip.com from November 30, 2020 to December 31, 2020 and on the SET's website. However, no shareholders proposed additional agendas or pre-nominated any candidates for the Directors of the Company.

2. Authorizing a Proxy to Attend Meetings

To maintain the right for any Shareholders unable to attending the Meeting, he/she may authorize a proxy or an independent director of the Company by identifying the name of his/her proxy/independent director on the proxy form as required by the Ministry of Commerce so that the proxy/independent director can attend the meeting and cast votes on his/her behalf unconditionally.

Moreover, the company has the proxy form published on the Company's website at www.haadthip.com at least 30 days or so before the Shareholders' Meeting day. For more information, the Shareholders can call 02-391-4488 ext. 103 or email to cs.bkk@haadthip.com or sudaluck@haadthip.com.

3. Internal Information Protection

The Company has established the good guidelines for internal information protection by forbidding Directors, Executives and all levels of Employees to exploit any unpublished internal information essential for changes in the stock prices of the Company for their own benefits which including securities trading .

3. Roles Towards Stakeholders

The Company gives priority to giving protection for attention to all groups of Stakeholders as required by laws, refrains from violating Stakeholders' rights, promotes mutual responsibility between the Company and all groups of stakeholders: shareholders, employees, partners, business rivals, creditors, communities and environment. The details are as follows:

Shareholders: In addition to fundamental rights as specified by laws and the Company's regulations, such as the right to attend Shareholders' Meetings, the right to vote, the right to express opinions freely at the Meetings and the right to receive fair compensation, the Company also gives the shareholders the right to propose agendas and/or pre-nominate candidates for Directors, as specified in the Company's principles and methods, and have them published on the Company's website.

Employees: The Company treats all the employees equally and fairly, respect human rights, give them appropriate compensation, encourage them to improve knowledge and skills, provides them with opportunities thoroughly and regularly, maintains their work environments, strictly abides by employee-related laws and regulations and enhance their determination to prevent and eliminate all forms of corruption. According to the Company's policy, the Employees' names shall be appropriately protected and kept secret.

Customers: The Company shall manufacture standard and quality products, focuses on safety and quality of the products under the Coca-Cola Quality Control System, which is of the same standard throughout the world and was certified with the Food Safety Management System Certification (FSSC 22000), avoid setting exorbitant prices or unfair conditions on customers, keep customers' secrets, provides customers with complaint service centers, and takes immediate actions for ultimate customer satisfaction with the products and services.

Traders: The Company shall purchase products and services from traders, as required by the normal trading conditions, by strictly complying with contracts and promises made with traders and refrain from dishonestly requesting, receiving or paying any trade benefits when doing business with traders.

Business Rivals: The Company shall do business under the good competition rules, maintain the norms of competition rules, refrain from hacking into secret information of the trade rivals, and avoid using dishonest tactics to destroy the rivals. During the past years, the Company has made no trade disputes with its rivals.

Creditors: The Company shall strictly maintain and fulfil the conditions made with its creditors, regarding repayment, collateral security, and other conditions and refrain from spending loans on contrary with the objectives in the agreement made with the creditors.

Communities and Environment: The Company has determined the Quality policy and the Safety and Environment Policy and encouraged the Employees to follow the policies to ensure all related persons that the Company always considers factors of quality, safety and environment and makes continual development. Moreover, the Company has been certified with the ISO 14001: Environmental Management System Standard, and the CSR-DIW Awards 2010 and 2011: Corporate Social Responsibility, by the Department of Industrial Works.

In addition to giving priority to all groups of the stakeholders aforementioned, the Company pays attention to suggestions, opinions or whistleblowing which enables the Company to develop, improve or proceed its operation. The Company also provides the Stakeholders with contact channels in case of any inappropriate or incorrect situations. If any Stakeholder would like the Company to correct or clarify anything or would like to make suggestions, he/she can contact the Internal Audit Office at internalaudit@haadthip.com or call 074-210-008 ext. 124, 307 or call the Customer Information center (CIC) at 074-210-008-18 ext. 242, 252.

4. Information Disclosure and Transparency

The Board of Directors has a policy for the Company to operate with transparency and traceability, disclose sufficient information to all related parties, take care of disclosing correct, complete, and reliable information equally accessible to all parties.

The Company shall respect and pay attention to personal information protection of all groups of related Stakeholders, prevent personal information from being exploited and keep such information safe, as required by the Personal Information Protection Law. The Office of Investors Relations is responsible for disseminating the Company's financial and general information to its securities analysts and investors

and being a channel for interested persons to contact and communicate with the Company. During the spread of COVID-19, the Office of Investors Relations has changed forms of meeting with the Company's securities analysts and investors into virtual and telephone meetings, whereas the Secretary's Office is responsible for disseminating information, spreading news, and communicate as well as contact with Shareholders in order to equally provide them with correct, sufficient information in a timely manner, in accordance with related rules, standards and guidelines. Moreover, the Company has a policy of internal information management and disclosure so that the information essential for changes in stock prices or securities values will be correctly disclosed to the public, not against related laws and regulations. That is, all the Directors, Management and Employees follow the same policies which cover internal information management methods, characteristics of internal information to be disclosed and internal information disclosure methods.

As for the financial reports, the Company has prepared financial statements in accordance with the Accounting Standards and the Financial Reporting Standards, promulgated by the Federation of Accounting Professions, including the Generally accepted Accounting Principles of Thailand, from which the appropriate accounting policies have been selected and regularly adopted. The Board of Directors is responsible only for separate financial statements of the Company and consolidated financial statements of the Company and its subsidiaries, preparing them with careful consideration and optimal estimation, and disclosing enough important information in the footnotes to financial statements, so that the financial statements will be reliable and useful for Shareholders and general investors.

In terms of product-related information, the Company shall sell products and do marketing honestly and responsibly. All the information used for sale promotion, advertising and communication in the name of the Company shall not be false or misunderstood. Instead, it shall include honest and transparent explanations of facts and relevant information and comply with related laws and regulations.

The practical guideline for information disclosure and transparency can be summarized as follows:

1. The Company gives priority to disclosure of its important information, both financial and non-financial, to Shareholders and investors in an accurate, complete, timely and reliable manner, as specified by rules and regulations, and the regulations of the Securities and Exchange Commission (SEC) and the Stock Exchange of Thailand (SET) via the SET channel at SET Community Portal www.setportal.set.or.th or the Company's website at www.haadthip.com, both in Thai and in English, so that users can equally access the information.
2. The Company discloses information in the 56-1 One Report Form, as specified by the regulations of the SEC and the SET.
3. The Company stipulates that audit fees and other related service fees be disclosed in the 56-1 One Report Form.
4. The Company requires that the Board of Directors report their responsibilities for financial reports, coupled with CPAs' reports, in the 56-1 One Report Form.
5. The Company has determined the principles, conditions and methods of reporting stake-holding of Directors, Management and related persons in compliance with Article 89/1 of the Securities and Exchange Act (No.4) B.E. 2551.
6. The Company shall have roles and duties of the Board of Directors, and the sub-committees, frequencies of the Meetings and frequencies of their attendance during the past year disclosed in the 56-1 One Report Form.
7. As for Investors Relations, Mrs. Anyanee Kerrick, Investors Relations Manager, is responsible for investors relations work, that is, coordinating with and providing information to institutional investors, analysts and shareholders. The Investors Relations manager can be reached by telephone at 02-391-4481 Ext. 138, 8248 or by email at ir@haadthip.com or anyanee.ker@haadthip.com. In 2021, the Company organized 4 analyst meetings, attended 5 meetings one-to-one with analyst fund managers, participated in 3 meetings between listed companies and investors (Opportunity Day) organized

by the SET and replying to Shareholders' and investors' queries via email at ir@haadthip.com.

8. In terms of conflicts of interest, the Board of Directors requires that doing transactions with major shareholders, Directors, Executives or anyone related to those persons be considered and approved by the Audit Committee, which takes good care of approving every step of doing transactions, strictly abide by the criteria and methods specified by the Stock Exchange of Thailand (SET), The Securities and Exchange Commission (SEC), and the Capital Market Supervisory Board. The transaction details such as type, value, counterparties of agreement, reasons and assurance of transparency shall be disclosed to the public via

the SET's electronic media or SET Community Portal at www.setportal.set.or.th and disclose the information in the 56-1 One Report Form.

The Board of Directors has approved in principle that, if the Company does any normal or promoting transaction with Directors, Executives or related persons under normal trade conditions in the future, the Management Division can approve the transaction and shall prepare a summary of doing any transaction worth more than THB 50 million and report the summary to the Meeting at the next meeting, in order to comply with Article 89/12 of the Securities and Exchange Act (no. 4) B.E. 2551.

6.2 Business Ethics

The Board of Directors has specified the code of conducts related with business ethics, in compliance with the Company's vision, so that the Company will grow along with the good society and sustainability. The Business Ethics shall be strictly followed by the Board of Directors, the Management, the employees and related agencies and used as the practical guideline for completing missions as assigned by the Company with loyalty, honesty and uprightness towards all groups of stakeholders. Moreover, compliance with the guideline shall be regularly followed up.



The content of the guideline covers the following principles:

1. All the shareholders and stakeholders, such as customers, creditors, business rivals, employees, the Government and the society as a whole shall be equally and fairly treated;
2. The Board of Directors is determined to create added value to activities in the long term with careful and discrete management, perform duties with sufficient capability and efficiency in order to create optimal benefits to the shareholders, prevent conflicts of interest and make decisions and take actions with responsibility;
3. The Board of Directors shall operate with transparency and traceability and give priority to disclose enough correct

information in a timely manner to all parties of related persons because this leads to credibility among investors, creditors and all parties of related persons; and

4. The Board of Directors shall operate business by taking possible risks into consideration regularly, under appropriate risk control and management, including all forms of risks caused by corruption and anti-corruption, with determination to promote the Principles of Good Corporate Practice, by encouraging continual / self - improvement among all agencies. The Business Ethics has been published on the Company's website at <https://www.haadthip.com> under the heading of Global Code of Conduct.

6.3 Significant Changes and Development of Corporate Governance 2021

In 2021, the Company made an important development of Good Corporate Governance as follows:

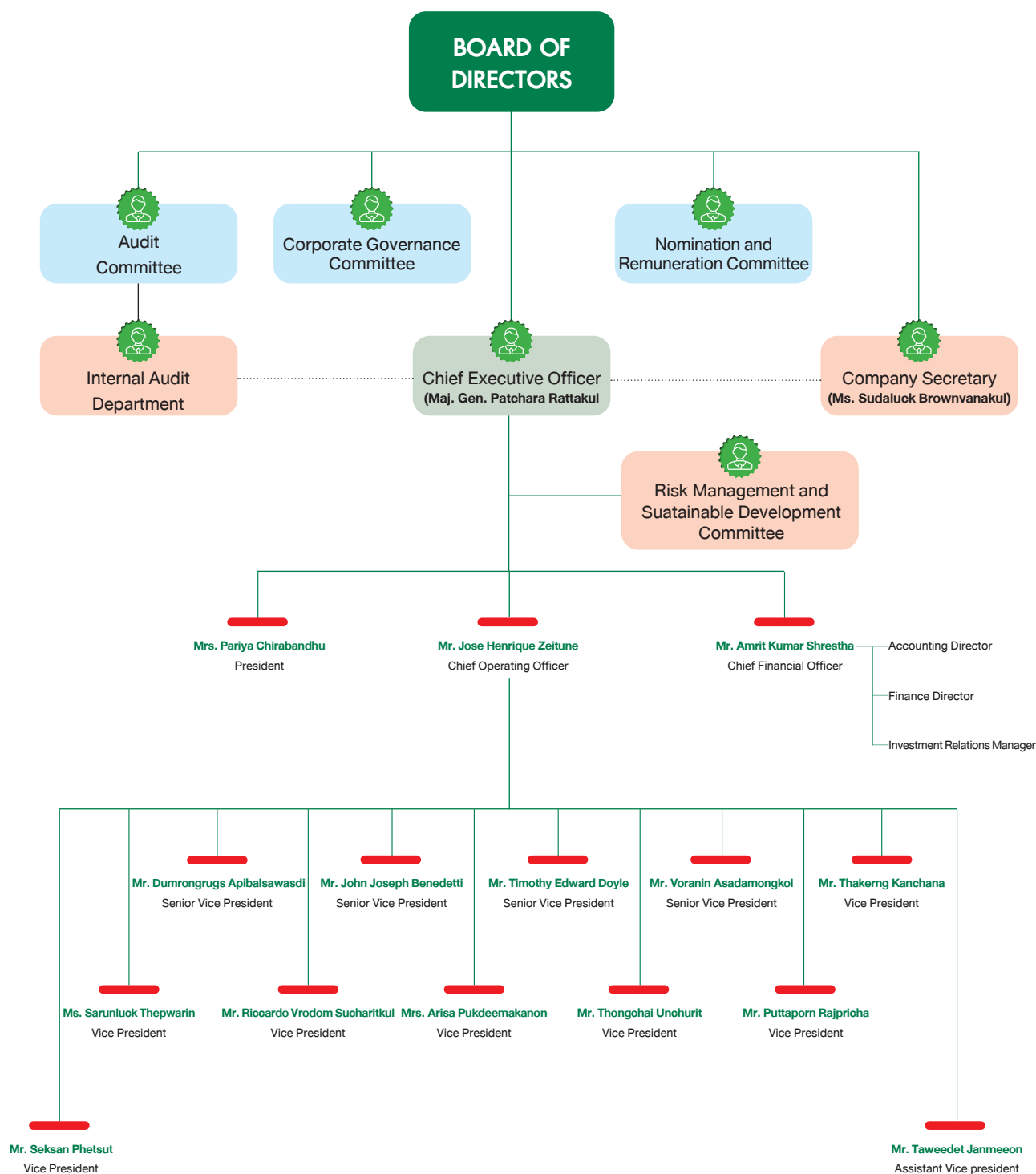
- The Company has prepared the self-assessment forms for the Board of the Board of Directors, both for each committee and for each director, in order to reflect and enhance efficiency in Directors' operation;
- The Company has provided personal information protection in compliance with the Personal Data Protection Act B.E. 2562;
- The Company has collected the Business Ethics in Thai and English to be submitted to the Executives and Employees, including communication in the form of e-documents via the Intranet and each of their emails;
- The Company has submitted the Self-assessment Forms (New version), consisting of 71 items, in order to re-certify the Private Sector Collective Action Coalition Against Corruption (CAC) membership and received the second CAC re-certification, lasting 3 years and expiring on June 30, 2024. As a result of this re-certification, the Company has made a work improvement plan by preparing the CAC-Change Agent Project in collaboration with groups of traders in order to build the anti-corruption network in 2022.
- The Company has appointed 2 sub-committees: Corporate Governance Committee and Risk Management and Sustainable Development Committee (Managerial level), prepared charter to be used as an operational guideline.
- The Company has updated and reviewed the Business Code of Conduct, in accordance with the International Standard Criteria and the form specified by the Institute of Directors (IOD), both in Thai and English, organized online trainings for Employees.
- The Company has conducted an internal communication plan from CEO regarding anti - corruption and no gift policy.
- The Company has received the Prototypical Organization for Human Rights Award 2021 under the Big Business Category at the Excellent level, being the only private organization in Southern Thailand that received this award from the Department of Rights and Liberties Protection, Ministry of Justice.
- The Company received the UN Women 2021 Thailand WEPs Awards for being an organization leader that promotes sexual equality (The award was given to Maj. Gen. Patchara Rattakul, CEO).

However, the Company could not abide by some of the CG codes as follows:

1. The Nomination and Remuneration Committee should consist mostly of Independent Directors (more than 50%), and the Chairman of the Nomination and Remuneration Committee should be independent directors. This code cannot be fulfilled.
2. The Board of Directors should clearly determine the Independent Directors' terms of office in the Company Corporate Governance Policy at no more than 9 years or 3 consecutive terms of office. At present, there are 5 independent directors at the Company, whose terms of office are more than 9 years. Therefore, the Company proposed that, since all the independent directors are skilled and experienced experts, they still can be qualified for driving the Company, as specified in the Company's mission. Although they have been holding office for more than 9 years, they are not executive directors and can make decisions independently.

Structure of Corporate Governance and Important Information about the Board of Directors, Sub-committees, Executives and Employees

7.1 Structure of Corporate Governance as of December 31, 2021



7.2 The Board of Directors

As of December 31, 2021, the Board of Directors consists of 12 Directors:

1. Gen. Charan	Gullavanijaya	Chairman
2. Maj. Gen. Patchara	Rattakul	Director
3. Mr. Prakit	Pradipasen	Director
4. Mr. Philipp Hugo	Gutsche	Director
5. Mr. Martin	Jansen	Director
6. Mrs. Yupares	Thiengtham	Director
7. Miss Smornluk	Mahasmiti	Director
8. Mrs. Pariya	Chirabhandhu	Director
9. Mr. Yanyong	Maethapanich	Director
10. M.L. Dhisana	Sritavaj	Director
11. Mr. Dumrongrugs	Apibalsawasdi	Director
12. Mrs. Kerry-Ann	Shipp	Director

Miss Sudaluck Brownvanakul works as the Company's Secretary.

The authorized Directors sign their names on behalf of the Company: Maj. Gen. Patchara Rattakul, CEO, signs and affixes the Company's seal, or Mrs. Pariya Chirabhandhu and Mr. Dumrongrugs Apibalsawasdi cosign and affix the Company seal.

Components of the Board of Directors

The Board of Directors, consisting of experienced experts with leadership, vision, independence in decision-making, devotion and full effort operate duties with responsibility, caution, and honesty (duty of care) in order to maintain the interests of the Company and all parties of shareholders and stakeholders, shall abide by laws, objectives, resolutions made by the Board of the Directors and the Shareholders' Meetings (duty of obedience), and discloses correct, complete and transparent information in a timely manner (duty of disclosure).

The structure of the Board of Directors of the Company is made up of diversity in terms of professional skills, specialization and gender, consisting of 12 Directors, with 9 Non-Executive Directors which account for 75% of the entire Board of Directors, and 3 Executive Directors as follows:

- Independent Directors: 5 persons, which more than one-third of entire board.
- Non-Executive Directors: 4 persons
- Executive Directors: 3 persons

Roles and Duties of the Board of Directors

The Board of Directors is assigned by the Shareholders to honestly and neutrally supervise business in accordance with the Company's objectives within the scope as specified in the Company's regulations in order to appropriately comply with related laws and regulations.

The Board of Directors shall supervise the Management's operation in conformity with the objectives, strategies and plans approved by the Company in order to create the ultimate interests to the Company and all parties of the stakeholders and also give the CEO authority and responsibilities to take charge in daily administration, which are clearly separated from that of the CEO's. Moreover, the Board of Directors has appointed the sub-committees to assist in taking care of specific tasks as necessary.

Scope of the Board of Directors' Authority and Responsibilities

The scope of the Board of Directors' authority and responsibility can be summarized as follows:

1. The board of Directors shall operate duties responsibly, carefully and honestly in accordance with laws, objectives, regulations of the Company, and resolutions made by the Board of Directors and the shareholders and abide by the rules and regulations specified by the Stock Exchange of Thailand, the Securities and Exchange Commission and the Capital Market Supervisory Board;
2. The Board of Directors shall determine policies, objectives, plans and annual budgets and supervise the Directors' and the Executives' management so that they will efficiently perform duties as assigned, and regularly monitor the Management's operation;
3. The Board of Directors shall specify the structure of the Company diversely in different aspects necessary for business operation, such as professional skills, specializations and genders;
4. The Board of Directors shall stipulate reviews and participate in specifying visions, missions, and values so that the Executives and Employees will set objectives in the same direction;
5. The Board of Directors shall determine enough appropriate internal control and risk management systems;

6. The Board of Directors shall specify the guideline for doing transactions possibly causing conflicts of interest, including related transactions;
7. The Board of Directors shall stipulate the Board of Directors' Meetings and the Shareholders' Meetings, prepare the balance sheets and disclose the Company's information to related persons sufficiently and regularly;
8. The Board of Directors shall appoint specific sub-committees nominated by the Nomination and Remuneration Committee and specify the scope of the sub-committee's authority and responsibilities as follows:
 1. Audit Committee
 2. Nomination and Remuneration Committee
 3. Corporate Governance Committee
 4. Risk Management and Sustainable Development Committee
9. The Board of Directors specifies that the Chairman and the CEO be different persons and that the Chairman be an Independent Director, whose scope of authority and responsibilities are as follows:

The Chairman: The Chairman is responsible for specifying policies and business plans, monitoring the Management to operate efficiently, and giving advice and assistance, but not intervening daily administration. Moreover, the Chairman shall possess leadership, prevent the Directors from being influenced by the Management, and encourage and push the participants to exercise the right to votes and abide by the Good Corporate Governance strictly and efficiently.

The Chief executive officer (CEO): The CEO is responsible for managing routine work in accordance with the objectives, policies, goals, strategies, and work plans approved by the Board of Directors, within the scope of the authority assigned by the Board of Directors;

10. Appointing the Company's Secretary and specifying the scope of authority and responsibilities to the Secretary, who coordinates between the Executives, Directors and Shareholders, organizes meetings, records minutes of Board of Directors' Meetings and Shareholders' Meetings, and takes care of information disclosure, as specified by the rules and regulations of the Stock Exchange of Thailand (SET) and the Securities and Exchange Commission (SEC);

11. supervising the Company's operation in accordance with related laws, rules and regulations, including resolutions made by the Shareholders' meetings and the Securities and Exchange Laws, as well as regulations and good guidelines of the SEC, in compliance with the Securities and Exchange Act B.E. 2535 as amended, Article 89/7-89/10; and
12. collaborating with the sub-committees to prepare the Board Charters for each committee, which determine roles, duties and responsibilities for every Director and review such charters at least once a year in order to comply with the working directions of the Company.
13. Approval Authority of The Board of Directors
 1. To approve bank borrowings for the purpose of working capital for the Company, for the part of credit line that exceeds the authority of the CEO;
 2. To approve the receipt or cancellation of credit line for loans, for the part of the credit line that exceeds the authority of the CEO;
 3. To approve the opening or closing of the fixed, savings and current accounts with financial institutions;
 4. To approve the establishment, merging or termination of the subsidiary company, affiliated company or joint venture company of the Company as per the requirements in regards to the acquisition or the sales of assets, as stipulated by the Stock Exchange of Thailand, Securities and Exchange Commission and related laws and legal requirements;
5. To approve the investments in the fixed assets, such as new production line installation project, in accordance with the requirements in regards to the acquisition or the sales of assets, as stipulated by the Stock Exchange of Thailand, Securities and Exchange Commission and related laws and legal requirements;
6. Other approval authorities shall be in accordance with the Company regulations.

7.3 Sub-committees

1. Audit Committee

The Audit Committee consists of at least 3 independent directors, one of whom shall have accounting and financial knowledge of or experience sufficient for calibrating reliability of the Company's financial statement. Each Audit Director holds a 3 years' term of office, and any Audit Director who retires by rotation can be re-elected. When any Audit Director retires by rotation or cannot hold office until retirement, resulting in reduction in the number of the Audit Directors, the Board of directors shall appoint new Directors to replace the missing ones immediately or within 3 months after the day when the number of Audit Auditors is missing, for continuity in operation. Any Director appointed to be an Audit Director shall have complete elements and qualifications as specified by the Securities and Exchange Commission and the Stock Exchange of Thailand.

The Board of Directors has appointed the Audit Committee, which consists of 3 independent directors. In 2021, the Audit Committee held 4 meetings in total:

Name – Surname	Position	Number of Audit Committee Meetings	
		Year 2021	Year 2020
1. Mr. Prakit Pradipasen	Chairman of the Audit Committee	4/4	3/4
2. Mr. Yanyong Maethapanich ^{1/}	Member of the Audit Committee	4/4	4/4
3. Miss Smornluk Mahasmiti	Member of the Audit Committee	4/4	4/4

^{1/} Mr. Yanyong Maethapanich is an Audit Committee Director with enough accounting and financial knowledge and experience for calibrating reliability of the Company's financial statement, whereas Miss Nithinart Juntasurat, Accounting Director, is the Secretary to the Audit Committee.

Duties and Responsibilities of the Audit Committee

The Board of Directors has specified the scope of duties and responsibilities of the Audit Committee in accordance with the SET's announcement on Qualifications and Scope of the Audit Committee B.E., dated June 9, 2008 as follows:

1. To review the financial statement of the Company with accuracy and completeness;
2. To review the appropriate and effective internal control, internal audit and risk management of the Company;
3. To review the Company's operation in accordance with the Securities and Exchange Laws, the SET Regulations and the laws related with the business of the Company;
4. To review internal auditor's independent, and approve the appointment and termination of the head of the internal audit function. Outstanding of the internal audit function has to be reviewed for the independence and approved by the audit committee;
5. considering approval of the internal audit plan, budget and personnel of the Internal Audit Office;
6. considering selection and nomination of independent candidates to work as the auditors of the Company, proposing remunerations for the auditors, dismissing the auditors, and attending auditors' meetings without any participants from the Management at least once a year;
7. considering related transactions or transactions with possible conflicts of interest in accordance with the SET's laws and regulations in order to ensure reasonableness of the transactions and the ultimate interests for the Company;
8. calibrating accuracy of the references and self-assessment reports on the Company's Anti-corruption Measures in accordance with the Thai Private Sector Collective Action Against Corruption's Project;
9. giving opinions on sufficiency in the Risk Management and Internal Control System to be disclosed in the 56-1 One Report Form;
10. preparing the results of the Audit Committee's operation to be disclosed in the Company's 56-1 One Report Form signed by the Chairman of the Audit Committee, which covers the following:
 1. Supervising the internal auditors' operation, including calibrating adequacy and appropriateness of the Company's internal control system;
 2. supervising and preparing the Company's financial report, including inquiring the business executives about using discretion for preparing financial reports;
 3. Communicating about important matters with the Audit Committee and the auditors;
 4. disclosing the Audit Committee's opinions about reasons used for considering that providing other services than auditing does not affect the auditor's independence in auditing the financial statement of the business;
 5. performing duties within the scope of the Audit Committee, such as calibrating the Company's operations in compliance with related laws, considering transactions with possible conflicts of interest and relevant transactions; and
 6. operating other tasks as required by laws or assigned by the Board of Directors

The Company assigns the Internal Audit Office to monitor and calibrate operations in accordance with the work system or the specified internal control standard, collaborates with the Audit Committee, and encourages and helps the Committee to supervise Good Corporate Governance.

2. Nomination and Remuneration Committee

The Board of Directors has appointed the Nomination and Remuneration Committee, which holds a three years' term of office. Any retired Director may be elected to hold another position. At present, the Nomination and Remuneration Committee consists of 5 Directors: 2 Independent Directors and 2 Directors who are the Executives and 1 Director who is not the Executive as follows:

- | | | |
|---------------------|----------------------------|---|
| 1. Mrs. Yupares | Thiengtham | Chairman of the Nomination and Remuneration Committee |
| 2. Miss Smornluk | Mahasmiti ^{1/} | Member of the Nomination and Remuneration Committee |
| 3. Mr. Yanyong | Maethapanich ^{1/} | Member of the Nomination and Remuneration Committee |
| 4. Mr. Philipp Hugo | Gutsche | Member of the Nomination and Remuneration Committee |
| 5. Mrs. Pariya | Chirabhandhu | Member of the Nomination and Remuneration Committee |

^{1/} Miss Smornluk Mahasmiti and Mr. Yanyong Maethapanich are Independent Directors, whereas Miss Plernpun Ratchakitprakarn, Executive Assistant to the CEO, is the Secretary to the Nomination and Remuneration Committee.

Duties and Responsibilities of the Nomination and Remuneration Committee

The Nomination and Remuneration Committee shall perform duties as assigned by the Board of Directors, with responsibility, caution and honesty, as follows:

1. Considering nomination and remuneration of the top executive (CEO) by doing the following:
 - (a) Considering appropriate specification and review of the structure and qualifications of the boards, sub-committees and directors; considering the criteria and process of nominating candidates qualified for holding the positions of Directors; and proposing the Board of Directors ideas to be presented to the Shareholders' Meeting for approval of nomination;
 - (b) Considering the diversities in the structure of the Board of Directors, such as professional skills, specializations and genders;
 - (c) consider appropriateness of the nominees for the CEO and the Company's secretary and proposing ideas to the Board of Directors for approval, if such position is vacant, including specifying the criteria for considering successors and performing other tasks regarding nomination of the Directors and Executives of the Company, as assigned by the Board of Directors.
 2. Considering remuneration for the Directors and Employees of the Company as follows:
 - (a) Considering specification of forms and criteria for paying appropriate remunerations to the Boards and sub-committees, in comparison with the listed companies in the Stock Exchange of Thailand in the same industrial groups, considered from the scope of accountability and responsibility and the Company's annual performance: annual remunerations for the Directors (gratuity for the Directors), and meeting fees paid to the Directors and sub-committees; and proposing to the Shareholders' Meeting for approval
 - (b) Considering specification of forms and criteria of the Key Performance Indicators (KPIs) used for considering adjustment of the Employees' salaries and bonuses and proposing ideas to the Board of Directors for approval;
 - (c) Performing other tasks regarding consideration of remuneration for the Directors, Executives and Employees, as assigned by the Board of Directors.
 3. Preparing annual operation reports of the Nomination and Remuneration Committee, proposing them to the Board of Directors and disclosing them in the 56-1 One Report Form to be signed by the Chairman of the Nomination and Remuneration Committee, including specifying frequencies of the Meetings and the attendances of each member of the Nomination and Remuneration Committee; and
 4. performing other tasks related to responsibilities as required by the Board of Directors
- In 2021, the Nomination and Remuneration Committee held one meeting.

3. Corporate Governance Committee

The Board of Directors' meeting No. 3/2021 on May 25, 2021 resolved to approve nomination of the Corporate Governance Committee, consisting of 3 directors: 1 director who is an independent director and 2 directors who are the executive directors, each of whom holds a 3 years' terms of office as follows:

- | | | |
|----|-------------------------------|---|
| 1. | Maj. Gen. Patchara Rattakul | Chairman of the Corporate Governance Committee |
| 2. | Mr. Yanyong Maethapanich | Member of the Good Corporate Governance Committee |
| 3. | Mr. Dumrongrugs Apibalsawasdi | Member of the Good Corporate Governance Committee |

Miss Rattanawadee Kiatsimkul, Good Corporate Governance Director, works as the secretary to the Committee.

Duties and Responsibilities of the Corporate Governance Committee

- | | |
|--|---|
| 1. Specifying efficient, transparent and traceable policies and guidelines of Corporate Governance to ensure reliability among all related parties and proposing them to the Board of Directors; | 6. Organizing meetings as necessary and appropriate at least twice a year and reporting results of the Meetings to the Board of Directors; |
| 2. Supervising the Directors' and Executives' operation ethically, as specified by the Corporate Governance Policy, in accordance with the SET's Good Corporate Governance Policy, related laws and international practices; | 7. Preparing summary reports of the Directors' operation and business supervision and presenting them in the 56-1 One Report Form; |
| 3. Collaborating with the Compliance Unit so that the Corporate Governance will cover the practical guidelines for people in the organization; | 8. Promoting publicity of Good Corporate Governance culture and giving advice, requirements and operational guidelines on anti-corruption and codes of conduct of the Directors, Executives and Employees in order to create understanding among the Management and all levels of the Employees, all effective in practice at the Company and its subsidiaries; and |
| 4. Considering regular reviews and improvements of the Company's Corporate Governance at least once a year in compliance with the guidelines in the international standards and suggestions of the Good Governance Development for Investment Division, the SET or related agencies; | 9. Giving promotion and advice in order to assess and rank Corporate Governance for continual development and standard improvement. |
| 5. Reporting to the Board of Directors the Company's Good Corporate Governance, including opinions, guidelines and suggestions for improvement as appropriate; | In 2021, the Corporate Governance Committee held one meeting. |

4. Risk Management and Sustainable Development Committee

The Board of Directors' Meeting 3/2021 on May 25, 2021 resolved to approve nomination of the Risk Management and Sustainable Development Committee, which consists of 4 Executive and 1 Executive Director as follows:

- | | | | |
|----|---------------------|-----------------------------|---|
| 1. | Mr. Jose Henrique | Zeitune | Chairman of the Risk Management and Sustainable Development Committee |
| 2. | Mr. Dumrongrugs | Apibalsawasdi ^{1/} | Member of the Risk Management and Sustainable Development Committee |
| 3. | Mr. Riccardo Vrodom | Sucharitkul | Member of the Risk Management and Sustainable Development Committee |
| 4. | Miss Rattanawadee | Kiatsimkul | Member of the Risk Management and Sustainable Development Committee |
| 5. | Mr. Siam | Suwannarat | Member of the Risk Management and Sustainable Development Committee |

^{1/} Mr. Dumrongrugs Apibalsawasdi is an Executive Director, whereas Miss Chanita Thaotawil, Assistant to Vice President – Corporate Strategy, works as the secretary to the committee.

Duties and Responsibilities of the Risk Management and Sustainable Development Committee

Risk Management

- Proposing to the Board of Directors specification of the risk management policy and the acceptable risk level;
- Specifying the overall risk management policy of the Company that covers types of major risk, such as financial risk, risks affecting business reputation, including risks affecting sustainability of business operation, and others, and presenting them to the Board of Directors for agreement;
- Specifying the Company's work plans and risk management process in accordance with the risk management policy, monitoring implementation and calibrating effectiveness of the risk management frame with clear indicators;
- Calibrating risk management reports and proceeding to ensure adequacy and appropriateness of risk management and being able to manage risks at the acceptable level and continually implementing risk management;
- Improving and reviewing the Company's risk management system continually for efficiency and effectiveness by regularly assessing and monitoring risk management in accordance with the specified policy;
- Establishing the risk management staff as necessary and promoting the risk management staff in terms of personnel, budget and other essential resources in compliance with the responsibility scope;

- Collaborating with the Inspection Committee regularly by exchanging knowledge and information about risk and internal control affecting or possibly affecting the Company every 6 months.

Sustainability Development

- Reviewing and calibrating policies, goals, sustainability development plans, social and environmental responsibility, climate change and sustainable business expansion innovation, which are both short and long-term plans, including updating achievement indicators continually in accordance with the international standards, and presenting them to the Board of Directors at least once a year;
- Transferring policies, goals and social and environmental sustainability development plans and innovations to every related unit in order to implement the policy continually and sustainably;
- Monitoring progress of the sustainability development improvement project presented by the sub-committees and reporting it to the Board of Directors at least every quarter, in order to assess effectiveness of sustainability development and opportunities of continual improvement in accordance with the frame of Sustainable Development Goals (SDGs)

In 2021, the Risk Management and Sustainable Development Committee held one meeting.

7.4 Management Team

As at 31st December 2021, the Company's Management Team comprised of the following:

1.	Maj. Gen. Patchara Rattakul	Chief Executive Officer
2.	Mr. Jose Enrique Zeitune	Chief Operating Officer
3.	Mr. Amrit Kumar Shrestha	Chief Financial Officer
4.	Mrs. Pariya Chirabandhu	President
5.	Mr. John Joseph Benedetti	Senior Vice President - Supply Chain
6.	Mr. Dumrongrugs Apibalsawasdi	Senior Vice president - Corporate Affairs
7.	Mr. Timothy Edward Doyle	Senior President - Customer Service Systems & Indirect Channel (Makro & Wholesale Key Account)
8.	Mr. Voranin Asadamongkol	Senior President - TT-DSD, Wholesales, HORECA, Telesales, Vending and Sales Capability
9.	Mr. Riccardo Vrodom Sucharitkul	Vice President - Corporate Strategy
10.	Mr. Seksan Phetsut	Vice President - Operation
11.	Mr. Puttaporn Rajpricha	Vice President - Human Resources
12.	Ms. Sarunluck Thepwarin	Vice President - Modern Trade
13.	Mr. Thongchai Unchurit	Vice President - General Administration & Government Relations
14.	Mr. Thakerng Kanchana	Vice President - CDE & Construction
15.	Mrs. Arisa Pukdeemakanon	Vice President - Commercial Operations
16.	Mr. Taweedet Janmeeon	Assistant Vice President - TT/DSD, Wholesale, Sales Operation and TT/DSD Director

Scope of the CEO's Authority

The CEO, the top executive position of the Company, has been appointed by the Board of Directors, responsible for managing the Company's business so that it will achieve the goals and objectives of the Company, as specified by the Board of Directors and supervising the business operation in order to create the ultimate benefits for all groups of stakeholders fairly and appropriately, including taking care of disclosing the Company's general and financial information, in accordance with the good practical guideline, including authority to approve of any action, which is the Company's normal business operation, as follows.

1. Specifying the Company's visions, missions, organization values, objectives, business plans, business operation strategies, financial plans, investment management, human resource management, and annual budgets;
2. Monitoring and assessing the Company's performance regularly, in order to prevent risks arising from internal and external factors, which will prevent the Company's operation from achieving specified goals;
3. Having authority to nominate operating teams, for benefits of and efficiency in good and transparent management;

4. Having authority to issue rules, orders, regulations and announcements, in order to comply with the Company's policies and ultimate benefits and maintain internal corporate disciplines and operation efficiently;
5. Having authority, as specified in the operation regulations, and approval authority, as approved by the Board of Directors' Meeting;
6. Supervising business in accordance with the Company's rules, regulations and requirements, and the Securities and Exchange Law, regulations and practical guidelines of the Securities and Exchange Commission, the Stock Exchange of Thailand and laws related to the Company's business

Remuneration for the Executives

Remunerations for the Executives shall comply with the policies and criteria, as specified by the Company, which are linked to the performance and specified key performing indicators (KPIs). Remunerations for the Executives will be given at the level attractive enough to maintain quality executives, as required by the Company. Remunerations for the Executives in the form of cash will be terminated on December 31, 2021, as follows:

1. Monetary Compensation

Remuneration	Number of Persons	Amount of Money (Baht)
Salary	16	143,522,028
Bonus	16	53,623,752
Others (Contributions to the provident fund)	16	2,791,241
Total		199,937,021

- 2. Non-Monetary compensation** : Office car
: Employee Stock Option Program: HTC ESOP Project
: Accident insurance (group)

7.5 Personnel

As of December 31, 2021, the Company and its subsidiaries have 2,357 personnel in total as follows:

Personnel	Number of Employees	
	HaadThip Public Company Limited	Subsidiaries
Operation Worker Level	1,560	176
First-Line Manager Level	307	10
Middle Manager Level	205	13
Top Manager Level	36	5
Total	2,153	204

Number of Employees Classified by Types of Employment	HaadThip Public Company Limited Ltd.		Subsidiaries	
	Male	Female	Male	Female
Full-time employees	1,597	538	92	112
Contract employees	8	10	-	-

As of 2021, the Company has 22 disabled employees, which is 1.02% of the total employees.

The total remunerations for the Company's employees in 2021 and 2020 were approximately THB 1,024.06 million and THB 1,117.18 million, consisting of the salaries, over-time pays, commission for salespersons, contribution to social security fund, bonuses and contribution to provident fund.

The Company has never had any labor-related dispute during the past 3 years, due to its consistent good relation with the Employees. The turnover rate in 2021 was 11.58%, and the Employees of the Company have not established any labor union.

7.6 The Company's Secretary

The Board of Directors 3/2008, held on August 14, 2008, resolved to nominate Miss Sudaluck Brownvanakul, Securities Business Manager, to work as the Company's Secretary, who is required to fulfil responsibilities, as specified in Article 89/15 of the Securities and Exchange Act (No. 4) B.E. 2551 and comply with laws and the Company's regulations, resolution of the Board of Directors and the Shareholders' Meeting as follows:

1. Preparing and storing the following documents
 - a. Directors registration
 - b. Schedules and minutes of the Board of Directors meetings and annual reports of the Company
 - c. Invitation letters of Shareholders' meetings and minutes of Shareholders' Meetings
2. Storing stake-holding reports presented by Directors or Executives, dispatching copies of stake-holding reports, as specified in Article 89/14, and notifying the Chairman and the Inspection Committee within 7 working days, starting from the day when the Company received the reports
3. Doing other tasks, as specified by the Securities and Exchange Commission

Moreover, the Company's Secretary is required to perform other tasks, as assigned by the Company, as follows:

1. Giving advice about related rules and practical guidelines regarding governance that the Board of Directors should know and abide by;
2. Organizing Board of Directors' Meetings and Shareholders' Meetings;
3. Contacting and coordinating with the internal units of the Company so that they will comply with resolutions of the Board of Directors' Meetings;
4. Coordinating with the Governance Units, such as the Securities and Exchange Commission (SEC), the Stock Exchange of Thailand (SET), and taking care of disclosing correct and complete information and information reports to the governance units and the public, as specified by laws; and
5. performing other tasks as assigned

Accounting Supervisor

Miss Nithinart Juntasurat

Head of the Internal Audit Office

Mrs. Arunee Pradupetch

Head of Investors Relations

Mrs. Anyanee Kerrick

Auditors and Audit Fees

The Audit Committee of the Company is responsible for selecting auditors for the Company and proposing the candidates to the Shareholders' Meetings for nomination, including reviewing the auditors' qualifications, performances and remunerations. In 2021, the Audit Committee nominated Miss Krittika Kongkerd, CPA, license No. 10634, Mr. Thanit Osthalert, CPA, license No. 5155, and Miss Marisa Tharatornbanpakul, CPA, license No. 5752 from KPMG Phoomchai Audit Co., Ltd. as the Auditors of the Company for the fiscal year ending on December 31, 2021 to the 2021 Annual General Meeting of Shareholders for approval, which later approved of the proposal. The audit fees of the Company and its subsidiaries for the fiscal year were terminated on December 31, 2021. The details are as follows:

1. HaadThip Public Company Limited

Audit fees	THB 1,650,000
Non-audit fees	-None-

2. The subsidiaries

Audits fees	THB 1,500,000
Non-audit fees - BOI certification fee	THB 140,000

Reports on the Results of Major Corporate Governance Performance

8.1 Summary of Last Year's Performance of the Board of Directors

8.1.1 Nomination, Development and Assessment of the Board of Directors' Performance

Nomination of Directors and Top Executives

The Board of Directors are experts with knowledge of and experience in the industrial business operated by the Company, efficient operation, and ability to present viewpoints and visions useful for business operation and risks related to the Company's business. Moreover, all the Directors of the Company are qualified persons without any incompatibilities, as specified by the Public Company law and the Securities and Exchange Law. Each of the Independent director full qualifications, as specified in the SEC's announcement at Tor Jor 4/2552 Re: Asking for and Giving Permission to Offer for Sale of Newly Issued Shares (No. 2) (announced at Tor Jor 4/2552).

Election of the Board of Directors shall abide by the Company's regulations and related laws. The Shareholders' Meetings shall consider election of Directors, according to the following criteria and methods.

1. Each shareholder has a voting right equivalent to one share to one vote;
2. For a Director election, the shareholders can cast their votes to elect one Director, or a group of Directors at a time, or by any other methods as deemed appropriate by the Shareholders' Meeting. During the voting procedure, however, the shareholders can only exercise their voting right as per condition (1) above, and cannot allocate any portions, less or more, of their voting rights to any one Director or group of Directors;
3. Appointment of Directors shall be decided by majority votes. If the the votes are tied, the Chairman of the Meeting shall cast the vote to determine the final outcome.

At the vote to determine the final outcome one third of the Directors shall be retired. If the number of Directors cannot be divided evenly by one third, the number of retiring Directors shall be as close to one third as possible.

The names shall be drawn and announced, for Directors to retire in the first and second year following registration. But for the following years, the method employed will be to retire the Director with longest tenure. In the case that the number of Directors with longest tenure exceed that of the number of Directors to retire at that time, the names of Directors to retire at that time shall be drawn..

The Directors whose tenure has expired may be re - elected.

On the 2021 Shareholders' Meeting day, that is, April 26, 2021, there were 4 retired Directors as follows:

1. Gen. Charan Kullvanijaya
2. Mr. Prakit Pradiprasen
3. Maj. Gen. Patchara Rattakul
4. Mr. Yanyong Maethapanich

In this regard, the Nomination and Remuneration Committee (excluding stake-holding Directors) has screened carefully and agreed that all the 4 retired Directors have good knowledge and efficiency in performing duties, and always gives useful ideas and advice to the Board of Directors and the Company. As for Gen. Charan Kullvanijaya, Mr. Prakit Pradipasen and Mr. Yanyong Maethapanich, they were Independent Directors, having held office for more than 3 consecutive terms and being experienced directors for the Company's core business. During their time in office, they could give opinions freely in accordance with the related principles. Thus, with a unanimously resolution, the Nomination and Remuneration Committee proposed all 4 directors due to retire by rotation namely Gen. Charan Kullvanijaya, Mr. Prakit Pradipasen, Maj. Gen. Patchara Rattakul and Mr. Yanyong Maethapanich to the shareholders' meeting to consider re-election as directors for another term. The 2021 Annual General Shareholders' Meeting approved accordingly.

For the nomination of senior executive, the Board of Directors assigns the CEO to be responsible for selecting qualified individuals by considering factors such as knowledge, competences and relevant experiences in business to hold senior executive positions.

Training and Development

The Board of Directors encourages the Directors to attend trainings organized by the Thai Institute of Directors (IOD) or other organizations, as appropriate, by assigning the Company's Secretary to coordinate and continually inform the Directors of training courses for improving Directors' potential and increasing efficiency in working as Directors.

In 2021, the Directors participating in training, development and review of knowledge useful for working as Directors were as follows:

1. **Mr. Dumrongrugs Apibalsawasdi**
Ethical Leadership Program (ELP), batch 24/2021,
by the Thai Institute of Directors Association (IOD)

2. **Mr. Yanyong Maethapanich**

Ethical Leadership Program (ELP), batch 24/2021,
by the Thai Institute of Directors Association (IOD)

Assessment of the Board of Directors' Operation

The Company has specified that the Board of Directors' self-assessment be conducted once a year. First of all, the Company's secretary shall present the assessment forms of the Board of Directors and those of the sub-committees, appropriate for current situations and compliant with the Board of Directors' roles and duties. The Board of Directors' self-assessment forms prepared by the Stock Exchange of Thailand have been approved for use by the Board of Directors. After that, the Company shall distribute the forms to all the Directors for assessing performances each director, each team and the CEO. Next, the Company's secretary shall collect the completed forms, summarize the assessment results and opinions, and present them to the Board of Directors at the next meeting.

At the Board of Directors' meeting 7/2021 on December 15, 2021, the Company conducted an assessment of performances of each Director, of each board, of each sub-committee and of the CEO. The details are summarized as follows:

1. The objectives of assessing performances of each Director, each Board, each committee and the CEO, in accordance with the Corporate Governance Principle for listed companies. The Company conducted an annual self-assessment of performances of the Board of Directors and the sub-committees and jointly considered the performances, including improving and correcting operations and responsibilities of the Board of Directors in order to create benefits to the Company with the highest efficiency and effectiveness.
2. Criteria and Assessment
 1. The Board of Directors approves and reviews the self-assessment forms of the Board of Directors and the sub-committees at least once a year;
 2. The Board of Directors assigns the Company's Secretary to dispatch the Board of Directors the annual self-assessment forms within early December;
 3. All the Directors complete the self-assessment forms and return them the Company's Secretary within the specified time;
 4. The Company's Secretary collects, assesses and summarizes results of the assessment, including reporting the results to the Board of Directors;
 5. The Board of Directors uses the results, discusses them and gives additional opinions in order to make a plan for improving the Board of Directors' efficiency in performing duties by assigning the Company's Secretary to manage the plan, as specified by the Board of Directors;
 6. The sub- committees' self-assessment forms shall be completed in the same manner as those for the Board of Directors; and

7. The scoring method of the assessment is as follows:

Results of Assessment	Average Score (%)	Levels of Operation
0	less than 30%	strongly disagree or do no actions in that matter
1	between 31% and 50%	disagree or do a few actions in that matter
2	between 51% and 70%	agree or do some actions in that matters
3	between 71% and 90%	really agree or do a lot of good actions in that matter
4	more than 91%	strongly agree or do a lot of very good actions in that matter

8. The Board of Directors and the sub-committees shall disclose the criteria, process, assessment results and improvement plans in the annual report every year.

9. The assessment forms are categorized into 2 types:

9.1 Two types of self-assessment forms

Type 1 is the Board's self-assessment form, which includes the following assessment topics:

1. Structure and qualifications of the Board of Directors
2. Roles, duties and responsibilities of the Board of Directors
3. Board of Directors' meetings
4. Performing the Board of Directors' duties
5. Relation with the Management
6. Self-improvement of the Directors and improvement of the executives

The scores of the Boards' self-assessment results are as follows:

Topics of Assessment	Average Score (%)	Levels of Agreement
1. Structure and qualifications of the Board of Directors	97.62	strongly agree
2. Roles, duties and responsibilities of the Board of Directors	95.16	strongly agree
3. Board of Directors' meetings	93.78	strongly agree
4. Performing the Board of Directors' duties	100.00	strongly agree
5. Relation with the Management	100.00	strongly agree
6. Self-improvement of the Directors and improvement of the executives	97.62	strongly agree
Average Score	97.26	strongly agree

Type 2 is the sub-committees' self-assessment form, which includes the following assessment topics:

1. The structure and qualifications of the Board of Directors help promote efficiency of the Board's operation
2. The sub-committee meetings are organized so that the Board of Directors can perform their duties at the meetings efficiently
3. The roles, duties and responsibilities of the following sub-committees are emphasized and enough time is spent on consideration, review and compliance.
 - Audit Committee
 - Nomination Committee and Remuneration Committee
 - Corporate Governance Committee
 - Risk Management and Sustainable Development Committee

The scores of the subcommittees' self-assessment results classified are as follows:

Topics of Assessment	Average Score (%)	Levels of Agreement
1. The structure and qualifications of the Board of Directors help promote efficiency of the Board's operation	94.64	strongly agree
2. The sub-committee meetings are organized so that the Board of Directors can perform their duties at the meetings efficiently	95.83	strongly agree
3. The roles, duties and responsibilities of the following sub-committees are emphasized and enough time is spent on consideration, review and compliance.		
3.1 Audit Committee	100.00	strongly agree
3.2 Nomination and Remuneration Committee	93.75	strongly agree
3.3 Corporate Governance Committee	85.00	quite strongly agree
3.4 Risk Management and Sustainable Development Committee	100.00	strongly agree
Average Score	94.87	strongly agree

9.2 The same self-assessment forms are used for each Director (for the Board of Directors and the sub-committees), which include the following:

1. Structure and qualifications of the Board of Directors and the sub-committees
2. Board of Directors and Sub- committees' meetings
3. Roles, duties and responsibilities of the Board of Directors and the sub-committees

The scores of the Directors' self-assessment results are as follows:

Topics of Assessment	Average Score (%)	Levels of Agreement
1. Structure and qualifications of the Board of Directors and the sub-committees	100.00	strongly agree
2. Board of Directors and Sub- committees' meetings	97.73	strongly agree
3. Roles, duties and responsibilities of the Board of Directors and the sub-committees	96.36	strongly agree
Average Score	98.03	strongly agree

The scores of the CEO's self-assessment results are as follows:

Topics of Assessment	Average Score (%)	Levels of Agreement
1. Leadership	100.00	very good
2. Strategy formulation	95.83	very good
3. Strategic operation	95.83	very good

Topics of Assessment	Average Score (%)	Levels of Agreement
4. Financial and planning and performance	95.83	very good
5. Relation with the Board of Directors	100.00	very good
6. Relation with outsiders	100.00	very good
7. Administration and relation with the Company's personnel	95.83	very good
8. Succession	90.00	good
9. Knowledge of products and services	100.00	very good
10. Personal attributes	100.00	very good
Average Score	97.33	very good

8.1.2 Meeting Attendances and Meeting Allowance for the Directors

The details of the Directors' meeting attendances in 2021 are as follows:

Name/Surname	Number of Attendances					
	Board of Directors' Meetings					Shareholders' Meetings
	Board of Directors	Audit Committee	Nomination and Remuneration Committee	Corporate Governance Committee	^{1/} Risk Management and Sustainable Development Committee	2021 AGM
1. Gen. Charan Kullavanijaya	7/7					attending
2. Maj. Gen. Patchara Rattakul	7/7			1/1		attending
3. Mr. Prakit Pradipasen	7/7	4/4				attending
4. Mr. Philipp Hugo Gutsche	5/7		1/1			apology
5. Mr. Martin Jansen	7/7					apology
6. Mrs. Yupares Thientham	7/7		1/1			apology
7. Miss Smornluck Mahasmiti	7/7	4/4	1/1			apology
8. Mrs. Pariya Chirabandhu	7/7		1/1			attending
9. Mr. Yanyong Maethapanich	7/7	4/4	1/1	1/1		attending
10. M.L. Dhisana Sritavaj	7/7					apology
11. Mr. Dumrongrugs Apibalsawasdi	7/7			1/1	1/1	attending
12. Mrs. Kerry-Ann Shipp	7/7					apology

^{1/} The Risk management and Sustainable Development Committee consist of 5 Directors: 1 Directors who is the Executive Directors and 4 Directors who are top Executives

Director Remuneration

The Company's Board of Directors has assigned duty to the Nomination and Remuneration Committee to consider meeting the remuneration for the Directors and propose its opinion to the Board of Directors for consideration the remuneration in accordance with the company's operating results as well as their duties and responsibilities. The remuneration will be given at the appropriate level, comparable to those paid at the other companies in the same industry and attractive to motivate and maintain quality Directors, before proposing to the Shareholders' Meeting for approval.

The 2021 Annual General Meeting of Shareholders on April 26, 2021, resolved to approve the remuneration for the Board of Directors and sub-committees as follows:

1. Cash remunerations

1.1 Remunerations for the Board of Directors and the sub-committees

Board/Committees	Positions	Year 2021		Year 2020	
		Remuneration (baht/person/year)	Meeting allowance (baht/person/meeting)	Remuneration (baht/person/year)	Meeting allowance (baht/person/meeting)
Board of Directors	Chairman	253,000	20,000	253,000	10,000
	Director	181,500	20,000	181,500	10,000
Audit Committee	Chairman	253,000	5,000	253,000	5,000
	Director	181,500	5,000	181,500	5,000
Nomination and Remuneration Committee	Chairman	40,000	5,000	16,500	3,000
	Director	20,000	5,000	11,000	3,000
Corporate Governance Committee ^{1/}	Chairman	40,000	5,000	-	-
	Director	20,000	5,000	-	-
Risk Management and Sustainable Development Committee ^{1/}	Chairman	40,000	5,000	-	-
	Director	20,000	5,000	-	-

^{1/} was appointed by the resolution of the Board of Directors' Meeting 3/2021, held on May 27, 2021.

1.2 Special bonuses, not exceeding THB 3,000,000, gained from the 2021 operating results

2. Non-Cash remunerations: Directors' and Officers' Liability Insurance (D&O)

The details of remunerations to be received by each Director in 2021 are as follows:

Name – Surname Position	Remuneration (baht)					Meeting Allowance (baht)					Special Bonuses	Total Remuneration
	Board of Directors	Audit Committee	Nomination and Remuneration Committee	Corporate Governance Committee	Risk Management and Sustainable Development Committee	Board of Directors	Audit Committee	Nomination and remuneration Committee	Corporate Governance Committee	Risk management and Sustainable Development Committee		
1. Gen. Charan Kullavanijaya Independent Director/ Chairman	253,000	-	-	-	-	140,000	-	-	-	-	250,000	643,000
2. Maj. Gen. Patchara Rattakul Director / Chairman of the Corporate Governance Committee	181,500	-	-	40,000	-	140,000	-	-	5,000	-	250,000	616,500
3. Mr. Prakit Predipasen Independent Director/ Chairman of the Audit Committee	181,500	253,000	-	-	-	140,000	20,000	-	-	-	250,000	844,500
4. Mr. Yanyong Maethapanich Independent Director/ Member of the Audit Committee/ Member of the Nomination and Remuneration Committee/ Member of the Corporate Governance Committee	181,500	181,500	20,000	20,000	-	140,000	20,000	5,000	5,000	-	250,000	823,000
5. Miss Smornluck Mahasmiti Independent Director/ Member of the Audit Committee/ Member of the Nomination and Remuneration Committee	181,500	181,500	20,000	-	-	140,000	20,000	5,000	-	-	250,000	798,000
6. Mr. Martin Jansen Independent Director	181,500	-	-	-	-	140,000	-	-	-	-	250,000	571,500
7. Mrs. Yupares Thiengham Director/ Chairman of the Nomination and Remuneration Committee	181,500	-	40,000	-	-	140,000	-	5,000	-	-	250,000	616,500
8. Mr. Philipp Hugo Gutsche Director/ Member of the Nomination and Remuneration Committee	181,500	-	20,000	-	-	100,000	-	5,000	-	-	250,000	556,500
9. Mrs. Pariya Chirabandhu Director/ Member of the Nomination and Remuneration Committee	181,500	-	20,000	-	-	140,000	-	5,000	-	-	250,000	596,500
10. M.L. Dhisana Sritavaj Director	181,500	-	-	-	-	140,000	-	-	-	-	250,000	571,500
11. Mr. Dumrongrugs Apibalsawadi Director/ Member of the Corporate Governance Committee/ Member of Risk Management and Sustainable Development Committee	181,500	-	-	20,000	20,000	140,000	-	-	5,000	5,000	250,000	621,500
12. Mrs. Kerry-Ann Shipp Director	181,500	-	-	-	-	140,000	-	-	-	-	250,000	571,500

8.1.3 Corporate Governance of the Subsidiaries and the Associates

The Company has a policy of nominating delegates to hold office as Directors with authority to control the subsidiaries, follow and supervise the operation of the subsidiaries efficiently and effectively, in accordance with the strategies and policies of the Company. As for the associates, the Company shall supervise them in compliance with the mutually agreed strategies, as specified in the joint venture agreement.

8.1.4 Follow-ups in Compliance with Policies and Guidelines for Corporate Governance

Prevention of Conflicts of Interest

The Company has determination to operate business with honesty, moral, transparency and responsibility for its actions. Therefore, the Board of Directors has determined that any transactions done with major shareholders, directors, executives or persons related with them shall be considered by the Audit Committee, which takes care of each step of approving transactions and strictly complying with the rules and methods specified by the Stock exchange of Thailand (SET), the Securities and Exchange Commission (SEC), and Thailand Capital Market Supervisory Board, including transparently disclosing details, values, partners and reasons of transactions to the public immediately via electronic media of the SET through the SET Community Portal: www.setportal.set.or.th, and in the 56-1 One Report Form.

As for the Board of Directors' Meetings and Shareholders' Meetings, if any Director holds stakes at the agenda being considered, he/she shall promptly disclose the details of his/her stake-holding to the Board of Directors and refrain from casting his/her vote for resolution at the agenda.

In 2021, the Company performed normal business and normal business supporting business with its subsidiaries under general trade conditions and in compliance with the Transaction Performing Principle, as specified in Article 89/12 (1) of the Securities and Exchange Act (No. 4) B.E. 2551. Approved in principle by the Board of Directors in 2008.

Supervision of Internal Information Use

All of the Company's shareholders shall be equally and fairly treated in accordance with their existing fundamental rights. Therefore, the Board of Directors has specified the supervision policies, which helps prevent the Directors, Executives and Employees who know the Company's important information from exploiting and disseminating any of the Company's unpublished internal information to the public, either for their own or others' benefits as follows.

1. Use of internal information shall be conducted within the frame of their duties and responsibilities as assigned only;
2. The Board of Directors, Executives or employees inclusive of their spouse and children under legal age equipped with the company's internal information are prohibited from utilize undisclosed information to general public for own and other benefits. This also is in compliance with the company's policy regarding trading of the company's securities especially during the Black out period that is at least 30 days before financial statements are disclosed to the general public and after 24 hours after such disclosure;
3. The Board of Directors, Executives or agencies having internal information shall not disclose any of the internal information to outsiders or unrelated persons; and
4. To control the Board of Directors and Executives to report changes in own shareholdings to the Securities and Exchange Commission in compliance with the Article No. 59 of the Securities and Exchange Act B.E. 2535

In 2021, no violation of the policy and rules of internal information use was found.

Anti-corruption



The Company operates business with related persons transparently and honestly, abides by related laws and standards and encourages its partners to comply with the anti-corruption policies. In 2021, the Company filed the self-assessment form (New Version), consisting of 71 items, in order to re-certify membership of the Thai Private Sector Collective Action Against Corruption (CAC), a project organized by the Thai Institute of Directors and supported by the government and the Office of the National Counter Corruption Commission (NACC), since 2013. The Company has been given the second certification by the CAC, which is valid for 3 years, this certification reveals transparency of the working principles and creates confidence for investors and the Stock Exchange. The Company has also made a work improvement plan by preparing the CAC-Change Agent Project in collaboration with groups of partners in order to create the anti-corruption network in 2022.

Moreover, it is vital to create and cultivate awareness of the Employees so that they will perform their duties honestly and transparently and refrain from neglecting or ignoring anti-corruptive actions. The Company gives priority to communication so that all levels of the Employees will be aware of the Executives' intention, which includes the following:

- Preparing the Handbook of Business Code of Conduct, both in Thai and English, and submitting the Handbook to the Executives and Employees, including communicating in the form of e-document via Intranet;
- Using the Employees' Code of Conduct as the main topic of the orientation for new employees and providing refreshers courses to the Employees every quarter; and
- Organizing campaigns and activities to promote corporate moral and ethics by creating pieces of work for the contests entered by lots of Employees and their family members





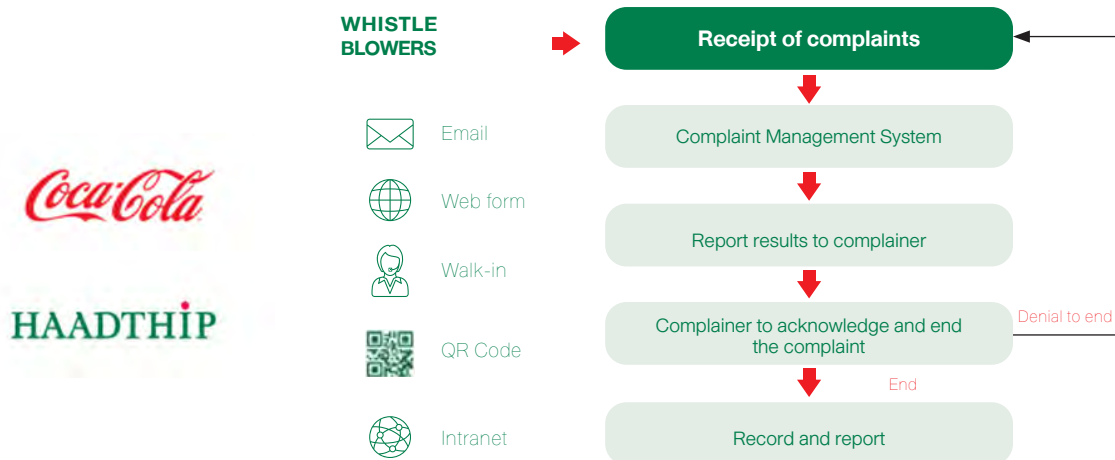
The **No Gift Policy** is always announced at every festival in order to create good standards for the personnel, aiming to enable all levels of the personnel to operate with their full efforts, without expecting anything in return. In 2021, no corruptive or unethical actions were found.

Filing Complaints/Whistleblowing

The Company provides channels for filing complaints, opinions or suggestions, which reveal possible effects or risks on the stakeholders, causing the stakeholders damage from the Company's business operation, the Employees'

operations related to illegal acts or ethics, including dishonest behavior, unfair treatment or careless and incautious acts via the following channels and processes;

Complaint Management System



The Employees or Stakeholders shall report clues, complaints, opinions or suggestions via the specified channels so that the Company will examine and record facts in written forms without disclosing the whistleblowers' details, including keeping the complaints secret, in order to protect possible effects. If facts are reported, the Investigation Committee will be established to summarize reports so that the Disciplinary Action Committee will judge the reports and identify disciplinary actions. Such operation is based on the Check and Balance Principle in order to create balance and fairness for all parties.

In 2021, the Company received 8 complaints via channels, that is, inadequacy of parking areas, impolitely speaking

employees, and enquiries about overtime wage calculation, all of which have been satisfactorily corrected and explained.

Two similar corruptive cases of the Employees were found, that is, stealth of the Company's fuel oil. The Company investigated this case itself via the GPS system, and the cases were found by the audit staff. The Company appropriately and fairly conducted a disciplinary investigation on the offenders. However, the cases have not had any significant impacts on the Company's reputation and finance.

During the past year, there were no reports on corruption or bribery.

Internal Control and Related Party Transactions

9.1 Internal Control

The Board of Directors has considered and reviewed the Internal Control and Risk Management System, realizing that the system is a mechanism that creates confidence in the Management to reduce business-related risks, enabling the business to be operated efficiently and effectively, as specified by the Board of Directors.

1. Internal Control

The Board of Directors has assigned the Audit Committee to supervise the Internal Control System, the Risk Management System and the Corporate Governance System of the Company so that the systems will be furnished with appropriateness, efficiency, inspection mechanisms and balance. The Internal Audit Office is responsible for auditing operation of all the Company's agencies, including giving counsels on formulation of the internal control system for the Company's work systems and assessing efficiency and adequacy of the internal control system, the risk management system and the corporate governance system of all the Company's agencies, by applying the framework

of the internal control system, according to the international standard of the Committee of Sponsoring Organizations of the Treadway Commission (COSO) and the framework of the Enterprise Risk Management and the supervision criteria of the SET and the IOD, so that the internal control, risk management and supervision will be more complete by directly reporting them to the Audit Committee. All the activities of the Internal Audit Office shall be given agreement and approval by the Audit Committee.

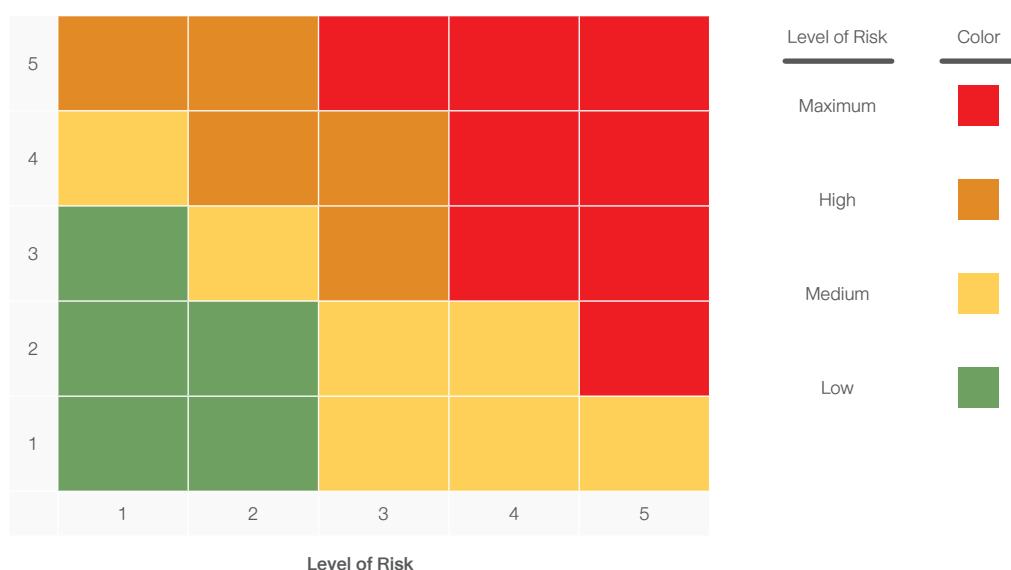
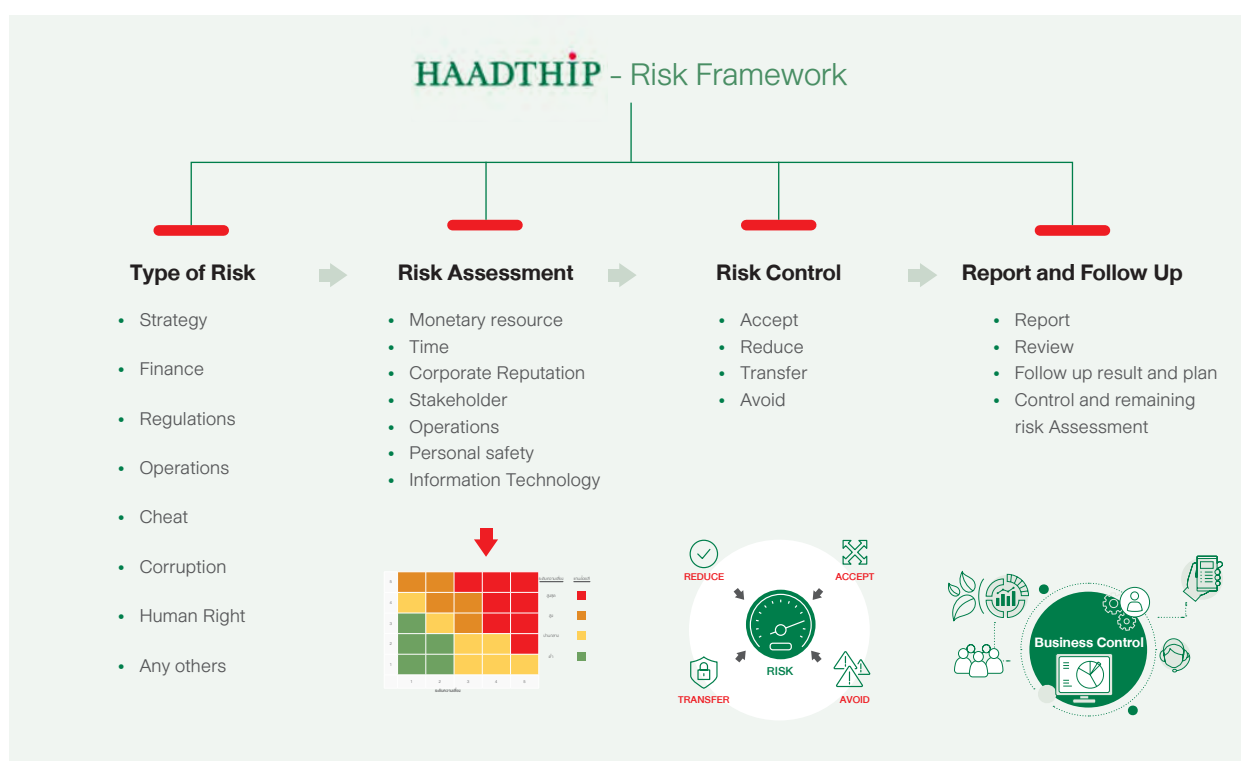
The Management has implemented other technological systems, namely CQR, POD, MOS-IR, RTM Mobile, ROAD net and VHM to help management the internal control more effectively and increase more system of the internal control.

2. Risk Management

The Board of Directors has appointed the Risk Management and Sustainable Development Committee, consisting of the top Executives from different departments, and Mr. Jose Henrique Zeitune is the Chairman of the Committee.

The Risk Management and Sustainable Development Committee is responsible for supervising the Company's risk management in accordance with the goals at the level accepted by the organization and specifying the risk management policy, with which all the staff shall comply, by assessing and managing risks, caused by internal or

external factors, which cover all sides of risks: strategies, operations, finance, compliance with rules and regulations, and corruptive risks, in order to seek for appropriate care measures. The risk management shall be conducted within the following framework.



Red (Inadequate): unacceptable level of risk, requiring urgent management so that the risks will be at the acceptable level

Yellow (Adequate): quite acceptable level of risk, requiring control to prevent risks from moving to the unacceptable level

Green (Strong): acceptable level of risk, requiring no risk control and management

To create efficiency in the Company's risk management, follow the process in accordance with the Good Corporate Governance Standard, and promote corporate culture, efficiently focusing on integrated development and ensuring the Stakeholders that risk management is part of normal operation of all the agencies, the Company has specified that risk assessment at agency level should be conducted twice a year, important risk-related covering aspects. Moreover, a risk reduction plan shall be continually prepared, the report shall be presented to the Risk Management and Sustainable Development Committee, and the results of risk assessment of all the agencies shall be mutually considered at the Management Review Meeting, organized by the Company twice a year. The Risk Management and Sustainable Development Committee shall regularly collaborate with the Audit Committee every 6 months, in order to exchange knowledge and information about risks and internal control affecting or possibly affecting the Company.

3. Operational Control

The Company has clearly determined operational measures and guidelines by specifying them in the forms of commands, operational rules, approval authority and operational methods, so that all levels of the Executives and Employees shall operate in the same direction, including establishing the Internal Audit Office responsible for regularly calibrating operating results in accordance with the commands, operational rules, approval authority and operational methods, in order to ensure adequacy and appropriateness of the internal control system and efficiency in operation, including use of the SAP system to increase speed and efficiency in operation.

Moreover, the Audit Committee shall regularly consider reports of internal audit results, in order to keep informed of significant aspects and problems found on audit, by giving suggestions to the Management so that it will correct the problems and prevent them from reoccurring.

4. Information Technology and Communication System

The Company provides a storage system for data and information useful and adequate for the Company's business, including improving its information technology system in order to enhance efficiency in its operational system. The Company has adopted the Enterprise

Resources Planning (ERP) Software by SAP ECC 6.0 since June 2011.

In 2017, the Company considered an investment in organizing HaadThip Improvement Project (HIP), aiming to enhance efficiency in the SAP software system, promote operation business under changes in work process and increases in new modules, in order to cover more operations. The Project was kicked off on May 15, 2017. After the Project was completed as planned, the Company has developed and improved efficiency in the SAP Software, in order to create the good internal control system and continually support changes in the Company's operation.

Moreover, in 2021, the Company's information technology system was audited by an external auditors (KPMG), and it has no been notified by the Auditor of any fiaws or errors deemed material.

5. Monitoring System

The Board of Directors has provided an assessment system, regularly monitored the comprehensive internal control system and assigned the Audit Committee to monitor and calibrate the internal control system via the Internal Audit Office, perform operational audits and assess operations, according to the international standard, in order to ensure that the problems found at audit or calibration shall be appropriately and promptly improved and corrected. As for the evaluation of internal control on the accounting and finance side of the Company, the Auditor shall be responsible to perform the audit activities on the part and present the results for consideration by the Audit Committee on a quarterly and yearly basis. The outcomes from the review by the certified Auditor and Internal Audit Office had shown no issues deemed defective, in all material aspects.

6. Internal Audit

The Audit Committee shall supervise the Internal Audit Office creating confidence, independently and fairly giving counsels on auditing and assessing adequacy of the internal control system, including monitoring improvement results, correcting the operational process appropriately to cover the Company's operational process and reporting them directly to the Internal Audit. The Charter of the Internal Audit Office and the Code of Conduct for Internal Auditors are clearly used as the operational guideline.

The Internal Audit Office has improved internal auditing in accordance with the International Standards for Professional Internal Auditing, in order to develop and improve internal auditors' operation, by adapting modern technology to enhance efficiency and effectiveness of internal auditing continually, updating directions of internal auditing in accordance with rapidly changing business, and continually organizing personnel development for all levels of the Internal Audit Office's staff, by promoting and supporting trainings on knowledge of professional internal auditing and other professions, in order that the staff will readily take exams for professional internal auditing certificates.

9.2 Related Party Transactions

Related party transactions refer to transactions between listed companies or subsidiaries with related persons, such as the Executives, Major Shareholders or Controlling Persons inclusive of a company wherein the connected person is a major shareholder or person with controlling interest.

The Company realizes that doing transactions with related parties may cause conflicts of interest. Therefore, to create transparency and fairness for all the Shareholders equally, the Company abides by the following principles:

1. A connected transaction must go through an approval process deemed transparent, and stakeholders or persons with possible conflict of interest in the connected transaction shall refrain from participating in the decision - making process
2. Consideration to enter into a connected transaction must be based on the best interest of the Company as the top priority
3. Careful consideration by the Audit Committee must be carried out before proposing to the Board of Directors and/or Shareholders' Meeting for approval of such a transaction
4. If any transaction done with related parties is a trade agreement in the same manner as the one done with general contract parties by reasonable persons in the same situations, with bargaining power not influenced by being Directors, Executives and related persons, depending on each case or normal transactions or normal business promoting transactions, under normal trade conditions. The Company shall present the agreement to the Board of Directors for approval or approval in principle before the transaction is done, in accordance with Article 89/12 (1) of the Securities and Exchange Act (no. 4) B.E. 2551
5. Related party transactions shall be disclosed in compliance with the criteria and methods, as specified by the SEC; and
6. There must be reliable follow-up and verification systems to ensure that the connected transactions are adhered to the correct procedure

In the year 2021, the Company had entered into the following Related Parties Transactions with its subsidiaries as follows:

Proportion of Shareholding

subsidiary	Proportion of Ownership (%)	Paid-up Capital (THB million)
Direct Subsidiary		
Southern Rocks Co., Ltd. (STR)	99.99	97.00
HaadThip Food and Beverages Co., Ltd. (HTF&B)	99.99	20.00
HaadThip Commercial Co., Ltd. (HTCOM)	99.99	16.00
HaadThip Development Co., Ltd. (HTD)	99.99	81.00
Indirect subsidiary		
KinDeeYuDee 2020 Co., Ltd. (KDYD)	71.00	30.00

Importance Related Parties Transactions

Unit: THB million

Transaction	STR	HTF&B	KDYD	HTCOM	HTD	Total	Pricing Policy
Sale of products	-	0.01	0.12	0.01	-	0.14	Market prices
Purchasing of products	-	0.01	0.03	1.64	-	1.68	Market prices
Container purchase	591.07	-	-	-	-	591.07	Cost plus additional profit
Service fees of blowing beverage containers	33.88	-	-	-	-	33.88	As per mutual agreement
Space ultization service fee	0.24	0.14	0.04	0.18	0.05	0.65	As per mutual agreement
Land lease income	0.21	-	-	-	-	0.21	As per mutual agreement
Management and administration fee	-	4.52	-	10.06	2.51	17.09	As per mutual agreement
Space rental fee for billboard advertisement	-	-	0.42	-	-	0.42	Market prices
Dividends income	216.29	-	-	-	-	216.09	As per dividend payment announcement
Other incomes	-	0.03	0.02	8.10	0.08	8.23	As per mutual agreement

Future Related Party Transactions

Related transactions of the Company in the future shall be transactions of normal business operation without transferring any interest between the Company and related companies or persons. The company shall adhere to and strictly follow the regulations of the Stock Exchange of Thailand (SET) and the Securities and Exchange

Commission, Thailand (SEC) as well as relevant laws, considering the reasonability and appropriateness of the conditions and market price which can be referred to in order to ensure that the shareholders and every stakeholder receive fair and equitable benefits according to the Company's good governance.

PART 3

FINANCIAL STATEMENTS

Independent Auditor's Report

To the Shareholders of Haad Thip Public Company Limited

Opinion

I have audited the consolidated and separate financial statements of Haad Thip Public Company Limited and its subsidiaries (the “Group”) and of Haad Thip Public Company Limited (the “Company”), respectively, which comprise the consolidated and separate statements of financial position as at 31 December 2021, the consolidated and separate statements of comprehensive income, changes in equity and cash flows for the year then ended, and notes, comprising a summary of significant accounting policies and other explanatory information.

In my opinion, the accompanying consolidated and separate financial statements present fairly, in all material respects, the financial position of the Group and the Company, respectively, as at 31 December 2021 and their financial performance and cash flows for the year then ended in accordance with Thai Financial Reporting Standards (TFRSs).

Basis for Opinion

I conducted my audit in accordance with Thai Standards on Auditing (TSAs). My responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements* section of my report. I am independent of the Group and the Company in accordance with the Code of Ethics for Professional Accountants issued by the Federation of Accounting Professions that is relevant to my audit of the consolidated and separate financial statements, and I have fulfilled my other ethical responsibilities in accordance with these requirements. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.

Key Audit Matters

Key audit matters are those matters that, in my professional judgment, were of most significance in my audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of my audit of the consolidated and separate financial statements as a whole, and in forming my opinion thereon, and I do not provide a separate opinion on these matters.

Completeness of accrued sales promotion and marketing expenses	
Refer to Note 13 to the financial statements	
The key audit matter	How the matter was addressed in the audit
In a highly competitive market, the Group has to incur more expenditures in relation to sales promotional and marketing activities with various campaigns to help the Group maintain their market shares. Sales are realised through modern trades with different types of sales incentives such as discounts, rebates, marketing support and sales promotion. Due to the variety of contractual terms, the estimate of the expenditure on incentives is complex in nature and highly uncertain depending upon market conditions. As a result, the completeness on estimate of accrued discounts, rebates, sales promotion and marketing support is an area of focus for my audit.	My principal audit procedures to address this matter included: - Understanding the process of sales and estimation relating to the accrual of sales promotion and marketing expenses and testing both key manual controls and systems-based controls of such processes with the assistance of KPMG's information technology specialists. This included, but was not limited to, accessing and maintaining customer master data and price list, credit limit approval and accrual rates of sales discounts, rebates, promotions and marketing campaigns. - Sampling the agreements with modern trades and comparing the data of sales discounts, rebates and incentives programs which were specified in those agreements to the data inputs in the system. - Analysing relationships and movements year on year of sales and related movements of discounts, rebates, promotional and marketing programs. - Considering the reasonableness of the accrual calculation on a sample basis, by corroboration of samples of inputs and inspection of underlying contractual terms with modern trades, and considering the historical accuracy of the accrual with actual expenditures incurred. Also performing test of subsequent expenditures incurred with amounts invoiced and payment documents on a sample basis. - Considering whether the amounts have been recognised in the proper period through sampling tests of credit notes and invoices received during the period and post period. - Sampling the sales promotion activities from promotion grid during the end of period and considering whether the sales promotion and marketing expenses have been recognised in the proper period. - Evaluating the adequacy of the Group's disclosure in accordance with Thai Financial Reporting Standards.

Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the consolidated and separate financial statements and my auditor's report thereon. The annual report is expected to be made available to me after the date of this auditor's report.

My opinion on the consolidated and separate financial statements does not cover the other information and I will not express any form of assurance conclusion thereon.

In connection with my audit of the consolidated and separate financial statements, my responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

When I read the annual report, if I conclude that there is a material misstatement therein, I am required to communicate the matter to those charged with governance and request that the correction be made.

Responsibilities of Management and Those Charged with Governance for the Consolidated and Separate Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated and separate financial statements in accordance with TFRSs, and for such internal control as management determines is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, management is responsible for assessing the Group's and the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group and the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's and the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements

My objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with TSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with TSAs, I exercise professional judgment and maintain professional skepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's and the Company's ability to continue as a going concern. If I conclude that a material uncertainty exists, I am required to draw attention in my auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify my opinion. My conclusions are based on the audit evidence obtained up to the date of my auditor's report. However, future events or conditions may cause the Group and the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. I am responsible for the direction, supervision and performance of the group audit. I remain solely responsible for my audit opinion.

I communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

I also provide those charged with governance with a statement that I have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on my independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, I determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. I describe these matters in my auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, I determine that a matter should not be communicated in my report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.



(Krittika Kongkerd)
Certified Public Accountant
Registration No. 10634

KPMG Phoomchai Audit Ltd.
Bangkok
23 February 2022

Statement of Financial Position

Haad Thip Public Company Limited and its Subsidiaries

Assets	Note	Consolidated		Separate	
		financial statements		financial statements	
		31 December		31 December	
		2021	2020	2021	2020
(in Baht)					
Current assets					
Cash and cash equivalents	5	217,231,967	261,246,413	179,461,301	230,648,932
Trade accounts receivable	6	477,947,422	463,152,814	459,242,143	445,022,546
Other receivables		119,316,942	95,551,066	114,128,439	100,224,944
Short-term loans to related parties	4	-	-	-	7,000,000
Inventories	7	334,475,310	308,226,913	266,099,806	265,538,897
Real estate development for sale		18,510,531	-	-	-
Current tax assets		2,965,840	2,965,840	2,965,840	2,965,840
Other current financial assets	22	28,178,686	14,514,694	1,621,391	1,067,856
Non-current assets					
classified as held for sale		8,709,894	9,698,894	8,709,894	9,698,894
Other current assets		16,761,957	16,590,428	14,324,168	15,022,077
Total current assets		1,224,098,549	1,171,947,062	1,046,552,982	1,077,189,986
Non-current assets					
Other non-current financial assets	22	13,867,067	2,816,575	13,867,067	2,816,575
Investment in subsidiaries	8	-	-	223,992,000	133,992,000
Investment properties	9	205,750,581	206,387,935	193,060,795	207,346,499
Property, plant and equipment	10	3,694,421,639	3,717,698,688	3,466,242,595	3,463,948,881
Right-of-use assets	11	211,743,937	167,421,289	198,229,215	158,650,454
Intangible assets		54,323,211	49,686,490	45,263,819	44,315,357
Deferred tax assets	19	466,814	374,619	-	-
Other non-current assets	15	23,259,348	9,778,824	19,283,025	7,178,887
Total non-current assets		4,203,832,597	4,154,164,420	4,159,938,516	4,018,248,653
Total assets		5,427,931,146	5,326,111,482	5,206,491,498	5,095,438,639

The accompanying notes form an integral part of the financial statements.

Statement of Financial Position

Haad Thip Public Company Limited and its Subsidiaries

Liabilities and equity	Note	Consolidated		Separate	
		financial statements		financial statements	
		31 December		31 December	
		2021	2020	2021	2020
(in Baht)					
Current liabilities					
Short-term loans from financial institutions	12,22	62,000,000	17,000,000	-	-
Trade accounts payable		305,133,682	211,889,252	366,396,463	260,486,502
Other payables	13	366,093,376	534,040,480	358,741,144	525,224,530
Current portion of long-term loans	12,22	83,640,000	90,360,000	69,840,000	76,560,000
Current portion of lease liabilities	12,22	74,155,845	65,712,857	68,997,731	62,085,023
Current income tax payable		52,591,130	31,529,544	45,782,278	31,529,544
Total current liabilities		943,614,033	950,532,133	909,757,616	955,885,599
Non-current liabilities					
Long-term loans	12,22	83,440,000	167,340,000	50,940,000	121,040,000
Lease liabilities	12,22	138,499,958	100,914,163	130,126,157	95,666,882
Customers' deposits on bottles and cases		14,587,703	16,635,323	14,587,703	16,635,323
Deferred tax liabilities	19	319,885,974	331,991,986	326,731,066	331,970,699
Non-current provisions for employee benefits	14	301,386,191	304,722,991	299,782,879	303,581,155
Other non-current provisions	15	12,614,631	-	12,614,631	-
Other non-current liabilities		-	-	390,504	390,504
Total non-current liabilities		870,414,457	921,604,463	835,172,940	869,284,563
Total liabilities		1,814,028,490	1,872,136,596	1,744,930,556	1,825,170,162

The accompanying notes form an integral part of the financial statements.

Statement of Financial Position

Haad Thip Public Company Limited and its Subsidiaries

Liabilities and equity	Note	Consolidated		Separate	
		financial statements		financial statements	
		31 December		31 December	
		2021	2020	2021	2020
(in Baht)					
Equity					
Share capital					
Authorised share capital					
(201,210,180 ordinary shares, par value at Baht 1 per share)		201,210,180	201,210,180	201,210,180	201,210,180
Issued and paid-up share capital					
(200,960,500 ordinary shares, par value at Baht 1 per share)		200,960,500	200,960,500	200,960,500	200,960,500
Share premium					
Share premium on ordinary shares		392,838,100	392,838,100	392,838,100	392,838,100
Retained earnings					
Appropriated					
Legal reserve	16	25,000,000	25,000,000	25,000,000	25,000,000
General reserve	16	35,000,000	35,000,000	35,000,000	35,000,000
Unappropriated		1,339,316,322	1,181,306,792	1,201,734,858	1,001,078,403
Other components of equity	10	1,615,558,723	1,615,476,623	1,606,027,484	1,615,391,474
Equity attributable to owners of the parent		3,608,673,645	3,450,582,015	3,461,560,942	3,270,268,477
Non-controlling interests		5,229,011	3,392,871	-	-
Total equity		3,613,902,656	3,453,974,886	3,461,560,942	3,270,268,477
Total liabilities and equity		5,427,931,146	5,326,111,482	5,206,491,498	5,095,438,639

The accompanying notes form an integral part of the financial statements.

Statement of Comprehensive Income

Haad Thip Public Company Limited and its Subsidiaries

		Consolidated		Separate	
		financial statements		financial statements	
		Year ended 31 December		Year ended 31 December	
	Note	2021	2020	2021	2020
		(in Baht)			
Revenue					
Revenue from sale of goods	17	6,517,953,914	6,425,419,037	6,358,184,170	6,387,316,375
Dividend income	4, 8	71,240	48,200	140,711,380	297,027,379
Gain on sale of investment property	9	-	-	32,563,808	-
Net foreign exchange gain		197,136	-	910,750	-
Other income		26,329,824	18,624,843	47,801,635	25,425,707
Total revenue		6,544,552,114	6,444,092,080	6,580,171,743	6,709,769,461
Expenses					
Cost of sales of goods	18	3,893,319,209	3,741,905,498	3,941,370,177	3,953,811,034
Distribution costs	18	1,277,899,135	1,271,886,189	1,258,645,208	1,267,880,818
Administrative expenses	18	731,671,046	781,039,606	709,880,629	763,380,550
Net foreign exchange loss		-	257,908	-	253,189
Total expenses		5,902,889,390	5,795,089,201	5,909,896,014	5,985,325,591
Profit from operating activities		641,662,724	649,002,879	670,275,729	724,443,870
Finance costs		-12,926,745	-16,670,316	(10,462,760)	(14,237,421)
Profit before income tax expense		628,735,979	632,332,563	659,812,969	710,206,449
Tax expense	19	-95,414,108	-67,391,366	(91,143,436)	(67,471,704)
Profit for the year		533,321,871	564,941,197	568,669,533	642,734,745

The accompanying notes form an integral part of the financial statements.

Statement of Comprehensive Income

Haad Thip Public Company Limited and its Subsidiaries

		Consolidated		Separate	
		financial statements		financial statements	
		Year ended 31 December		Year ended 31 December	
	Note	2021	2020	2021	2020
		(in Baht)			
Other comprehensive income					
Items that will not be reclassified to profit or loss					
Gain (loss) on investments in equity instruments designated at FVOCI	22	102,625	(1,041,725)	102,625	(1,041,725)
Gain on revaluation of assets	10	-	410,042,947	-	410,042,947
Gain (loss) on remeasurements of defined benefit plans	14	18,075,064	(4,950,464)	17,977,781	(4,866,712)
Income tax relating to items that will not be reclassified	19	(3,635,538)	(80,810,151)	(3,616,081)	(80,826,902)
Total items that will not be reclassified to profit or loss		14,542,151	323,240,607	14,464,325	323,307,608
Other comprehensive income for the year, net of tax		14,542,151	323,240,607	14,464,325	323,307,608
Total comprehensive income for the year		547,864,022	888,181,804	583,133,858	966,042,353
Profit (loss) attributable to:					
Owners of the parent		535,390,872	566,335,585	568,669,533	642,734,745
Non-controlling interests		(2,069,001)	(1,394,388)	-	-
		533,321,871	564,941,197	568,669,533	642,734,745
Total comprehensive income (expense) attributable to:					
Owners of parent		549,933,023	889,576,192	583,133,858	966,042,353
Non-controlling interests		(2,069,001)	(1,394,388)	-	-
		547,864,022	888,181,804	583,133,858	966,042,353
Basic earnings per share	20	2.66	2.82	2.83	3.20

The accompanying notes form an integral part of the financial statements.

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Statement of Changes in Equity

Haad Thip Public Company Limited and its Subsidiaries

Consolidated financial statements												
		Retained earnings			Other components of equity							
		Issued and paid-up share capital	Share premium on ordinary shares	Legal reserve	General reserve	Unappropriated	Fair value reserve	Revaluation reserve	Total other components of equity	Equity attributable to owners of the parent	Non-controlling interests	Total equity
Note												
(in Baht)												
Year ended 31 December 2021												
Balance at 1 January 2021		200,960,500	392,838,100	25,000,000	35,000,000	1,181,306,792	(561,380)	1,616,038,003	1,615,476,623	3,450,582,015	3,392,871	3,453,974,886
Transactions with owners, recorded directly in equity												
Distributions to owners												
Dividends to owners of the Company		-	-	-	-	(391,841,393)	-	-	-	(391,841,393)	-	(391,841,393)
Dividends of subsidiary to non-controlling interests		-	-	-	-	-	-	-	-	-	(9,859)	(9,859)
Total distributions to owners		-	-	-	-	(391,841,393)	-	-	-	(391,841,393)	(9,859)	(391,851,252)
Change in ownership interests in subsidiaries												
Acquisition of investment in subsidiaries		-	-	-	-	-	-	-	-	-	3,915,000	3,915,000
Total change in ownership interests in subsidiaries		-	-	-	-	-	-	-	-	-	3,915,000	3,915,000
Total transactions with owners, recorded directly in equity												
		-	-	-	-	(391,841,393)	-	-	-	(391,841,393)	3,905,141	(387,936,252)
Comprehensive income for the year												
Profit (loss)		-	-	-	-	535,390,872	-	-	-	535,390,872	(2,069,001)	533,321,871
Other comprehensive income (expense)		-	-	-	-	14,460,051	82,100	-	82,100	14,542,151	-	14,542,151
Total comprehensive income (expense) for the year		-	-	-	-	549,850,923	82,100	-	82,100	549,933,023	(2,069,001)	547,864,022
Balance at 31 December 2021		200,960,500	392,838,100	25,000,000	35,000,000	1,339,316,322	(479,280)	1,616,038,003	1,615,558,723	3,608,673,645	5,229,011	3,613,902,656

The accompanying notes form an integral part of the financial statements.

Statement of Changes in Equity

Haad Thip Public Company Limited and its Subsidiaries

Separate financial statements										
	Note	Retained earnings			Other components of equity			Total other components of equity	Total equity	
		Issued and paid-up share capital	Share premium on ordinary shares	Legal reserve	General reserve	Unappropriated reserve	Fair value reserve			Revaluation reserve
<i>(in Baht)</i>										
Year ended 31 December 2020										
Balance at 1 January 2020		200,960,500	392,838,100	25,000,000	35,000,000	715,926,650	272,000	1,287,918,496	1,288,190,496	2,657,915,746
Transactions with owners, recorded directly in equity										
<i>Distributions to owners</i>										
Dividends to owners of the Company	21	-	-	-	-	(353,689,622)	-	-	-	(353,689,622)
<i>Total distributions to owners</i>		-	-	-	-	(353,689,622)	-	-	-	(353,689,622)
Total transactions with owners, recorded directly in equity		-	-	-	-	(353,689,622)	-	-	-	(353,689,622)
Comprehensive income for the year										
Profit (loss)		-	-	-	-	642,734,745	-	-	-	642,734,745
Other comprehensive income (expense)		-	-	-	-	(3,893,370)	(833,380)	328,034,358	327,200,978	323,307,608
<i>Total comprehensive income (expense) for the year</i>		-	-	-	-	638,841,375	(833,380)	328,034,358	327,200,978	966,042,353
Balance at 31 December 2020		200,960,500	392,838,100	25,000,000	35,000,000	1,001,078,403	(561,380)	1,615,952,854	1,615,391,474	3,270,268,477

The accompanying notes form an integral part of the financial statements.

Statement of Changes in Equity

Haad Thip Public Company Limited and its Subsidiaries

Separate financial statements									
		Retained earnings			Other components of equity				
	Issued and paid-up share capital	Share premium on ordinary shares	Legal reserve	General reserve	Unappropriated reserve	Fair value reserve	Revaluation reserve	Total other components of equity	Total equity
Note									
(in Baht)									
Year ended 31 December 2021									
Balance at 1 January 2021	200,960,500	392,838,100	25,000,000	35,000,000	1,001,078,403	(561,380)	1,615,952,854	1,615,391,474	3,270,268,477
Transactions with owners, recorded directly in equity									
Distributions to owners									
Dividends to owners of the Company	-	-	-	-	(391,841,393)	-	-	-	(391,841,393)
Total distributions to owners	-	-	-	-	(391,841,393)	-	-	-	(391,841,393)
Total transactions with owners, recorded directly in equity	-	-	-	-	(391,841,393)	-	-	-	(391,841,393)
Comprehensive income for the year									
Profit (loss)	-	-	-	-	568,669,533	-	-	-	568,669,533
Other comprehensive income (expense)	-	-	-	-	23,828,315	82,100	(9,446,090)	(9,363,990)	14,464,325
Total comprehensive income (expense) for the year	-	-	-	-	592,497,848	82,100	(9,446,090)	(9,363,990)	583,133,858
Balance at 31 December 2021	200,960,500	392,838,100	25,000,000	35,000,000	1,201,734,858	(479,280)	1,606,506,764	1,606,027,484	3,461,560,942

(in Baht)

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The accompanying notes form an integral part of the financial statements.

Statement of Cash Flows

Haad Thip Public Company Limited and its Subsidiaries

	Consolidated		Separate	
	financial statements		financial statements	
	Year ended 31 December		Year ended 31 December	
	2021	2020	2021	2020
	(in Baht)			
Cash flows from operating activities				
Profit for the year	533,321,871	564,941,197	568,669,533	642,734,745
<i>Adjustments to reconcile profit to cash receipts (payments)</i>				
Tax expense	95,414,108	67,391,366	91,143,436	67,471,704
Finance costs	12,926,745	16,670,316	10,462,760	14,237,421
Depreciation	309,048,640	299,105,557	268,844,027	260,458,293
Amortisation	19,075,608	18,960,947	17,751,679	18,607,813
Impairment loss recognised in profit or loss	721,315	986,232	721,315	986,232
Other non-current provisions	12,614,631	-	12,614,631	-
Unrealised (gain) loss on foreign exchange	427,564	189,177	(286,050)	184,458
Allowance for obsolete inventories	4,959,543	11,044,487	4,959,543	11,044,487
(Gain) loss on disposal of property, plant and equipment	880,390	(5,776,595)	880,390	(5,776,595)
Loss on written-off of property, plant and equipment	98,811	9,006,842	97,633	9,000,684
Loss on written-off of containers	73,080	2,569,551	73,080	2,569,551
Loss on written-off of right-of-use assets	154,575	-	154,575	-
Gain on sale of investment property	-	-	(32,563,808)	-
Gain on sale of investment units	(455,792)	(621,160)	(337,655)	(291,331)
Loss on fair value adjustment	780,800	20,839	773,120	655
Dividend income	(71,240)	(48,200)	(140,711,380)	(297,027,379)
Interest income	(416,157)	(556,025)	(458,175)	(343,379)
	989,554,492	983,884,531	802,788,654	723,857,359
<i>Changes in operating assets and liabilities</i>				
Trade accounts receivable	(15,551,443)	182,846,504	(14,976,432)	200,976,772
Other receivables	(23,730,355)	(42,491,830)	(13,867,975)	(45,000,797)
Inventories	(31,207,940)	(3,419,684)	(5,520,452)	27,404,133
Real estate development for sale	(4,224,827)	-	-	-
Other current assets	(171,529)	2,254,677	697,909	3,823,027
Other non-current assets	(13,480,524)	(1,413,827)	(12,104,138)	1,184,610
Trade accounts payable	92,556,391	26,436,891	105,867,285	(33,681,180)
Other payables	(161,124,123)	(90,779,063)	(160,080,798)	(92,696,324)
Customers' deposits on bottles and cases	(2,047,620)	(4,877,401)	(2,047,620)	(4,877,401)
Provision for employee benefits	14,738,264	12,627,968	14,179,505	12,226,780
Net cash generated from operating	845,310,786	1,065,068,766	714,935,938	793,216,979
Taxes paid	(90,186,267)	(41,712,033)	(85,746,416)	(41,559,906)
Net cash provided by operating activities	755,124,519	1,023,356,733	629,189,522	751,657,073

The accompanying notes form an integral part of the financial statements.

Statement of Cash Flows

Haad Thip Public Company Limited and its Subsidiaries

	Consolidated		Separate	
	financial statements		financial statements	
	Year ended 31 December		Year ended 31 December	
	2021	2020	2021	2020
	(in Baht)			
Cash flows from investing activities				
Acquisition of other equity securities	(10,600,000)	(2,498,300)	(10,600,000)	(2,498,300)
Acquisition of subsidiaries	-	-	-	(36,998,800)
Proceeds from sale of investment property	-	-	46,849,512	
Acquisition of investment property	(13,648,350)	-	-	
Proceeds from sale of property, plant and equipment	447,914	5,976,248	447,914	5,976,248
Acquisition of property, plant and equipment	(218,229,946)	(256,075,058)	(204,835,276)	(242,283,805)
Acquisition of intangible assets	(21,189,329)	(15,045,972)	(15,722,141)	(10,536,172)
Proceeds from sale of debts securities	1,131,000,000	1,003,000,000	(1,000,000,000)	790,000,000
Acquisition of debts securities	(1,144,000,000)	(1,005,000,000)	1,000,000,000	(790,000,000)
Loans to related parties	-	-	(13,000,000)	(8,500,000)
Proceeds from repayment of loans to related parties	-	-	20,000,000	1,500,000
Dividends received	71,240	48,200	140,711,380	297,027,379
Interest received	416,157	556,025	458,175	343,379
Net cash from (used in) investing activities	(275,732,314)	(269,038,857)	(35,690,436)	4,029,929
Cash flows from financing activities				
Proceeds from change in ownership interest in subsidiaries				
without a change in control	3,915,000	4,786,200	-	-
Payment on investment in subsidiaries	-	-	(90,000,000)	
Proceeds from short-term loans	233,000,000	717,000,000	-	700,000,000
Repayment of short-term loans	(188,000,000)	(810,000,000)	-	(810,000,000)
Repayment of long-term loans	(90,620,000)	(97,660,000)	(76,820,000)	(90,760,000)
Payment of lease liabilities	(77,106,140)	(65,320,067)	(75,543,182)	(64,925,519)
Dividends paid to owners of the Company	(391,841,393)	(353,689,622)	(391,841,393)	(353,689,622)
Dividends paid to non-controlling interests	(9,859)	(20,821)	-	-
Interest paid	(12,744,259)	(16,600,097)	(10,482,142)	(14,282,363)
Net cash used in financing activities	(523,406,651)	(621,504,407)	(644,686,717)	(633,657,504)
Net increase (decrease) in cash and cash equivalents	(44,014,446)	132,813,469	(51,187,631)	122,029,498
Cash and cash equivalents at 1 January	261,246,413	128,432,944	230,648,932	108,619,434
Cash and cash equivalents at 31 December	217,231,967	261,246,413	179,461,301	230,648,932

The accompanying notes form an integral part of the financial statements.

Statement of Cash Flows

Haad Thip Public Company Limited and its Subsidiaries

	Consolidated		Separate	
	financial statements		financial statements	
	Year ended 31 December		Year ended 31 December	
	2021	2020	2021	2020
	(in Baht)			
Supplemental disclosure of cash flows information				
Non-cash transactions :				
Property, plant and equipment and intangible assets purchased during the years are detailed as follows:				
Property, plant and equipment purchased during the years	208,614,087	268,997,041	195,454,929	255,843,630
Intangible assets purchased during the years	23,712,329	16,583,972	18,700,141	10,871,172
(Increase) decrease in payables on purchases of property and equipment	9,615,859	(12,921,983)	9,380,347	(13,559,825)
(Increase) decrease in payables on purchases of intangible assets	(2,523,000)	(1,538,000)	(2,978,000)	(335,000)
Net purchase of property, plant and equipment and intangible assets paid by cash	239,419,275	271,121,030	220,557,417	252,819,977

The accompanying notes form an integral part of the financial statements.

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

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Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

These notes form an integral part of the financial statements.

The financial statements issued for Thai statutory and regulatory reporting purposes are prepared in the Thai language. These English language financial statements have been prepared from the Thai language statutory financial statements, and were approved and authorised for issue by the Board of Directors on 23 February 2022.

1 General information

Haad Thip Public Company Limited, the “Company”, is incorporated in Thailand and was listed on the Stock Exchange of Thailand in December 1988. The Company’s registered office at 87/1, Kanchanavanich Road, Tambol Banphru, Amphur Hadyai, Songkhla, Thailand.

The Company’s major shareholders during the financial year were Rattakul family (35.63% shareholding), and Gutsche Family Investments (Proprietary) Limited (24.40% shareholding) which was incorporated in South Africa.

The principal businesses of the Company are manufacturing and distribution of soft drinks. Detail of the Company’s subsidiaries as at 31 December 2021 and 2020 is given in note 8.

2 Basis of preparation of the financial statements

The financial statements are prepared in accordance with Thai Financial Reporting Standards (TFRS); guidelines promulgated by the Federation of Accounting Professions and applicable rules and regulations of the Thai Securities and Exchange Commission. The financial statements are presented in Thai Baht, which is the Company’s functional currency.

The preparation of financial statements in conformity with TFRS requires management to make judgements, estimates and assumptions that affect the application of the Group’s accounting policies. Actual results may differ from these estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised prospectively.

3 Significant accounting policies

The accounting policies set out below have been applied consistently to all periods presented in these financial statements.

(a) Basis of consolidation

The consolidated financial statements relate to the Company and its subsidiaries (together referred to as the “Group”).

Subsidiaries are entities controlled by the Group. The Group controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The financial statements of subsidiaries is included in the consolidated financial statements from the date on which control commences until the date on which control ceases.

Intra-group balances and transactions, and any unrealised income or expenses arising from intra-group transactions, are eliminated on consolidation.

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

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(b) Investments in subsidiaries

Investments in subsidiaries in the separate financial statements are measured at cost less allowance for impairment losses. Dividend income is recognised in profit or loss on the date on which the Company's right to receive payment is established. If the Company disposes of part of its investment, the deemed cost of the part sold is determined using the weighted average method. Gains and losses on disposal of the investments are recognised in profit or loss.

(c) Foreign currencies

Transactions in foreign currencies including non-monetary assets and liabilities denominated in foreign currencies are translated to the respective functional currencies of each entity in the Group at exchange rates at the dates of the transactions. Monetary assets and liabilities denominated in foreign currencies are translated at the exchange rate at the reporting date.

Foreign currency differences are generally recognised in profit or loss.

(d) Financial instruments

(d.1) Classification and measurement

Financial assets and financial liabilities (except trade accounts receivables (see note 3(f)) are initially recognised when the Group becomes a party to the contractual provisions of the instrument, and measured at fair value, taking into account for transaction costs that are directly attributable to its acquisition, except for financial assets measured at FVTPL, which are initially and subsequently measured at fair value, and any transaction costs that are directly attributable to its acquisition are recognised in profit or loss.

On initial recognition, a financial asset is classified as measured at: amortised cost; fair value through other comprehensive income (FVOCI); or fair value through profit or loss (FVTPL). Financial assets are not reclassified subsequent to their initial recognition unless the Group changes its business model for managing financial assets, in which case all affected financial assets are reclassified prospectively from the reclassification date.

On initial recognition, financial liabilities are classified as measured at amortised cost using the effective interest method or FVTPL. Interest expense, foreign exchange gains and losses and any gain or loss on derecognition are recognised in profit or loss.

Financial assets measured at amortised costs are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by expected credit losses. Interest income, foreign exchange gains and losses, expected credit loss and any gain or loss on derecognition are recognised in profit or loss.

Equity investments measured at FVOCI are subsequently measured at fair value. Dividend income is recognised as income in profit or loss on the date on which the Group's right to receive payment is established, unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss.

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

(d.2) Derecognition and offset

The Group derecognises a financial asset when the contractual rights to receive the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Group neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire. The Group also derecognises a financial liability when its terms are modified and the cash flows of the modified liability are substantially different, in which case a new financial liability based on the modified terms is recognised at fair value.

The difference between the carrying amount extinguished and the consideration received or paid is recognised in profit or loss.

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group currently has a legally enforceable right to set off the amounts and the Group intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

(d.3) Derivatives

Derivative are recognised at fair value and remeasured at fair value at each reporting date. The gain or loss on remeasurement to fair value is recognised immediately in profit or loss.

(d.4) Write offs

The gross carrying amount of a financial asset is written off when the Group has no reasonable expectations of recovering. Subsequent recoveries of an asset that was previously written off, are recognised as a reversal of impairment in profit or loss in the period in which the recovery occurs.

(d.5) Interest

Interest income and expense is recognised in profit or loss using the effective interest method. In calculating interest income and expense, the effective interest rate is applied to the gross carrying amount of the asset (when the asset is not credit-impaired) or to the amortised cost of the liability.

(e) Cash and cash equivalents

Cash and cash equivalents comprise cash balances, call deposits and highly liquid short-term investments which has a maturity of three months or less from the date of acquisition.

(f) Trade accounts receivable

A trade receivable is recognised when the Group has an unconditional right to receive consideration. A trade receivable is measured at transaction price less allowance for expected credit loss. Bad debts are written off when incurred.

The Group estimates lifetime expected credit losses (ECLs), using a provision matrix to find ECLs rate. This method groups the debtors based on shared credit risk characteristics and past due status, taking into account historical credit loss data, adjusted for factors that are specific to the debtors and an assessment of both current economic conditions and forward-looking general economic conditions at the reporting date.

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

(g) Inventories

Inventories are measured at the lower of cost and net realisable value. Cost is calculated using the average cost principle. Cost includes direct costs incurred in acquiring the inventories. In the case of manufactured inventories and work-in-progress, cost includes an appropriate share of production overheads based on normal operating capacity. Net realisable value is the estimated selling price in the ordinary course of business less the estimated costs to make the sale.

(h) Non-current assets classified as held for sale

Non-current assets are classified as held for sale if it is highly probable that they will be recovered primarily through sale rather than through continuing use. Such assets are measured at the lower of their carrying amount and fair value less cost to sell. Impairment losses on initial classification as held for sale and subsequent gains and losses on remeasurement are recognised in profit or loss.

Once classified as held for sale, intangible assets, plant and equipment are no longer amortised or depreciated.

(i) Investment properties

Investment properties are measured at cost less impairment losses. Cost includes expenditure that is directly attributable to the acquisition of the investment property.

Differences between the proceeds from disposal and the carrying amount of investment property are recognised in profit or loss. When investment property that was previously classified as property, plant and equipment measured at revalued amounts is sold, the amounts included in the revaluation reserve are transferred to retained earnings.

(j) Property, plant and equipment

Plant and equipment are measured at cost less accumulated depreciation and impairment losses except for lands which are measured at their revalued amounts. The revalued amount is the fair value determined on the basis of the property's existing use at the date of revaluation less any subsequent accumulated depreciation and impairment losses.

Cost includes expenditure that is directly attributable to the acquisition of the asset, and the costs of dismantling and removing the item and restoring the site on which they are located. Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

Differences between the proceeds from disposal and the carrying amount of property, plant and equipment are recognised in profit or loss.

Revalued assets

Revaluations of assets are performed by independent professional valuers with sufficient regularity to ensure that the carrying amount of these assets does not differ materially from that which would be determined using fair values at the reporting date. Any increase in value, on revaluation, is recognised in other comprehensive income and presented in the "revaluation reserve" in other components of equity unless it offsets a previous decrease in value recognised in profit or loss in respect of the same asset, the increase is recognised in profit or loss. A decrease in value is recognised in profit or loss to the extent it exceeds the revaluation reserve previously recognised in other comprehensive income in respect of the same asset. Upon disposal of a revalued asset, any remaining related revaluation reserve

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

is transferred directly to retained earnings and is not taken into account in calculating the gain or loss on disposal.

Subsequent costs

The cost of replacing a part of an item of property, plant and equipment is recognised in the carrying amount of the item when the future economic benefits embodied within the part will flow to the Group, and its cost can be measured reliably. The carrying amount of the replaced part is derecognised. The costs of the day-to-day servicing of property, plant and equipment are recognised in profit or loss as incurred.

Depreciation

Depreciation is calculated on a straight-line basis over the estimated useful lives of each component of an asset and recognised in profit or loss. No depreciation is provided on freehold land and assets under construction and installation.

The estimated useful lives are as follows:

Land improvements	10	years
Buildings, structures and leasehold improvements	20	years
Machinery and equipment	5, 10 and 20	years
Furniture and office equipment	5	years
Vehicles	5	years
Containers	5	years
Promotional equipment	5	years

(k) Intangible assets

Intangible assets that have definite useful lives are measured at cost less accumulated amortisation and impairment losses. Subsequent expenditure is capitalised only when it will generate the future economic benefit. Amortisation is calculated on a straight-line basis over the estimated useful lives of intangible assets and recognised in profit or loss.

The estimated useful lives are as follows:

Software licences	5	years
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(l) Leases

At inception of a contract, the Group assesses that a contract is, or contains, a lease when it conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

As a lessee

At commencement or on modification of a contract, the Group allocates the consideration in the contract to each lease component on the basis of its relative stand-alone prices of each component. For the leases of property, the Group has elected not to separate non-lease components and account for the lease and non-lease components wholly as a single lease component.

The Group recognises a right-of-use asset and a lease liability at the lease commencement date except for leases of low-value assets and short-term leases which is recognised as an expense on a straight-line basis over the lease term.

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

Right-of-use asset is measured at cost, less any accumulated depreciation and impairment loss, and adjusted for any remeasurements of lease liability. The cost of right-of-use asset includes the initial amount of the lease liability adjusted for any prepaid lease payments, plus any initial direct costs incurred and an estimate of restoration costs, less any lease incentives received. Depreciation is charged to profit or loss on a straight-line method from the commencement date to the end of the lease term, unless the lease transfers ownership of the underlying asset to the Group by the end of the lease term or the Group will exercise a purchase option. In that case the right-of-use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property and equipment.

The lease liability is initially measured at the present value of all lease payments that shall be paid under the lease. The Group uses the interest rate implicit in the lease and the Group's incremental borrowing rate to discount the lease payments to the present value. The Group determines its incremental borrowing rate by obtaining interest rates from various external financing sources and makes certain adjustments to reflect the terms of the lease and type of the asset leased.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a lease modification or a change in the assessment of options specified in the lease. When the lease liability is remeasured, a corresponding adjustment is made to the carrying amount of the right-of-use asset or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

As a lessor

At inception or on modification of a contract, the Group allocates the consideration in the contract to each component on the basis of their relative standalone selling prices.

At lease inception, the Group considers to classify a lease that transfers substantially all of the risks and rewards incidental to ownership of the underlying asset to lessees as a finance lease. A lease that does not meet this criteria is classified as an operating lease.

The Group recognises lease payments received under operating leases in profit or loss on a straight-line basis over the lease term as part of other income. Initial direct costs incurred in arranging an operating lease are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Contingent rents are recognised as other income in the accounting period in which they are earned.

(m) Impairment of non-financial assets

The carrying amounts of the Group's assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, the assets' recoverable amounts are estimated.

An impairment loss is recognised in profit or loss if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount, unless it reverses a previous revaluation credited to equity, in which case it is charged to equity.

The recoverable amount is the greater of the asset's value in use and fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For an asset that does not generate cash inflows largely independent of those from other assets, the recoverable amount is determined for the cash-generating unit to which the asset belongs.

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

Impairment losses of assets recognised in prior periods is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

(n) *Employee benefits*

Defined contribution plan

Obligations for contributions to the Group's provident funds are expensed as the related service is provided.

Defined benefit plans

The Group's net obligation in respect of defined benefit plans is calculated by estimating the amount of future benefit that employees have earned in the current and prior periods. The defined benefit obligations is discounted to the present value, which performed regularly by a qualified actuary using the projected unit credit method.

Remeasurements of the net defined benefit liability, actuarial gain or loss are recognised immediately in other comprehensive income. The Group determines the interest expense on the net defined benefit liability for the period by applying the discount rate used to measure the defined benefit obligation at the beginning of the annual period, taking into account any changes in the net defined benefit liability during the period as a result of contributions and benefit payments. Net interest expense and other expenses related to defined benefit plans are recognised in profit or loss.

When the benefits of a plan are changed or when a plan is curtailed, the resulting change in benefit that relates to past service or the gain or loss on curtailment is recognised immediately in profit or loss. The Group recognises gains and losses on the settlement of a defined benefit plan when the settlement occurs.

Short-term employee benefits are expensed as the related service is provided. A liability is recognised for the amount expected to be paid if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

(o) *Provisions*

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as a finance cost.

(p) *Fair value measurement*

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk.

When measuring the fair value of an asset or a liability, the Group uses observable market data as far as possible. Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

- Level 1: quoted prices in active markets for identical assets or liabilities.
- Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly or indirectly.
- Level 3: inputs for the asset or liability that are based on unobservable input.

If an asset or a liability measured at fair value has a bid price and an ask price, then the Group measures assets and asset positions at a bid price and liabilities and liability positions at an ask price.

The best evidence of the fair value of a financial instrument on initial recognition is normally the transaction price – i.e. the fair value of the consideration given or received. If the Group determines that the fair value on initial recognition differs from the transaction price, the financial instrument is initially measured at fair value adjusted for the difference between the fair value on initial recognition and the transaction price and the difference is recognised in profit or loss immediately. However, for the fair value categorised as level 3, such difference is deferred and will be recognised in profit or loss on an appropriate basis over the life of the instrument or until the fair value level is transferred or the transaction is closed out.

(q) Revenue from contracts with customers

Revenue is recognised when a customer obtains control of the goods or services in an amount that reflects the consideration to which the Group expects to be entitled, excluding those amounts collected on behalf of third parties, value added tax and is after deduction of any trade discounts.

Revenue from sales of goods is recognised on the date on which the goods are delivered to the customers. For the sales that permit the customers to return the goods, the Group estimates the returns based on the historical return data, does not recognise revenue for this transaction and remains recognition of inventory for the estimated products to be returned.

Revenue for rendering of services is recognised over time based as the services are provided. The stage of completion is assessed based on surveys of work performed. The related costs are recognised in profit or loss when they are incurred.

(r) Income tax

Income tax expense for the year comprises current and deferred tax which is recognised in profit or loss except to the extent that they relate to items recognised directly in equity or in other comprehensive income.

Current tax is recognised in respect of the taxable income or loss for the year, using tax rates enacted or substantively enacted at the reporting date, and any adjustment to tax payable in respect of previous years.

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for the temporary difference relating to investments in subsidiaries to the extent that it is probable that they will not reverse in the foreseeable future.

The measurement of deferred tax reflects the tax consequences that would follow the manner in which the Group expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities, using tax rates enacted or substantively enacted at the reporting date. Current deferred tax assets and liabilities are offset in the separate financial statements.

Notes to The Financial Statements

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A deferred tax asset is recognised to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised. Deferred tax assets are reviewed at each reporting date and reduced to the extent that it is no longer probable that the related tax benefit will be realised.

(s) Earnings per share

Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period.

4 Related parties

A related party is a person or entity that has direct or indirect control or has significant influence over the Financial and managerial decision-making of the Group; a person or entity that are under common control or under the same significant influence as the Group; or the Group has direct or indirect control or has significant influence over the financial and managerial decision-making of a person or entity.

Relationships with subsidiaries are described in note 8. Other related parties that the Group had significant transactions with during the year were as follows:

Name of entities	Nature of relationships			
Key management personnel	Persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any director (whether executive or otherwise) of the Group			
Significant transactions with related parties Year ended 31 December	Consolidated financial statements		Separate financial statements	
	2021	2020	2021	2020
	(in thousand Baht)			
Subsidiaries				
Sales of goods	-	-	142	121
Purchases of goods	-	-	1,676	-
Purchases of containers	-	-	591,073	547,781
Sales of fixed assets	-	-	48,618	-
Blowing plastic bottles service	-	-	33,876	4,474
Service fee for area utilisation	-	-	654	435
Land rental income	-	-	210	210
Management income	-	-	17,092	6,392
Rental expense for installing signboard	-	-	420	120
Dividend income	-	-	140,640	296,979
Other income	-	-	8,227	2,179
Key management personnel				
Key management personnel compensation				
Short-term benefits	137,722	157,388	137,722	157,388
Post-employment benefits	6,810	6,189	6,810	6,189
Total key management personnel compensation	144,532	163,577	144,532	163,577

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

Balances as at 31 December with related parties were as follows:

	Consolidated financial statements		Separate financial statements	
	2021	2020	2021	2020
	<i>(in thousand Baht)</i>			
Trade accounts receivable				
Subsidiaries	-	-	9	20
Other receivables				
Subsidiaries	-	-	4,949	11,589
Loans to				
Subsidiaries	-	-	-	7,000
Trade accounts payable				
Subsidiaries	-	-	112,203	83,051
Other payables				
Subsidiaries	-	-	7	-

Significant agreements with related parties

Service agreements for area utilisation

The Company has entered into service agreements for area utilisation with a subsidiary for Phoonpin factory for a period of 8 years expired in February 2020 and has renewed the agreement for a period of 8 years expired in February 2029. The subsidiary has agreed to pay service fees at the amounts as stipulated in the agreements.

Lease agreement for land

On 1 November 2014, the Company entered into a lease agreement for land with a subsidiary for the purpose of building construction. The lease term was for a period of 20 years commencing from 1 November 2014 to 31 October 2034. The subsidiary has the first priority to renew the lease agreement, which can be extendable for successive periods of 10 years each. The subsidiary can renew the lease by informing the Company at least 30 days before the expiry date. The subsidiary agreed to pay the rental fee in the amount as stipulated in the agreement and rental rates will be adjusted every 5 years. Under the term of the agreement, the building including other constructions thereon will be transferred to the Company when the agreement is terminated.

Service agreement for blowing plastic bottles

In February 2015, the Company has entered into service agreement for blowing plastic bottles with a subsidiary. The Company has agreed to pay service fee at the amount as stipulated in the agreement. The subsidiary is able to change the price as appropriate without prior notice to the Company. The Company may terminate the agreement at any time.

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Service agreement

In April 2021, the Company entered into agreement with several subsidiaries to provide services in relation to management, office rental, transportation, sales and warehouse services. The Company will receive service fees as specified in the agreement.

5 Cash and cash equivalents

	Consolidated financial statements		Separate financial statements	
	2021	2020	2021	2020
	<i>(in thousand Baht)</i>			
Cash and cheques received on hand	13,600	20,618	13,003	19,980
Cash at banks	203,632	240,628	166,458	210,669
Total	217,232	261,246	179,461	230,649

6 Trade accounts receivables

	Consolidated financial statements		Separate financial statements	
<i>At 31 December</i>	2021	2020	2021	2020
	<i>(in thousand Baht)</i>			
Within credit terms	476,094	456,659	457,389	438,529
Overdue:				
Less than 3 month	1,425	5,070	1,425	5,070
3-6 months	22	51	22	51
6-12 months	194	2,911	194	2,911
Over 12 months	794	172	794	172
Total	478,529	464,863	459,824	446,733
Less allowance for expected credit loss	(582)	(1,710)	(582)	(1,710)
Net	477,947	463,153	459,242	445,023

7 Inventories

	Consolidated financial statements		Separate financial statements	
	2021	2020	2021	2020
	<i>(in thousand Baht)</i>			
Finished goods	135,412	163,727	94,476	133,641
Raw materials and packing materials	156,110	117,100	135,190	112,231
Work in progress	242	45	242	45
Spare parts and factory supplies	47,000	39,500	40,480	31,767
Goods in transit	96	273	96	273
Less allowance for obsolescence	(4,385)	(12,418)	(4,385)	(12,418)
Total	334,475	308,227	266,100	265,539
Inventories recognised in cost of sales of goods				
- Cost	3,888,359	3,737,390	3,936,410	3,949,296
- Write-down to net realisable value	4,960	4,515	4,960	4,515
Net	3,893,319	3,741,905	3,941,370	3,953,811

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8 Investment in subsidiaries

<i>Year ended 31 December</i>	Separate financial statements	
	2021	2020
	<i>(in thousand Baht)</i>	
At 1 January	133,992	96,993
Acquire investment in Haad Thip Food and Beverages Co., Ltd.	-	20,000
Acquire investment in Haad Thip Commercial Co., Ltd.	-	16,000
Acquire investment in Haad Thip Development Co., Ltd.	-	999
Increase capital of Haad Thip Food and Beverages Co., Ltd.	10,000	-
Increase capital of Haad Thip Development Co., Ltd.	80,000	-
At 31 December	223,992	133,992

In February 2020, the Company established Haad Thip Food and Beverages Co., Ltd. which is new subsidiary. The principal businesses are manufacturing and distribution of food. The subsidiary has registered capital amounted to Baht 20 million which 99.99% shareholding by Haad Thip Public Company Limited.

In February 2020, Haad Thip Food and Beverages Co., Ltd. established Kin Dee Yu Dee 2020 Co., Ltd. which is new indirect subsidiary of the Company. The principal businesses are manufacturing and distribution of food. The subsidiary has registered capital amounted to Baht 30 million and called up Baht 16.5 million which 71.00% shareholding by Haad Thip Food and Beverages Co., Ltd.

In February 2020, the Company established Haad Thip Commercial Co., Ltd. which is new subsidiary. The principal businesses are manufacturing and distribution of consumer goods. The subsidiary has registered capital amounted to Baht 16 million which 99.99% shareholding by Haad Thip Public Company Limited.

In December 2020, the Company established Haad Thip Development Co., Ltd. which is new subsidiary. The principal businesses are real estate development. The subsidiary has registered capital amounted to Baht 1 million which 99.96% shareholding by Haad Thip Public Company Limited.

In February 2021, Haad Thip Food and Beverages Co., Ltd. had paid additional called-up shares for Kin Dee Yu Dee 2020 Co., Ltd, which is indirect subsidiary of Haad Thip Public Company Limited, the par value of Baht 100, 127,800 shares, amounting to Baht 9.6 million.

In March 2021, the Company had additional invested in Haad Thip Food and Beverage Co., Ltd., which is direct subsidiary, from Baht 20 million to Baht 30 million. There is no effect on Haad Thip Public Company Limited's ownership interest.

In August and October 2021, the Company had additional invested in Haad Thip Development Co., Ltd., which is direct subsidiary, from Baht 1 million to Baht 81 million. Haad Thip Public Company Limited's ownership interest changes from 99.96% to 99.99%.

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

Separate financial statements								
Type of business	Ownership interest		Paid-up capital		Cost		Dividend income	
	31 December 2021	31 December 2020	31 December 2021	31 December 2020	31 December 2021	31 December 2020	31 December 2021	31 December 2020
(in thousand Baht)								
Direct subsidiaries Southern Rocks Co., Ltd.	Manufacture and distribute plastic bottles and semi-finished plastic bottles and blowing plastic bottles service	99.99	99.99	97,000	97,000	96,993	96,993	140,640
Haad Thip Food and Beverages Co., Ltd.	Manufacture and distribute food	99.99	99.99	30,000	20,000	30,000	20,000	-
Haad Thip Commercial Co., Ltd.	Manufacture and distribute consumer goods	99.99	99.99	16,000	16,000	16,000	16,000	-
Haad Thip Development Co., Ltd.	Real estate development	99.99	99.96	80,999	1,000	80,999	999	-
Total					223,992	133,992	140,640	296,979
Indirect subsidiary Kin Dee Yu Dee 2020 Co., Ltd.	Manufacture and distribute food	71.00	71.00	30,000	16,500	21,300	11,715	-

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

9 Investment properties

	Consolidated financial statements			Separate financial statements	
	Land	Investment properties in progress	Total (in thousand Baht)	Land	Total
Cost					
At 1 January 2020	206,388	-	206,388	207,346	207,346
At 31 December 2020 and 1 January 2021	206,388	-	206,388	207,346	207,346
Additions	-	13,649	13,649	-	-
Transfer to real estate development for sale	(14,286)	-	(14,286)	-	-
Disposals	-	-	-	(14,286)	(14,286)
At 31 December 2021	192,102	13,649	205,751	193,061	193,061
Net book value					
At 31 December 2020	206,388	-	206,388	207,346	207,346
At 31 December 2021	192,102	13,649	205,751	193,061	193,061

Year ended 31 December	Separate financial statements	
	2021	2020
	(in thousand Baht)	

Amounts recognised in profit or loss

Rental income	450	450
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Investment properties comprise land held for future project, land that is leased to a subsidiary company and real estate development for leasing.

In October 2021, the Company sold investment properties with net book value Baht 14.29 million to a subsidiary in amount of Baht 48.62 million.

Information relating to leases are disclosed in note 11.

The fair value of investment properties as at 31 December 2021 of the Group and the Company of Baht 451.09 million and 437.36 million (2020: Baht 577.91 million) was determined by independent professional valuers, at open market values on an existing use basis. The fair value of investment property has been categorised as a Level 3 fair value.

Valuation technique and significant unobservable inputs

The external independent valuer applied the Market Comparison Approach to measure fair value of investment properties.

The significant unobservable inputs used in measuring the fair value of investment properties are the quoted price and the purchasing and selling price of comparable investment properties adjusted with other different factors.

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

Separate financial statements													
	Cost	Land revaluation reserve	Total	Land improvements	Buildings, structures and leasehold improvements	Machinery and equipment	Furniture and office equipment	Vehicles	Containers, net	Promotional equipment	Assets under construction and installation	Total	
						(in thousand Baht)							
Cost / revaluation													
At 1 January 2020	155,539	1,455,503	1,611,042	66,087	848,580	1,224,216	744,372	743,765	17,973	364,056	66,234	5,686,325	
Additions	9,000	410,043	419,043	-	-	-	14,335	12,641	394	50,735	191,743	688,891	
Transfers	15,540	-	15,540	459	66,036	68,603	6,489	(244,835)	-	781	(187,311)	(274,238)	
Disposals	(3,283)	-	(3,283)	-	-	(193,307)	(17,493)	(36,057)	(6,717)	(6,351)	-	(263,208)	
At 31 December 2020 and													
1 January 2021	176,796	1,865,546	2,042,342	66,546	914,616	1,099,512	747,703	475,514	11,650	409,221	70,666	5,837,770	
Additions	-	-	-	-	-	-	13,069	2,004	-	38,500	141,882	195,455	
Transfers	54,500	-	54,500	14,719	97,762	8,681	14,546	4,347	-	-	(194,555)	-	
Transfers from right-of-use assets	-	-	-	-	-	-	-	29,505	-	-	-	29,505	
Disposals	-	-	-	-	-	(2,110)	(23,067)	(1,674)	(2,153)	(3,412)	-	(32,416)	
At 31 December 2021	231,296	1,865,546	2,096,842	81,265	1,012,378	1,106,083	752,251	509,696	9,497	444,309	17,993	6,030,314	
Accumulated depreciation													
At 1 January 2020	-	-	-	(25,070)	(354,219)	(659,286)	(658,958)	(527,152)	-	(280,188)	-	(2,504,873)	
Depreciation charge for the year	-	-	-	(5,897)	(35,464)	(56,416)	(38,068)	(94,037)	-	(31,451)	-	(261,333)	
Disposals	-	-	-	-	-	178,001	18,198	189,869	-	6,317	-	392,385	
At 31 December 2020 and													
1 January 2021	-	-	-	(30,967)	(389,683)	(537,701)	(678,828)	(431,320)	-	(305,322)	-	(2,373,821)	
Depreciation charge for the year	-	-	-	(6,859)	(39,223)	(55,689)	(32,595)	(21,194)	-	(34,023)	-	(189,583)	
Transfers from right-of-use assets	-	-	-	-	-	-	-	(29,505)	-	-	-	(29,505)	
Disposals	-	-	-	-	-	780	22,983	1,671	-	3,403	-	28,837	
At 31 December 2021	-	-	-	(37,826)	(428,906)	(592,610)	(688,440)	(480,348)	-	(335,942)	-	(2,564,072)	
Net book value													
At 31 December 2020	176,796	1,865,546	2,042,342	35,579	524,933	561,811	68,875	44,194	11,650	103,899	70,666	3,463,949	
At 31 December 2021	231,296	1,865,546	2,096,842	43,439	583,472	513,473	63,811	29,348	9,497	108,367	17,993	3,466,242	

Notes to The Financial Statements

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In November 2020, the Group's and the Company's lands were remeasured by Agency for Real Estate Affairs Co., Ltd., an independent professional valuer, at open market values on an existing use basis. The fair value has been categorised as a Level 3 fair value. The value of the Group's and the Company's lands increased by Baht 410.0 million. The Group and the Company recognised gain from asset revaluation net of income tax amounting to Baht 328.0 million in other comprehensive income. At 31 December 2021, the net book value of the Group's and the Company's lands would have been amounting to Baht 231.95 million and Baht 231.30 million, respectively, if they were measured at cost. (2020: Baht 177.45 million and Baht 176.80 million, respectively)

Valuation technique and significant unobservable inputs

The external independent valuer applied the Market Comparison Approach to measure fair value of land.

The significant unobservable inputs used in measuring the fair value of land are the quoted price and the purchasing and selling price of comparable land adjusted with other different factors.

11 Leases

As a lessee

Right-of-use assets At 31 December	Consolidated financial statements		Separate financial statements	
	2021	2020	2021	2020
	<i>(in thousand Baht)</i>			
Buildings	9,470	19,999	4,914	13,001
Vehicles	202,274	147,422	193,315	145,649
Total	211,744	167,421	198,229	158,650

In 2021, additions to the right-of-use assets of the Group and the Company were Baht 123.13 million and Baht 116.92 million, respectively. (2020: Baht 105.74 million and Baht 95.70 million, respectively)

The Group and the Company entered into lease agreements of buildings for 2-3 years, with extension options at the end of lease term. The rental is payable monthly as specified in the contract.

The Group and the Company entered into lease agreements of vehicles. The rental is payable monthly as specified in the contract. The ownership of the vehicle will be transferred to the Group and the Company when the Group and the Company exercises the purchase option and the payment for purchase option has been made.

Extension options

The Group has extension options on property leases exercisable up to one year before the end of the contract period. The Group assesses at lease commencement date whether it is reasonably certain to exercise the extension options and will regularly reassess so.

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

<i>Year ended 31 December</i>	Consolidated financial statements		Separate financial statements	
	2021	2020	2021	2020
	<i>(in thousand Baht)</i>			
<i>Amounts recognised in profit or loss</i>				
Depreciation of right-of-use assets:				
- Buildings	11,336	9,747	8,087	8,572
- Vehicles	71,488	107,849	69,095	107,464
Interest on lease liabilities	4,954	4,736	4,708	4,606
Expenses relating to short-term leases	442	3,780	442	3,780
Expenses relating to leases of low-value assets	1,470	3,402	1,770	3,522

In 2021, total cash outflow for leases of the Group and the Company were Baht 79.01 million and Baht 77.75 million, respectively. (2020: Baht 72.50 million and Baht 72.23 million, respectively)

As a lessor

The leases of investment properties comprise land that is leased to related subsidiary under operating leases.

<i>At 31 December</i>	Separate financial statements	
	2021	2020
	<i>(in thousand Baht)</i>	
<i>Lease payments to be received from operating lease</i>		
Year 1	444	204
Year 2	444	204
Year 3	444	204
Year 4	455	206
Year 5	456	216
After 5 years	2,100	1,968
Total	4,343	3,002

12 Interest-bearing liabilities

	Consolidated financial statements					
	2021			2020		
	Secured	Unsecured	Total	Secured	Unsecured	Total
	<i>(in thousand Baht)</i>					
Short-term loans						
- financial institutions	62,000	-	62,000	17,000	-	17,000
Long-term loans						
- financial institutions	167,080	-	167,080	257,700	-	257,700
Lease liabilities	-	212,656	212,656	-	166,627	166,627
Total interest-bearing liabilities	229,080	212,656	441,736	274,700	166,627	441,327

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

	Separate financial statements					
	Secured	2021 Unsecured	Total	Secured	2020 Unsecured	Total
	<i>(in thousand Baht)</i>					
Long-term loans						
- financial institutions	120,780	-	120,780	197,600	-	197,600
Lease liabilities	-	199,124	199,124	-	157,752	157,752
Total interest-bearing liabilities	120,780	199,124	319,904	197,600	157,752	355,352

At 31 December 2021, the Group had short-term loans from financial institutions which are promissory notes which will repayable within 2022. Interest was charged at rates from 0.70% to 1.97% per annum. (2020: 0.72% to 1.99% per annum)

Long-term loans from financial institutions

On 27 November 2014, the Company entered into a loan agreement with the financial institution for loan facility of Baht 80 million for construction of warehouse. This loan bears interest at the Minimum Loan Rate (MLR) minus 2.50% per annum for the first two years, at the Minimum Loan Rate (MLR) minus 2.00% per annum for the third and fourth years and at the Minimum Loan Rate (MLR) minus 1.50% per annum for the fifth year onwards. Loan is repayable in monthly installments of Baht 1.12 million for each installment, which will be fully paid in 8 years commencing from the first drawdown date. As at 31 December 2021, the Company had no unutilised credit facility. (2020: Nil).

On 17 September 2015, the Company entered into a loan agreement with a financial institution for a loan facility of Baht 450 million for purchase of machinery, equipment and renovation of space for installing machinery. This loan bears interest at the Minimum Loan Rate (MLR) minus 2.50% per annum for the first two years and at the Minimum Loan Rate (MLR) minus 2.00% per annum for the third year onwards. The interest will be paid on monthly. The loan is repayable in monthly installments of Baht 4.7 million for each installment, which will be fully paid in 10 years commencing from the first drawdown date. As at 31 December 2021, the Company had unutilised credit facility totaling Baht 41.8 million. (2020: Baht 41.8 million).

On 23 February 2017, the Company entered into a loan agreement with a financial institution for a loan facility of Baht 92 million for construction of building, land improvement and others. This loan bears interest at the Minimum Loan Rate (MLR) minus 2.50% per annum for the first two years and at the Minimum Loan Rate (MLR) minus 2.00% per annum for the third year onwards. The interest will be paid on monthly. The loan is repayable in monthly installments of Baht 0.96 million for each installment, which will be fully paid in 10 years commencing from the first drawdown date. During 2021, the Company had fully paid all remaining loans.

Subsidiaries

On 23 February 2018, the subsidiary entered into loan agreements with a financial institution for loan facilities of Baht 110 million for purchase of machinery and equipment. The interest rate is 3.5% per annum. The loan is repayable in monthly installments of Baht 1.15 million for each installment which will be fully paid in 10 years commencing from the first drawdown date. As at 31 December 2021, the Company had unutilised credit facilities totaling Baht 43.0 million. (2020: Baht 43.0 million)

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

Under the terms of the long-term loan agreements, the Group has to comply with certain conditions, such as maintaining the debt to equity ratio, the debt covenant ratio, etc. The Group also assigned the benefits of an insurance policy covering the assets as collateral for secured interest-bearing liabilities.

<i>Assets pledged as security for liabilities as at 31 December</i>	<i>Note</i>	Consolidated financial statements		Separate financial statements	
		2021	2020	2021	2020
		<i>(in thousand Baht)</i>			
Property, plant and equipment	10	768,906	1,045,770	729,960	935,562
Total		768,906	1,045,770	729,960	935,562

As at 31 December 2021, the Group and the Company had unutilised credit facilities totaling Baht 1,336.5 million and Baht 1,215.5 million, respectively (2020: Baht 1,322.0 million and Baht 1,216.0 million, respectively).

13 Other payables

	Consolidated financial statements		Separate financial statements	
	2021	2020	2021	2020
	<i>(in thousand Baht)</i>			
Accrued sales promotion and marketing expenses	69,839	68,974	69,839	68,974
Accrued operating expenses	93,457	86,419	91,603	80,872
Accrued bonus expenses	5,713	118,063	5,673	118,063
Other payables	154,708	221,650	149,997	219,522
Accrued transportation expenses	10,932	8,772	10,932	8,772
Value added tax payable	19,738	15,057	19,738	15,057
Others	11,706	15,105	10,959	13,965
Total	366,093	534,040	358,741	525,225

Sales are realised through modern trades with different types of sales incentives such as discounts, rebates, marketing support and sales promotion. Discounts and rebates are deducted from revenue. Marketing support and other sales promotion expenditure are recognised as expenditure on an accrual basis.

14 Non-current provisions for employee benefits

The Group and the Company operates a defined benefit plan based on the requirement of Thai Labour Protection Act B.E. 2541 (1998) to provide retirement benefits to employees based on pensionable remuneration and length of service. The defined benefit plan exposes the Group to actuarial risks, such as longevity risk and interest rate risk.

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

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<i>Present value of the defined benefit obligations</i>	Consolidated financial statements		Separate financial statements	
	2021	2020	2021	2020
	<i>(in thousand Baht)</i>			
At 1 January	304,723	287,145	303,581	286,878
<i>Recognised in profit and loss :</i>				
Current service cost	23,321	20,580	22,804	20,066
Interest on obligation	3,345	4,265	3,304	4,011
Loss on settlement	-	4,689	-	4,665
<i>Recognised in other comprehensive income :</i>				
Actuarial gain (loss)				
- Financial assumptions	(18,075)	9,335	(17,978)	9,177
- Experience adjustment	-	(4,385)	-	(4,310)
Benefit paid	(11,928)	(16,906)	(11,928)	(16,906)
At 31 December	301,386	304,723	299,783	303,581

<i>Principal actuarial assumptions</i>	Consolidated financial statements		Separate financial statements	
	2021	2020	2021	2020
	<i>(%)</i>			
Discount rate	1.8	1.1	1.8	1.1
Future salary growth	5.0	5.0	5.0	5.0

Assumptions regarding future mortality are based on published statistics and mortality tables.

At 31 December 2021, the weighted-average duration of the defined benefit obligations was 8 years (2020: 8 years).

Sensitivity analysis

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant.

<i>Effect to the defined benefit obligation</i>	Consolidated financial statements			
	0.5% increase in assumption		0.5% decrease in assumption	
At 31 December	2021	2020	2021	2020
	<i>(in thousand Baht)</i>			
Discount rate	(12,079)	(12,017)	13,058	12,975
Future salary growth	13,991	12,411	(13,085)	(11,639)
<i>Effect to the defined benefit obligation</i>	Separate financial statements			
	0.5% increase in assumption		0.5% decrease in assumption	
At 31 December	2021	2020	2021	2020
	<i>(in thousand Baht)</i>			
Discount rate	(11,885)	(11,949)	12,846	12,898
Future salary growth	13,771	12,340	(12,883)	(11,574)

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

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15 Other non-current provisions

In September 2021, the Company received notices of assessment of import duties included value added taxes, penalties and surcharges for the import goods by the Customs Department totaling amounting to Baht 12.99 million. In November 2021, the Company lodged an appeal of the tax assessment against the Appeal Committee of the Customs Department. In an appeal lodging, the Company placed the letter of guarantees issued by a financial institution amounting to Baht 13.60 million in order to secure the tax payment. However, the Company could charge the duties and related expenses from the suppliers following the agreed condition in case that the appeal is finalised. The Company recognised the duties and related expenses amounting to Baht 12.61 million as other non-current provision and the reimburse as the same amount as other non-current assets in the statement of financial position as at 31 December 2021. The matter is under the Appeal Committee of the Customs Department consideration at the present.

16 Reserves

Legal reserve

Section 116 of the Public Companies Act B.E. 2535 requires that a public company shall allocate not less than 5% of its annual net profit, less any accumulated losses brought forward, to a reserve account ("legal reserve"), until this account reaches an amount not less than 10% of the registered authorised capital. The legal reserve is not available for dividend distribution.

General reserve

The Company has a policy to appropriate a reserve for general purposes. The general reserves as at 31 December 2021 amounted to Baht 35 million (2020: Baht 35 million).

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

17 Segment information and disaggregation of revenue

Consolidated financial statements							
Year ended 31 December	Segment soft drinks		Segment consumer goods		Segment food		Total
	2021	2020	2021	2020	2021	2020	
Information about reportable segments and disaggregation of revenue							
Primary geographical markets							
Thailand	6,353,482	6,341,333	138,563	70,149	21,222	7,381	6,418,863
Foreign countries	4,687	6,556	-	-	-	-	6,556
Total revenue	6,358,169	6,347,889	138,563	70,149	21,222	7,381	6,425,419
Major products line							
Carbonated	6,033,799	6,014,153	-	-	-	-	6,014,153
Non-carbonated	324,370	333,736	-	-	-	-	333,736
Consumer goods	-	-	138,563	70,149	-	-	70,149
Food	-	-	-	-	21,222	7,381	7,381
Total revenue	6,358,169	6,347,889	138,563	70,149	21,222	7,381	6,425,419
Segment Real estate development							
Total segment profit (loss) before income tax	670,734	642,621	(20,100)	(747)	(17,100)	(9,383)	632,433
Eliminated transactions	(25,289)	(8,717)	18,135	4,569	4,440	4,048	(100)
Segment profit (loss) before income tax	645,445	633,904	(1,965)	3,822	(12,660)	(5,335)	632,333
Segment assets as at 31 December	5,279,934	5,234,896	61,859	52,625	43,756	35,585	5,326,111
Segment liabilities as at 31 December	1,712,489	1,822,799	70,144	38,206	31,106	11,069	1,872,137

The timing of revenue recognition about reportable segments of the Group for segment soft drinks, consumer goods and food are at a point in time, and segment real estate development is at a point in time and over time.

Notes to The Financial Statements

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Year ended 31 December	Segment soft drinks		Segment consumer goods		Total	
	2021	2020	2021	2020	2021	2020
<i>(in thousand Baht)</i>						
Disaggregation of revenue						
Primary geographical markets						
Thailand	6,353,488	6,341,168	9	39,592	6,353,497	6,380,760
Foreign countries	4,687	6,556	-	-	4,687	6,556
Total revenue	6,358,175	6,347,724	9	39,592	6,358,184	6,387,316
Major products line						
Carbonated	6,033,799	6,013,988	-	-	6,033,799	6,013,988
Non-carbonated	324,376	333,736	-	-	324,376	333,736
Consumer goods	-	-	9	39,592	9	39,592
Total revenue	6,358,175	6,347,724	9	39,592	6,358,184	6,387,316

The timing of revenue recognition of the Company is at a point in time.

Promotional privileges

The Group has been granted promotional certificates by the Office of the Board of Investment for semi-plastic bottle (Preform) and plastic bottles (PET) businesses. The Group has been granted several privileges including exemption and/or reduction from payment of income tax on the net profit derived from promoted operations with certain terms and conditions prescribed in the promotional certificates.

Consolidated financial statements						
Year ended 31 December	2021			2020		
	Promoted	Non-	Total	Promoted	Non-	Total
	businesses	promoted businesses		businesses	promoted businesses	
			(in thousand Baht)			
Local sales	376,873	6,761,343	7,138,216	552,255	6,419,138	6,971,393
Export sales	-	4,687	4,687	-	6,556	6,556
Eliminations	(376,873)	(248,076)	(624,949)	(552,255)	(275)	(552,530)
Total	-	6,517,954	6,517,954	-	6,425,419	6,425,419

Separate financial statements						
Year ended 31 December	2021			2020		
	Promoted businesses	Non- promoted businesses	Total	Promoted businesses	Non- promoted businesses	Total
	(in thousand Baht)					
Local sales	-	6,353,497	6,353,497	-	6,380,760	6,380,760
Export sales	-	4,687	4,687	-	6,556	6,556
Total	-	6,358,184	6,358,184	-	6,387,316	6,387,316

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

18 Expenses by nature

	Consolidated financial statements		Separate financial statements	
	2021	2020	2021	2020
	(in thousand Baht)			
Raw materials and consumables used	2,058,592	1,854,240	2,211,343	2,176,684
Excise tax	1,185,087	1,195,565	1,185,087	1,195,565
Employee benefit expenses	1,024,060	1,117,180	986,522	1,100,755
Depreciation and amortisation	328,124	318,067	286,596	279,066
Sales promotion and marketing expenses	509,301	479,293	507,617	478,710
Transportation and fuel expenses	192,643	183,466	189,078	182,397
Administration expenses	72,442	62,637	65,259	58,118
Repair and maintenance expenses	123,570	148,994	110,285	140,423
Others	409,070	435,389	368,109	373,354
Total cost of sales of goods, distribution costs and administrative expenses	5,902,889	5,794,831	5,909,896	5,985,072

19 Income tax

	Consolidated financial statements		Separate financial statements	
	2021	2020	2021	2020
	(in thousand Baht)			
Income tax recognised in profit or loss				
Current tax expense				
Current year	111,837	73,089	98,226	73,089
Over provided in prior years	(588)	-	(588)	-
	111,249	73,089	97,638	73,089
Deferred tax expense				
Movements in temporary differences	(15,835)	(5,698)	(6,495)	(5,617)
Total income tax expense	95,414	67,391	91,143	67,472

	Consolidated financial statements					
	Before tax	2021 Tax (expense) benefit	Net of tax	Before tax	2020 Tax (expense) benefit	Net of tax
	(in thousand Baht)					
Income tax						
Recognised in other comprehensive income						
Actuarial gain (loss)	18,075	(3,616)	14,459	(4,951)	991	(3,960)
Financial assets at FVOCI	103	(20)	83	(1,041)	208	(833)
Revaluation of land	-	-	-	410,043	(82,009)	328,034
Total	18,178	(3,636)	14,542	404,051	(80,810)	323,241

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

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	Separate financial statements					
	Before tax	2021 Tax (expense) benefit	Net of tax (in thousand Baht)	Before tax	2020 Tax (expense) benefit	Net of tax
Income tax						
Recognised in other comprehensive income						
Actuarial gain (loss)	17,977	(3,596)	14,381	(4,867)	974	(3,893)
Financial assets at FVOCI	103	(20)	83	(1,041)	208	(833)
Revaluation of land	-	-	-	410,043	(82,009)	328,034
Total	18,080	(3,616)	14,465	404,135	(80,827)	323,308

Reconciliation of effective tax rate

	Consolidated financial statements			
	Rate (%)	2021 (in thousand Baht)	Rate (%)	2020 (in thousand Baht)
Profit before income tax expense		628,736		632,333
Income tax using the Thai corporation tax rate	20.00	125,747	20.00	126,467
Income tax reduction - granted privileges of the exclusive development zone		(9,225)		(11,332)
Net profit from promotional privileges		(23,610)		(45,592)
Additional deducted expenses for tax purposes		(1,885)		(7,446)
Expenses not deductible for tax purposes		3,889		3,605
Recognition of previously unrecognised deferred tax asset		(4,869)		-
Current year losses for which no deferred tax asset was recognised		5,955		1,689
Over provided in prior years		(588)		-
Total	15.18	95,414	10.66	67,391

Reconciliation of effective tax rate

	Separate financial statements			
	Rate (%)	2021 (in thousand Baht)	Rate (%)	2020 (in thousand Baht)
Profit before income tax expense		659,813		710,206
Income tax using the Thai corporation tax rate	20.00	131,963	20.00	142,041
Income tax reduction - granted privileges of the exclusive development zone		(9,225)		(11,332)
Dividend income exempted from income tax		(28,142)		(59,396)
Additional deducted expenses for tax purposes		(1,885)		(7,446)
Expenses not deductible for tax purposes		3,889		3,605
Recognition of previously unrecognised deferred tax asset		(4,869)		-
Over provided in prior years		(588)		-
Total	13.81	91,143	9.50	67,472

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

Income tax reduction

Year 2020

According to the Royal Decree No. 492 B.E. 2553 dated 16 January 2010, No. 566 B.E. 2556 dated 10 July 2013, No. 584 B.E. 2558 dated 1 May 2015 and No. 624 B.E. 2560 dated 6 January 2017, the Group has been granted reduction in the corporate income tax rate to 3% of taxable profit, to juristic companies or partnerships whose place of business is located in the exclusive development zone and whose revenue derived from manufacturing, selling of goods or rendering services occur within the exclusive development zone, for the accounting period starting from 1 January 2010 to 31 December 2020.

Year 2021

According to the Royal Decree No. 727 B.E. 2564 and No. 731 B.E. 2564 dated 7 November 2021, the Group has been granted reduction in the corporate income tax rate to 3% of taxable profit, to juristic companies or partnerships whose place of business is located in the exclusive development zone and whose revenue derived from manufacturing, selling of goods or rendering services occur within the exclusive development zone, for the accounting periods starting from 1 January 2021 to 31 December 2023.

Deferred tax At 31 December	Consolidated financial statements			
	Assets		Liabilities	
	2021	2020	2021	2020
	<i>(in thousand Baht)</i>			
Total	84,600	72,252	(404,019)	(403,870)
Set off of tax	(84,133)	(71,877)	84,133	71,877
Net deferred tax assets (liabilities)	467	375	(319,886)	(331,993)

Deferred tax At 31 December	Separate financial statements			
	Assets		Liabilities	
	2021	2020	2021	2020
	<i>(in thousand Baht)</i>			
Total	74,905	71,877	(401,636)	(403,848)
Set off of tax	(74,905)	(71,877)	74,905	71,877
Net deferred tax liabilities	-	-	(326,731)	(331,971)

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

	At 1 January	Consolidated financial statements (Charged) / credited to			At 31 December
		Profit or loss	Other comprehensive income	Equity	
<i>Deferred tax</i>					
2021					
Deferred tax assets					
Trade and other receivables (Allowance for expected credit loss)	419	(233)	-	-	186
Inventories (allowance for decline in value)	2,483	(1,606)	-	-	877
Other current assets (allowance for decline in value)	(6)	6	-	-	-
Financial assets measured at FVOCI	-	-	120	-	120
Property, plant and equipment (depreciation gap)	8,222	698	-	-	8,920
Rights-of-use assets (depreciation gap)	(35)	71	-	-	36
Intra-group deferred revenue	-	9,228	-	-	9,228
Provisions for employee benefits	60,945	2,949	(3,616)	-	60,278
Accrued sales promotion and marketing expenses	-	4,731	-	-	4,731
Tax loss carry forward	224	-	-	-	224
Total	72,252	15,844	(3,496)	-	84,600
Deferred tax liabilities					
Other current assets (allowance for decline in value)	-	(9)	-	-	(9)
Financial assets measured at FVOCI	140	-	(140)	-	-
Property, plant and equipment (revaluation)	(404,010)	-	-	-	(404,010)
Total	(403,870)	(9)	(140)	-	(404,019)
Net	(331,618)	15,835	(3,636)	-	(319,419)

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

		Consolidated financial statements (Charged) / credited to			
	At	Profit or	Other	Equity	At
	1 January	loss	comprehensive		31 December
			income		
			(in thousand Baht)		
Deferred tax					
2020					
Deferred tax assets					
Trade and other receivables (Allowance for expected credit loss)	221	198	-	-	419
Inventories (allowance for decline in value)	1,640	843	-	-	2,483
Other current assets (allowance for decline in value)	7	(13)	-	-	(6)
Property, plant and equipment (depreciation gap)	6,043	2,179	-	-	8,222
Rights-of-use assets (depreciation gap)	-	(35)	-	-	(35)
Provisions for employee benefits	57,429	2,525	991	-	60,945
Tax loss carry forward	224	-	-	-	224
Total	65,564	5,697	991	-	72,252
Deferred tax liabilities					
Property, plant and equipment (revaluation)	(322,001)	-	(82,009)	-	(404,010)
Financial assets measured at FVOCI	(68)	-	208	-	140
Total	(322,069)	-	(81,801)	-	(403,870)
Net	(256,505)	5,697	(80,810)	-	(331,618)

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

<i>Deferred tax</i>	At 1 January	Separate financial statements (Charged) / credited to			At 31 December
		Profit or loss	Other comprehensive income (in thousand Baht)	Equity	
2021					
Deferred tax assets					
Trade and other receivables (Allowance for expected credit loss)	419	(233)	-	-	186
Inventories (allowance for decline in value)	2,483	(1,606)	-	-	877
Other current assets (allowance for decline in value)	(6)	6	-	-	-
Financial assets measured at FVOCI	-	-	120	-	120
Property, plant and equipment (depreciation gap)	8,222	698	-	-	8,920
Rights-of-use assets (depreciation gap)	(35)	71	-	-	36
Provisions for employee benefits	60,794	2,837	(3,596)	-	60,035
Accrued sales promotion and marketing expenses	-	4,731	-	-	4,731
Total	71,877	6,504	(3,476)	-	74,905
Deferred tax liabilities					
Other current assets (allowance for decline in value)	-	(9)	-	-	(9)
Financial assets measured at FVOCI	140	-	(140)	-	-
Property, plant and equipment (revaluation)	(403,988)	-	-	2,361	(401,627)
Total	(403,944)	(9)	(140)	2,361	(401,636)
Net	(331,971)	6,495	(3,616)	2,361	(326,731)

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

<i>Deferred tax</i>	At 1 January	Separate financial statements (Charged) / credited to			At 31 December
		Profit or loss	Other comprehensive income	Equity	
		<i>(in thousand Baht)</i>			
2020					
Deferred tax assets					
Trade and other receivables (Allowance for expected credit loss)	221	198	-	-	419
Inventories (allowance for decline in value)	1,640	843	-	-	2,483
Other current assets (allowance for decline in value)	7	(13)	-	-	(6)
Property, plant and equipment (depreciation gap)	6,043	2,179	-	-	8,222
Rights-of-use assets (depreciation gap)	-	(35)	-	-	(35)
Provisions for employee benefits	57,375	2,445	974	-	60,794
Total	65,286	5,617	974	-	71,877
Deferred tax liabilities					
Property, plant and equipment (revaluation)	(321,979)	-	(82,009)	-	(403,988)
Financial assets measured at FVOCI	(68)	-	208	-	140
Total	(322,047)	-	(81,801)	-	(403,848)
Net	(256,761)	5,617	(80,827)	-	(331,971)

Unrecognised deferred tax assets

Consolidated financial statements

	2021	2020
	<i>(in thousand Baht)</i>	
Tax losses	7,644	1,689

The tax losses expire in 2025 - 2026. The deductible temporary differences do not expire under current tax legislation. The Group has not recognised these items as deferred tax assets because it is not probable that the Group will have sufficient future taxable profit to utilise the benefits therefrom.

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

20 Basic earnings per share

	Consolidated financial statements		Separate financial statements	
	2021	2020	2021	2020
	(in thousand Baht / thousand shares)			
Profit attributable to ordinary shareholders				
Profit attributable to ordinary shareholders of the Company (basic)	<u>535,391</u>	<u>566,336</u>	<u>568,670</u>	<u>642,735</u>
Ordinary shares outstanding				
Number of ordinary shares outstanding at 1 January	<u>200,961</u>	<u>200,961</u>	<u>200,961</u>	<u>200,961</u>
Number of ordinary shares outstanding (basic) at 31 December	<u>200,961</u>	<u>200,961</u>	<u>200,961</u>	<u>200,961</u>
Earnings per share (basic) (in Baht)	<u>2.66</u>	<u>2.82</u>	<u>2.83</u>	<u>3.20</u>

21 Dividends

The shareholders of the Company have approved dividends as follows:

	Approval date	Payment schedule	Dividend rate per share (Baht)	Amount (in million Baht)
2021				
2021 Interim dividend	26 August 2021	September 2021	0.83	167
2020 Annual dividend	26 April 2021	May 2021	1.12	225
				<u>392</u>
2020				
2020 Interim dividend	1 September 2020	September 2020	0.78	157
2019 Interim dividend	17 March 2020	April 2020	0.98	197
				<u>354</u>

22 Financial instruments

(a) Carrying amounts and fair values

The following table shows the carrying amounts and fair values of financial assets and financial liabilities, including their levels in the fair value hierarchy. It does not include fair value information for financial assets and financial liabilities measured at amortised cost if the carrying amount is a reasonable approximation of fair value.

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

		Consolidated financial statement					Fair value		
		Carrying amount							
		Financial instruments measured at FVTPL	Financial instruments measured at FVOCI	Financial instruments measured at amortised cost					
	Note				Total (in thousand Baht)	Level 1	Level 2	Level 3	Total
At 31 December									
2021									
Financial assets									
Other financial assets:									
Investment in debt instruments		28,179	-	-	28,179	-	28,179	-	28,179
Investment in equity instruments		-	13,867	-	13,867	3,267	-	10,600	13,867
Total other financial assets		28,179	13,867	-	42,046				
Financial liabilities									
Long-term loans from financial institutions	12	-	-	(167,080)	(167,080)	-	(166,687)	-	(166,687)
Derivatives liabilities		-	-	(470)	(470)	-	(470)	-	(470)
Total financial liabilities		-	-	(167,550)	(167,550)				
2020									
Financial assets									
Other financial assets:									
Investment in debt instruments		14,515	-	-	14,515	-	14,515	-	14,515
Investment in equity instruments		-	2,817	-	2,817	2,817	-	-	2,817
Total other financial assets		14,515	2,817	-	17,332				
Financial liabilities									
Long term loans from financial institutions	12	-	-	(257,700)	(257,700)	-	(197,600)	(60,668)	(258,268)

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

		Separate financial statement				Fair value		
		Carrying amount						
		Financial instruments measured at FVTPL	Financial instruments measured at FVOCI	Financial instruments measured at amortised cost	Total (in thousand Baht)	Level 1	Level 2	Level 3
	Note							
At 31 December 2021								
Financial assets								
Other financial assets:								
Investment in debt instruments		1,621	-	-	1,621	-	1,621	-
Investment in equity instruments		-	13,867	-	13,867	3,267	-	10,600
Total other financial assets		1,621	13,867	-	15,488			
Financial liabilities								
Long term loans from financial institutions	12	-	-	(120,780)	(120,780)	-	(120,780)	-
Derivatives liabilities		-	-	(470)	(470)	-	(470)	-
Total financial liabilities		-	-	(167,550)	(167,550)			
2020								
Financial assets								
Other financial assets:								
Investment in debt instruments		1,068	-	-	1,068	-	1,068	-
Investment in equity instruments		-	2,817	-	2,817	2,817	-	-
Total other financial assets		1,068	2,817	-	3,885			
Financial liabilities								
Long term loans from financial institutions	12	-	-	(197,600)	(197,600)	-	(197,600)	-
				</				

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

The Group determines Level 3 fair value for non-marketable equity securities by adjusting the net value assets or price from market at the invested date.

The Group determines Level 2 fair value for debt securities by reference to the value from Asset Management Company as following to net asset value of the reporting date and for derivatives liabilities to the value from financial institution as following to net liability value of the reporting date.

The Group determines Level 1 fair value for equity securities by reference to the closing price from Stock Exchange of Thailand at the reporting date.

Fair values of current financial assets and liabilities are taken to approximate the carrying amounts because the relatively short-term maturity of these financial instruments.

Fair value of long-term loans which bear interest at floating market rate is taken to approximate the carrying amounts.

Fair values of long-term loans which bear interest at fixed rate is evaluated by discounted cash flows valuation.

(b) Financial risk management policies

Risk management framework

The Group's board of directors has overall responsibility for the establishment and oversight of the Group's risk management framework. The board of directors has established the risk management committee, which is responsible for developing and monitoring the Group's risk management policies. The committee reports regularly to the board of directors on its activities.

The Group's risk management policies are established to identify and analyse the risks faced by the Group, to set appropriate risk limits and controls and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to maintain a disciplined and constructive control environment in which all employees understand their roles and obligations.

The Group audit committee oversees how management monitors compliance with the Group's risk management policies and procedures, and reviews the adequacy of the risk management framework in relation to the risks faced by the Group. The Group audit committee is assisted in its oversight role by internal audit. Internal audit undertakes both regular and ad hoc reviews of risk management controls and procedures, the results of which are reported to the audit committee.

(b.1) Credit risk

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Group's receivables from customers.

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

(b.1.1) Trade accounts receivables

The Group's exposure to credit risk is influenced mainly by the individual characteristics of each customer. However, management also considers the factors that may influence the credit risk of its customer base, including the default risk associated with the industry and country in which customers operate.

The risk management committee has established a credit policy under which each new customer is analysed individually for creditworthiness before the Group's standard payment and delivery terms and conditions are offered. The Group's review external ratings, if they are available, financial statements, credit agency information, industry information and in some cases bank references. Sale limits are established for each customer and reviewed semiannually. Any sales exceeding those limits require approval from the risk management committee.

The Group limits its exposure to credit risk from trade accounts receivables by establishing a maximum payment period of 3 months. Outstanding trade receivables are regularly monitored by the Group. An impairment analysis is performed by the Group at each reporting date. The provision rates of expected credit loss are based on days past due for groupings of various customer segments with similar credit risks to reflect differences between economic conditions in the past, current conditions and the Group's view of economic conditions over the expected lives of the receivables.

Information relevant to trade accounts receivables are disclosed in note 6.

(b.1.2) Cash and cash equivalent

The Group's exposure to credit risk arising from cash and cash equivalents is limited because the counterparties are banks and financial institutions which the Group considers to have low credit risk.

(b.2) Liquidity risk

The Group monitors its liquidity risk and maintains a level of cash and cash equivalents deemed adequate by management to finance the Group's operations and to mitigate the effects of fluctuations in cash flows.

The following table are the remaining contractual maturities of financial liabilities at the reporting date. The amounts are gross and undiscounted and include contractual interest payments and exclude the impact of netting agreements.

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

(c.3) Market risk

The Group is exposed to the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk is as follows:

(c.3.1) Foreign currency risk

The Group is exposed to foreign currency risk relating to periodically imports certain raw materials and machineries which are denominated in foreign currencies. The Group primarily utilised forward exchange contracts with maturities of less than one year to hedge such financial liabilities denominated in foreign currencies. The forward exchange contracts entered into at the reporting date also relate to anticipated purchasing machinery, denominated in foreign currencies, for the subsequent period.

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

Assets and liabilities denominated in the foreign currencies as at 31 December

	United States Dollars	2021	Consolidated financial statement		
		Euro	Total (in thousand Baht)	United States Dollars	2020
Trade accounts payable	19,164	-	19,164	7,876	-
Other payables	966	-	966	169	9,278
Statement of financial position exposure	20,130	-	20,130	8,045	9,278
Forward exchange contracts	-	(470)	(470)	-	-
Net exposure	20,130	(470)	19,660	8,045	9,278
					17,323

Assets and liabilities denominated in the foreign currencies as at 31 December

	United States Dollars	2021	Separate financial statement		
		Euro	Total (in thousand Baht)	United States Dollars	2020
Trade accounts payable	19,164	-	19,164	7,876	-
Other payables	966	-	966	169	9,278
Statement of financial position exposure	20,130	-	20,130	8,045	9,278
Forward exchange contracts	-	(470)	(470)	-	-
Net exposure	20,130	(470)	19,660	8,045	9,278
					17,323

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

(b.3.2) Interest rate risk

Interest rate risk is the risk that future movements in market interest rates will affect the results of the Group's operations and its cash flow because loan interest rates (see note 12) are mainly variable. So, the Group is primarily exposed to interest rate risk.

<i>Exposure to interest rate risk at 31 December</i>	<i>Consolidated financial statements</i>		<i>Separate financial statements</i>	
	2021	2020	2021	2020
	<i>(in thousand Baht)</i>			
Financial instruments with variable interest rates				
Financial liabilities	167,080	257,700	120,780	197,600
Net statement of financial position exposure	167,080	257,700	120,780	197,600

23 Capital management

The Board of Directors' policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business. The Board regularly monitors the return on capital and the level of dividends to ordinary shareholders.

24 Agreements

Service agreement

On 19 December 2013, the Company entered into an agreement with a local company, whereby such company will provide services and support as necessary to assist the Company's production, distribution, marketing, promotion, and sales activities pertaining to the beverages, including maintaining the image of the Company's trademark. In consideration thereof, the Company agreed to pay the service fee in the amount as indicated in the agreement. The agreement period is five years commencing from 1 January 2014 and ending on 31 December 2018. Unless there is notification to terminate the agreement within three months before the expiry date, the agreement will be automatically renewed for successive periods of one year.

25 Commitments with non - related parties

	<i>Consolidated financial statements</i>		<i>Separate financial statements</i>	
	2021	2020	2021	2020
	<i>(in thousand Baht)</i>			
Capital commitments				
Commitment for machinery purchased	-	321	-	-
Commitment for land improvement	809	690	809	690
Commitment for building improvement	4,057	8,155	4,057	8,155
Commitment for building systems installment	1,113	3,635	1,113	3,635
Commitment for technology systems installment	4,157	-	2,942	-
Total	10,136	12,801	8,921	12,480

Notes to The Financial Statements

Haad Thip Public Company Limited and its Subsidiaries

For the year ended 31 December 2021

	Consolidated financial statements		Separate financial statements	
	2021	2020	2021	2020
	(in thousand Baht)			
Other commitments				
Forward contracts	470	-	470	-
Short-term lease and service agreements commitment	1,345	5,659	1,290	5,497
Bank guarantee	31,729	24,006	31,729	24,006
Total	33,544	29,665	33,489	29,503

Bank guarantee

As at 31 December 2021, the Company had bank guarantee of Baht 13.60 million for the deferral of duties and other related expenses as described in note 15.

26 Events after the reporting period

On 28 January 2022, the Company entered into the memorandum of loan agreement dated 17 September 2017 with a financial institution which had loan facility of Baht 450 million to reduce loan facility from Baht 450 million to Baht 408.2 million

On 28 January 2022, the Company entered to a loan agreement with a financial institution for a loan facility of Baht 700 million to purchase soft drink filling machinery (PET Filling Line), equipment, supporting system to machinery and equipment and other related works. This loan bears interest at fixed rate 3.15% per annum for the first three years and at the Minimum Loan Rate (MLR) minus 2.38% per annum for the fourth year onwards. The interest will be paid on monthly. The loan is repayable in monthly installments of Baht 9.41 million for each installments, which will be starting from the fourth year and fully paid in 10 years commencing from the first drawdown date.

On 28 January 2022, the Company entered to a loan agreement with a financial institution for a loan facility of Baht 500 million to production plant, raw material storage building and office building construction and other related works. This loan bears interest at fixed rate 3.15% per annum for the first three years and at the Minimum Loan Rate (MLR) minus 2.38% per annum for the fourth year onwards. The interest will be paid on monthly. The loan is repayable in monthly installments of Baht 6.8 million for each installments, which will be starting from the fourth year and fully paid in 10 years commencing from the first drawdown date.

For the 2 loan agreements dated 28 January 2022 above, the Company mortgaged land included the existing property and the future property in order to pledge as security for credit facilities of Baht 560 million and the Company has to comply with the certain conditions which are consisted of maintaining the debt to equity ratio and the debt covenant ratio and making an insurance for such property on land and assigning the benefits of an insurance to that financial institution.

ATTACHMENTS

Attachments 1

Details of Directors, Executives, Controlling Persons, the Person Taking the Highest Responsibility in Accounting and Finance, Person Supervising Accounting, and Company Secretary

1. Gen. Charan Kullavanijaya

Age (years)	86
Nationality	Thai
% of shareholding in the Company	- None -
Position	- Chairman : Starting Date 29 April 1998, totaling 24 years - Independent Director
Family Relationship of Management Team	- None -
Education:	- Bachelor of Science CHULACHOMKLAO ROYAL MILITARY ACADEMY - The Command and General Staff College Fort Leavenworth, Kansas, USA - Diploma on Economic Development The Nation Institute of Development Administration (NIDA) 30th Thailand National Defense College (NDC)
Training by Thai Institute of Directors Association (IOD)	- None -
Work experience:	1987 - Present Special ADC to H.M. the King 2013 - Present Chancellor of the University Council Rajamangala University of Technology Rattanakosin 2006 - 2008 First Vice - President The National Legislative Assembly 1996 - 2000 Senator, Member of the Senate 1992 - 1996 Senator, Member of the Senate 1991 - 1996 Secretary General of the National Security Council, Office of the Prime Minister 1991 - 1992 Member of the National Legislative Assembly
Board Member / Management of other:	
Listed company	- None -
Other company (none-listed company)	- None -

2. Maj. Gen. Patchara Rattakul

Age (years)	60
Nationality	Thai
% of shareholding in the Company	5.166% of the paid-up capital and total voting rights
Position	• Director : Starting Date 17 March 2004, totaling 18 years • Authorize Director • Chief Executive Officer • Chairman of the Corporate Governance Committee
Family Relationship of Management Team	• Mrs. Pariya Chirabandhu's brother • Mrs. Yupares Thiengtham's nephew
Education:	• M.A Philosophy Politics and Economics St. John's College, Oxford University, UK
Training by Thai Institute of Directors Association (IOD)	2005 Director Accreditation Program (DAP)
Work experience:	HaadThip Public Company Limited 2019 - Present Chief Executive Officer 2009 - 2019 Chief Operating Officer 2003 - 2009 Advisor
Board Member / Management of other:	
Listed company	- None -
Other company (none-listed company)	9 March 2012 - Present Director Southern Rocks Co., Ltd. Type of Business Manufacturing and distributing preform and plastic bottles, and plastic bottle blowing services. 11 February 2020 - Present Director HaadThip Food & Beverages Co., Ltd. Type of Business Restaurant business. 25 February 2020 - Present Director HaadThip Commercial Co., Ltd. Type of Business Manufacturing and distribution of consumer goods. 14 December 2020 - Present Director HaadThip Development Co., Ltd. Type of Business Real estate development

3. Mr. Prakrit Pradipasen

Age (years)	80
Nationality	Thai
% of shareholding in the Company	- None -
Position	• Director : Starting Date 17 March 1989, totaling 33 years • Independent Director • Chairman of the Audit Committee
Family Relationship of Management Team	- None -
Education:	• Bachelor of Science of Business Administration Silliman University, Philippines • Master of Business Administration Wayne State University, Detroit Michigan, USA • City Bank Credit Trading Center, Philippines • Senior Executive Program, Stanford National of Singapore, Singapore • 3rd Special Program of Thailand National Defense College, Joint Public & Private Sector • Program for Senior Executive The Sloan School of Management Massachusetts Institute of Technology, USA
Training by Thai Institute of Directors Association (IOD)	• Director Accreditation Program (DAP) class 1/2003 • Role of Chairman Program (RCP) class 15/2007 • Thailand's 4 National Conference on Collective on Collective Action against Corruption class 1/2013
Board Member / Management of other:	
Listed company	2019 - Present Independent Director / Audit Committee Chairman Toray Textiles (Thailand) Plc. Type of Business Fashion 2019 - Present Chairman Diamond Building Products Plc. Type of Business Production and distribution of fiber cement 2003 - Present Chairman/ Independent Directors Asian Marine Service Plc. Type of Business Transportation & Logistics 2000 - Present Independent Director / Member of Audit Committee SUSCO Public Company Limited Type of Business Energy & Utilities

3. Mr. Prakrit Pradipasen (continue)

Other company (none-listed company)

2019 - Present	Chairman
	American University Alumni Association
	Language center
Type of Business	Tech English
2019 - Present	Director
	Pattaya Grand Village Co., Ltd.
Type of Business	Property Development
2018 - Present	Director
	Rugby School Thailand
Type of Business	International school
2002 - Present	Director
	Myriad Material Co., Ltd.
Type of Business	A holding company that does not mainly invest in financial business

4. Mrs. Yupares Thiengtham

Age (years)	85
Nationality	Thai
% of shareholding in the Company	0.015% of the paid-up capital and total voting rights
Position	• Director : Starting Date 24 August 1978, totaling 44 years • Chairman of the Nomination and Remuneration
Family Relationship of Management Team	• Relative of Maj. Gen. Patchara Rattakul and Mrs. Pariya Chirabandhu
Education:	• Certificate of Secretary and Commerce Bristol College of Commerce, England
Training by Thai Institute of Directors Association (IOD)	- None -
Work experience:	HaadThip Public Company Limited Working experience with HaadThip Plc. 25 years, retired from the Company as Deputy Managing Director on 31st December 2003
Board Member / Management of other:	
Listed company	- None -
Other company (none-listed company)	- None -

5.

Mr. Philipp Hugo Gutsche

Age (years)	84
Nationality	South African
% of shareholding in the Company	0.132 of the paid-up capital and total voting rights
Position	• Director : Starting Date 30 November 2005, totaling 16 years • Nomination and Remuneration Committee Member
Family Relationship of Management Team	- None -
Education:	• Bachelor of Commerce, University of Cape Town, South Africa
Training by Thai Institute of Directors Association (IOD)	- None -
Work experience:	• 2 July 2016 - Present Chairman Coca - Cola Beverage Africa (Pty) Ltd. • 1 March 2016 - Present Board Member Meridian Holdings (Pty) Ltd. • 7 September 1976 - Present Board Member GUSCHE Investment and Management Company • 8 July 1972 - Present Board Member GUSCHE Family Investments (Pty) Ltd. • July 1962 - 2 July 2016 Chairman Coca - Cola SABCO (Pty) Ltd.
Board Member / Management of other:	
Listed company	- None -
Other company (none-listed company)	- None -

6. Mr. Johan Willem Maarten Jansen (Mr. Martin Jansen)

Age (years)	64
Nationality	Netherlands
% of shareholding in the Company	- None -
Position	• Director : Starting Date 21 March 2006, totaling 15 years • Independent Director
Family Relationship of Management Team	- None -
Education:	• Marketing Degree, HEAO - GRONINGEN (Higher studies Economics and Administration) • NIMA - C Certificate, NIMA (Highest marketing diploma in the Netherlands) • Kellogg School of Management - Northwestern University, Advanced Executive Program 1996 • Non - executive Director Diploma - Financial Times/EY London 2014
Training by Thai Institute of Directors Association (IOD)	- None -
Work experience:	• 2 January 2019 - Present Executive Director Pure the Winery • July 2017 - Present Non - Executive Director Equatorial Coca - Cola Bottling Company • July 2017 - Present Executive Director, MYCO Management Consulting • January 2011 - May 2018 Non - Executive Director The Coca - Cola AMATIL • January 2010 - May 2018 Region Director & Chairman, The Coca - Cola Company (China & Southeast Asia) • January 2010 - May 2018 Chief Executive Officer Coca - Cola Industries Ltd., China • October 1998 - December 2007 Chief Executive Officer Coca-Cola SABCO
Board Member / Management of other:	
Listed company	November 2020 - Present Non-executive Director The KINGFISCH Company BV
Other company (none-listed company)	September 2021 - Present Executive director MarketMakers BV

7.

Miss Smornluk Mahasmiti

Age (years)	78
Nationality	Thai
% of shareholding in the Company	- None -
Position	• Director : Starting Date 21 March 2006, totaling 16 years • Independent Director • Member of Audit Committee • Member of Nomination and Remuneration Committee
Family Relationship of Management Team	- None -
Education:	• Srinakharin Wirot University Prasarnmit Demonstration School (Secondary)
Training by Thai Institute of Directors Association (IOD)	- None -
Work experience:	HaadThip Public Company Limited Working experience with HaadThip Plc. 26 years, retired from the Company as Deputy Managing Director on 31st December 2004
Board Member / Management of other:	
Listed company	- None -
Other company (none-listed company)	9 March 2012 - Present Director, Southern Rocks Co., Ltd. Type of business Manufacturing and distributing preform and plastic

8. Mr. Yanyong Maethapanich

Age (years)	56
Nationality	Thai
% of shareholding in the Company	- None -
Position	• Director : Starting Date 5 November 1999, totaling 22 years • Independent Director • Member of Audit Committee • Member of Nomination and Remuneration Committee • Member of Corporate Governance Committee
Family Relationship of Management Team	- None -
Education:	• Bachelor of Accounting Prince of Songkhla University • Master of Business Administration Prince of Songkhla University
Training by Thai Institute of Directors Association (IOD)	• Director Accreditation Program (DAP) year 2002 • Role of the Compensation Committee - RCC year 2012 • How to Develop a Risk Management Plan (HRP) year 2018 • Ethical Leadership Program (ELP) year 2021
Work experience:	• 1995 - Present Managing Director INTADIT C.P.A. Office Co., Ltd.
Board Member / Management of other:	
Listed company	- None -
Other company (none-listed company)	1995 - Present Managing Director, INTADIT C.P.A. Office Co., Ltd. Type of business Accounting Firm

9.

Mrs. Pariya Chirabandhu

Age (years)	61
Nationality	Thai
% of shareholding in the Company	4.5966% of the paid-up capital and total voting rights (Inclusive of shares held by spouse)
Position	• Director : Starting Date 25 March 1993, totalling 29 years • Authorize Director • Member of Nomination and Remuneration Committee
Family Relationship of Management Team	• Maj. Gen. Patchara Rattakul's sister • Mrs. Yupares Thiengtham's niece • Bachelor of Arts, Boston University, USA
Education:	
Training by Thai Institute of Directors Association (IOD)	• Director Accreditation Program (DAP), year 2005 • Role of the Compensation Committee – RCC, year 2012 • Strategic Board Member year, 2018 • “Strategic Board Master, class 5/2018 • “Strategic Board Master, class 9/2020
Work experience:	HaadThip Public Company Limited • 2019 – Present President • 2005 – 2019 Senior Vice President
Board Member / Management of other:	
Listed company	- None -
Other company (none-listed company)	9 March 2012 – Present Director Southern Rocks Co., Ltd. Type of business Manufacturing and distributing preform and plastic bottles, and plastic bottle blowing services. 11 February 2020 – Present Director HaadThip Food & Beverages Co., Ltd. Type of business Restaurant business. 25 February 2020 – Present Director HaadThip Commercial Co., Ltd. Type of business Manufacturing and distribution of consumer goods. 14 December 2020 – Present Director HaadThip Development Co., Ltd. Type of business Real estate development

10. M.L. Dhisana Sritavaj

Age (years)	59						
Nationality	Thai						
% of shareholding in the Company	1.584% of the paid-up capital and total voting rights (Inclusive of shares held by spouse)						
Position	• Director : Starting Date 30 November 2005, totalling 16 years						
Family Relationship of Management Team	- None -						
Education:	• Master Degree (Engineering Management) George Washington University, Washington DC, USA						
Training by Thai Institute of Directors Association (IOD)	- None -						
Work experience:	<table> <tr> <td>2010 - Present</td><td>General Manager, Suvarnabhumi Marketing Co., Ltd.</td></tr> <tr> <td>2009 - 2010</td><td>General Manager, Isapa Asia (Thailand) Co., Ltd.</td></tr> <tr> <td>2002 - 2008</td><td>Marketing Director, Ton Ya Thai Co., Ltd.</td></tr> </table>	2010 - Present	General Manager, Suvarnabhumi Marketing Co., Ltd.	2009 - 2010	General Manager, Isapa Asia (Thailand) Co., Ltd.	2002 - 2008	Marketing Director, Ton Ya Thai Co., Ltd.
2010 - Present	General Manager, Suvarnabhumi Marketing Co., Ltd.						
2009 - 2010	General Manager, Isapa Asia (Thailand) Co., Ltd.						
2002 - 2008	Marketing Director, Ton Ya Thai Co., Ltd.						
Board Member / Management of other:							
Listed company	- None -						
Other company (none-listed company)	<table> <tr> <td>2009 - Present</td><td>General Manager, Suvarnabhumi Marketing Co., Ltd.</td></tr> <tr> <td>Type of business</td><td>Telecommunication Contractors</td></tr> </table>	2009 - Present	General Manager, Suvarnabhumi Marketing Co., Ltd.	Type of business	Telecommunication Contractors		
2009 - Present	General Manager, Suvarnabhumi Marketing Co., Ltd.						
Type of business	Telecommunication Contractors						

11. Mr. Dumrongrugs Apibalsawasdi

Age (years)	60								
Nationality	Thai								
% of shareholding in the Company	- None -								
Position	• Director : Starting Date 20 May 2009, totalling 13 years • Authorize Director • Member of Corporate Governance Committee • Member of Risk Management and Sustainable Development Committee								
Family Relationship of Management Team	- None -								
Education:	• Bachelor of Politics, Chulalongkorn University								
Training by Thai Institute of Directors Association (IOD)	• Strategic Board Member class 5/2018 • Ethical Leadership Program (ELP) class 24/2021								
Work experience:	HaadThip Public Company Limited <table> <tr> <td>2019 - Present</td><td>Senior Vice President - Corporate Affairs</td></tr> <tr> <td>2012 - 2019</td><td>Vice President - Sales & Marketing</td></tr> <tr> <td>2007 - 2012</td><td>Sales and Marketing Director</td></tr> <tr> <td>2004 - 2007</td><td>Marketing Director</td></tr> </table>	2019 - Present	Senior Vice President - Corporate Affairs	2012 - 2019	Vice President - Sales & Marketing	2007 - 2012	Sales and Marketing Director	2004 - 2007	Marketing Director
2019 - Present	Senior Vice President - Corporate Affairs								
2012 - 2019	Vice President - Sales & Marketing								
2007 - 2012	Sales and Marketing Director								
2004 - 2007	Marketing Director								
Board Member / Management of other:									
Listed company	- None -								
Other company (none-listed company)	20 May 2020 - Present Managing Director HaadThip Commercial Co., Ltd.								
Type of business	Manufacturing and distribution of consumer goods								

12. Mrs. Kerry-Ann Shipp

Age (years)	50						
Nationality	South African						
% of shareholding in the Company	- None -						
Position	• Director : Starting Date 21 October 2019, totalling 2 years						
Family Relationship of Management Team	- None -						
Education:	• Nelson Mandela Metropolitan University, South Africa, - Bachelor of Commerce Degree (Cum Laude) - 1991 - Bachelor of Commerce Honors Degree - 1992						
Training by Thai Institute of Directors Association (IOD)	- None -						
Work experience:	<table> <tr> <td>July 2017 - Present</td><td>Director of the Family Office GUTSCHE Family Investments Pty Limited</td></tr> <tr> <td>December 2012 - June 2017</td><td>Group Financial Controller Coca - Cola Beverages Africa / Coca - Cola SABCO</td></tr> <tr> <td>April 2005 - November 2012</td><td>Group Governance Manager Coca - Cola SABCO</td></tr> </table>	July 2017 - Present	Director of the Family Office GUTSCHE Family Investments Pty Limited	December 2012 - June 2017	Group Financial Controller Coca - Cola Beverages Africa / Coca - Cola SABCO	April 2005 - November 2012	Group Governance Manager Coca - Cola SABCO
July 2017 - Present	Director of the Family Office GUTSCHE Family Investments Pty Limited						
December 2012 - June 2017	Group Financial Controller Coca - Cola Beverages Africa / Coca - Cola SABCO						
April 2005 - November 2012	Group Governance Manager Coca - Cola SABCO						
Board Member / Management of other:							
Listed company	- None -						
Other company (none-listed company)	• Woodlands Dairy Pty Ltd • Fairfield Dairy Pty Ltd						

13. Mr. Jose Henrique Zeitune

Age (years)	57
Nationality	Brazilian
% of shareholding in the Company	0.0823% of the paid-up capital and total voting rights
Position	Chief Operating Officer
Family Relationship of Management Team	- None -
Education:	Master of Business Administration (MBA) FUNDACAO DOM Cabral, Brazil
Training by Thai Institute of Directors Association (IOD)	- None -
Work experience:	- HaadThip Public Company Limited 22 January 2020- Present Chief Operating Officer 7 June 2019 - 22 January 2020 Senior Vice President - Commercial & Growth Strategy 5 October 2018 - 7 June 2019 Vice President - Commercial & Growth Strategy - COCA - COLA THAILAND July 2013 - August 2018 Franchise Director for Southern Thailand (HAADTHIP Bottler) and LAOS - COCA - COLA THAILAND seconded to THAINUMTHIP LIMITED May 2011 - July 2013 Strategic Planning Director
Board Member / Management of other:	
Listed company	- None -
Other company (none-listed company)	- None -

14. Mr. John Joseph Benedetti

Age (years)	57
Nationality	British
% of shareholding in the Company	- None -
Position	• Senior Vice President - Supply Chain & Demand Fulfilment
Family Relationship of Management Team	- None -
Education:	• St. Josephs College of Further Education Glasgow, Scotland, UK
Training by Thai Institute of Directors Association (IOD)	- None -
Work experience:	• HaadThip Public Company Limited 2015-Present Senior Vice President - Supply Chain & Demand Fulfillment 2014-2015 Vice President 2006-2014 Operating Director • Scarlet Ibis Investments Coca - Cola Southern Africa Operations Manager - Highveld Bottling • TJC Holding (PTY) Ltd. Operations Manager - Highveld Bottling Production Manager - Highveld Bottling • Coca - Cola SABCO Bottling Managing • Bass Clarington Breweries, London, UK Installation Technician
Board Member / Management of other:	
Listed company	- None -
Other company (none-listed company)	- None -

15. Mr. Timothy Edward Doyle

Age (years)	60														
Nationality	Australian														
% of shareholding in the Company	0.050% of the paid-up capital and total voting rights														
Position	Senior Vice President - Makro, Wholesale KA, Customer Service System														
Family Relationship of Management Team	- None -														
Education:	Bachelor of Arts - Speech Communication & Business San Jose State University, San Jose California, USA														
Training by Thai Institute of Directors Association (IOD)	- None -														
Work experience:	- Haadthip Public Company Limited <table> <tr> <td>1 January 2022 - Present</td><td>Senior Vice President - Makro, Wholesale KA, Customer Service System</td></tr> <tr> <td>22 January 2020 - 31 December 2021</td><td>Vice President - Makro, Wholesale KA, Customer Service System</td></tr> <tr> <td>1 April 2017 - January 2020</td><td>Vice President Customer Service System & Indirect Channel</td></tr> <tr> <td>2014 - 31 March 2016</td><td>Customer Service System Director</td></tr> <tr> <td>2006 - 2014</td><td>Operations Director</td></tr> </table> - Coca - Cola Southeast Asia Service Company (Coca - Cola Company Asia) <table> <tr> <td>2011 - 2013</td><td>Lao Project Manager - Franchise Director Southern Thailand: TCCC</td></tr> <tr> <td>2002 - 2010</td><td>Company Manager PNG & Pacific Island</td></tr> </table>	1 January 2022 - Present	Senior Vice President - Makro, Wholesale KA, Customer Service System	22 January 2020 - 31 December 2021	Vice President - Makro, Wholesale KA, Customer Service System	1 April 2017 - January 2020	Vice President Customer Service System & Indirect Channel	2014 - 31 March 2016	Customer Service System Director	2006 - 2014	Operations Director	2011 - 2013	Lao Project Manager - Franchise Director Southern Thailand: TCCC	2002 - 2010	Company Manager PNG & Pacific Island
1 January 2022 - Present	Senior Vice President - Makro, Wholesale KA, Customer Service System														
22 January 2020 - 31 December 2021	Vice President - Makro, Wholesale KA, Customer Service System														
1 April 2017 - January 2020	Vice President Customer Service System & Indirect Channel														
2014 - 31 March 2016	Customer Service System Director														
2006 - 2014	Operations Director														
2011 - 2013	Lao Project Manager - Franchise Director Southern Thailand: TCCC														
2002 - 2010	Company Manager PNG & Pacific Island														
Board Member / Management of other:															
Listed company	- None -														
Other company (none-listed company)	- None -														

16. Mr. Thakerng Kanchana

Age (years)	66
Nationality	Thai
% of shareholding in the Company	0.061% of the paid-up capital and total voting rights (Inclusive of shares held by spouse)
Position	Vice President - CDE & Construction
Family Relationship of Management Team	- None -
Education:	- Bachelor of Engineering, Chulalongkorn University - Master of Public Administration, National Institute of Development Administration (NIDA)
Training by Thai Institute of Directors Association (IOD)	- None -
Work experience:	HaadThip Public Company Limited 2015 - Present Vice President - CDE & Construction 2004 - 2015 Plant Director 1995 - 2004 Plant Division Manager
Board Member / Management of other:	
Listed company	- None -
Other company (none-listed company)	- None -

17. Mr. Thongchai Unchurit

Age (years)	68
Nationality	Thai
% of shareholding in the Company	0.005% of the paid-up capital and total voting rights
Position	Vice President - General Administration & Government Relations
Family Relationship of Management Team	- None -
Education:	- Bachelor of Economics, Ramkhamhaeng University - Master of Public Administration, National Institute of Development Administration (NIDA)
Training by Thai Institute of Directors Association (IOD)	- None -
Work experience:	HaadThip Public Company Limited 1 July 2016 - Present Vice President - General Administration & Government Relations 2007 - 30 Jun. 2016 General Administration Director 2004 - 2006 General Administration manager 2002 - 2003 Asst. Marketing Manager
Board Member / Management of other:	
Listed company	- None -
Other company (none-listed company)	9 March 2012 - Present Director Southern Rocks Co., Ltd.
Type of business	Manufacturing and distributing preform and plastic

18. Mr. Riccardo Vrodom Sucharitkul

Age (years)	44																														
Nationality	Thai																														
% of shareholding in the Company	0.0545% of the paid-up capital and total voting rights																														
Position	Vice President - Corporate Strategy																														
Family Relationship of Management Team	- None -																														
Education:	- M.A. Law, Bristol University, UK: 2002 - 2004 - B.A. Classics, Amherst College, Mass., USA 1996 - 2000 - Harrow School, Middlesex, UK, 1990 - 1995																														
Training by Thai Institute of Directors Association (IOD)	- None -																														
Work experience:	- HaadThip Public Company Limited <table> <tr> <td>22 January 2020 - Present</td><td>Vice President - Corporate Strategy</td></tr> <tr> <td>1 August 2019 - 21 January 2020</td><td>Vice President - Future Growth & Diversification</td></tr> </table> - CANADOIL Group of Companies <table> <tr> <td>2009 - 2017</td><td>Chief Corporate Officer (Final Position Held)</td></tr> </table> - Bank of Thailand <table> <tr> <td>2000 - 2009</td><td>Senior Analyst, Financial Risk Management and Operations Group</td></tr> </table>	22 January 2020 - Present	Vice President - Corporate Strategy	1 August 2019 - 21 January 2020	Vice President - Future Growth & Diversification	2009 - 2017	Chief Corporate Officer (Final Position Held)	2000 - 2009	Senior Analyst, Financial Risk Management and Operations Group																						
22 January 2020 - Present	Vice President - Corporate Strategy																														
1 August 2019 - 21 January 2020	Vice President - Future Growth & Diversification																														
2009 - 2017	Chief Corporate Officer (Final Position Held)																														
2000 - 2009	Senior Analyst, Financial Risk Management and Operations Group																														
Board Member / Management of other:																															
Listed company	- None -																														
Other company (none-listed company)	<table> <tr> <td>12 November 2021 - Present</td><td>Director</td></tr> <tr> <td></td><td>Southern Rocks Co., Ltd.</td></tr> <tr> <td>Type of Business</td><td>Manufacturing and distributing preform and plastic bottles, and plastic bottle blowing services.</td></tr> <tr> <td>11 February 2020 - Present</td><td>Director</td></tr> <tr> <td></td><td>HaadThip Food & Beverages Co., Ltd.</td></tr> <tr> <td>Type of Business</td><td>Restaurant business.</td></tr> <tr> <td>25 February 2020 - Present</td><td>Director</td></tr> <tr> <td></td><td>HaadThip Commercial Co., Ltd.</td></tr> <tr> <td>Type of Business</td><td>Manufacturing and distribution of consumer goods.</td></tr> <tr> <td>14 December 2020 - Present</td><td>Director</td></tr> <tr> <td></td><td>HaadThip Development Co., Ltd.</td></tr> <tr> <td>Type of Business</td><td>Real estate development</td></tr> <tr> <td>18 February 2020 - Present</td><td>Director</td></tr> <tr> <td></td><td>KindeeYudee 2020 Co., Ltd.</td></tr> <tr> <td>Type of Business</td><td>Restaurant business.</td></tr> </table>	12 November 2021 - Present	Director		Southern Rocks Co., Ltd.	Type of Business	Manufacturing and distributing preform and plastic bottles, and plastic bottle blowing services.	11 February 2020 - Present	Director		HaadThip Food & Beverages Co., Ltd.	Type of Business	Restaurant business.	25 February 2020 - Present	Director		HaadThip Commercial Co., Ltd.	Type of Business	Manufacturing and distribution of consumer goods.	14 December 2020 - Present	Director		HaadThip Development Co., Ltd.	Type of Business	Real estate development	18 February 2020 - Present	Director		KindeeYudee 2020 Co., Ltd.	Type of Business	Restaurant business.
12 November 2021 - Present	Director																														
	Southern Rocks Co., Ltd.																														
Type of Business	Manufacturing and distributing preform and plastic bottles, and plastic bottle blowing services.																														
11 February 2020 - Present	Director																														
	HaadThip Food & Beverages Co., Ltd.																														
Type of Business	Restaurant business.																														
25 February 2020 - Present	Director																														
	HaadThip Commercial Co., Ltd.																														
Type of Business	Manufacturing and distribution of consumer goods.																														
14 December 2020 - Present	Director																														
	HaadThip Development Co., Ltd.																														
Type of Business	Real estate development																														
18 February 2020 - Present	Director																														
	KindeeYudee 2020 Co., Ltd.																														
Type of Business	Restaurant business.																														

19. Mr. Voranin Asadamongkol

Age (years)	47						
Nationality	Thai						
% of shareholding in the Company	0.0496% of the paid-up capital and total voting rights						
Position	Senior Vice President - TT/DSD, Wholesale TT, HORECA, Sales Operation and Sale Support						
Family Relationship of Management Team	- None -						
Education:	MBA. Major of Marketing and Strategic Management University of Southern New Hampshire. USA						
Training by Thai Institute of Directors Association (IOD)	- None -						
Work experience:	HaadThip Public Company Limited						
	<table> <tr> <td>1 January 2022 - Present</td><td>Senior Vice President - TT/DSD, Wholesale TT, HORECA, Sales Operation and Sale Support</td></tr> <tr> <td>22 January 2020 - 31 December 2021</td><td>Vice President - TT/DSD, Wholesales, HORECA, Tele-sales, Vending and Sales Capability</td></tr> <tr> <td>1 August 2019 - 21 January 2020</td><td>Vice President - Future Growth & Diversification</td></tr> </table>	1 January 2022 - Present	Senior Vice President - TT/DSD, Wholesale TT, HORECA, Sales Operation and Sale Support	22 January 2020 - 31 December 2021	Vice President - TT/DSD, Wholesales, HORECA, Tele-sales, Vending and Sales Capability	1 August 2019 - 21 January 2020	Vice President - Future Growth & Diversification
1 January 2022 - Present	Senior Vice President - TT/DSD, Wholesale TT, HORECA, Sales Operation and Sale Support						
22 January 2020 - 31 December 2021	Vice President - TT/DSD, Wholesales, HORECA, Tele-sales, Vending and Sales Capability						
1 August 2019 - 21 January 2020	Vice President - Future Growth & Diversification						
	Siam GS sales Co., LTD.						
	<table> <tr> <td>2015 - 2019</td><td>Managing Director</td></tr> </table>	2015 - 2019	Managing Director				
2015 - 2019	Managing Director						
Board Member / Management of other:							
Listed company	- None -						
Other company (none-listed company)	- None -						

20.

Miss Sarunluck Thepwarin

Age (years)	53
Nationality	Thai
% of shareholding in the Company	0.0497% of the paid-up capital and total voting rights
Position	Vice President - Modern Trade
Family Relationship of Management Team	- None -
Education:	- Ph.D. (Business Administration) Institute of International Studies, Ramkhamhaeng University. - Master of Public Administration (Public Administration) National Institute of Development Administration - M.B.A. International Business Lincoln University, U.S.A.
Training by Thai Institute of Directors Association (IOD)	- None -
Work experience:	HaadThip Public Company Limited 22 January 2020 - Present Vice President - Modern Trade 1 July 2016 - 21 January 2020 Director - National Accounts 28 May 2015 - 30 June 2016 Senior Manager - National Accounts
Board Member / Management of other:	
Listed company	- None -
Other company (none-listed company)	- None -

21. Mr. Puttaporn Rajpricha

Age (years)	52
Nationality	Thai
% of shareholding in the Company	- None -
Position	Vice President - Human Resources
Family Relationship of Management Team	- None -
Education:	Master Degree of Science, Industrial Relations, University of New Haven, Connecticut, U.S.A.
Training by Thai Institute of Directors Association (IOD)	- None -
Work experience:	- HaadThip Public Company Limited 23 March 2020 - Present Vice President - Human Resources - G4S Security Services (Thailand) Co., Ltd. January 2018 - May 2019 Human Resources Director - DHL Express International (Thailand) Co., Ltd. January 2015 - January 2018 Human Resources Director
Board Member / Management of other:	
Listed company	- None -
Other company (none-listed company)	- None -

22.

4Mr. Seksan Phetsut

Age (years)	55
Nationality	Thai
% of shareholding in the Company	0.01% of the paid-up capital and total voting rights
Position	Vice President - Operation
Family Relationship of Management Team	- None -
Education:	Bachelor of Engineering (Mechanical Engineering) Rajamangala University of Technology Sriwichai
Training by Thai Institute of Directors Association (IOD)	- None -
Work experience:	HaadThip Public Company Limited 25 March 2020 - Present Vice President - Operation 28 May 2015 - 24 March 2020 Plant Director 01 December 2014 - 27 May 2015 Senior Plant Division Manager 01 July 2012 - 30 November 2014 Plant Division Manager 01 July 2009 - 30 June 2012 Deputy Plant Division Manager 01 July 2005- 30 June 2009 Production Department Manager
Board Member / Management of other:	
Listed company	- None -
Other company (none-listed company)	- None -

23. Mrs. Arisa Pukdeemakanon

Age (years)	44
Nationality	Thai
% of shareholding in the Company	0.0496% of the paid-up capital and total voting rights
Position	Vice President - Commercial Operations
Family Relationship of Management Team	- None -
Education:	Bachelor of Arts, Columbia College Chicago, U.S.A.
Training by Thai Institute of Directors Association (IOD)	- None -
Work experience:	HaadThip Public Company Limited 1 January 2022 - Present Vice President - Commercial Operations 22 January 2020 - 31 December 2021 Assistant Vice President - Commercial Operations 19 September 2018 - 21 January 2020 Director - Revenue Growth Management and Commercial 28 May 2015 - 18 September 2018 Senior Marketing Manager
Board Member / Management of other:	
Listed company	- None -
Other company (none-listed company)	- None -

24. Mr. Taweedet Janmeeon

Age (years)	63
Nationality	Thai
% of shareholding in the Company	0.0534% of the paid-up capital and total voting rights
Position	Assistant Vice President - TT/DSD, Wholesale TT, HORECA, Sales Operation and TT/DSD Director
Family Relationship of Management Team	- None -
Education:	Vocational Certificate, Bangkok mechanical school
Training by Thai Institute of Directors Association (IOD)	- None -
Work experience:	HaadThip Public Company Limited 01 January 2022 - Present Assistant Vice President - TT/DSD, Wholesale TT, HORECA, Sales Operation and TT/DSD Director 27 August 2020- 31 December 2021 Pre-sale / DSD Director and Acting HORECA Director 01 June 2014 - 26 August 2020 Sales Director 15 June 2008 - 31 May 2014 Senior Sales Manager Division
Board Member / Management of other:	
Listed company	- None -
Other company (none-listed company)	- None -

25. Mr. Amrit Kumar Shrestha

Age (years)	53
Nationality	Nepal
% of shareholding in the Company	0.0162% of the paid-up capital and total voting rights NVDR: 42,000 Shares
Position	Chief Financial Officer (The person taking the highest responsibility in finance and accounting, starting date 07/12/2020)
Family Relationship of Management Team	- None -
Education:	Bachelor Degree in Management Tribhuvan University, Nepal
Training by Thai Institute of Directors Association (IOD)	- Accounting and Finance Preparation (CFO's orientation by SET) - TLCA CFO Professional Development Program (TLCA CFO CPD) No. 4/2021 "How finance leaders are adapting within the new normal" - TLCA CFO Professional Development Program (TLCA CFO CPD) No. 5/2021 "Fraud & Cyber Security Risk" - TLCA CFO Professional Development Program (TLCA CFO CPD) No. 6/2021 "ESG Integration in Sustainable Investing"
Refresh (hours)	6
Work experience:	- HaadThip Public Company Limited December 2020 – present Chief Financial Officer - Coca – Cola Thailand May 2015 – November 2020 Regional Finance Director/ Chief Financial Officer for Thailand, Laos and Myanmar - The Coca – Cola Company August 2011 – April 2015 Regional Finance Director for Singapore, Malaysia and Brunei - Coca-Cola Amatil Bottler July 2008 – July 2011 Regional Finance Director for Indonesia and PNG

25. Mr. Amrit Kumar Shrestha (continue)

Work experience (continue):

• TCCC and Nestle

June 2004 - June 2008 Finance Director, Water Business JV

1996 - 2004 Bottling Financial leadership roles in Vietnam

1994 - 2538 Finance and Admin Manager, Cambodia

2531 - 1988 Finance Manager, Nepal Bottling

Board Member / Management of other:

Listed company

- None -

Other company (none-listed company)

- None -

26. Miss Nithinart Juntasurat

Age (years)	50
Nationality	Thai
% of shareholding in the Company	0.0030 of the paid-up capital and total voting rights
Position	Accounting Director (The person supervising accounting, starting date 26/11/2018)
Family Relationship of Management Team	- None -
Education:	- Master of Business Administration, Ramkhamhaeng University - Bachelor of Commerce (Accounts), Chiang Mai University
Training by Thai Institute of Directors Association (IOD)	- None -
Refresh (hours)	12
Experience:	HaadThip Public Company Limited 2020 - Present Accounting Director 2010 - 2020 Accounting Division Manager 2006 - 2010 Asst. Accounting Division Manager
Board Member / Management of other:	
Listed company	- None -
Other company (none-listed company)	9 March 2012 - Present Director, Southern Rocks Co., Ltd. Type of business Manufacturing and distributing preform and plastic

27. Miss Sudaluck Brownvanakul

Age (years)	72
Nationality	Thai
% of shareholding in the Company	0.0008% of the paid - up capital and total voting right
Position	Company Secretary : 14 August 2008
Family Relationship of Management Team	- None -
Education:	Bachelor of Commerce and Accountancy (Finance and Banking), Thammasat University
Training by Thai Institute of Directors Association (IOD)	Company Secretary Program (CSP) Class 32/2009
Experience:	Haad Thip Public Company Limited 2011 - Present Securities Division Manager 2004 - 2011 Asst. Security Division Manager
Board Member / Management of other:	
Listed company	- None -
Other company (none-listed company)	- None -

Attachments 2

Details on the directors, executives and controlling persons of the company and its subsidiaries position information (as at december 31, 2021)

Directors and Executive	HaadThip Public Company Limited	Southern Rocks Co., Ltd.	HaadThip Food & Beverages Co., Ltd.	HaadThip Commercial Co., Ltd.	HaadThip Development Co., Ltd.	KinDee YuDee 2020 Co., Ltd.
1. Gen. Charan Kullavanija	A C					
2. Maj. Gen. Patchara Rattakul	B F I	B	B	B	B	
3. Mr. Prakit Pradipasen	C D					
4. Mr. Philipp Hugo Gutsche	B H					
5. Mr. Martin Jansen	C					
6. Mrs. Yupares Thiengham	B G					
7. Miss Smornluk Mahasmiti	C E H	B				
8. Mrs. Pariya Chirabhandhu	B F H	B	B	B	B	
9. Mr. Yanyong Maethapanich	C E H J					
10. M.L. Dhisana Sritavaj	B					
11. Mr. Dumrongrugs Apibalsawasdi	B F J L			B F		
12. Mrs. Kerry -Ann Shipp	B					
13. Mr. Jose Henrique Zeitune	F K					
14. Mr. Amrit Kumar Shrestha	F					
15. Mr. John Joseph Benedetti	F					
16. Mr. Timothy Edward Doyle	F					
17. Mr. Riccardo Vrodom Sucharitkul	F L	B	B	B	B	B
18. Mr. Voranin Assadamongkol	F					
19. Mr. Peksan Phetsut	F					
20. Mr. Puttaporn Rajpricha	F					
21. Miss Sarunluck Thepwarin	F					
22. Mr. Thongchai Unchurit	F	B				
23. Mr. Thakerng Kanchana	F					
24. Mrs. Arisa Pukdeemakanon	F					
25. Mr. Taweedet Chanmiion	F					

A - Chairman

B - Directors

C - Independent Directors

D - Chairman of the Audit Committee

E - Audit Committee Member

F - Executive

G - Chairman of the Nomination and Remuneration Committee

H - Nomination and Remuneration Committee Member

I - Chairman of the Corporate Governance Committee

J - Corporate Governance Committee Member

K - Chairman of the Risk Management and Sustainable Development Committee

L - Risk Management and Sustainable Development Committee Member

Attachments 3

Details of Head of Internal Audit

Mrs. Arunee Praduppeth

Age (years) : 50

Nationality : Thai

% of shareholding in the Company : - None -

Position

Internal Audit Department Manager :

Date of Appointment 3 January 2017

Family Relationship of Management Team

- None -

Education

- Bachelor Degree (Accounting)
- Sukhothai Thammathirat T Open University

The Certified Internal Auditors - CIA:

- Federation of Accounting Professions under royal patronage
- IACP (Internal Auditing Certificate Program)
- Chief Audit Executive Professional Leadership Program

Training by Thai Institute of Director Association (IOD):

- 200 companies and the future of Thai private sector cooperation in anti- corruption

Training by other organizations:

The Political Science Association of Kasetsart University

- Course "Personal Data Protection Act for Internal Auditor"

Academic Service Center, Faculty of Economics, Chulalongkorn University

- Course "Enterprise Risk Management"

Regal Center- Faculty of Law Chulalongkorn University

- Course "Personal Data Protection Laws for Practitioners in agencies and business organizations"

Federation of Accounting Professions under royal patronage coordinate cooperation with IOD and CAC

- Course "Working paper for Better Corruption Prevention"

Work experience:

10 years of work experience in Internal Auditing

- HaadThip Public Company Limited
- PHIYHAN PHANICH Group Co., Ltd.

18 years of work experience in Accounting

- Ban Suzuki Group Co., Ltd.
- PHIYHAN PHANICH Group Co., Ltd.
- A.P.K. FURNISHING PARAWOOD Co., Ltd.
- 3KHomeBase Co., Ltd.

Board Member / Management of other:

Listed company

- None -

Other company (none-listed company)

- None -

Attachments 4

Report on the Board of Directors' Responsibilities for the Financial Report

To Shareholders

The Company's Board of Directors shall be responsible for the Financial Statements of HaadThip Public Company Limited and the Subsidiary, which have been prepared in accordance with the Financial Reporting Standards as per the Accounting Act B.E. 2543 and the requirements set forth by The Securities and Exchange Commission on the subject of Financial Reporting, under The Securities and Exchange Act B.E. 2535. The Company has considered and adopted the accounting policy deemed suitable for the Company and has put the policy to practice on a regular basis. In addition, essential information in the Notes to the Financial Statements have been disclosed in a sufficient manner.

The Company's Board of Directors has ensured that the Company has a sound Corporate Governance Policy; Anti-corruption Policy; and has established as well as intended to maintain the Risk Management System and Internal Control System, for the purpose of assurance that every accounting record is accurate, complete and timely, sufficient to preserve the Company's assets and prevent any fraudulence or anomalous operations deemed material.

As such, the Company has appointed an Audit Committee that comprises independent directors for the purpose of monitor and control; to perform the review of the Financial Statements in order to ensure reliable and accurate information in the Financial Statements; and to perform an assessment on Internal Control and Internal Audit System to ensure efficiency and effectiveness of the system. The opinions of the Audit Committee appear in the Audit Committee Report, which is presented in this Form 56-1 One Report.

The Board of Directors issues an opinion that the Company's Internal Control and Internal Audit System serves to assure that the Financial Statements of HaadThip Public Company Limited and the Subsidiary for the accounting year ended 31st December 2021 display the financial status, operating results and cash flows in an accurate manner, in all material respects, and appropriately in accordance with the Financial Reporting Standards. The Auditor has performed a review; disclosed opinions; and issued an unqualified opinion in the Audit Report, which is presented in this Form 56-1 One Report.

Gen.



(Charan Kullavanijaya)

Chairman of the Board of Directors

Maj. Gen.



(Patchara Rattakul)

Chief Executive Officer

Attachments 5

Sub-committees Report

Audit Committee Report

Dear Shareholders

The Audit Committee consists of 3 independent experts:

- | | | |
|------------------|--------------|---------------------------------|
| 1. Mr. Prakit | Pradipasen | Chairman of the Audit Committee |
| 2. Miss Smornluk | Mahasmiti | Member of the Audit Committee |
| 3. Mr. Yanyong | Maethapanich | Member of the Audit Committee |

The Audit Committee has taken a role according to the scope of duties and responsibilities assigned by the Board of Directors, to review as well as to gear HaadThip Public Company Limited towards business operations in accordance with the principle of corporate governance; having in place a monitoring system to ensure law and rule-adding; having in place an adequate risk management and internal control system; being an organization with a focus on transparent operation, while at the same time, being considerate in trying to meet the needs of all groups of stakeholders in all aspects. All of which is in accordance with the Notification of the Securities and Exchange Commission (SEC) as well as the requirements set forth by the Stock Exchange of Thailand (SET).

In 2021, the Audit Committee had held a total of 4 official meetings in conjunction with the Auditor and Internal Auditor personal. The details of their attendance are as follows:

- Mr. Prakit Pradiprasen, Chairman of the Audit Committee, attended 4 meetings.
- Miss Smornluk Mahasmiti, Member of the Audit Committee, attended 4 meetings.
- Mr. Yanyong Maethapanich, Member of the Audit Committee, attended 4 meetings.

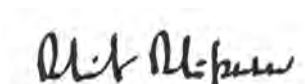
The operation of the Audit Committee can be summarized as follows:

1. **Auditing the Company's financial report preparation**, including enquiring the business executives about preparing financial reports discretely, considering the Company's quarterly financial statement audits and its subsidiaries' related-party transactions and its annual financial statement audit report, by meeting with the Company's accounting executives and external auditors, in order to make consideration until they were pleased with the report on remarks obtained from auditing or reviewing financial statements. The meetings with external auditors were organized without being attended by any executives in charge until they found mutual agreement, before suggestions on improvement were made. It is evident that the 2021 quarterly and annual financial statements were correct and reliable, prepared in accordance with the Generally Accepted Accounting Principles and disclosing information adequately and appropriately
2. **Supervising internal auditors' operation**, including reviewing adequacy and appropriateness of the Company's and its subsidiaries' internal control system, by considering reports on internal audit results, in accordance with the 2021 annual audit plan and the remarks on the internal control system assessment results, pushing to elevate correction and prevention of problems or aspects detected at different processes by the Internal Audit Office systematically and

sustainably, by allowing the Internal Audit Office to analyze problems and aspects and coordinate with the inspection body, in order to specify concrete and explicit methods of correcting and preventing the aspects, including giving advice and monitoring operation of correcting significant aspects, in order to create good governance and adequate internal control

3. **Considering agreement with internal audit plans**, work development plans, personnel circulation plans, personnel training and the 2022 annual budget of the Internal Audit Office and giving approaches to the Company's and its subsidiaries' internal audit, by focusing on the objectives and scope of auditing, to cover major risks of each unit and activity level, and specifying internal audit directions to support rapid changes. Moreover, the Audit Committee has considered and signed the new charter of the Internal Audit Office, having been revised to cover and comply with the standard and code of conducts of the International Professional Practices Framework: IPPF)
4. **The Audit Committee has considered selection, nomination and remuneration for auditors of the year 2022** by taking into consideration qualities, independence, operating results and appropriate remunerations for auditors, before proposing to the Board of Directors, who will then propose for approval from the Annual General Shareholders' Meeting thereafter.
5. **Considering preparation of related-party transaction** and disclose of information on related-party transaction in the Notes to the Financial Statements of both financial statements of the year and quarterly financial statements. The Audit Committee also provided an opinion in an independent manner on the acquisition or disposal of investment assets of major projects of the Company and its subsidiaries

The Audit Committee has performed its tasks with prudence, independence and issued opinions in a straightforward, transparent and auditable manner, according to Corporate Governance Principles. The Audit Committee is certain that the Company's financial statement and information disclosure are accurate, complete and valid, and in accordance with the Generally Accepted Accounting Principles. The Audit Committee is also certain that the Company's risk management and internal audit system is effective, suitable and adequate, and the internal audit activities are conducted in an independent manner; cover all of the operational processes with high risk, with an appropriate law-abiding and by-the-rule supervising system of daily work routine and operations.



(Mr. Prakrit Pradipasen)
Chairman of the Audit Committee

Nomination and Remuneration Committee Report

Dear Shareholders

The Nomination and Remuneration Committee comprises the following 5 members:

1. Mrs. Yupares Thiengtham
Chairman of the Nomination and Remuneration Committee
2. Miss Smornluk Mahasmiti
Member of the Nomination and Remuneration Committee
3. Mr. Philipp Hugo Gutsche
Member of the Nomination and Remuneration Committee
4. Mrs. Pariya Chirabandhu
Member of the Nomination and Remuneration Committee
5. Mr. Yanyong Maethapanich
Member of the Nomination and Remuneration Committee

The Nomination and Remuneration Committee has performed the duties assigned by the Board of Directors, in accordance with prudent, equitable and reasonable manner.

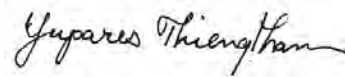
In the year 2021, the Nomination and Remuneration Committee held a meeting, attended by all the members of the Committee, and considered the following matters:

1. Considering nomination directors to replace those retired by rotation, before proposing to the Board of Directors to propose for approval from the Annual General Shareholders' Meeting
2. Considering appropriateness of annual remunerations for the Board of Directors and the sub-committees, that is, annual remunerations for directors, meeting allowance, and other fees, before proposing to the Board of Directors to propose for approval from the Annual General Shareholders' Meeting. The

remunerations considered are appropriate for the scope of duties and responsibilities at the levels comparable to those of the other listed companies in the Stock Exchange of Thailand, which have the same size and belong to the same industrial group. The remunerations are attractive enough to motivate and maintain quality directors and compliant with the Company's operating results of each year.

3. Considering specification of forms and criteria for assessing the employees' annual performances or KPIs (Key Performance Indicators) in order to consider salary and bonus adjustment for the employees and propose to Board of Directors for approval.

Moreover, before each Annual General Shareholders' Meeting, the Company allowed minority shareholders to nominate the qualified candidate for consideration to be the directors of the Company in advance, in order to make a proposal for approval from the Shareholders' Meeting, in accordance with the criteria and methods specified by the Company and published on the Company's website at www.haadthip.com. However, none of the shareholders nominated any candidates to be selected as directors.



(Mrs. Yupares Thiengtham)
Chairman of the Nomination
and Remuneration Committee

Corporate Governance Committee Report

Dear Shareholders

The Corporate Governance Committee was appointed by the Board of Directors' Meeting on May 27, 2021, consisting of 3 members:

- | | | |
|----|-------------------------------|--|
| 1. | Maj. Gen. Patchara Rattakul | Chairman of the Corporate Governance Committee |
| 2. | Mr. Yanyong Maethapanich | Member of the Corporate Governance Committee |
| 3. | Mr. Dumrongrugs Apibalsawasdi | Member of the Corporate Governance Committee |

Miss Rattanawadee Kiatsimkul, Corporate Governance Director, acts as the secretary to the Committee.

In the year 2021, the Corporate Governance Committee held 1 meeting, attending by all member of the Committee.

Summary of the Duty Performance of the Corporate Governance Committee

The Board of Directors has appointed the Corporate Governance Committee, which aims to create transparency and standard operational frameworks in the organizational structure. The duties and responsibilities of the Corporate Governance Committee cover several dimensions, not only HaadThip Public Company Limited, its subsidiaries, the Board of Directors, executives, employees, shareholders, partners but also all the stakeholders in the value chain. The next operation will include clearer vision and directions in order to reach sustainable growth, which is part of the society, for which we need to be responsible.

In the year 2021, the Corporate Governance Committee held 1 meeting, attended by all members of the Committee. It can be summarized as follows:

1. Considering the Corporate Governance Committee's charters

The Corporate Governance Committee has considered the Corporate Governance Committee's charters by revising them before proposing them to the Board of Directors' Meeting for approval. However, Maj. Gen. Patchara Rattakul, Chairman of the Corporate Governance Committee has given additional comments and recommended that "there be assessment and follow-up methods" for every sector, in order to ensure that the operation will efficiently comply with the policies by focusing on 1) people (formulating mindsets, giving knowledge/training, creating involvement, etc.) 2) operational systems (follow-up, auditing, etc.) 3) organizational goals and 4) capability of auditing, follow-up and assessment

2. Reports on Different Types of Operations

2.1 Operation on Governance and Anti-Corruption

- The membership of the Private Sector Collective Action Coalition Against Corruption (CAC) has been renewed. The CAC re-certified the Company as one of its members. Each certification is valid for 3 years and will be due on June 30, 2024. During this re-certification, the Company shall improve operational levels by preparing the CAC-Change Agent Project in collaboration with groups of partners, in order to build anti-corruption networks.
- The Company received the Model Organization for Human Rights Outstanding Award 2021: large business, being the only private sector in Southern Thailand to receive the award from the Rights and Liberties Protection Department, Ministry of Justice.
- The Company received UN Women 2021 Thailand WEPs Awards: Organization leaders for sexual equality-promoting organization leaders, given to Maj. Gen. Patchara Rattakul, CEO.

For this aspect, Maj. Gen. Patchara Rattakul, Chairman of the Corporate Governance Committee added that sexual equality should not be limited only to male and female. Instead, it should cover all the alternative genders (LGBTQI) and should be operated concretely, clearly and equally, starting from the nomination stage and welfare entitlement, including entitlement for adopted children and application for family residence.

- 2.2 Operation on Business Code of Conduct. The Company's Business Code of Conduct has been reviewed in order to become updated and compliant with the international standard criteria, by operating in accordance with the forms provided by the Thai Institute of Directors (IOD) as a guideline. The Business Code of Conduct has been translated into English and given to foreign executives.
- 2.3 The report on preparation of the 56-1 One Reports, which will replace annual reports and will be enacted from 2022 onwards, is a collection of reports, which connect the ESG operational data and performance in accordance with the policies of the organization.
- 2.4 Corruptive risk assessment. The results of the corruptive risk assessment were obtained from the questionnaires about various aspects: 1) the questionnaire for agencies to contact government agencies; 2) the questionnaire for agencies to contact government agencies; 3) advance withdrawal is a question for reviewing operational methods in order to protect speculation; 4) In each agency, are there any employees who are siblings, spouses or relatives working in the same agency? and 5) monitoring agencies with corruptive employees.
- 2.5 Eight complaints from the employees and outsiders were received (January-September). The mechanism and the complaint management system of the Company include the following steps:

Mechanism and Complaint Management System



As for complaints via different channels, the Company has conducted disciplinary investigation with offenders appropriately and fairly, as specified in the Company's rules. Their offences were not significant, affecting the Company's reputation and finance. During the past year, no cases of corruption or bribery were found.

The Corporate Governance Committee is really determined to readily improve and develop guidelines for corporate governance, so that the Company will operate efficiently, as specified in the international standard. That will also produce concrete and sustainable results in developing the Company.

Maj. Gen. 
(Patchara Rattakul)

Chairman of the Corporate Governance Committee

Risk Management and Sustainable Development Committee Report

Dear Shareholders

The Risk Management and Sustainable Development Committee was nominated by the Board of Directors on May 27, 2021. Most of the Committee members consist of 5 top executives:

1. Mr. Jose Henrique Zeitune
Chairman of the Risk Management and Sustainable Development Committee
2. Mr. Dumrongrugs Apibalsawasdi
Member of the Risk Management and Sustainable Development Committee
3. Mr. Riccardo Vrodom Sucharitkul
Member of the Risk Management and Sustainable Development Committee
4. Miss Rattanawadee Kiatsimkul
Member of the Risk Management and Sustainable Development Committee
5. Mr. Siam Suwannarat
Member of the Risk Management and Sustainable Development Committee

The Risk Management and Sustainable Development Committee performs its duties as assigned by the Board of Directors. Risk management is being learned, whereas sustainable development is being given more emphasis by the Company, including specifying definite goals to develop sustainability more efficiently. The Company has initiated several projects and increased opportunities to integrate initiatives in the projects, not only at operational level but also at the whole organization. The Company has focused on areas with explorable sustainability potential. One of the Company's first priorities is to clearly specify which area of sustainability the Company prefers to develop first, including investment in time, budgets and personnel. The Risk Management and Sustainable Development Committee is responsible for managing this task, including the Company's priorities of risk management and sustainability.

In 2021, the Risk Management and Sustainable Development Committee held a formal meeting on Friday, September 17, 2021, where all the members of the Committee summarized

the operation of the Risk Management and Sustainable Development Committee as follows:

1. Risk Management

The objectives of the Committee are:

- To ensure that its operation in accordance with the business policies and strategies of the group of companies is under the efficient risk management system, in order to protect business interest of all the stakeholders
- To integrate sustainability and business operation and clearly create sustainable development, which is essential for adding appropriate values for stakeholders

Responsibilities of the Committee:

Risk Management

- Specifying and reviewing policies, goals and frameworks of risk management for the whole organization and integrating risk management to cover business strategies, operation, compliance with rules and regulations, including corruption and sustainability risk as well as emerging risk, so that business operation will be effective for changing situations at each period
- Encouraging the Executives and employees to understand significance of risk management, communicate clearly and provide additional knowledge in order to drive all levels of risk management and cultivate corporate culture
- Communicating with the Company's employees about the concept of risk "Risk is not a negative event, but efficient risk assessment is regarded as an opportunity."

Sustainable Development

- Developing sustainability of the group of companies to comply with goals of business strategies
- Supervising and supporting preparation of sustainability development reports and information disclosure to the public

- Communicating and promoting involvement of the stakeholders in order to create culture of business operation sustainability and procedures of the group of companies

Corporate Risk

1. Risk arising from the spread of COVID-19 affected the business operation plan.
2. Risk of evaluating needs for product and production, which are not consistent, affects costs and shelf life of products
3. Risk of lacking successor planning, especially at executive level
4. Risk of road accidents
5. Corruption or misconduct caused by the employees of the Company
6. Risk of cyber safety and data and privacy protection
7. Effects of climate change on product or service design and raw material procurement

2. Sustainable Development

The 2022-2025 Sustainable Development Plan

Climate

- Reducing greenhouse gas by at least 25% within the year 2040, according to the policies of the Coca-Cola business group
- Reducing greenhouse gas per production unit by 10% within the year 2025

Water Management

- In the year 2020, supplying communities and nature with the same amount of water as that used in production
- Improving stability of community water consumption for more than 10,000 households within the year 2025

Recycling Project

- Collecting the same number of PET bottles as that of containers sold to the markets within the year 2030, according to the policies of the Coca-Cola business group
- Within the year 2025, the number of collected recyclable containers shall be equal to at least 50% of those sold to the markets

Operational Plan to Reduce CO2 Emission

- Solar cells (roof-deck and free-standing)
- Driving environmentally-friendly fuel (NGV, LPG)
- Using lightweight containers

Recommended Projects

- More solar roofs should be installed;
- Use of biomass energy as a source of renewable energy for fuel used with boilers at factories;
- Reduction of PET Bottles by 10%
- Change in oil consumption from diesel B10 to diesel B20

Projects and Situations of Garbage of Thailand

In the year 2018, the total amount of the garbage situation in Thailand was 27.8 million tons, consisting of 2 million tons of plastic garbage, only 500,000 tons of which have been recycled and there are 1.5 million tons of plastic garbage remain. The Company had garbage collection project for right management and processed to recycle procedure

- Marine Camp Projects from 2018 to present
- Keep Thailand Beautiful Project from 2018 to present

The Risk Management and Sustainable Development Committee performs its duties carefully in accordance with the Corporate Governance Principles. The Committee is confident that the Company has initiated corporate risk and sustainable development efficiently, including disclosing complete and reliable data in accordance with the business strategy plan, by covering risky operational procedures, including supervising operation appropriately in accordance with laws or rules.



(Mr. Jose Henrique Zeitune)

Chairman of the Risk Management and Sustainable Development Committee

Attachments 6

Corporate Governance Policy and Code of Conduct

Please see Corporate Governance Policy and Code of Conduct at
<https://www.haadthip.com/th/about/good-corporate-governance>

Attachments 7

Charters of Sub-Committees

Please see Charter of Sub-Committees at

<https://www.haadthip.com/th/about/good-corporate-governance>



HAADTHIP

HAADTHIP

HaadThip Public Company Limited

Head Office

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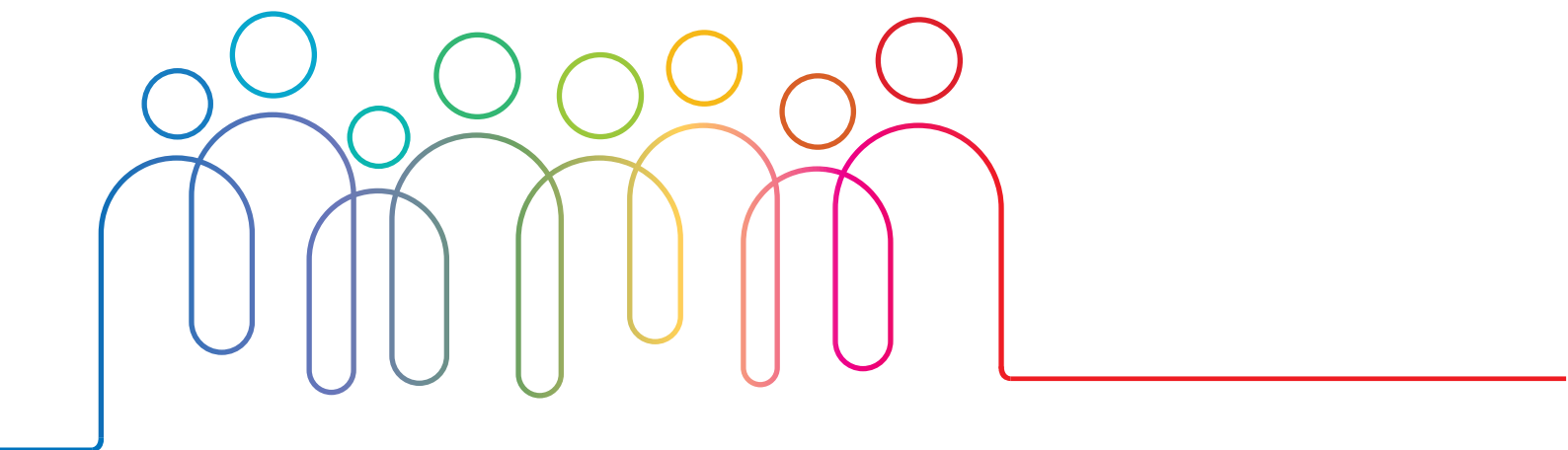
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